

FIRST CONFERENCE REPORT

The Committee of Conference on the matters of difference
between the two Houses concerning

House Bill No. 5630, entitled

A bill to amend 1979 PA 94, entitled "The state school aid act of 1979," by amending sections 6, 11, 11a, 11j, 11k, 11m, 11x, 11z, 12e, 15, 19, 20, 20d, 21b, 21h, 22a, 22b, 22d, 22l, 22m, 22r, 22s, 24, 24a, 25f, 25g, 26a, 26b, 26c, 26d, 27a, 27c, 27j, 28, 29, 30d, 31a, 31c, 31d, 31f, 31n, 31aa, 32d, 32n, 35a, 35m, 39, 39a, 41, 51a, 51c, 51d, 51e, 51g, 53a, 54, 54d, 56, 61a, 61b, 62, 67, 74, 81, 94, 94a, 98, 99h, 101, 104, 104h, 107, 147, 147a, 147b, 147c, 147e, 152a, 152b, 163, 164k, 164l, 201, 201i, 202a, 203, 206, 207c, 210b, 216e, 217a, 217b, 217f, 222, 223, 226e, 229a, 230, 236, 236c, 236e, 236j, 236s, 237b, 238, 241, 241a, 241b, 241c, 241e, 241h, 247, 248, 252, 256, 260, 263a, 264, 268, 269, 270, 270c, 275j, and 291 (MCL 388.1606, 388.1611, 388.1611a, 388.1611j, 388.1611k, 388.1611m, 388.1611x, 388.1611z, 388.1612e, 388.1615, 388.1619, 388.1620, 388.1620d, 388.1621b, 388.1621h, 388.1622a, 388.1622b, 388.1622d, 388.1622l, 388.1622m, 388.1622r, 388.1622s, 388.1624, 388.1624a, 388.1625f, 388.1625g, 388.1626a, 388.1626b, 388.1626c, 388.1626d, 388.1627a, 388.1627c, 388.1627j, 388.1628, 388.1629, 388.1630d, 388.1631a, 388.1631c, 388.1631d, 388.1631f, 388.1631n, 388.1631aa, 388.1632d, 388.1632n, 388.1635a, 388.1635m, 388.1639, 388.1639a, 388.1641, 388.1651a, 388.1651c, 388.1651d, 388.1651e, 388.1651g, 388.1653a, 388.1654, 388.1654d, 388.1656, 388.1661a, 388.1661b, 388.1662, 388.1667, 388.1674, 388.1681, 388.1694, 388.1694a, 388.1698, 388.1699h, 388.1701, 388.1704, 388.1704h, 388.1707, 388.1747, 388.1747a, 388.1747b, 388.1747c, 388.1747e, 388.1752a, 388.1752b, 388.1763, 388.1764k, 388.1764l, 388.1801, 388.1801i, 388.1802a, 388.1803, 388.1806, 388.1807c, 388.1810b, 388.1816e, 388.1817a, 388.1817b, 388.1817f, 388.1822, 388.1823, 388.1826e, 388.1829a, 388.1830, 388.1836, 388.1836c, 388.1836e, 388.1836j, 388.1836s, 388.1837b, 388.1838, 388.1841, 388.1841a, 388.1841b, 388.1841c, 388.1841e, 388.1841h, 388.1847, 388.1848, 388.1852, 388.1856, 388.1860, 388.1863a, 388.1864, 388.1868, 388.1869, 388.1870, 388.1870c, 388.1875j, and 388.1891), sections 6, 11, 11a, 11j, 11k, 11m, 11x, 15, 19, 20, 20d, 21h, 22a, 22b, 22d, 22l, 24, 24a, 25f, 25g,



26a, 26b, 26c, 26d, 27a, 27c, 28, 29, 30d, 31a, 31d, 31f, 31n, 31aa, 32d, 32n, 35a, 35m, 39, 39a, 41, 51a, 51c, 51d, 51e, 51g, 53a, 54, 54d, 56, 61a, 61b, 62, 67, 74, 81, 94, 94a, 98, 99h, 101, 104, 104h, 107, 147, 147a, 147c, 147e, 152a, 152b, 201, 206, 207c, 210b, 216e, 217a, 217b, 222, 229a, 230, 236, 236c, 236j, 241, 241a, 241b, 241c, 241e, 247, 248, 252, 256, 260, 264, 268, 269, 270, and 270c as amended and sections 12e, 22r, 22s, 31c, 164k, 164l, 201i, 217f, 236e, 236s, and 241h as added by 2025 PA 15, sections 11z, 27j, 163, 223, and 263a as amended by 2024 PA 120, sections 21b and 237b as amended and sections 226e and 275j as added by 2022 PA 144, sections 147b and 202a as amended by 2023 PA 103, sections 203 and 238 as amended by 2020 PA 165, and section 291 as amended by 2021 PA 86, and by adding sections 12f, 16, 16a, 18e, 27o, 31j, 32p, 35o, 35p, 35q, 36, 36a, 51i, 61w, 61x, 67d, 94f, 95b, 164m, 216c, 236m, and 239a; and to repeal acts and parts of acts.

Recommends:

First: That the Senate recede from the Substitute of the Senate as passed by the Senate.

Second: That the House and Senate agree to the Substitute of the House as passed by the House, amended to read as follows:

(attached)

Third: That the House and Senate agree to the title of the bill to read as follows:

A bill to amend 1979 PA 94, entitled "AN ACT to make appropriations to aid in the support of the public schools, the intermediate school districts, community colleges, and public universities of the state; to make appropriations for certain other purposes relating to education; to provide for the disbursement of the appropriations; to authorize the issuance of certain bonds and provide for the security of those bonds; to prescribe the powers and duties of certain state departments, the state board of education, and certain other boards and officials; to create certain funds and provide for their expenditure, to prescribe penalties, and to repeal acts and parts of acts," by amending sections 3, 6, 11, 11a, 11j, 11k, 11m, 11s, 11x, 12d, 12e, 15, 18, 18a, 19, 20, 20d, 21b, 21f, 21h, 22a, 22b, 22d, 22l, 22m, 22s, 24, 24a, 25f, 26a, 26b, 26c, 26d, 27a, 27b, 27c, 27d, 27j, 27l, 27m, 28, 30d, 31a, 31c, 31d, 31f, 31n, 31p, 31aa, 32d,



32e, 32n, 32v, 35a, 35m, 39, 39a, 51a, 51c, 51d, 51e, 51g, 53a, 54, 54d, 56, 61a, 61b, 62, 65, 67, 67f, 74, 81, 94, 94a, 94e, 97n, 98, 99h, 101, 104, 104h, 107, 147, 147a, 147b, 147c, 147e, 152a, 152b, 163, 164k, 164l, 201, 201f, 201i, 202a, 203, 205, 206, 207c, 210b, 212, 217a, 217b, 217c, 222, 223, 229a, 230, 236, 236c, 236d, 236j, 236s, 237b, 238, 241, 241a, 241b, 241c, 247, 248, 248a, 249, 256, 263, 263b, 264, 268, 269, 270, 270c, 275k, 276, 277, 278, 279, 280, 281, and 282 (MCL 388.1603, 388.1606, 388.1611, 388.1611a, 388.1611j, 388.1611k, 388.1611m, 388.1611s, 388.1611x, 388.1612d, 388.1612e, 388.1615, 388.1618, 388.1618a, 388.1619, 388.1620, 388.1620d, 388.1621b, 388.1621f, 388.1621h, 388.1622a, 388.1622b, 388.1622d, 388.1622l, 388.1622m, 388.1622s, 388.1624, 388.1624a, 388.1625f, 388.1626a, 388.1626b, 388.1626c, 388.1626d, 388.1627a, 388.1627b, 388.1627c, 388.1627d, 388.1627j, 388.1627l, 388.1627m, 388.1628, 388.1630d, 388.1631a, 388.1631c, 388.1631d, 388.1631f, 388.1631n, 388.1631p, 388.1631aa, 388.1632d, 388.1632e, 388.1632n, 388.1632v, 388.1635a, 388.1635m, 388.1639, 388.1639a, 388.1651a, 388.1651c, 388.1651d, 388.1651e, 388.1651g, 388.1653a, 388.1654, 388.1654d, 388.1656, 388.1661a, 388.1661b, 388.1662, 388.1665, 388.1667, 388.1667f, 388.1674, 388.1681, 388.1694, 388.1694a, 388.1694e, 388.1697n, 388.1698, 388.1699h, 388.1701, 388.1704, 388.1704h, 388.1707, 388.1747, 388.1747a, 388.1747b, 388.1747c, 388.1747e, 388.1752a, 388.1752b, 388.1763, 388.1764k, 388.1764l, 388.1801, 388.1801f, 388.1801i, 388.1802a, 388.1803, 388.1805, 388.1806, 388.1807c, 388.1810b, 388.1812, 388.1817a, 388.1817b, 388.1817c, 388.1822, 388.1823, 388.1829a, 388.1830, 388.1836, 388.1836c, 388.1836d, 388.1836j, 388.1836s, 388.1837b, 388.1838, 388.1841, 388.1841a, 388.1841b, 388.1841c, 388.1847, 388.1848, 388.1848a, 388.1849, 388.1856, 388.1863, 388.1863b, 388.1864, 388.1868, 388.1869, 388.1870, 388.1870c, 388.1875k, 388.1876, 388.1877, 388.1878, 388.1879, 388.1880, 388.1881, and 388.1882), sections 3, 6, 11, 11a, 11j, 11k, 11m, 11s, 11x, 12d, 15, 18, 19, 20, 20d, 21f, 21h, 22a, 22b, 22d, 22l, 22m, 24, 24a, 25f, 26a, 26b, 26c, 26d, 27a, 27b, 27c, 27l, 28, 30d, 31a, 31d, 31f, 31n, 31aa, 32d, 32n, 35a, 35m, 39, 39a, 51a, 51c, 51d, 51e, 51g, 53a, 54, 54d, 56, 61a, 61b, 62, 65, 67, 67f, 74, 81, 94, 94a, 94e, 98, 99h, 104, 104h, 107, 147, 147a, 147c, 147e, 152a, 152b, 201, 201f, 206, 207c, 210b, 212, 217a, 217b, 217c, 222, 229a, 230, 236, 236c, 236d, 236j, 241, 241a, 241b, 241c, 247, 248, 256, 263, 263b, 264, 268, 269, 270, 270c, 275k, 276, 277, 278, 279, 280, 281, and 282 as amended and sections 12e, 22s, 31c, 97n, 164k, 164l, 201i, and 236s as added by 2025 PA 15, sections 18a, 203, and 238 as amended by 2020 PA



165, sections 21b and 237b as amended by 2022 PA 144, sections 27d, 27j, 163, 205, 223, and 248a as amended by 2024 PA 120, sections 27m, 32e, and 32v as added and sections 31p, 147b, and 202a as amended by 2023 PA 103, section 101 as amended by 2026 PA 15, and section 249 as added by 2017 PA 108, and by adding sections 16, 27o, 27t, 31j, 32p, 35d, 35o, 35p, 35q, 36, 36a, 51i, 54b, 61w, 67d, 94f, 95b, 98d, 99s, 99nn, 152c, 164m, 164n, 164o, 201h, 213, 236k, 236l, 237c, 239a, 247a, 295, and 295a; and to repeal acts and parts of acts.

Ann Bollin

Darrin Camilleri

Tim Kelly

Sarah E. Anthony

Joseph Tate

Rick Outman

Conferees for the House

Conferees for the Senate



**SUBSTITUTE FOR
HOUSE BILL NO. 5630**

A bill to amend 1979 PA 94, entitled
"The state school aid act of 1979,"
by amending sections 3, 6, 11, 11a, 11j, 11k, 11m, 11s, 11x, 12d,
12e, 15, 18, 18a, 19, 20, 20d, 21b, 21f, 21h, 22a, 22b, 22d, 22l,
22m, 22s, 24, 24a, 25f, 26a, 26b, 26c, 26d, 27a, 27b, 27c, 27d,
27j, 27l, 27m, 28, 30d, 31a, 31c, 31d, 31f, 31n, 31p, 31aa, 32d,
32e, 32n, 32v, 35a, 35m, 39, 39a, 51a, 51c, 51d, 51e, 51g, 53a, 54,
54d, 56, 61a, 61b, 62, 65, 67, 67f, 74, 81, 94, 94a, 94e, 97n, 98,
99h, 101, 104, 104h, 107, 147, 147a, 147b, 147c, 147e, 152a, 152b,
163, 164k, 164l, 201, 201f, 201i, 202a, 203, 205, 206, 207c, 210b,
212, 217a, 217b, 217c, 222, 223, 229a, 230, 236, 236c, 236d, 236j,
236s, 237b, 238, 241, 241a, 241b, 241c, 247, 248, 248a, 249, 256,
263, 263b, 264, 268, 269, 270, 270c, 275k, 276, 277, 278, 279, 280,



281, and 282 (MCL 388.1603, 388.1606, 388.1611, 388.1611a, 388.1611j, 388.1611k, 388.1611m, 388.1611s, 388.1611x, 388.1612d, 388.1612e, 388.1615, 388.1618, 388.1618a, 388.1619, 388.1620, 388.1620d, 388.1621b, 388.1621f, 388.1621h, 388.1622a, 388.1622b, 388.1622d, 388.1622l, 388.1622m, 388.1622s, 388.1624, 388.1624a, 388.1625f, 388.1626a, 388.1626b, 388.1626c, 388.1626d, 388.1627a, 388.1627b, 388.1627c, 388.1627d, 388.1627j, 388.1627l, 388.1627m, 388.1628, 388.1630d, 388.1631a, 388.1631c, 388.1631d, 388.1631f, 388.1631n, 388.1631p, 388.1631aa, 388.1632d, 388.1632e, 388.1632n, 388.1632v, 388.1635a, 388.1635m, 388.1639, 388.1639a, 388.1651a, 388.1651c, 388.1651d, 388.1651e, 388.1651g, 388.1653a, 388.1654, 388.1654d, 388.1656, 388.1661a, 388.1661b, 388.1662, 388.1665, 388.1667, 388.1667f, 388.1674, 388.1681, 388.1694, 388.1694a, 388.1694e, 388.1697n, 388.1698, 388.1699h, 388.1701, 388.1704, 388.1704h, 388.1707, 388.1747, 388.1747a, 388.1747b, 388.1747c, 388.1747e, 388.1752a, 388.1752b, 388.1763, 388.1764k, 388.1764l, 388.1801, 388.1801f, 388.1801i, 388.1802a, 388.1803, 388.1805, 388.1806, 388.1807c, 388.1810b, 388.1812, 388.1817a, 388.1817b, 388.1817c, 388.1822, 388.1823, 388.1829a, 388.1830, 388.1836, 388.1836c, 388.1836d, 388.1836j, 388.1836s, 388.1837b, 388.1838, 388.1841, 388.1841a, 388.1841b, 388.1841c, 388.1847, 388.1848, 388.1848a, 388.1849, 388.1856, 388.1863, 388.1863b, 388.1864, 388.1868, 388.1869, 388.1870, 388.1870c, 388.1875k, 388.1876, 388.1877, 388.1878, 388.1879, 388.1880, 388.1881, and 388.1882), sections 3, 6, 11, 11a, 11j, 11k, 11m, 11s, 11x, 12d, 15, 18, 19, 20, 20d, 21f, 21h, 22a, 22b, 22d, 22l, 22m, 24, 24a, 25f, 26a, 26b, 26c, 26d, 27a, 27b, 27c, 27l, 28, 30d, 31a, 31d, 31f, 31n, 31aa, 32d, 32n, 35a, 35m, 39, 39a, 51a, 51c, 51d, 51e, 51g, 53a, 54, 54d, 56, 61a, 61b, 62, 65, 67, 67f, 74, 81, 94, 94a, 94e, 98, 99h, 104,



104h, 107, 147, 147a, 147c, 147e, 152a, 152b, 201, 201f, 206, 207c, 210b, 212, 217a, 217b, 217c, 222, 229a, 230, 236, 236c, 236d, 236j, 241, 241a, 241b, 241c, 247, 248, 256, 263, 263b, 264, 268, 269, 270, 270c, 275k, 276, 277, 278, 279, 280, 281, and 282 as amended and sections 12e, 22s, 31c, 97n, 164k, 164l, 201i, and 236s as added by 2025 PA 15, sections 18a, 203, and 238 as amended by 2020 PA 165, sections 21b and 237b as amended by 2022 PA 144, sections 27d, 27j, 163, 205, 223, and 248a as amended by 2024 PA 120, sections 27m, 32e, and 32v as added and sections 31p, 147b, and 202a as amended by 2023 PA 103, section 101 as amended by 2026 PA 15, and section 249 as added by 2017 PA 108, and by adding sections 16, 27o, 27t, 31j, 32p, 35d, 35o, 35p, 35q, 36, 36a, 51i, 54b, 61w, 67d, 94f, 95b, 98d, 99s, 99nn, 152c, 164m, 164n, 164o, 201h, 213, 236k, 236l, 237c, 239a, 247a, 295, and 295a; and to repeal acts and parts of acts.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 3. (1) "Average daily attendance", for the purposes of
2 complying with federal law, means 92% of the pupils counted in
3 membership on the pupil membership count day, as defined in section
4 6(7).

5 (2) "Board" means the governing body of a district or public
6 school academy.

7 (3) "Center" means the center for educational performance and
8 information created in section 94a.

9 (4) "Community district" means a school district organized
10 under part 5b of the revised school code, MCL 380.381 to 380.396.

11 (5) "Cooperative education program" means a written voluntary
12 agreement between and among districts to provide certain
13 educational programs for pupils in certain groups of districts. The



1 written agreement must be approved by all affected districts at
2 least annually and must specify the educational programs to be
3 provided and the estimated number of pupils from each district who
4 will participate in the educational programs.

5 (6) "Department", except as otherwise provided in this
6 article, means the department of education.

7 (7) "District" means, except as otherwise specifically
8 provided in this act, a local school district established under the
9 revised school code or, except in sections 6(4), 6(6), 11x, ~~11y,~~
10 ~~11aa,~~ 12c, 13, 20, 22a, 22p, 31a, 51a(14), 105, 105c, and 166b, a
11 public school academy. Except in section 20, district also includes
12 a community district.

13 (8) "District of residence", except as otherwise provided in
14 this subsection, means the district in which a pupil's custodial
15 parent or parents or legal guardian resides. For a pupil described
16 in section 24b, the pupil's district of residence is the district
17 in which the pupil enrolls under that section. For a pupil
18 described in section 6(4)(d), the pupil's district of residence is
19 considered to be the district or intermediate district in which the
20 pupil is counted in membership under that section. For a pupil
21 under court jurisdiction who is placed outside the district in
22 which the pupil's custodial parent or parents or legal guardian
23 resides, the pupil's district of residence is considered to be the
24 educating district or educating intermediate district.

25 (9) "District superintendent" means the superintendent of a
26 district or the chief administrator of a public school academy.

27 Sec. 6. (1) "Center program" means a program operated by a
28 district or by an intermediate district for special education
29 pupils from several districts in programs for pupils with autism



spectrum disorder, pupils with severe cognitive impairment, pupils with moderate cognitive impairment, pupils with severe multiple impairments, pupils with hearing impairment, pupils with visual impairment, and pupils with physical impairment or other health impairment. Programs for pupils with emotional impairment housed in buildings that do not serve regular education pupils also qualify. Unless otherwise approved by the department, a center program either serves all constituent districts within an intermediate district or serves several districts with less than 50% of the pupils residing in the operating district. In addition, special education center program pupils placed part-time in noncenter programs to comply with the least restrictive environment provisions of section 1412 of the individuals with disabilities education act, 20 USC 1412, may be considered center program pupils for pupil accounting purposes for the time scheduled in either a center program or a noncenter program.

(2) "District and high school graduation rate" means the annual completion and pupil dropout rate that is calculated by the center pursuant to nationally recognized standards.

(3) "District and high school graduation report" means a report of the number of pupils, excluding adult education participants, in the district for the immediately preceding school year, adjusted for those pupils who have transferred into or out of the district or high school, who leave high school with a diploma or other credential of equal status.

(4) "Membership", except as otherwise provided in this article, means for a district, a public school academy, or an intermediate district the sum of the product of .90 times the number of full-time equated pupils in grades K to 12 actually



1 enrolled and in regular daily attendance in the district, public
2 school academy, or intermediate district on the pupil membership
3 count day for the current school year, plus the product of .10
4 times the final audited count from the supplemental count day of
5 full-time equated pupils in grades K to 12 actually enrolled and in
6 regular daily attendance in the district, public school academy, or
7 intermediate district for the immediately preceding school year. A
8 district's, public school academy's, or intermediate district's
9 membership is adjusted as provided under section 25e for pupils who
10 enroll after the pupil membership count day in a strict discipline
11 academy operating under sections 1311b to 1311m of the revised
12 school code, MCL 380.1311b to 380.1311m. All pupil counts used in
13 this subsection are as determined by the department and calculated
14 by adding the number of pupils registered for attendance plus
15 pupils received by transfer and minus pupils lost as defined by
16 rules promulgated by the superintendent, and as corrected by a
17 subsequent department audit. The amount of the foundation allowance
18 for a pupil in membership is determined under section 20. In making
19 the calculation of membership, all of the following, as applicable,
20 apply to determining the membership of a district, a public school
21 academy, or an intermediate district:

22 (a) Except as otherwise provided in this subsection, and
23 pursuant to subsection (6), a pupil is counted in membership in the
24 pupil's educating district or districts. Except as otherwise
25 provided in this subsection, an individual pupil must not be
26 counted for more than a total of 1.0 full-time equated membership.

27 (b) If a pupil is educated in a district other than the
28 pupil's district of residence, if the pupil is not being educated
29 as part of a cooperative education program, if the pupil's district



1 of residence does not give the educating district its approval to
2 count the pupil in membership in the educating district, and if the
3 pupil is not covered by an exception specified in subsection (6) to
4 the requirement that the educating district must have the approval
5 of the pupil's district of residence to count the pupil in
6 membership, the pupil is not counted in membership in any district.

7 (c) A special education pupil educated by the intermediate
8 district is counted in membership in the intermediate district.

9 (d) A pupil placed by a court or state agency in an on-grounds
10 program of a juvenile detention facility, a child caring
11 institution, or a mental health institution, or a pupil funded
12 under section 53a, is counted in membership in the district or
13 intermediate district approved by the department to operate the
14 program.

15 (e) A pupil enrolled in the Michigan Schools for the Deaf and
16 Blind is counted in membership in the pupil's intermediate district
17 of residence.

18 (f) A pupil enrolled in a career and technical education
19 program supported by a millage levied over an area larger than a
20 single district or in an area vocational-technical education
21 program established under section 690 of the revised school code,
22 MCL 380.690, is counted in membership only in the pupil's district
23 of residence.

24 (g) A pupil enrolled in a public school academy is counted in
25 membership in the public school academy.

26 (h) For the purposes of this section and section 6a, for a
27 cyber school, as that term is defined in section 551 of the revised
28 school code, MCL 380.551, that is in compliance with section 553a
29 of the revised school code, MCL 380.553a, a pupil's participation



1 in the cyber school's educational program is considered regular
2 daily attendance, and for a district or public school academy, a
3 pupil's participation in a virtual course as that term is defined
4 in section 21f is considered regular daily attendance. Beginning
5 July 1, 2021, this subdivision is subject to section 8c. It is the
6 intent of the legislature that the immediately preceding sentence
7 apply retroactively and is effective July 1, 2021. For the purposes
8 of this subdivision, for a pupil enrolled in a cyber school, all of
9 the following apply with regard to the participation requirement as
10 described in this subdivision:

11 (i) Except as otherwise provided in this subdivision, the pupil
12 shall participate in each scheduled course on pupil membership
13 count day or supplemental count day, as applicable. If the pupil is
14 absent on pupil membership count day or supplemental count day, as
15 applicable, the pupil must attend and participate in class during
16 the next 10 consecutive school days if the absence was unexcused,
17 or during the next 30 calendar days if the absence was excused.

18 (ii) For a pupil who is not learning sequentially, 1 or more of
19 the following must be met on pupil membership count day or
20 supplemental count day, as applicable, for each scheduled course to
21 satisfy the participation requirement under this subdivision:

22 (A) The pupil attended a live lesson from the teacher.

23 (B) The pupil logged into a lesson or lesson activity and the
24 login can be documented.

25 (C) The pupil and teacher engaged in a subject-oriented
26 telephone conversation.

27 (D) There is documentation of an email dialogue between the
28 pupil and teacher.

29 (E) There is documentation of activity or work between the



1 learning coach and pupil.

2 (F) An alternate form of attendance as determined and agreed
3 upon by the cyber school and the pupil membership auditor was met.

4 (iii) For a pupil using sequential learning, the participation
5 requirement under this subdivision is satisfied if either of the
6 following occurs:

7 (A) Except as otherwise provided in this sub-subparagraph, the
8 pupil and the teacher of record or mentor complete a 2-way
9 interaction for 1 course during the week on which pupil membership
10 count day or supplemental count day, as applicable, occurs, and the
11 3 consecutive weeks following that week. However, if a school break
12 is scheduled during any of the weeks described in this sub-
13 subparagraph that is 4 or more days in length or instruction has
14 been canceled districtwide during any of the weeks described in
15 this sub-subparagraph for 3 or more school days, the district is
16 not required to ensure that the pupil and the teacher of record or
17 mentor completed a 2-way interaction for that week. As used in this
18 sub-subparagraph:

19 (I) "2-way interaction" means the communication that occurs
20 between the teacher of record or mentor and pupil, where 1 party
21 initiates communication and a response from the other party follows
22 that communication. Responses as described in this sub-sub-
23 subparagraph must be to the communication initiated by the teacher
24 of record or mentor, and not some other action taken. This
25 interaction may occur through, but is not limited to, means such as
26 email, telephone, instant messaging, or face-to-face conversation.
27 A parent- or legal-guardian-facilitated 2-way interaction is
28 considered a 2-way interaction if the pupil is in any of grades K
29 to 5 and does not yet possess the skills necessary to participate



1 in 2-way interactions unassisted. The interactions described in
2 this sub-sub-subparagraph must relate to a virtual course on the
3 pupil's schedule and pertain to course content or progress.

4 (II) "Mentor" means a professional employee of the district
5 who monitors the pupil's progress, ensures the pupil has access to
6 needed technology, is available for assistance, and ensures access
7 to the teacher of record. A mentor may also be the teacher of
8 record if the mentor meets the definition of a teacher of record
9 under this sub-subparagraph and the district is the provider for
10 the course.

11 (III) "Teacher of record" means a teacher to whom all of the
12 following apply:

13 (1) The teacher is responsible for providing instruction,
14 determining instructional methods for each pupil, diagnosing
15 learning needs, assessing pupil learning, prescribing intervention
16 strategies and modifying lessons, reporting outcomes, and
17 evaluating the effects of instruction and support strategies. The
18 teacher of record may coordinate the distribution and assignment of
19 the responsibilities described in this sub-sub-sub-subparagraph
20 with other teachers participating in the instructional process for
21 a course.

22 (2) The teacher is certified for the grade level or is working
23 under a valid substitute permit, authorization, or approval issued
24 by the department.

25 (3) The teacher has a personnel identification code provided
26 by the center.

27 (IV) "Week" means a period that starts on Wednesday and ends
28 the following Tuesday.

29 (B) The pupil completes a combination of 1 or more of the



1 following activities for each scheduled course on pupil membership
2 count day or supplemental count day, as applicable:

3 (I) Documented attendance in a virtual course where
4 synchronous, live instruction occurred with the teacher.

5 (II) Documented completion of a course assignment.

6 (III) Documented completion of a course lesson or lesson
7 activity.

8 (IV) Documented pupil access to an ongoing lesson, which does
9 not include a login.

10 (V) Documented physical attendance on pupil membership count
11 day or supplemental count day, as applicable, in each scheduled
12 course, if the pupil will attend at least 50% of the instructional
13 time for each scheduled course on-site, face-to-face with the
14 teacher of record. As used in this sub-sub-subparagraph, "teacher
15 of record" means that term as defined in subparagraph (iii) (A).

16 (iv) For purposes of subparagraph (iii), each scheduled course
17 currently being attempted by the pupil, rather than every course on
18 the pupil's schedule for the entire term, is considered a part of
19 each scheduled course for the pupil.

20 (i) For a new district or public school academy beginning its
21 operation after December 31, 1994, membership for the first 2 full
22 or partial fiscal years of operation is determined as follows:

23 (i) If operations begin before the pupil membership count day
24 for the fiscal year, membership is the average number of full-time
25 equated pupils in grades K to 12 actually enrolled and in regular
26 daily attendance on the pupil membership count day for the current
27 school year and on the supplemental count day for the current
28 school year, as determined by the department and calculated by
29 adding the number of pupils registered for attendance on the pupil



1 membership count day plus pupils received by transfer and minus
2 pupils lost as defined by rules promulgated by the superintendent,
3 and as corrected by a subsequent department audit, plus the final
4 audited count from the supplemental count day for the current
5 school year, and dividing that sum by 2.

6 (ii) If operations begin after the pupil membership count day
7 for the fiscal year and not later than the supplemental count day
8 for the fiscal year, membership is the final audited count of the
9 number of full-time equated pupils in grades K to 12 actually
10 enrolled and in regular daily attendance on the supplemental count
11 day for the current school year.

12 (j) If a district is the authorizing body for a public school
13 academy, then, in the first school year in which pupils are counted
14 in membership on the pupil membership count day in the public
15 school academy, the determination of the district's membership
16 excludes from the district's pupil count for the immediately
17 preceding supplemental count day any pupils who are counted in the
18 public school academy on that first pupil membership count day who
19 were also counted in the district on the immediately preceding
20 supplemental count day.

21 (k) For an extended school year program approved by the
22 superintendent, a pupil enrolled, but not scheduled to be in
23 regular daily attendance, on a pupil membership count day, is
24 counted in membership.

25 (l) To be counted in membership, a pupil must meet the minimum
26 age requirement to be eligible to attend school under section 1147
27 of the revised school code, MCL 380.1147, and must be less than 20
28 years of age on September 1 of the school year except as follows:

29 (i) A special education pupil who is enrolled and receiving



1 instruction in a special education program or service approved by
2 the department, who does not have a high school diploma, and who is
3 less than 26 years of age as of September 1 of the current school
4 year is counted in membership.

5 (ii) A pupil who is determined by the department to meet all of
6 the following may be counted in membership:

7 (A) Is enrolled in a public school academy or an alternative
8 education high school diploma program, that is primarily focused on
9 educating pupils with extreme barriers to education, such as being
10 homeless as that term is defined under 42 USC 11302.

11 (B) Had dropped out of school.

12 (C) Is less than 22 years of age as of September 1 of the
13 current school year.

14 (iii) If a child does not meet the minimum age requirement to be
15 eligible to attend school for that school year under section 1147
16 of the revised school code, MCL 380.1147, but will be 5 years of
17 age not later than December 1 of that school year, the district may
18 count the child in membership for that school year if the parent or
19 legal guardian has notified the district in writing that the parent
20 or legal guardian intends to enroll the child in kindergarten for
21 that school year.

22 (m) An individual who has achieved a high school diploma is
23 not counted in membership **unless the individual is enrolled in a**
24 **state-approved early middle college and at least 1 college course**
25 **is transcribed for high school credit each membership count during**
26 **the individual's fifth year.** An individual who has achieved a high
27 school equivalency certificate is not counted in membership unless
28 the individual is a student with a disability as that term is
29 defined in R 340.1702 of the Michigan Administrative Code. An



1 individual participating in a job training program funded under
2 former section 107a, **as repealed by 2004 PA 351**, or a jobs program
3 funded under former section 107b, administered by the department of
4 labor and economic opportunity, or participating in any successor
5 of either of those 2 programs, is not counted in membership.

6 (n) If a pupil counted in membership in a public school
7 academy is also educated by a district or intermediate district as
8 part of a cooperative education program, the pupil is counted in
9 membership only in the public school academy unless a written
10 agreement signed by all parties designates the party or parties in
11 which the pupil is counted in membership, and the instructional
12 time scheduled for the pupil in the district or intermediate
13 district is included in the full-time equated membership
14 determination under subdivision (q) and section 101. However, for
15 pupils receiving instruction in both a public school academy and in
16 a district or intermediate district but not as a part of a
17 cooperative education program, the following apply:

18 (i) If the public school academy provides instruction for at
19 least 1/2 of the class hours required under section 101, the public
20 school academy receives as its prorated share of the full-time
21 equated membership for each of those pupils an amount equal to 1
22 times the product of the hours of instruction the public school
23 academy provides divided by the number of hours required under
24 section 101 for full-time equivalency, and the remainder of the
25 full-time membership for each of those pupils is allocated to the
26 district or intermediate district providing the remainder of the
27 hours of instruction.

28 (ii) If the public school academy provides instruction for less
29 than 1/2 of the class hours required under section 101, the



1 district or intermediate district providing the remainder of the
2 hours of instruction receives as its prorated share of the full-
3 time equated membership for each of those pupils an amount equal to
4 1 times the product of the hours of instruction the district or
5 intermediate district provides divided by the number of hours
6 required under section 101 for full-time equivalency, and the
7 remainder of the full-time membership for each of those pupils is
8 allocated to the public school academy.

9 (o) An individual less than 16 years of age as of September 1
10 of the current school year who is being educated in an alternative
11 education program is not counted in membership if there are also
12 adult education participants being educated in the same program or
13 classroom.

14 (p) The department shall give a uniform interpretation of
15 full-time and part-time memberships.

16 (q) The number of class hours used to calculate full-time
17 equated memberships must be consistent with section 101. In
18 determining full-time equated memberships for pupils who are
19 enrolled in a postsecondary institution or for pupils engaged in an
20 internship or work experience under section 1279h of the revised
21 school code, MCL 380.1279h, a pupil is not considered to be less
22 than a full-time equated pupil solely because of the effect of the
23 pupil's postsecondary enrollment or engagement in the internship or
24 work experience, including necessary travel time, on the number of
25 class hours provided by the district to the pupil.

26 (r) Full-time equated memberships for pupils in kindergarten
27 are determined by dividing the number of instructional hours
28 scheduled and provided per year per kindergarten pupil by the same
29 number used for determining full-time equated memberships for



pupils in grades 1 to 12. However, to the extent allowable under federal law, for a district or public school academy that provides evidence satisfactory to the department that it used federal title I money in the 2 immediately preceding school fiscal years to fund full-time kindergarten, full-time equated memberships for pupils in kindergarten are determined by dividing the number of class hours scheduled and provided per year per kindergarten pupil by a number equal to 1/2 the number used for determining full-time equated memberships for pupils in grades 1 to 12. The change in the counting of full-time equated memberships for pupils in kindergarten that took effect for 2012-2013 is not a mandate.

(s) For a district or a public school academy that has pupils enrolled in a grade level that was not offered by the district or public school academy in the immediately preceding school year, the number of pupils enrolled in that grade level to be counted in membership is the average of the number of those pupils enrolled and in regular daily attendance on the pupil membership count day and the supplemental count day of the current school year. Membership is calculated by adding the number of pupils registered for attendance in that grade level on the pupil membership count day plus pupils received by transfer and minus pupils lost as defined by rules promulgated by the superintendent, and as corrected by subsequent department audit, plus the final audited count from the supplemental count day for the current school year, and dividing that sum by 2.

(t) A pupil enrolled in a cooperative education program may be counted in membership in the pupil's district of residence with the written approval of all parties to the cooperative agreement.

(u) If, as a result of a disciplinary action, a district



determines through the district's alternative or disciplinary education program that the best instructional placement for a pupil is in the pupil's home or otherwise apart from the general school population, if that placement is authorized in writing by the district superintendent and district alternative or disciplinary education supervisor, and if the district provides appropriate instruction as described in this subdivision to the pupil at the pupil's home or otherwise apart from the general school population, the district may count the pupil in membership on a pro rata basis, with the proration based on the number of hours of instruction the district actually provides to the pupil divided by the number of hours required under section 101 for full-time equivalency. For the purposes of this subdivision, a district is considered to be providing appropriate instruction if all of the following are met:

(i) The district provides at least 2 nonconsecutive hours of instruction per week to the pupil at the pupil's home or otherwise apart from the general school population under the supervision of a certificated teacher.

(ii) The district provides instructional materials, resources, and supplies that are comparable to those otherwise provided in the district's alternative education program.

(iii) Course content is comparable to that in the district's alternative education program.

(iv) Credit earned is awarded to the pupil and placed on the pupil's transcript.

(v) If a pupil was enrolled in a public school academy on the pupil membership count day, if the public school academy's contract with its authorizing body is revoked or the public school academy otherwise ceases to operate, and if the pupil enrolls in a district



1 within 45 days after the pupil membership count day, the department
 2 shall adjust the district's pupil count for the pupil membership
 3 count day to include the pupil in the count.

4 (w) For a public school academy that has been in operation for
 5 at least 2 years and that suspended operations for at least 1
 6 semester and is resuming operations, membership is the sum of the
 7 product of .90 times the number of full-time equated pupils in
 8 grades K to 12 actually enrolled and in regular daily attendance on
 9 the first pupil membership count day or supplemental count day,
 10 whichever is first, occurring after operations resume, plus the
 11 product of .10 times the final audited count from the most recent
 12 pupil membership count day or supplemental count day that occurred
 13 before suspending operations, as determined by the superintendent.

14 (x) ~~If~~ **Except for 2026-2027, if** a district's membership for a
 15 particular fiscal year, as otherwise calculated under this
 16 subsection, would be less than 1,550 pupils, the district has 4.5
 17 or fewer pupils per square mile, as determined by the department,
 18 and the district does not receive funding under section 22d(2), the
 19 district's membership is considered to be the membership figure
 20 calculated under this subdivision. If a district educates and
 21 counts in its membership pupils in grades 9 to 12 who reside in a
 22 contiguous district that does not operate grades 9 to 12 and if 1
 23 or both of the affected districts request the department to use the
 24 determination allowed under this sentence, the department shall
 25 include the square mileage of both districts in determining the
 26 number of pupils per square mile for each of the districts for the
 27 purposes of this subdivision. If a district has established a
 28 community engagement advisory committee in partnership with the
 29 department of treasury, is required to submit a deficit elimination



plan or an enhanced deficit elimination plan under section 1220 of the revised school code, MCL 380.1220, and is located in a city with a population between 9,000 and 11,000, as determined by the department, that is in a county with a population between 150,000 and 160,000, as determined by the department, the district's membership is considered to be the membership figure calculated under this subdivision. **For 2026-2027 only, every district's membership is considered to be the membership figure calculated under this subdivision.** The membership figure calculated under this subdivision is the greater of the following:

(i) The average of the district's membership for the 3-fiscal-year period ending with that fiscal year, calculated by adding the district's actual membership for each of those 3 fiscal years, as otherwise calculated under this subsection, and dividing the sum of those 3 membership figures by 3.

(ii) The district's actual membership for that fiscal year as otherwise calculated under this subsection.

(y) Full-time equated memberships for special education pupils who are not enrolled in kindergarten but are enrolled in a classroom program under R 340.1754 of the Michigan Administrative Code are determined by dividing the number of class hours scheduled and provided per year by 450. Full-time equated memberships for special education pupils who are not enrolled in kindergarten but are receiving early childhood special education services under R 340.1755 or R 340.1862 of the Michigan Administrative Code are determined by dividing the number of hours of service scheduled and provided per year per pupil by 180.

(z) A pupil of a district that begins its school year after Labor Day who is enrolled in an intermediate district program that



1 begins before Labor Day is not considered to be less than a full-
2 time pupil solely due to instructional time scheduled but not
3 attended by the pupil before Labor Day.

4 (aa) For the first year in which a pupil is counted in
5 membership on the pupil membership count day in a middle college
6 program, the membership is the average of the full-time equated
7 membership on the pupil membership count day and on the
8 supplemental count day for the current school year, as determined
9 by the department. If a pupil described in this subdivision was
10 counted in membership by the operating district on the immediately
11 preceding supplemental count day, the pupil is excluded from the
12 district's immediately preceding supplemental count for the
13 purposes of determining the district's membership.

14 (bb) A district or public school academy that educates a pupil
15 who attends a United States Olympic Education Center may count the
16 pupil in membership regardless of whether or not the pupil is a
17 resident of this state.

18 (cc) A pupil enrolled in a district other than the pupil's
19 district of residence under section 1148(2) of the revised school
20 code, MCL 380.1148, is counted in the educating district.

21 (dd) For a pupil enrolled in a dropout recovery program that
22 meets the requirements of section 23a, the pupil ~~is~~**must be** counted
23 as 1/12 of a full-time equated membership for each month that the
24 district operating the program reports that the pupil was enrolled
25 in the program and was in full attendance or based on the number of
26 successfully completed courses by the pupil, with each **successfully**
27 **completed** course equivalent to 1/12 of a full-time equated
28 membership. A district may claim more than 1/12 of a full-time
29 equated membership within a month for an enrolled pupil who was in



1 full attendance and successfully completed more than 1 required
 2 course. ~~However, if~~ **If** the special membership counting provisions
 3 under this subdivision ~~and the operation of the other membership~~
 4 ~~counting provisions under this subsection result in a pupil being~~
 5 counted as more than 1.0 FTE in a fiscal year, ~~the payment made for~~
 6 ~~the pupil~~ **entire FTE amount, including any amount in excess of 1.0**
 7 **FTE, must be funded** under sections 22a and 22b. ~~must not be based~~
 8 ~~on~~ **A district may generate** more than 1.0 FTE for ~~that a~~ pupil, ~~and~~
 9 ~~any portion of an FTE for that pupil that exceeds 1.0 is instead~~
 10 ~~paid~~ **enrolled in a program** under section ~~25g.~~ **23a.** The district
 11 operating the program shall report to the center the number of
 12 pupils who were enrolled in the program and were in full attendance
 13 for a month not later than 30 days after the end of ~~the~~ **that** month.
 14 A district shall not report a pupil as being in full attendance for
 15 a month unless both of the following are met:

16 (i) A personalized learning plan is in place on or before the
 17 first school day of the month for the first month the pupil
 18 participates in the program.

19 (ii) Either of the following is met:

20 (A) The pupil meets the district's definition under section
 21 23a of satisfactory monthly progress for that month or, if the
 22 pupil does not meet that definition of satisfactory monthly
 23 progress for that month, the pupil did meet that definition of
 24 satisfactory monthly progress in the immediately preceding month
 25 and appropriate interventions, as defined by the district, are
 26 implemented within 10 school days after it is determined that the
 27 pupil does not meet that definition of satisfactory monthly
 28 progress.

29 (B) For the first 2 months that the pupil participates in the



1 program, the pupil earns 0.25 credit by the end of the second
2 month. A pupil described in this sub-subparagraph may be
3 retroactively reported as being in full attendance for the first
4 month that the pupil participated in the program.

5 (ee) A pupil participating in a virtual course under section
6 21f is counted in membership in the district enrolling the pupil.

7 (ff) If a public school academy that is not in its first or
8 second year of operation closes at the end of a school year and
9 does not reopen for the next school year, the department shall
10 adjust the membership count of the district or other public school
11 academy in which a former pupil of the closed public school academy
12 enrolls and is in regular daily attendance for the next school year
13 to ensure that the district or other public school academy receives
14 the same amount of membership aid for the pupil as if the pupil
15 were counted in the district or other public school academy on the
16 supplemental count day of the preceding school year.

17 (gg) If a special education pupil is expelled under section
18 1311 or 1311a of the revised school code, MCL 380.1311 and
19 380.1311a, and is not in attendance on the pupil membership count
20 day because of the expulsion, and if the pupil remains enrolled in
21 the district and resumes regular daily attendance during that
22 school year, the district's membership is adjusted to count the
23 pupil in membership as if the pupil had been in attendance on the
24 pupil membership count day.

25 (hh) A pupil enrolled in a community district is counted in
26 membership in the community district.

27 (ii) A part-time pupil enrolled in a nonpublic school in
28 grades K to 12 in accordance with section 166b must not be counted
29 as more than 0.75 of a full-time equated membership.



(jj) A district that borders another state or a public school academy that operates at least grades 9 to 12 and is located within 20 miles of a border with another state may count in membership a pupil who is enrolled in a course at a college or university that is located in the bordering state and within 20 miles of the border with this state if all of the following are met:

(i) The pupil would meet the definition of an eligible student under the postsecondary enrollment options act, 1996 PA 160, MCL 388.511 to 388.524, if the course were an eligible course under that act.

(ii) The course in which the pupil is enrolled would meet the definition of an eligible course under the postsecondary enrollment options act, 1996 PA 160, MCL 388.511 to 388.524, if the course were provided by an eligible postsecondary institution under that act.

(iii) The department determines that the college or university is an institution that, in the other state, fulfills a function comparable to a state university or community college, as those terms are defined in section 3 of the postsecondary enrollment options act, 1996 PA 160, MCL 388.513, or is an independent nonprofit degree-granting college or university.

(iv) The district or public school academy pays for a portion of the pupil's tuition at the college or university in an amount equal to the eligible charges that the district or public school academy would pay to an eligible postsecondary institution under the postsecondary enrollment options act, 1996 PA 160, MCL 388.511 to 388.524, as if the course were an eligible course under that act.

(v) The district or public school academy awards high school



1 credit to a pupil who successfully completes a course as described
2 in this subdivision.

3 (kk) A pupil enrolled in a middle college program may be
4 counted for more than a total of 1.0 full-time equated membership
5 for any of the school years in which the pupil is enrolled in the
6 middle college program, but the total full-time equated membership
7 for that pupil for all of the school years in which the pupil is
8 enrolled in high school must not be greater than 5.00 full-time
9 equated membership if the pupil is enrolled in more than the
10 minimum number of instructional days and hours required under
11 section 101 and the pupil is expected to complete the 5-year
12 program with both a high school diploma and at least 60
13 transferable college credits or is expected to earn an associate's
14 degree in fewer than 5 years. A pupil who graduates with both a
15 high school diploma and at least 60 transferable college credits or
16 an associate degree at least 1 semester early is considered to have
17 completed the middle college program in fewer than 5 years.

18 (ll) If a district's or public school academy's membership for
19 a particular fiscal year, as otherwise calculated under this
20 subsection, includes pupils counted in membership who are enrolled
21 under section 166b, all of the following apply for the purposes of
22 this subdivision:

23 (i) If the district's or public school academy's membership for
24 pupils counted under section 166b equals or exceeds 5% of the
25 district's or public school academy's membership for pupils not
26 counted in membership under section 166b in the immediately
27 preceding fiscal year, then the growth in the district's or public
28 school academy's membership for pupils counted under section 166b
29 must not exceed 10%.



(ii) If the district's or public school academy's membership for pupils counted under section 166b is less than 5% of the district's or public school academy's membership for pupils not counted in membership under section 166b in the immediately preceding fiscal year, then the district's or public school academy's membership for pupils counted under section 166b must not exceed the greater of the following:

(A) Five percent of the district's or public school academy's membership for pupils not counted in membership under section 166b.

(B) Ten percent more than the district's or public school academy's membership for pupils counted under section 166b in the immediately preceding fiscal year.

(iii) If 1 or more districts consolidate or are parties to an annexation, then the calculations under subparagraphs (i) and (ii) must be applied to the combined total membership for pupils counted in those districts for the fiscal year immediately preceding the consolidation or annexation.

(5) "Public school academy" means that term as defined in section 5 of the revised school code, MCL 380.5.

(6) "Pupil" means an individual in membership in a public school. A district must have the approval of the pupil's district of residence to count the pupil in membership, except approval by the pupil's district of residence is not required for any of the following:

(a) A nonpublic part-time pupil enrolled in grades K to 12 in accordance with section 166b.

(b) A pupil receiving 1/2 or less of the pupil's instruction in a district other than the pupil's district of residence.

(c) A pupil enrolled in a public school academy.



1 (d) A pupil enrolled in a district other than the pupil's
2 district of residence if the pupil is enrolled in accordance with
3 section 105 or 105c.

4 (e) A pupil who has made an official written complaint or
5 whose parent or legal guardian has made an official written
6 complaint to law enforcement officials and to school officials of
7 the pupil's district of residence that the pupil has been the
8 victim of a criminal sexual assault or other serious assault, if
9 the official complaint either indicates that the assault occurred
10 at school or that the assault was committed by 1 or more other
11 pupils enrolled in the school the pupil would otherwise attend in
12 the district of residence or by an employee of the district of
13 residence. A person who intentionally makes a false report of a
14 crime to law enforcement officials for the purposes of this
15 subdivision is subject to section 411a of the Michigan penal code,
16 1931 PA 328, MCL 750.411a, which provides criminal penalties for
17 that conduct. As used in this subdivision:

18 (i) "At school" means in a classroom, elsewhere on school
19 premises, on a school bus or other school-related vehicle, or at a
20 school-sponsored activity or event whether or not it is held on
21 school premises.

22 (ii) "Serious assault" means an act that constitutes a felony
23 violation of chapter XI of the Michigan penal code, 1931 PA 328,
24 MCL 750.81 to ~~750.90h~~, **750.90g**, or that constitutes an assault and
25 infliction of serious or aggravated injury under section 81a of the
26 Michigan penal code, 1931 PA 328, MCL 750.81a.

27 (f) A pupil whose district of residence changed after the
28 pupil membership count day and before the supplemental count day
29 and who continues to be enrolled on the supplemental count day as a



1 nonresident in the district in which the pupil was enrolled as a
2 resident on the pupil membership count day of the same school year.

3 (g) A pupil enrolled in an alternative education program
4 operated by a district other than the pupil's district of residence
5 who meets 1 or more of the following:

6 (i) The pupil has been suspended or expelled from the pupil's
7 district of residence for any reason, including, but not limited
8 to, a suspension or expulsion under section 1310, 1311, or 1311a of
9 the revised school code, MCL 380.1310, 380.1311, and 380.1311a.

10 (ii) The pupil had previously dropped out of school.

11 (iii) The pupil is pregnant or is a parent.

12 (iv) The pupil has been referred to the program by a court.

13 (h) A pupil enrolled in the Michigan Virtual School, for the
14 pupil's enrollment in the Michigan Virtual School.

15 (i) A pupil who is the child of a person who works at the
16 district or who is the child of a person who worked at the district
17 as of the time the pupil first enrolled in the district but who no
18 longer works at the district due to a workforce reduction. As used
19 in this subdivision, "child" includes an adopted child, stepchild,
20 or legal ward.

21 (j) An expelled pupil who has been denied reinstatement by the
22 expelling district and is reinstated by another school board under
23 section 1311 or 1311a of the revised school code, MCL 380.1311 and
24 380.1311a.

25 (k) A pupil enrolled in a district other than the pupil's
26 district of residence in a middle college program if the pupil's
27 district of residence and the enrolling district are both
28 constituent districts of the same intermediate district.

29 (l) A pupil enrolled in a district other than the pupil's



1 district of residence who attends a United States Olympic Education
2 Center.

3 (m) A pupil enrolled in a district other than the pupil's
4 district of residence under section 1148(2) of the revised school
5 code, MCL 380.1148.

6 (n) A pupil who enrolls in a district other than the pupil's
7 district of residence as a result of the pupil's school not making
8 adequate yearly progress under the no child left behind act of
9 2001, Public Law 107-110, or the every student succeeds act, Public
10 Law 114-95. However, if a district educates pupils who reside in
11 another district and if the primary instructional site for those
12 pupils is established by the educating district after 2009-2010 and
13 is located within the boundaries of that other district, the
14 educating district must have the approval of that other district to
15 count those pupils in membership.

16 (7) "Pupil membership count day" of a district or intermediate
17 district means:

18 (a) Except as provided in subdivision (b) or (c), either of
19 the following:

20 (i) The first Wednesday in October each school year.

21 (ii) For a district or building in which school is not in
22 session on the Wednesday described in subparagraph (i) due to
23 conditions not within the control of school authorities, with the
24 approval of the superintendent, the immediately following day on
25 which school is in session in the district or building.

26 (b) Except as otherwise provided in subdivision (c), for a
27 district or intermediate district maintaining school during the
28 entire school year, the following days:

29 (i) Fourth Wednesday in July.



1 (ii) First Wednesday in October.

2 (iii) Second Wednesday in February.

3 (iv) Fourth Wednesday in April.

4 (c) If a date listed in subdivision (a) or (b) is on a day of
5 religious or cultural significance, as determined by the district
6 or intermediate district, the immediately following day on which
7 school is in session in the district or building.

8 (8) "Pupils in grades K to 12 actually enrolled and in regular
9 daily attendance" means, except as otherwise provided in this
10 section, pupils in grades K to 12 in attendance and receiving
11 instruction in all classes for which they are enrolled on the pupil
12 membership count day or the supplemental count day, as applicable.
13 Except as otherwise provided in this section and subsection, a
14 pupil who is absent from any of the classes in which the pupil is
15 enrolled on the pupil membership count day or supplemental count
16 day and who does not attend each of those classes during the 10
17 consecutive school days immediately following the pupil membership
18 count day or supplemental count day, except for a pupil who has
19 been excused by the district, is not counted as 1.0 full-time
20 equated membership. Except as otherwise provided in this section, a
21 pupil who is excused from attendance on the pupil membership count
22 day or supplemental count day and who fails to attend each of the
23 classes in which the pupil is enrolled within 30 calendar days
24 after the pupil membership count day or supplemental count day is
25 not counted as 1.0 full-time equated membership. Except as
26 otherwise provided in this section, in addition, a pupil who was
27 enrolled and in attendance in a district, intermediate district, or
28 public school academy before the pupil membership count day or
29 supplemental count day of a particular year but was expelled or



suspended on the pupil membership count day or supplemental count day is only counted as 1.0 full-time equated membership if the pupil resumed attendance in the district, intermediate district, or public school academy within 45 days after the pupil membership count day or supplemental count day of that particular year. Except as otherwise provided in this section, a pupil not counted as 1.0 full-time equated membership due to an absence from a class is counted as a prorated membership for the classes the pupil attended. For purposes of this subsection:

(a) "Appropriately placed" means holding a valid Michigan educator credential with the required grade range ~~and discipline or subject area~~ for the assignment, as defined by the superintendent of public instruction.

(b) "Class" means ~~either of the following, as applicable:~~

~~(i) A~~ a period of time in 1 day when pupils and an individual who is appropriately placed ~~under a valid certificate, or an~~ **individual working under a valid** substitute permit, authorization, or approval issued by the department ~~, are together and instruction is taking place. This subdivision does not apply for the 2024-2025 and 2025-2026 school years.~~

~~(ii) For the 2024-2025 and 2025-2026 school years only, a period of time in 1 day when pupils and a certificated teacher, a teacher engaged to teach under section 1233b of the revised school code, MCL 380.1233b, or an individual working under a valid substitute permit, authorization, or approval issued by the department are together and instruction is taking place.~~ **If a pupil is assigned to a class or instructional setting for which the individual providing instruction is not appropriately placed, the misplacement is subject to the penalties and remedies provided**



1 **under section 163.**

2 (9) "Rule" means a rule promulgated pursuant to the
3 administrative procedures act of 1969, 1969 PA 306, MCL 24.201 to
4 24.328.

5 (10) "The revised school code" means the revised school code,
6 1976 PA 451, MCL 380.1 to 380.1852.

7 (11) "School district of the first class", "first class school
8 district", and "district of the first class" mean, for the purposes
9 of this article only, a district that had at least 40,000 pupils in
10 membership for the immediately preceding fiscal year.

11 (12) "School fiscal year" means a fiscal year that commences
12 July 1 and continues through June 30.

13 (13) "State board" means the state board of education.

14 (14) "Superintendent", unless the context clearly refers to a
15 district or intermediate district superintendent, means the
16 superintendent of public instruction described in section 3 of
17 article VIII of the state constitution of 1963.

18 (15) "Supplemental count day" means the day on which the
19 supplemental pupil count is conducted under section 6a.

20 (16) "Tuition pupil" means a pupil of school age attending
21 school in a district other than the pupil's district of residence
22 for whom tuition may be charged to the district of residence.
23 Tuition pupil does not include a pupil who is a special education
24 pupil, a pupil described in subsection (6)(d) to (n), or a pupil
25 whose parent or guardian voluntarily enrolls the pupil in a
26 district that is not the pupil's district of residence. A pupil's
27 district of residence shall not require a high school tuition
28 pupil, as provided under section 111, to attend another school
29 district after the pupil has been assigned to a school district.



(17) "State school aid fund" means the state school aid fund established in section 11 of article IX of the state constitution of 1963.

(18) "Taxable value" means, except as otherwise provided in this article, the taxable value of property as determined under section 27a of the general property tax act, 1893 PA 206, MCL 211.27a.

(19) "Textbook" means a book, electronic book, or other instructional print or electronic resource that is selected and approved by the governing board of a district and that contains a presentation of principles of a subject, or that is a literary work relevant to the study of a subject required for the use of classroom pupils, or another type of course material that forms the basis of classroom instruction.

(20) "Total state aid" or "total state school aid", except as otherwise provided in this article, means the total combined amount of all funds due to a district, intermediate district, or other entity under this article.

(21) "Weighted pupil membership" means that term as calculated in this subsection. For the purposes of calculations under this subsection, the base weighted pupil membership for a district is 0. All of the following apply to the weighted pupil membership under this subsection:

(a) For each full-time English language learner counted in membership in a district in the immediately preceding fiscal year, the weighted pupil membership for that district must be increased as follows:

(i) For a full-time equivalent English language learner who was assessed in the immediately preceding fiscal year under the WIDA



ACCESS for English language learners or the WIDA Alternate ACCESS with a WIDA ACCESS or WIDA Alternate ACCESS composite score between 1.0 and 1.9, as applicable to each assessment, an increase of 0.1940. It is intended that the additional weighted pupil membership under this subparagraph be increased annually until it equals 0.75.

(ii) For a full-time equivalent English language learner who was assessed in the immediately preceding fiscal year under the WIDA ACCESS for English language learners or the WIDA Alternate ACCESS with a WIDA ACCESS or WIDA Alternate ACCESS composite score between 2.0 and 2.9, as applicable to each assessment, an increase of 0.1339. It is intended that the additional weighted pupil membership under this subparagraph be increased annually until it equals 0.50.

(iii) For a full-time equivalent English language learner who was assessed in the immediately preceding fiscal year under the WIDA ACCESS for English language learners or the WIDA Alternate ACCESS with a WIDA ACCESS or WIDA Alternate ACCESS composite score between 3.0 and 3.9, as applicable to each assessment, an increase of 0.0219. It is intended that the additional weighted pupil membership under this subparagraph be increased annually until it equals 0.35.

(b) For each economically disadvantaged pupil counted in membership in a district, the weighted pupil membership for that district must be increased as follows:

(i) For the purpose of this subparagraph, the department shall determine the number of pupils in membership who are economically disadvantaged as the greatest of the following:

(A) The number of membership pupils in the district who are



1 determined to be economically disadvantaged, as reported to the
2 center in the form and manner prescribed by the center not later
3 than the fifth Wednesday after the pupil membership count day of
4 the immediately preceding fiscal year.

5 (B) If the district is in the community eligibility program,
6 the number of pupils determined to be eligible based on the product
7 of the identified student percentage multiplied by the total number
8 of pupils in the district, as reported to the center in the form
9 and manner prescribed by the center not later than the fifth
10 Wednesday after the pupil membership count day of the immediately
11 preceding fiscal year. These calculations must be made at the
12 building level. This sub-subparagraph applies only to an eligible
13 district for the fiscal year immediately following the first fiscal
14 year in which it is in the community eligibility program. As used
15 in this sub-subparagraph, "identified student percentage" means the
16 quotient of the number of pupils in an eligible district who are
17 determined to be economically disadvantaged, as reported to the
18 center in a form and manner prescribed by the center not later than
19 the fifth Wednesday after the pupil membership count day in the
20 fiscal year preceding the first fiscal year in which the eligible
21 district is in the community eligibility program, divided by the
22 total number of pupils counted in an eligible district on the pupil
23 membership count day in the fiscal year preceding the first fiscal
24 year in which the eligible district is in the community eligibility
25 program.

26 (C) If the district began operations as a district after the
27 pupil membership count day of the current fiscal year, the number
28 of membership pupils in the district who are determined to be
29 economically disadvantaged, as reported to the center in the form



1 and manner prescribed by the center not later than the fifth
2 Wednesday after the supplemental count day of the current fiscal
3 year.

4 (D) If, for a particular fiscal year, the number of membership
5 pupils in a district who are determined under sub-subparagraph (A)
6 to be economically disadvantaged or to be eligible based on the
7 identified student percentage varies by more than 20 percentage
8 points from the number of those pupils in the district as
9 calculated under sub-subparagraph (A) for the immediately preceding
10 fiscal year caused by an egregious reporting error by the district,
11 the department may choose to have the calculations under sub-
12 subparagraph (A) instead be made using the number of membership
13 pupils in the district who are determined to be economically
14 disadvantaged, as reported to the center in the form and manner
15 prescribed by the center not later than the fifth Wednesday after
16 the supplemental count day of the immediately preceding fiscal
17 year.

18 (ii) Each district must be assigned an opportunity index score
19 each fiscal year, the value of which is the quotient of the number
20 of economically disadvantaged pupils as determined under this
21 subdivision for the district and the total number of pupils in the
22 district in the immediately preceding fiscal year, multiplied by
23 100 and rounded up to the nearest whole number. Each district must
24 be assigned an opportunity index band as follows:

25 (A) A district with an opportunity index score greater than or
26 equal to 0 but less than 20 must be assigned to band 1 and must
27 receive an additional weighted pupil membership of at least 0.1913
28 and not more than 0.1965 for each economically disadvantaged pupil.
29 The additional weighted pupil membership under this sub-



1 subparagraph must be an amount equal to the district's opportunity
2 index score minus 1, multiplied by the band adjustment factor
3 applicable to this subdivision, plus 0.1913 multiplied by the
4 number of pupils identified as economically disadvantaged under
5 this sub-subparagraph. It is intended that the additional weighted
6 pupil membership under this sub-subparagraph be increased annually
7 until it reaches between 0.35 and 0.36 per economically
8 disadvantaged pupil.

9 (B) A district with an opportunity index score greater than or
10 equal to 20 but less than 44 must be assigned to band 2 and must
11 receive an additional weighted pupil membership of at least 0.1968
12 and not more than 0.2046 for each economically disadvantaged pupil.
13 The additional weighted pupil membership under this sub-
14 subparagraph must be an amount equal to the district's opportunity
15 index score minus 20, multiplied by the band adjustment factor
16 applicable to this subdivision, plus 0.1968 multiplied by the
17 number of pupils identified as economically disadvantaged under
18 this sub-subparagraph. It is intended that the additional weighted
19 pupil membership under this sub-subparagraph be increased annually
20 until it reaches between 0.36 and 0.375 per economically
21 disadvantaged pupil.

22 (C) A district with an opportunity index score greater than or
23 equal to 44 but less than 59 must be assigned to band 3 and must
24 receive an additional weighted pupil membership of at least 0.2050
25 and not more than 0.2126 for each economically disadvantaged pupil.
26 The additional weighted pupil membership under this sub-
27 subparagraph must be an amount equal to the district's opportunity
28 index score minus 44, multiplied by the band adjustment factor
29 applicable to this subdivision, plus 0.2050 multiplied by the



1 number of pupils identified as economically disadvantaged under
2 this sub-subparagraph. It is intended that the additional weighted
3 pupil membership under this sub-subparagraph be increased annually
4 until it reaches between 0.375 and 0.39 per economically
5 disadvantaged pupil.

6 (D) A district with an opportunity index score greater than or
7 equal to 59 but less than 73 must be assigned to band 4 and must
8 receive an additional weighted pupil membership of at least 0.2132
9 and not more than 0.2284 for each economically disadvantaged pupil.
10 The additional weighted pupil membership under this sub-
11 subparagraph must be an amount equal to the district's opportunity
12 index score minus 59, multiplied by the band adjustment factor
13 applicable to this sub-subparagraph, plus 0.2132 multiplied by the
14 number of pupils identified as economically disadvantaged under
15 this sub-subparagraph. It is intended that the additional weighted
16 pupil membership under this sub-subparagraph be increased annually
17 until it reaches between 0.39 and 0.42 per economically
18 disadvantaged pupil.

19 (E) A district with an opportunity index score greater than or
20 equal to 73 but less than 85 must be assigned to band 5 and must
21 receive an additional weighted pupil membership of at least 0.2296
22 and not more than 0.2546 for each economically disadvantaged pupil.
23 The additional weighted pupil membership under this sub-
24 subparagraph must be an amount equal to the district's opportunity
25 index score minus 73, multiplied by the band adjustment factor
26 applicable to this sub-subparagraph, plus 0.2296 multiplied by the
27 number of pupils identified as economically disadvantaged under
28 this sub-subparagraph. It is intended that the additional weighted
29 pupil membership under this sub-subparagraph be increased annually



1 until it reaches between 0.42 and 0.47 per economically
2 disadvantaged pupil.

3 (F) A district with an opportunity index score greater than or
4 equal to 85 must be assigned to band 6 and must receive an
5 additional weighted pupil membership at a rate of 0.2569 for each
6 economically disadvantaged pupil. It is intended that the
7 additional weighted pupil membership under this sub-subparagraph
8 will be increased annually until it reaches 0.47 per economically
9 disadvantaged pupil.

10 (G) As used in this subparagraph, "band adjustment factor"
11 means an amount equal to the difference between the lowest and
12 highest reimbursement bounds for each band, divided by the number
13 of possible opportunity index scores in that band.

14 (c) To assist the legislature in determining necessary funding
15 levels to support foundation allowance payments for weighted pupil
16 membership calculated in this subsection, each revenue estimating
17 conference conducted under section 367b of the management and
18 budget act, 1984 PA 431, MCL 18.1367b, must include estimated pupil
19 counts necessary to determine a weighted pupil membership under
20 this subsection for the current and subsequent 2 fiscal years.

21 (d) As used in this subsection:

22 (i) "Economically disadvantaged" means a pupil who has been
23 determined eligible for free or reduced-price meals as determined
24 under the Richard B. Russell national school lunch act, 42 USC 1751
25 to 1769j; who is in a household receiving supplemental nutrition
26 assistance program or temporary assistance for needy families
27 assistance; or who is homeless, migrant, or in foster care, as
28 reported to the center.

29 (ii) "English language learner" means limited English



1 **proficient pupils who speak a language other than English as their**
 2 **primary language and have difficulty speaking, reading, writing, or**
 3 **understanding English as reported to the center.**

4 Sec. 11. (1) ~~For the fiscal year ending September 30, 2025,~~
 5 ~~there is appropriated for the public schools of this state and~~
 6 ~~certain other state purposes relating to education the sum of~~
 7 ~~\$17,936,546,300.00 from the state school aid fund, the sum of~~
 8 ~~\$78,830,600.00 from the general fund, an amount not to exceed~~
 9 ~~\$41,000,000.00 from the community district education trust fund~~
 10 ~~created under section 12 of the Michigan trust fund act, 2000 PA~~
 11 ~~489, MCL 12.262, an amount not to exceed \$125,000,000.00 from the~~
 12 ~~school transportation fund created under section 22k, an amount not~~
 13 ~~to exceed \$71,000,000.00 from the enrollment stabilization fund~~
 14 ~~created under section 29, an amount not to exceed \$30,000,000.00~~
 15 ~~from the school meals reserve fund created under section 30e, an~~
 16 ~~amount not to exceed \$18,000,000.00 from the great start readiness~~
 17 ~~program reserve fund created under section 32e, an amount not to~~
 18 ~~exceed \$481,400,000.00 from the MPERS retirement obligation reform~~
 19 ~~reserve fund created under section 147b, and an amount not to~~
 20 ~~exceed \$30,000,000.00 from the educator fellowship public provider~~
 21 ~~fund created in section 27d.~~ For the fiscal year ending September
 22 30, 2026, there is appropriated for the public schools of this
 23 state and certain other state purposes relating to education the
 24 sum of ~~\$18,366,334,700.00~~ **\$18,179,025,300.00** from the state school
 25 aid fund, the sum of \$73,151,100.00 from the general fund, an
 26 amount not to exceed \$100,000,000.00 from the school consolidation
 27 and infrastructure fund created under section 11x, an amount not to
 28 exceed \$125,000,000.00 from the school transportation fund created
 29 under section 22k, an amount not to exceed \$71,000,000.00 from the



enrollment stabilization fund created under section 29, an amount
 not to exceed \$18,000,000.00 from the great start readiness program
 reserve fund created under section 32e, an amount not to exceed
 \$30,000,000.00 from the educator fellowship public provider fund
 created under section 27d, an amount not to exceed \$97,037,400.00
 from the state school aid pupil support reserve fund created under
 section 22r, and an amount not to exceed \$600,000.00 from the
 general pupil support reserve fund created under section 22s. **For**
the fiscal year ending September 30, 2027, there is appropriated
for the public schools of this state and certain other state
purposes relating to education the sum of \$18,856,252,300.00 from
the state school aid fund, the sum of \$57,984,900.00 from the
general fund, an amount not to exceed \$125,000,000.00 from the
school transportation fund created under section 22k, an amount not
to exceed \$130,000,000.00 from the enrollment stabilization fund
created under section 29, an amount not to exceed \$26,300,000.00
from the great start readiness program reserve fund created under
section 32e, an amount not to exceed \$80,000,000.00 from the
educator fellowship public provider fund created under section 27d,
an amount not to exceed \$7,000,000.00 from the educator fellowship
private provider fund created under section 27e, an amount not to
exceed \$107,037,400.00 from the state school aid pupil support
reserve fund created under section 22r, and an amount not to exceed
\$600,000.00 from the general pupil support reserve fund created
under section 22s. In addition, all available federal funds are
~~only appropriated as allocated in this article for the fiscal years~~
~~ending September 30, 2025 and September 30, 2026~~ **and September 30,**
2027.

(2) The appropriations under this section are allocated as



1 provided in this article. Money appropriated under this section
2 from the general fund must be expended to fund the purposes of this
3 article before the expenditure of money appropriated under this
4 section from the state school aid fund.

5 (3) Any general fund allocations under this article that are
6 not expended by the end of the fiscal year are transferred to the
7 school aid stabilization fund created under section 11a.

8 Sec. 11a. (1) The school aid stabilization fund is created as
9 a separate account within the state school aid fund.

10 (2) The state treasurer may receive money or other assets from
11 any source for deposit into the school aid stabilization fund. The
12 state treasurer shall deposit into the school aid stabilization
13 fund all of the following:

14 (a) Unexpended and unencumbered state school aid fund revenue
15 for a fiscal year that remains in the state school aid fund as of
16 the bookclosing for that fiscal year.

17 (b) Money statutorily dedicated to the school aid
18 stabilization fund.

19 (c) Money appropriated to the school aid stabilization fund.

20 (3) Money available in the school aid stabilization fund may
21 not be expended without a specific appropriation from the school
22 aid stabilization fund. Money in the school aid stabilization fund
23 must be expended only for purposes for which state school aid fund
24 money may be expended.

25 (4) The state treasurer shall direct the investment of the
26 school aid stabilization fund. The state treasurer shall credit to
27 the school aid stabilization fund interest and earnings from fund
28 investments.

29 (5) Money in the school aid stabilization fund at the close of



1 a fiscal year remains in the school aid stabilization fund and does
 2 not lapse to the unreserved school aid fund balance or the general
 3 fund.

4 (6) If the maximum amount appropriated under section 11 from
 5 the state school aid fund for a fiscal year exceeds the amount
 6 available for expenditure from the state school aid fund for that
 7 fiscal year, there is appropriated from the school aid
 8 stabilization fund to the state school aid fund an amount equal to
 9 the projected shortfall as determined by the department of
 10 treasury, but not to exceed available money in the school aid
 11 stabilization fund. If the money in the school aid stabilization
 12 fund is insufficient to fully fund an amount equal to the projected
 13 shortfall, the state budget director shall notify the legislature
 14 as required under section 296(2) and state payments in an amount
 15 equal to the remainder of the projected shortfall must be prorated
 16 in the manner provided under section 296(3).

17 (7) For ~~2025-2026~~**2026-2027**, in addition to the appropriations
 18 in section 11, there is appropriated from the school aid
 19 stabilization fund to the state school aid fund the amount
 20 necessary to fully fund the allocations under this article.

21 Sec. 11j. From the state school aid fund money appropriated in
 22 section 11, there is allocated an amount not to exceed
 23 \$23,000,000.00 for ~~2025-2026~~**2026-2027** for payments to the school
 24 loan bond redemption fund in the department of treasury on behalf
 25 of districts and intermediate districts. Notwithstanding section
 26 296 or any other provision of this act, funds allocated under this
 27 section are not subject to proration and must be paid in full.

28 Sec. 11k. For ~~2025-2026~~**2026-2027**, there is appropriated from
 29 the general fund to the school loan revolving fund an amount equal



1 to the amount of school bond loans assigned to the Michigan finance
 2 authority, not to exceed the total amount of school bond loans held
 3 in reserve as long-term assets. As used in this section, "school
 4 loan revolving fund" means that fund created in section 16c of the
 5 shared credit rating act, 1985 PA 227, MCL 141.1066c.

6 Sec. 11m. From the state school aid fund money appropriated in
 7 section 11, there is allocated for ~~2025-2026~~ **2026-2027** an amount
 8 not to exceed ~~\$5,000,000.00~~ **\$10,000,000.00** for fiscal year cash-
 9 flow borrowing costs solely related to the state school aid fund
 10 established under section 11 of article IX of the state
 11 constitution of 1963.

12 Sec. 11s. (1) From the state school aid fund money
 13 appropriated in section 11, there is allocated ~~\$5,000,000.00~~
 14 **\$3,000,000.00** for ~~2025-2026~~ **2026-2027** only ~~and from the general~~
 15 ~~fund money appropriated in section 11, there is allocated~~
 16 ~~\$3,000,000.00 for 2025-2026 only~~ for the purpose of providing
 17 services and programs to children who reside within the boundaries
 18 of a district with the majority of its territory located within the
 19 boundaries of a city for which an executive proclamation of
 20 emergency concerning drinking water is issued in the current or
 21 immediately preceding ~~10-11~~ fiscal years under the emergency
 22 management act, 1976 PA 390, MCL 30.401 to 30.421, and that has at
 23 least 4,500 pupils in membership for the 2016-2017 fiscal year or
 24 has at least ~~2,600~~ **2,400** pupils in membership for a fiscal year
 25 after 2016-2017.

26 ~~(2) From the general fund money allocated in subsection (1),~~
 27 ~~there is allocated to a district with the majority of its territory~~
 28 ~~located within the boundaries of a city for which an executive~~
 29 ~~proclamation of emergency concerning drinking water is issued in~~



~~the current or immediately preceding 10 fiscal years under the emergency management act, 1976 PA 390, MCL 30.401 to 30.421, and that has at least 4,500 pupils in membership for the 2016-2017 fiscal year or has at least 2,600 pupils in membership for a fiscal year after 2016-2017, an amount not to exceed \$2,425,000.00 for 2025-2026 for the purpose of employing school nurses, classroom aides, school social workers, and community health workers; for the provision of behavioral or mental health supports, parental engagement activities, community coordination activities, and other support services; and for purchasing program supplies. The district shall provide a report to the department in a form, manner, and frequency prescribed by the department. The department shall provide a copy of that report to the governor, the house and senate school aid subcommittees, the house and senate fiscal agencies, and the state budget director within 5 days after receipt. The report must provide at least the following information:~~

~~(a) How many personnel were hired using the funds allocated under this subsection.~~

~~(b) A description of the services provided to pupils by those personnel.~~

~~(c) How many pupils received each type of service identified in subdivision (b).~~

~~(d) Any other information the department considers necessary to ensure that the children described in subsection (1) received appropriate levels and types of services.~~

~~(3) For 2025-2026 only, from the general fund money allocated in subsection (1), there is allocated an amount not to exceed \$575,000.00 for nutritional services to children described in subsection (1).~~



(2) ~~(4)~~ For ~~2025-2026~~ **2026-2027** only, from the state school aid fund money allocated in subsection (1), there is allocated an amount not to exceed ~~\$5,000,000.00~~ **\$3,000,000.00** to an intermediate district that has a constituent district described in subsection ~~(2)~~ **(1)** for interventions and supports for students in grades K to 12 who were impacted by an executive proclamation of emergency described in subsection (1) concerning drinking water. Funds under this subsection must be used for behavioral supports, social workers, counselors, psychologists, nursing services, including, but not limited to, vision and hearing services, transportation services, parental engagement, community coordination, and other support services.

(3) ~~(5)~~ Notwithstanding section 17b, the department shall make payments under this section on a schedule determined by the department.

Sec. 11x. (1) The school consolidation and infrastructure fund is created as a separate account within the state school aid fund for the purpose of improving student academic outcomes, increasing the efficiency of the state's public education system, and creating a healthy and safe space for students in this state.

(2) The state treasurer may receive money or other assets from any source for deposit into the school consolidation and infrastructure fund. The state treasurer shall direct the investment of the school consolidation and infrastructure fund. The state treasurer shall credit to the school consolidation and infrastructure fund interest and earnings from school consolidation and infrastructure fund investments.

(3) Money in the school consolidation and infrastructure fund at the close of the fiscal year remains in the school consolidation



1 and infrastructure fund and does not lapse to the state school aid
2 fund or the general fund.

3 (4) The department of treasury is the administrator of the
4 school consolidation and infrastructure fund for auditing purposes.

5 (5) Money available in the school consolidation and
6 infrastructure fund must not be expended without a specific
7 appropriation.

8 (6) From the state school aid fund money appropriated under
9 section 11, there is allocated for 2022-2023 only an amount not to
10 exceed \$5,000,000.00 for grants to districts and intermediate
11 districts to support the cost of a feasibility study or analysis of
12 consolidation or the consolidation of services among 1 or more
13 buildings within a district, among 1 or more districts, or among 1
14 or more intermediate districts. Districts and intermediate
15 districts may apply for a grant under this subsection to the
16 department on a first-come, first-serve basis. The maximum amount
17 of a grant to be distributed under this subsection may not exceed
18 \$250,000.00. Notwithstanding section 17b, the department shall make
19 payments under this subsection on a schedule determined by the
20 department.

21 (7) To be eligible for a grant under subsection (6), a
22 district or intermediate district must demonstrate to the
23 department, in the manner prescribed by the department, that it
24 will conduct a feasibility study or analysis and that all of the
25 following will be met:

26 (a) Within 30 days after completion of the study or analysis,
27 the district or intermediate district will make the results of the
28 study or analysis available to all districts and intermediate
29 districts included in the study or analysis. Within 60 days after



1 the completion of the study or analysis, the district or
2 intermediate district will make the results available on a publicly
3 available website.

4 (b) The study or analysis may include, but is not limited to,
5 consolidation opportunities in the following areas:

6 (i) Financial services, which may include, but is not limited
7 to, the following:

8 (A) Budgeting and staffing.

9 (B) Payroll.

10 (C) Employee benefits.

11 (D) State reporting.

12 (E) Software consolidation to achieve common software
13 throughout the intermediate district.

14 (ii) Human resources, which may include, but is not limited to,
15 the following:

16 (A) Onboarding.

17 (B) Title IX administration.

18 (C) Hiring.

19 (D) Software consolidation to achieve common software
20 throughout the intermediate district.

21 (iii) Information technology, which may include, but is not
22 limited to, the following:

23 (A) Software consolidation to achieve common software
24 throughout the intermediate district.

25 (B) Fiber projects.

26 (C) Cybersecurity.

27 (D) One-to-one device management.

28 (iv) Grant management and reporting, which may include, but is
29 not limited to, the following:



(A) Management of all state grant sites and databases.

(B) Grant reporting.

(v) Cash management, which may include, but is not limited to, the opportunities for intermediate districts and districts to contract on cash flow management to maximize interest earnings.

(vi) Debt issuance and management, including at least all of the following:

(A) Refunding opportunities.

(B) New bond issue analysis.

(vii) School facility consolidation.

(viii) Consolidation of transportation-related activities.

(ix) The physical consolidation of districts.

(8) An intermediate district that receives a grant under this section shall meet with its constituent districts located within the intermediate district to discuss the results of the study or analysis and to implement changes where feasible. The application for an intermediate district must include a brief description of how the intermediate district will conduct these meetings.

(9) To be eligible for the receipt of funding for infrastructure-related projects appropriated from the school consolidation and infrastructure fund created under this section, a district must allow for the facility condition assessments described in **former** section 11y to be conducted in the district. It is the intent of the legislature that money in the school consolidation and infrastructure fund will not be appropriated for infrastructure projects until the completion of the facility condition assessments described in **former** section 11y.

(10) For ~~2025-2026, \$83,400,000.00~~ **2026-2027, \$50,000,000.00** from the **state** school ~~consolidation and infrastructure aid~~ fund



1 must be deposited into the ~~state-school aid~~**consolidation and**
 2 **infrastructure** fund.

3 Sec. 12d. (1) From the school consolidation and infrastructure
 4 fund created under section 11x, there is allocated for 2023-2024
 5 only an amount not to exceed \$110,000,000.00 for the purposes of
 6 this section.

7 (2) From the amount allocated in subsection (1), there is
 8 allocated an amount not to exceed \$75,000,000.00 for grants to
 9 districts and intermediate districts to support costs related to
 10 internal consolidation within the district or intermediate
 11 district. All of the following apply to grants under this
 12 subsection:

13 (a) The department shall allow grants for applicants that have
 14 already taken actions for internal consolidation within the
 15 previous 2 years and grants for applicants that have not yet begun
 16 internal consolidation activities.

17 (b) The department shall prioritize applications from
 18 districts and intermediate districts that meet any of the following
 19 criteria:

20 (i) Are in an opportunity index band, as ~~described in section~~
 21 **31a, determined under section 6(21)**, of 3 or higher.

22 (ii) Are an intermediate district for which the percentage of
 23 pupils in membership who were determined to be economically
 24 disadvantaged in the immediately preceding fiscal year is equal to
 25 or greater than the minimum percentage for a district or public
 26 school academy to be in an opportunity index band, as ~~described in~~
 27 **section 31a, determined under section 6(21)**, of 3 or higher.

28 (iii) Are experiencing declining enrollment.

29 (iv) Have no ability to issue bonds for infrastructure needs,



1 or have made a good-faith effort, as determined by the department,
2 to issue bonds for infrastructure needs.

3 (c) Grants may be used for operational expenses related to
4 internal consolidation and for infrastructure needs. Infrastructure
5 needs may include, but are not limited to, the removal of
6 buildings.

7 (3) From the amount allocated in subsection (1),
8 \$35,000,000.00 is allocated as follows:

9 (a) \$15,000,000.00 to Detroit Public Schools Community
10 District to support the construction of the Cooley High School
11 athletic complex.

12 (b) \$10,000,000.00 to Wayne RESA to support the construction
13 of an academic and professional building in the city of Wayne.

14 (c) \$5,000,000.00 to Beecher Community School District to
15 support the construction of a high school in the district.

16 (d) \$4,000,000.00 to Taylor School District for costs related
17 to a new high school in the district.

18 (e) \$1,000,000.00 to the School District of the City of
19 Hamtramck to support the costs of building infrastructure upgrades
20 and maintenance.

21 (4) Subject to the provisions of this subsection, in addition
22 to the money appropriated in section 11, from the state school aid
23 fund, there is appropriated and allocated for 2025-2026 an amount
24 not to exceed \$4,000,000.00 to Taylor School District for costs
25 related to a new high school in the district or for other
26 infrastructure purposes. The appropriation and allocation under
27 this subsection is contingent on the effective issuance of a
28 directive by the budget director, pursuant to section 451a of the
29 management and budget act, 1984 PA 431, MCL ~~18.451a~~, **18.1451a**, to



lapse \$4,000,000.00 of remaining funding from a work project that was established under this section in 2023-2024. The amount allocated under this subsection may not exceed the amount lapsed from the work project referenced in the immediately preceding sentence.

(5) Notwithstanding section 17b, the department shall make payments under this section on a schedule determined by the department.

Sec. 12e. (1) From the ~~school consolidation and infrastructure~~ **state school aid** fund money appropriated in section 11, there is allocated for ~~2025-2026-2026-2027~~ only an amount estimated at ~~\$100,000,000.00~~ **\$50,000,000.00** for grants to districts and intermediate districts for infrastructure needs, **including, but not limited to, demolition of vacant buildings** as described in this section.

(2) Districts and intermediate districts must apply on a competitive basis for funding in a form and manner determined by the department.

(3) If the amount allocated under subsection (1) is insufficient to fully fund awards under this section, there is appropriated from the school consolidation and infrastructure fund described in section 11x the amount necessary, **but not to exceed \$50,000,000.00**, to fully fund these awards, or the maximum available in the fund, whichever is less. The state budget director shall provide notification to the house and senate appropriations subcommittees on school aid and the house and senate fiscal agencies regarding any additional appropriation described in this subsection.

(4) The department shall prioritize applications from



1 districts and intermediate districts that meet any of the following
2 criteria:

3 (a) Are in an opportunity index band, as ~~described in section~~
4 ~~31a,~~ **determined under section 6(21)**, of 4 or higher.

5 (b) Are an intermediate district for which the percentage of
6 pupils in membership who were determined to be economically
7 disadvantaged in the immediately preceding fiscal year is equal to
8 or greater than the minimum percentage for a district or public
9 school academy to be in an opportunity index band, as ~~described in~~
10 ~~section 31a,~~ **determined under section 6(21)**, of 4 or higher.

11 (c) Have infrastructure needs ~~related to HVAC systems or~~
12 ~~roofing.~~ **identified by the statewide school facilities study under**
13 **the former section 11y as being critical needs. A district or**
14 **intermediate district must demonstrate that the needs described in**
15 **this subdivision affect the health, safety, or well-being of**
16 **students.**

17 (d) Have no ability to issue bonds for infrastructure needs,
18 or have made a good-faith effort, as determined by the department,
19 to issue bonds for infrastructure needs.

20 (5) Funds awarded in subsection (4) may be used only to
21 address infrastructure needs that were identified **as critical needs**
22 in the statewide school facilities study issued pursuant to **the**
23 **former** section 11y.

24 (6) **From the state school aid fund money allocated in**
25 **subsection (1), there is allocated for 2026-2027 an amount not to**
26 **exceed \$8,800,000.00 for grants to districts to cover costs**
27 **associated with the demolition of vacant buildings on property**
28 **owned by the district. All of the following apply to grants awarded**
29 **under this subsection:**



1 (a) A district shall apply for funding under this section in a
2 form and manner determined by the department.

3 (b) The department shall prioritize applicants that have lost
4 more than 80% of their pupil membership since 2002-2003 with the
5 greatest number of vacant properties.

6 (c) Notwithstanding section 18a, funds allocated for programs
7 described in this subsection may be available for expenditure until
8 September 30, 2029. A recipient of funding for a program described
9 in this subsection must return any unexpended funds to the
10 department in a manner prescribed by the department by not later
11 than October 30, 2029.

12 (7) A recipient of funds under subsection (6) must not be
13 awarded more than \$10,000,000.00 in additional grants under this
14 section.

15 (8) ~~(6)~~ The funds allocated under this section for ~~2025-2026~~
16 ~~2026-2027~~ are a work project appropriation, and any unexpended
17 funds for ~~2025-2026-2026-2027~~ are carried forward into ~~2026-2027-~~
18 ~~2027-2028~~. The purpose of the work project is to fund district and
19 intermediate district infrastructure needs. The estimated
20 completion date of the work project is September 30, ~~2030-2029~~.

21 (9) ~~(7)~~ Notwithstanding section 17b, the department shall make
22 payments under this section on a schedule determined by the
23 department.

24 Sec. 15. (1) If a district or intermediate district fails to
25 receive its proper apportionment, the department, upon satisfactory
26 proof that the district or intermediate district was entitled
27 justly, shall apportion the deficiency in the next apportionment.
28 Subject to subsections (2) and (3), if a district or intermediate
29 district has received more than its proper apportionment, the



1 department, upon satisfactory proof, shall deduct the excess in the
2 next apportionment. Notwithstanding any other provision in this
3 article, state aid overpayments to a district, other than
4 overpayments in payments for special education or special education
5 transportation, may be recovered from any payment made under this
6 article other than a special education or special education
7 transportation payment, from the proceeds of a loan to the district
8 under the emergency municipal loan act, 1980 PA 243, MCL 141.931 to
9 141.942, or from the proceeds of millage levied or pledged under
10 section 1211 of the revised school code, MCL 380.1211. State aid
11 overpayments made in special education or special education
12 transportation payments may be recovered from subsequent special
13 education or special education transportation payments, from the
14 proceeds of a loan to the district under the emergency municipal
15 loan act, 1980 PA 243, MCL 141.931 to 141.942, or from the proceeds
16 of millage levied or pledged under section 1211 of the revised
17 school code, MCL 380.1211.

18 (2) If the result of an audit conducted by or for the
19 department affects the current fiscal year membership, the
20 department shall adjust affected payments in the current fiscal
21 year. A deduction due to an adjustment made as a result of an audit
22 conducted by or for the department, or as a result of information
23 obtained by the department from the district, an intermediate
24 district, the department of treasury, or the office of auditor
25 general, must be deducted from the district's apportionments when
26 the adjustment is finalized. At the request of the district and
27 upon the district presenting evidence satisfactory to the
28 department of the hardship, the department may grant up to an
29 additional 4 years for the adjustment and may advance payments to



1 the district otherwise authorized under this article if the
2 district would otherwise experience a significant hardship in
3 satisfying its financial obligations. However, a district that
4 presented satisfactory evidence of hardship and was undergoing an
5 extended adjustment during 2018-2019 may continue to use the period
6 of extended adjustment as originally granted by the department.

7 (3) If, based on an audit by the department or the
8 department's designee or because of new or updated information
9 received by the department, the department determines that the
10 amount paid to a district or intermediate district under this
11 article for the current fiscal year or a prior fiscal year was
12 incorrect, the department shall make the appropriate deduction or
13 payment in the district's or intermediate district's allocation in
14 the next apportionment after the adjustment is finalized. The
15 department shall calculate the deduction or payment according to
16 the law in effect in the fiscal year in which the incorrect amount
17 was paid. If the district does not receive an allocation for the
18 fiscal year or if the allocation is insufficient to pay the amount
19 of any deduction, the amount of any deduction otherwise applicable
20 must be satisfied from the proceeds of a loan to the district under
21 the emergency municipal loan act, 1980 PA 243, MCL 141.931 to
22 141.942, or from the proceeds of millage levied or pledged under
23 section 1211 of the revised school code, MCL 380.1211, as
24 determined by the department.

25 ~~(4) If the department makes an adjustment under this section~~
26 ~~based in whole or in part on a membership audit finding that a~~
27 ~~district or intermediate district employed an educator in violation~~
28 ~~of certification requirements under the revised school code and~~
29 ~~rules promulgated by the department, the department shall prorate~~



~~the adjustment according to the period of noncompliance with the certification requirements.~~ **A membership adjustment must not be made under this section based on an educator misplacement, as that term is defined in section 163, that is subject to a state aid adjustment under section 163. For an educator misplacement described in section 163, the penalties and remedies provided under section 163 are the exclusive state aid adjustment for that misplacement.**

(5) The department may conduct audits, or may direct audits by designee of the department, for the current fiscal year and the immediately preceding fiscal year of all records related to a program for which a district or intermediate district has received funds under this article.

(6) Expenditures made by departments under this article that are caused by the write-off of prior year accruals may be funded by revenue from the write-off of prior year accruals.

(7) In addition to funds appropriated in section 11 for all programs and services, there is appropriated for ~~2024-2025 and 2025-2026~~ **2026-2027** for obligations in excess of applicable appropriations an amount equal to the collection of overpayments, but not to exceed amounts available from overpayments.

Sec. 16. The department may not enter into a state contract with an individual if an employee of the department may financially benefit from the contract.

Sec. 18. (1) Except as provided in another section of this article, each district or other entity shall apply the money received by the district or entity under this article to salaries and other compensation of teachers and other employees, tuition, transportation, lighting, heating, ventilation, water service, the



1 purchase of textbooks, other supplies, and any other school
2 operating expenditures defined in section 7. However, not more than
3 20% of the total amount received by a district under sections 22a
4 and 22b or received by an intermediate district under section 81
5 may be transferred by the board to either the capital projects fund
6 or to the debt retirement fund for debt service. A district or
7 other entity shall not apply or take the money for a purpose other
8 than as provided in this section. The department shall determine
9 the reasonableness of expenditures and may withhold from a
10 recipient of funds under this article the apportionment otherwise
11 due upon a violation by the recipient. A district must not be
12 prohibited or limited from using funds appropriated or allocated
13 under this article that are permitted for use for noninstructional
14 services to contract or subcontract with an intermediate district,
15 third party, or vendor for the noninstructional services.

16 (2) ~~A~~**Subject to subsection (17)**, a district or intermediate
17 district shall adopt an annual budget in a manner that complies
18 with the uniform budgeting and accounting act, 1968 PA 2, MCL
19 141.421 to 141.440a. Within 15 days after a district board adopts
20 its annual operating budget for the following school fiscal year,
21 or after a district board adopts a subsequent revision to that
22 budget, the district shall make all of the following available
23 through a link on its website homepage, or may make the information
24 available through a link on its intermediate district's website
25 homepage, in a form and manner prescribed by the department:

26 (a) The annual operating budget and subsequent budget
27 revisions.

28 (b) Using data that have already been collected and submitted
29 to the department, a summary of district expenditures for the most



1 recent fiscal year for which they are available, expressed in the
2 following 2 visual displays:

3 (i) A chart of personnel expenditures, broken into the
4 following subcategories:

5 (A) Salaries and wages.

6 (B) Employee benefit costs, including, but not limited to,
7 medical, dental, vision, life, disability, and long-term care
8 benefits.

9 (C) Retirement benefit costs.

10 (D) All other personnel costs.

11 (ii) A chart of all district expenditures, broken into the
12 following subcategories:

13 (A) Instruction.

14 (B) Support services.

15 (C) Business and administration.

16 (D) Operations and maintenance.

17 (c) Links to all of the following:

18 (i) The current collective bargaining agreement for each
19 bargaining unit.

20 (ii) Each health care benefits plan, including, but not limited
21 to, medical, dental, vision, disability, long-term care, or any
22 other type of benefits that would constitute health care services,
23 offered to any bargaining unit or employee in the district.

24 (iii) The audit report of the financial audit conducted under
25 subsection (4) for the most recent fiscal year for which it is
26 available.

27 (iv) The bids required under section 5 of the public employees
28 health benefit act, 2007 PA 106, MCL 124.75.

29 (v) The district's written policy governing procurement of



1 supplies, materials, and equipment.

2 (vi) The district's written policy establishing specific
3 categories of reimbursable expenses, as described in section
4 1254(2) of the revised school code, MCL 380.1254.

5 (vii) Either the district's accounts payable check register for
6 the most recent school fiscal year or a statement of the total
7 amount of expenses incurred by board members or employees of the
8 district that were reimbursed by the district for the most recent
9 school fiscal year.

10 (d) The total salary and a description and cost of each fringe
11 benefit included in the compensation package for the superintendent
12 of the district and for each employee of the district whose salary
13 exceeds \$100,000.00.

14 (e) The annual amount spent on dues paid to associations.

15 (f) The annual amount spent on lobbying or lobbying services.
16 As used in this subdivision, "lobbying" means that term as defined
17 in section 5 of 1978 PA 472, MCL 4.415.

18 (g) Any deficit elimination plan or enhanced deficit
19 elimination plan the district was required to submit under the
20 revised school code.

21 (h) Identification of all credit cards maintained by the
22 district as district credit cards, the identity of all individuals
23 authorized to use each of those credit cards, the credit limit on
24 each credit card, and the dollar limit, if any, for each
25 individual's authorized use of the credit card.

26 (i) Costs incurred for each instance of out-of-state travel by
27 the school administrator of the district that is fully or partially
28 paid for by the district and the details of each of those instances
29 of out-of-state travel, including at least identification of each



1 individual on the trip, destination, and purpose.

2 (3) For the information required under subsection (2) (a),
3 (2) (b) (i), and (2) (c), an intermediate district shall provide the
4 same information in the same manner as required for a district
5 under subsection (2).

6 (4) For the purposes of determining the reasonableness of
7 expenditures, whether a district or intermediate district has
8 received the proper amount of funds under this article, and whether
9 a violation of this article has occurred, all of the following
10 apply:

11 (a) The department shall require that each district and
12 intermediate district have an audit of the district's or
13 intermediate district's financial and pupil accounting records
14 conducted at least annually, and at such other times as determined
15 by the department, at the expense of the district or intermediate
16 district, as applicable. The audits must be performed by a
17 certified public accountant or by the intermediate district
18 superintendent, as may be required by the department, or in the
19 case of a district of the first class by a certified public
20 accountant, the intermediate superintendent, or the auditor general
21 of the city. A district or intermediate district shall retain these
22 records for the current fiscal year and from at least the 3
23 immediately preceding fiscal years.

24 (b) If a district operates in a single building with fewer
25 than 700 full-time equated pupils, if the district has stable
26 membership, and if the error rate of the immediately preceding 2
27 pupil accounting field audits of the district is less than 2%, the
28 district may have a pupil accounting field audit conducted
29 biennially but must continue to have desk audits for each pupil



1 count. The auditor must document compliance with the audit cycle in
2 the pupil auditing manual. As used in this subdivision, "stable
3 membership" means that the district's membership for the current
4 fiscal year varies from the district's membership for the
5 immediately preceding fiscal year by less than 5%.

6 (c) A district's or intermediate district's annual financial
7 audit must include an analysis of the financial and pupil
8 accounting data used as the basis for distribution of state school
9 aid.

10 (d) The pupil and financial accounting records and reports,
11 audits, and management letters are subject to requirements
12 established in the auditing and accounting manuals approved and
13 published by the department.

14 (e) All of the following must be done not later than November
15 1 each year for reporting the prior fiscal year data:

16 (i) A district shall file the annual financial audit reports
17 with the intermediate district and the department. If the issuance
18 of single audits is delayed for the 2024-25 school year due to a
19 late issuance of a Compliance Supplement, the single audit portion
20 of that audit must be filed within 30 days of the issuance of the
21 Compliance Supplement by OMB.

22 (ii) The intermediate district shall file the annual financial
23 audit reports for the intermediate district with the department. If
24 the issuance of single audits is delayed for the 2024-25 school
25 year due to a late issuance of a Compliance Supplement, the single
26 audit portion of that audit must be filed within 30 days of the
27 issuance of the Compliance Supplement by OMB.

28 (iii) The intermediate district shall enter the pupil membership
29 audit reports, known as the audit narrative, for its constituent



1 districts and for the intermediate district, for the pupil
2 membership count day and supplemental count day, in the Michigan
3 student data system.

4 (f) The annual financial audit reports and pupil accounting
5 procedures reports must be available to the public in compliance
6 with the freedom of information act, 1976 PA 442, MCL 15.231 to
7 15.246.

8 (g) Not later than January 31 of each year, the department
9 shall notify the state budget director and the legislative
10 appropriations subcommittees responsible for review of the school
11 aid budget of districts and intermediate districts that have not
12 filed an annual financial audit and pupil accounting procedures
13 report required under this section for the school year ending in
14 the immediately preceding fiscal year.

15 (5) By the first business day in November of each fiscal year,
16 each district and intermediate district shall submit to the center,
17 in a manner prescribed by the center, annual comprehensive
18 financial data consistent with the district's or intermediate
19 district's audited financial statements and consistent with
20 accounting manuals and charts of accounts approved and published by
21 the department. For an intermediate district, the report must also
22 contain the website address where the department can access the
23 report required under section 620 of the revised school code, MCL
24 380.620. The department shall ensure that the prescribed Michigan
25 public school accounting manual chart of accounts includes standard
26 conventions to distinguish expenditures by allowable fund function
27 and object. The functions must include at minimum categories for
28 instruction, pupil support, instructional staff support, general
29 administration, school administration, business administration,



1 transportation, facilities operation and maintenance, facilities
2 acquisition, and debt service; and must include object
3 classifications of salary, benefits, including categories for
4 active employee health expenditures, purchased services, supplies,
5 capital outlay, and other. A district shall report the required
6 level of detail consistent with the manual as part of the
7 comprehensive annual financial report.

8 (6) By the last business day in September of each year, each
9 district and intermediate district shall file with the center the
10 special education actual cost report, known as "SE-4096", on a form
11 and in the manner prescribed by the center. An intermediate
12 district shall certify the audit of a district's report.

13 (7) By not later than 1 week after the last business day in
14 September of each year, each district and intermediate district
15 shall file with the center the audited transportation expenditure
16 report, known as "SE-4094", on a form and in the manner prescribed
17 by the center. An intermediate district shall certify the audit of
18 a district's report.

19 (8) The department shall review its pupil accounting and pupil
20 auditing manuals at least annually and shall periodically update
21 those manuals to reflect changes in this article. Any changes to
22 the pupil accounting manual that are applicable for the school year
23 that begins after March 31 of a fiscal year must be published by
24 not later than March 31 of that fiscal year. However, if
25 legislation is enacted that necessitates adjustments to the pupil
26 accounting manual after March 31 of a fiscal year, and a district
27 incurs a violation of the amended pupil accounting manual in the
28 subsequent fiscal year, the department must notify the district of
29 that violation and allow the district 30 days to correct the



1 violation before the department is allowed to impose financial
2 penalties under this act related to the violation.

3 (9) If a district that is a public school academy purchases
4 property using money received under this article, the public school
5 academy shall retain ownership of the property unless the public
6 school academy sells the property at fair market value.

7 (10) If a district or intermediate district does not comply
8 with subsections (4), (5), (6), (7), and (12), or if the department
9 determines that the financial data required under subsection (5)
10 are not consistent with audited financial statements, the
11 department shall withhold all state school aid due to the district
12 or intermediate district under this article, beginning with the
13 next payment due to the district or intermediate district, until
14 the district or intermediate district complies with subsections
15 (4), (5), (6), (7), and (12). If the district or intermediate
16 district does not comply with subsections (4), (5), (6), (7), and
17 (12) by the end of the fiscal year, the district or intermediate
18 district forfeits the amount withheld.

19 (11) ~~If~~ **Subject to subsection (17), if** a district or
20 intermediate district does not comply with subsection (2), the
21 department may withhold up to 10% of the total state school aid due
22 to the district or intermediate district under this article,
23 beginning with the next payment due to the district or intermediate
24 district, until the district or intermediate district complies with
25 subsection (2). If the district or intermediate district does not
26 comply with subsection (2) by the end of the fiscal year, the
27 district or intermediate district forfeits the amount withheld.

28 (12) By November 1 of each year, if a district or intermediate
29 district offers virtual learning under section 21f, or for a school



1 of excellence that is a cyber school, as defined in section 551 of
2 the revised school code, MCL 380.551, the district or intermediate
3 district shall submit to the department a report that details the
4 per-pupil costs of operating the virtual learning by vendor type
5 and virtual learning model. The report must include information
6 concerning the operation of virtual learning for the immediately
7 preceding school fiscal year, including information concerning
8 summer programming. Information must be collected in a form and
9 manner determined by the department and must be collected in the
10 most efficient manner possible to reduce the administrative burden
11 on reporting entities.

12 (13) By March 31 of each year, the department shall submit to
13 the house and senate appropriations subcommittees on state school
14 aid, the state budget director, and the house and senate fiscal
15 agencies a report summarizing the per-pupil costs by vendor type of
16 virtual courses available under section 21f and virtual courses
17 provided by a school of excellence that is a cyber school, as
18 defined in section 551 of the revised school code, MCL 380.551.

19 (14) As used in subsections (12) and (13), "vendor type" means
20 the following:

21 (a) Virtual courses provided by the Michigan Virtual
22 University.

23 (b) Virtual courses provided by a school of excellence that is
24 a cyber school, as defined in section 551 of the revised school
25 code, MCL 380.551.

26 (c) Virtual courses provided by third party vendors not
27 affiliated with a public school in this state.

28 (d) Virtual courses created and offered by a district or
29 intermediate district.



1 (15) An allocation to a district or another entity under this
2 article is contingent upon the district's or entity's compliance
3 with this section.

4 (16) The department shall annually submit to the senate and
5 house subcommittees on school aid and to the senate and house
6 standing committees on education an itemized list of allocations
7 under this article to any association or consortium consisting of
8 associations in the immediately preceding fiscal year. The report
9 must detail the recipient or recipients, the amount allocated, and
10 the purpose for which the funds were distributed.

11 **(17) If the legislature has not enacted and the governor has**
12 **not approved the general appropriations act for state school aid**
13 **for the upcoming fiscal year on or before July 1, the department**
14 **shall not withhold funds or impose any penalty under subsection**
15 **(11) against a district or intermediate district for failure to**
16 **comply with subsection (2) until 30 days after the enactment of the**
17 **general appropriations act for state school aid for that fiscal**
18 **year.**

19 Sec. 18a. **(1) This subsection applies only to grant funds**
20 **awarded and allotted from appropriations in this article that have**
21 **not been designated as a work project appropriation under section**
22 **451a of the management and budget act, 1984 PA 431, MCL 1451a.**
23 Except as otherwise provided in this article, grant funds **described**
24 **in this subsection that are** awarded and allotted to a district,
25 intermediate district, or other entity, unless otherwise specified
26 in this article, must be expended by the grant recipient before the
27 end of the fiscal year immediately following the fiscal year in
28 which the funds are received. Except as otherwise provided in this
29 article, if a grant recipient does not expend the funds received



1 under this article before the end of the fiscal year in which the
2 funds are received, the grant recipient shall submit a report to
3 the department not later than November 1 after the fiscal year in
4 which the funds are received indicating whether it expects to
5 expend those funds during the fiscal year in which the report is
6 submitted. Except as otherwise provided in this article, a
7 recipient of a grant shall return any unexpended grant funds to the
8 department in the manner prescribed by the department not later
9 than September 30 after the fiscal year in which the funds are
10 received.

11 **(2) This subsection applies only to grant funds awarded and**
12 **allotted from appropriations in this article that have been**
13 **designated as a work project appropriation under section 451a of**
14 **the management and budget act, 1984 PA 431, MCL 18.1451a. Except as**
15 **otherwise provided in this article, grant funds described in this**
16 **subsection that are awarded and allotted to a district,**
17 **intermediate district, or other entity, unless otherwise specified**
18 **in this article, must be expended by the grant recipient before the**
19 **end of the fiscal year immediately following the fiscal year in**
20 **which the work project is closed under section 451a of the**
21 **management and budget act, 1984 PA 431, MCL 18.1451a. Except as**
22 **otherwise provided in this article, a recipient of a grant shall**
23 **return any unexpended grant funds to the department in the manner**
24 **prescribed by the department not later than September 30 after the**
25 **fiscal year in which the work project is closed.**

26 Sec. 19. (1) A district or intermediate district shall comply
27 with all applicable reporting requirements specified in state and
28 federal law. Data provided to the center, in a form and manner
29 prescribed by the center, must be aggregated and disaggregated as



1 required by state and federal law. In addition, a district or
2 intermediate district shall cooperate with all measures taken by
3 the center to establish and maintain a statewide P-20 longitudinal
4 data system.

5 (2) Each district shall furnish to the center not later than 5
6 weeks after the pupil membership count day and by the last business
7 day in June of the school fiscal year ending in the fiscal year, in
8 a manner prescribed by the center, the information necessary for
9 the preparation of the district and high school graduation report,
10 information regarding completion of early middle college
11 credentials obtained and postsecondary credits obtained in any
12 college acceleration program, and information necessary for the
13 preparation of the state and federal accountability reports. This
14 information must meet requirements established in the pupil
15 auditing manual approved and published by the department. The
16 center shall calculate an annual graduation and pupil dropout rate
17 for each high school, each district, and this state, in compliance
18 with nationally recognized standards for these calculations. The
19 center shall report all graduation and dropout rates to the senate
20 and house education committees and appropriations committees, the
21 state budget director, and the department not later than 30 days
22 after the publication of the list described in subsection (5).
23 Before reporting these graduation and dropout rates, the department
24 shall allow a school or district to appeal the calculations. The
25 department shall consider and act upon the appeal within 30 days
26 after it is submitted and shall not report these graduation and
27 dropout rates until after all appeals have been considered and
28 decided.

29 (3) By the first business day in December and by the last



1 business day in June of each year, **and within 30 days of any change**
2 **in employment or assignment status**, a district shall furnish to the
3 center, in a manner prescribed by the center, information related
4 to educational personnel and personnel vacancies as necessary for
5 reporting required by state and federal law. For the purposes of
6 this subsection, the center shall only require districts and
7 intermediate districts to report information that is not already
8 available from the office of retirement services in the department
9 of technology, management, and budget, **including, but not limited**
10 **to, vacancy start and end dates, reasons for the vacancy, and**
11 **reasons for the vacancy termination.**

12 (4) If a district or intermediate district fails to meet the
13 requirements of this section, the department shall withhold 5% of
14 the total funds for which the district or intermediate district
15 qualifies under this article until the district or intermediate
16 district complies with this section. If the district or
17 intermediate district does not comply with this section by the end
18 of the fiscal year, the department shall place the amount withheld
19 in an escrow account until the district or intermediate district
20 complies with this section.

21 (5) Before publishing a list of school or district
22 accountability designations as required by the no child left behind
23 act of 2001, Public Law 107-110, or the every student succeeds act,
24 Public Law 114-95, and utilizing data that were certified as
25 accurate and complete after districts and intermediate districts
26 adhered to deadlines, data quality reviews, and correction
27 processes leading to local certification of final student data in
28 subsection (2), the department shall allow a school or district to
29 appeal any calculation errors used in the preparation of



1 accountability metrics. The department shall consider and act upon
 2 the appeal within 30 days after it is submitted and shall not
 3 publish the list until after all appeals have been considered and
 4 decided.

5 (6) The department shall implement statewide standard
 6 reporting requirements for education data approved by the
 7 department in conjunction with the center. The department shall
 8 work with the center, intermediate districts, districts, and other
 9 interested stakeholders to implement this policy change. A district
 10 or intermediate district shall implement the statewide standard
 11 reporting requirements not later than 2017-2018 or when a district
 12 or intermediate district updates its education data reporting
 13 system, whichever is later.

14 (7) A district or intermediate district shall collect and
 15 submit to the center tribal affiliation data for all students and
 16 staff and the identification of student participation in federal
 17 programs funded under 20 USC 7401 to 7546 and participation in
 18 federal programs funded under the Johnson-O'Malley ~~Supplemental~~
 19 **supplemental** Indian Education Program Modernization Act, ~~education~~
 20 **program modernization act**, Public Law 115-404. The data must be
 21 reported in a form and manner prescribed by the center in
 22 consultation with the federally recognized Indian tribes in this
 23 state and the department in adherence to the department's tribal
 24 consultation policy. A district or intermediate district shall
 25 begin completion of the reporting requirement under this subsection
 26 by not later than the 2024-2025 fiscal year.

27 Sec. 20. (1) For ~~2025-2026~~, **2026-2027**, the target foundation
 28 allowance is ~~\$10,050.00~~. **\$10,300.00**.

29 (2) The department shall calculate the amount of each



1 district's foundation allowance as provided in this section, using
2 a target foundation allowance in the amount specified in subsection
3 (1).

4 (3) Except as otherwise provided in this section, the
5 department shall calculate the amount of a district's foundation
6 allowance as follows, using in all calculations the total amount of
7 the district's foundation allowance as calculated before any
8 proration:

9 (a) For a district that had a foundation allowance for the
10 immediately preceding fiscal year that was equal to the target
11 foundation allowance for the immediately preceding fiscal year, the
12 district receives a foundation allowance in an amount equal to the
13 target foundation allowance described in subsection (1) for the
14 current fiscal year.

15 (b) For a district that had a foundation allowance for the
16 immediately preceding fiscal year that was greater than the target
17 foundation allowance for the immediately preceding fiscal year, the
18 district's foundation allowance is an amount equal to the lesser of
19 (the sum of the district's foundation allowance for the immediately
20 preceding fiscal year plus any per pupil amount calculated under
21 section 20m(2) in the immediately preceding fiscal year plus the
22 increase in the target foundation allowance for the current fiscal
23 year, as compared to the immediately preceding fiscal year) or (the
24 product of the district's foundation allowance for the immediately
25 preceding fiscal year times the percentage increase in the United
26 States Consumer Price Index in the calendar year ending in the
27 immediately preceding fiscal year as reported by the May revenue
28 estimating conference conducted under section 367b of the
29 management and budget act, 1984 PA 431, MCL 18.1367b).



1 (c) For a district that had a foundation allowance in the
2 immediately preceding fiscal year that was less than the target
3 foundation allowance in effect for that fiscal year, the district's
4 foundation allowance is an amount equal to the lesser of (the sum
5 of district's foundation allowance for the immediately preceding
6 fiscal year plus any per pupil amount calculated under section
7 20m(2) in the immediately preceding fiscal year plus the increase
8 in the target foundation allowance for the current fiscal year, as
9 compared to the immediately preceding fiscal year) or (the product
10 of the district's foundation allowance for the immediately
11 preceding fiscal year times the percentage increase in the United
12 States Consumer Price Index in the calendar year ending in the
13 immediately preceding fiscal year as reported by the May revenue
14 estimating conference conducted under section 367b of the
15 management and budget act, 1984 PA 431, MCL 18.1367b).

16 (d) For a district that has a foundation allowance that is not
17 a whole dollar amount, the department shall round the district's
18 foundation allowance up to the nearest whole dollar.

19 (4) Except as otherwise provided in this subsection, the state
20 portion of a district's foundation allowance is an amount equal to
21 the district's foundation allowance or the target foundation
22 allowance for the current fiscal year, whichever is less, minus the
23 local portion of the district's foundation allowance. Except as
24 otherwise provided in this subsection, for a district described in
25 subsection (3) (b) and (c), the state portion of the district's
26 foundation allowance is an amount equal to the target foundation
27 allowance minus the district's foundation allowance supplemental
28 payment per pupil calculated under section 20m and minus the local
29 portion of the district's foundation allowance. For a district that



has a millage reduction required under section 31 of article IX of the state constitution of 1963, the department shall calculate the state portion of the district's foundation allowance as if that reduction did not occur. For a receiving district, if school operating taxes continue to be levied on behalf of a dissolved district that has been attached in whole or in part to the receiving district to satisfy debt obligations of the dissolved district under section 12 of the revised school code, MCL 380.12, the taxable value per membership pupil of property in the receiving district used for the purposes of this subsection does not include the taxable value of property within the geographic area of the dissolved district. ~~For~~ **Before the fiscal year ending September 30, 2027, for** a community district, if school operating taxes continue to be levied by a qualifying school district under section 12b of the revised school code, MCL 380.12b, with the same geographic area as the community district, the taxable value per membership pupil of property in the community district to be used for the purposes of this subsection does not include the taxable value of property within the geographic area of the community district. **Beginning with the fiscal year ending September 30, 2027, it is the intent of the legislature that the previous sentence no longer applies and the taxable value per membership pupil of property in the community district used for the purposes of this subsection includes the taxable value of property within the geographic area of the community district on or after July 1, 2026 and thereafter.**

(5) The allocation calculated under this section for a pupil is based on the foundation allowance of the pupil's district of residence. For a pupil enrolled under section 105 or 105c in a district other than the pupil's district of residence, the



1 allocation calculated under this section is based on the lesser of
2 the foundation allowance of the pupil's district of residence or
3 the foundation allowance of the educating district. For a pupil in
4 membership in a K-5, K-6, or K-8 district who is enrolled in
5 another district in a grade not offered by the pupil's district of
6 residence, the allocation calculated under this section is based on
7 the foundation allowance of the educating district if the educating
8 district's foundation allowance is greater than the foundation
9 allowance of the pupil's district of residence. The calculation
10 under this subsection must take into account a district's per-pupil
11 allocation under section 20m.

12 (6) Except as otherwise provided in this subsection, for
13 pupils in membership, other than special education pupils, in a
14 public school academy, the allocation calculated under this section
15 is an amount per membership pupil other than special education
16 pupils in the public school academy equal to the target foundation
17 allowance specified in subsection (1), or, for a public school
18 academy that was issued a contract under section 552 of the revised
19 school code, MCL 380.552, to operate as a school of excellence that
20 is a cyber school, ~~\$10,050.00.~~ **\$10,300.00.** Notwithstanding section
21 101, for a public school academy that begins operations after the
22 pupil membership count day, the amount per membership pupil
23 calculated under this subsection must be adjusted by multiplying
24 that amount per membership pupil by the number of hours of pupil
25 instruction provided by the public school academy after it begins
26 operations, as determined by the department, divided by the minimum
27 number of hours of pupil instruction required under section 101(3).
28 The result of this calculation must not exceed the amount per
29 membership pupil otherwise calculated under this subsection.



1 (7) For pupils in membership, other than special education
2 pupils, in a community district, the allocation calculated under
3 this section is an amount per membership pupil other than special
4 education pupils in the community district equal to the foundation
5 allowance of the qualifying school district, as described in
6 section 12b of the revised school code, MCL 380.12b, that is
7 located within the same geographic area as the community district.

8 (8) Subject to subsection (4), for a district that is formed
9 or reconfigured after June 1, 2002 by consolidation of 2 or more
10 districts or by annexation, the resulting district's foundation
11 allowance under this section beginning after the effective date of
12 the consolidation or annexation is the lesser of the sum of the
13 average of the foundation allowances of each of the original or
14 affected districts, calculated as provided in this section,
15 weighted as to the percentage of pupils in total membership in the
16 resulting district who reside in the geographic area of each of the
17 original or affected districts plus \$100.00 or the highest
18 foundation allowance among the original or affected districts. This
19 subsection does not apply to a receiving district unless there is a
20 subsequent consolidation or annexation that affects the district.
21 The calculation under this subsection must take into account a
22 district's per-pupil allocation under section 20m.

23 (9) The department shall round each fraction used in making
24 calculations under this section to the fourth decimal place and
25 shall round the dollar amount of an increase in the target
26 foundation allowance to the nearest whole dollar.

27 (10) State payments related to payment of the foundation
28 allowance for a special education pupil are not calculated under
29 this section but are instead calculated under section 51e.



1 (11) To assist the legislature in determining the target
2 foundation allowance for the subsequent fiscal year, each revenue
3 estimating conference conducted under section 367b of the
4 management and budget act, 1984 PA 431, MCL 18.1367b, must
5 calculate a pupil membership factor, a revenue adjustment factor,
6 and an index as follows:

7 (a) The pupil membership factor is computed by dividing the
8 estimated membership in the school year ending in the current
9 fiscal year, excluding intermediate district membership, by the
10 estimated membership for the school year ending in the subsequent
11 fiscal year, excluding intermediate district membership. If a
12 consensus membership factor is not determined at the revenue
13 estimating conference, the principals of the revenue estimating
14 conference shall report their estimates to the house and senate
15 subcommittees responsible for school aid appropriations not later
16 than 7 days after the conclusion of the revenue conference.

17 (b) The revenue adjustment factor is computed by dividing the
18 sum of the estimated total state school aid fund revenue for the
19 subsequent fiscal year plus the estimated total state school aid
20 fund revenue for the current fiscal year, adjusted for any change
21 in the rate or base of a tax the proceeds of which are deposited in
22 that fund and excluding money transferred into that fund from the
23 countercyclical budget and economic stabilization fund under the
24 management and budget act, 1984 PA 431, MCL 18.1101 to 18.1594, by
25 the sum of the estimated total school aid fund revenue for the
26 current fiscal year plus the estimated total state school aid fund
27 revenue for the immediately preceding fiscal year, adjusted for any
28 change in the rate or base of a tax the proceeds of which are
29 deposited in that fund. If a consensus revenue factor is not



1 determined at the revenue estimating conference, the principals of
2 the revenue estimating conference shall report their estimates to
3 the house and senate subcommittees responsible for school aid
4 appropriations not later than 7 days after the conclusion of the
5 revenue conference.

6 (c) The index is calculated by multiplying the pupil
7 membership factor by the revenue adjustment factor. If a consensus
8 index is not determined at the revenue estimating conference, the
9 principals of the revenue estimating conference shall report their
10 estimates to the house and senate subcommittees responsible for
11 state school aid appropriations not later than 7 days after the
12 conclusion of the revenue conference.

13 (12) Payments to districts and public school academies are not
14 made under this section. Rather, the calculations under this
15 section are used to determine the amount of state payments under
16 section 22b.

17 (13) If an amendment to section 2 of article VIII of the state
18 constitution of 1963 allowing state aid to some or all nonpublic
19 schools is approved by the voters of this state, each foundation
20 allowance or per-pupil payment calculation under this section may
21 be reduced.

22 (14) As used in this section:

23 (a) "Certified mills" means the lesser of 18 mills or the
24 number of mills of school operating taxes levied by the district in
25 1993-94.

26 (b) "Current fiscal year" means the fiscal year for which a
27 particular calculation is made.

28 (c) "Dissolved district" means a district that loses its
29 organization, has its territory attached to 1 or more other



1 districts, and is dissolved as provided under section 12 of the
2 revised school code, MCL 380.12.

3 (d) "Immediately preceding fiscal year" means the fiscal year
4 immediately preceding the current fiscal year.

5 (e) "Local portion of the district's foundation allowance"
6 means an amount that is equal to the difference between (the sum of
7 the product of the taxable value per membership pupil of all
8 property in the district that is nonexempt property times the
9 district's certified mills and, for a district with certified mills
10 exceeding 12, the product of the taxable value per membership pupil
11 of property in the district that is commercial personal property
12 times the certified mills minus 12 mills) and (the quotient of the
13 product of the captured assessed valuation under tax increment
14 financing acts times the district's certified mills divided by the
15 district's membership excluding special education pupils).

16 (f) "Membership" means the definition of that term under
17 section 6 as in effect for the particular fiscal year for which a
18 particular calculation is made.

19 (g) "Nonexempt property" means property that is not a
20 principal residence, qualified agricultural property, qualified
21 forest property, supportive housing property, industrial personal
22 property, commercial personal property, or property occupied by a
23 public school academy.

24 (h) "Principal residence", "qualified agricultural property",
25 "qualified forest property", "supportive housing property",
26 "industrial personal property", and "commercial personal property"
27 mean those terms as defined in section 1211 of the revised school
28 code, MCL 380.1211.

29 (i) "Receiving district" means a district to which all or part



1 of the territory of a dissolved district is attached under section
2 12 of the revised school code, MCL 380.12.

3 (j) "School operating purposes" means the purposes included in
4 the operation costs of the district as prescribed in sections 7 and
5 18 and purposes authorized under section 1211 of the revised school
6 code, MCL 380.1211.

7 (k) "School operating taxes" means local ad valorem property
8 taxes levied under section 1211 of the revised school code, MCL
9 380.1211, and retained for school operating purposes.

10 (l) "Tax increment financing acts" means parts 2, 3, 4, and 6
11 of the recodified tax increment financing act, 2018 PA 57, MCL
12 125.4201 to 125.4420 and 125.4602 to 125.4629, or the brownfield
13 redevelopment financing act, 1996 PA 381, MCL 125.2651 to 125.2670.

14 (m) "Taxable value per membership pupil" means taxable value,
15 as certified by the county treasurer and reported to the
16 department, for the calendar year ending in the current state
17 fiscal year divided by the district's membership excluding special
18 education pupils for the school year ending in the current state
19 fiscal year.

20 Sec. 20d. In making the final determination required under
21 former section 20a of a district's combined state and local revenue
22 per membership pupil in 1993-94 and in making calculations under
23 section 20 for ~~2025-2026~~, **2026-2027**, the department and the
24 department of treasury shall comply with all of the following:

25 (a) For a district that had combined state and local revenue
26 per membership pupil in the 1994-95 fiscal year of \$6,500.00 or
27 more and served as a fiscal agent for a state board designated area
28 vocational education center in the 1993-94 school year, total state
29 school aid received by or paid on behalf of the district under this



1 act in 1993-94 excludes payments made under former section 146 and
2 under section 147 on behalf of the district's employees who
3 provided direct services to the area vocational education center.
4 Not later than June 30, 1996, the department shall make an
5 adjustment under this subdivision to the district's combined state
6 and local revenue per membership pupil in the 1994-95 fiscal year
7 and the department of treasury shall make a final certification of
8 the number of mills that may be levied by the district under
9 section 1211 of the revised school code, MCL 380.1211, as a result
10 of the adjustment under this subdivision.

11 (b) If a district had an adjustment made to its 1993-94 total
12 state school aid that excluded payments made under former section
13 146 and under section 147 on behalf of the district's employees who
14 provided direct services for intermediate district center programs
15 operated by the district under former section 51 and sections 51a
16 to 56, if nonresident pupils attending the center programs were
17 included in the district's membership for purposes of calculating
18 the combined state and local revenue per membership pupil for 1993-
19 94, and if there is a signed agreement by all constituent districts
20 of the intermediate district agreeing to an adjustment under this
21 subdivision, the department shall calculate the foundation
22 allowances for 1995-96 and 1996-97 of all districts that had pupils
23 attending the intermediate district center program operated by the
24 district that had the adjustment as if their combined state and
25 local revenue per membership pupil for 1993-94 included resident
26 pupils attending the center program and excluded nonresident pupils
27 attending the center program.

28 Sec. 21b. (1) Subject to subsections (2) and (3), a district
29 shall use funds received under **this section**, section 22a, or



section 22b to support the attendance of a district pupil who is an eligible student at an eligible postsecondary institution under the postsecondary enrollment options act, 1996 PA 160, MCL 388.511 to 388.524, or under the career and technical preparation act, 2000 PA 258, MCL 388.1901 to 388.1913, by paying eligible charges on behalf of the district pupil as required under those acts.

(2) A district is not required to pay transportation costs, parking costs, or activity fees on behalf of an eligible student for attendance at an eligible postsecondary institution as described in subsection (1).

(3) A district may pay more money to an eligible postsecondary institution on behalf of an eligible student than required under the postsecondary enrollment options act, 1996 PA 160, MCL 388.511 to 388.524, or the career and technical preparation act, 2000 PA 258, MCL 388.1901 to 388.1913, and may use local school operating revenue for that purpose. An eligible student is responsible for payment of the remainder of the costs associated with ~~his or her~~ **the eligible student's** postsecondary enrollment that exceed the amount the district is required to pay under the postsecondary enrollment options act, 1996 PA 160, MCL 388.511 to 388.524, or the career and technical preparation act, 2000 PA 258, MCL 388.1901 to 388.1913, and that are not paid by the district. As used in this subsection, "local school operating revenue" means that term as defined in section 22b.

(4) From the state school aid fund money appropriated in section 11, there is allocated for 2026-2027 only an amount not to exceed \$40,000,000.00 for reimbursements to eligible districts supporting eligible charges on behalf of eligible students as described in subsection (1). All of the following apply to payments



1 made under this subsection:

2 (a) To be considered an eligible district under this section,
3 a district must be assigned to an opportunity index band, as
4 described in section 6(21), of 4 or higher.

5 (b) Payments must not exceed the amount the eligible district
6 is required to pay under the postsecondary enrollment options act,
7 1996 PA 160, MCL 388.511 to 388.524, and the career and technical
8 preparation act, 2000 PA 258, MCL 388.1901 to 388.1913.

9 (c) If the amount allocated in this subsection is not
10 sufficient to fully reimburse all eligible districts, payments to
11 eligible districts must be adjusted as follows:

12 (i) Payments to any individual district that exceed 25% of the
13 allocation under this subsection must be reduced to an amount equal
14 to 25% of the allocation under this subsection.

15 (ii) If, after the operation of subparagraph (i), the amount
16 allocated under this subsection is still insufficient to fully
17 reimburse all eligible districts, the payment to each eligible
18 district must be prorated on an equal percentage basis.

19 (d) If the amount allocated in this subsection exceeds the
20 amount necessary to fully reimburse all eligible districts, the
21 department shall provide payments to districts assigned to an
22 opportunity index band, as described in section 6(21), of 3. If the
23 remaining funds are insufficient to fully fund all eligible
24 districts described in this subdivision, the payment to each
25 eligible district described in this subdivision must be prorated on
26 an equal percentage basis.

27 (e) If, after the operation of subdivision (d), the amount
28 allocated in this subsection exceeds the amount necessary to fully
29 reimburse all eligible districts, the department shall provide



1 payments to districts assigned to an opportunity index band, as
 2 described in section 6(21), of 2. If the remaining funds are
 3 insufficient to fully fund all eligible districts described in this
 4 subdivision, the payment to each eligible district described in
 5 this subdivision must be prorated on an equal percentage basis.

6 (f) If, after the operation of subdivision (d), the amount
 7 allocated in this subsection exceeds the amount necessary to fully
 8 reimburse all eligible districts, the department shall provide
 9 payments to districts assigned to an opportunity index band, as
 10 described in section 6(21), of 1. If the remaining funds are
 11 insufficient to fully fund all eligible districts described in this
 12 subdivision, the payment to each eligible district described in
 13 this subdivision must be prorated on an equal percentage basis.

14 (g) Funds under this section may be used to support CTE dual
 15 enrollment programs authorized under section 61b.

16 (h) Notwithstanding section 17b, the department shall make
 17 payments under this subsection on a schedule determined by the
 18 department.

19 (5) ~~(4)~~—As used in this section, "**eligible charges**", "eligible
 20 student", and "eligible postsecondary institution" mean those terms
 21 as defined in section 3 of the postsecondary enrollment options
 22 act, 1996 PA 160, MCL 388.511 to 388.524, or in section 3 of the
 23 career and technical preparation act, 2000 PA 258, MCL 388.1903, as
 24 applicable.

25 Sec. 21f. (1) A primary district shall enroll an eligible
 26 pupil in virtual courses in accordance with the provisions of this
 27 section. A primary district shall not offer a virtual course to an
 28 eligible pupil unless the virtual course is published in the
 29 primary district's catalog of board-approved courses or in the



1 statewide catalog of virtual courses maintained by the Michigan
2 Virtual University pursuant to section 98. The primary district
3 shall also provide on its publicly accessible website a link to the
4 statewide catalog of virtual courses maintained by the Michigan
5 Virtual University. Unless the pupil is at least age 18 or is an
6 emancipated minor, a pupil must not be enrolled in a course that
7 meets virtually **for more than 6 days in a school year** without the
8 consent of the pupil's parent or legal guardian.

9 (2) Subject to subsection (3), a primary district shall enroll
10 an eligible pupil in up to 2 virtual courses as requested by the
11 pupil during an academic term, semester, or trimester.

12 (3) A pupil may be enrolled in more than 2 virtual courses in
13 a specific academic term, semester, or trimester if both of the
14 following conditions are met:

15 (a) The primary district has determined that it is in the best
16 interest of the pupil.

17 (b) The pupil agrees with the recommendation of the primary
18 district.

19 (4) If the number of applicants eligible for acceptance in a
20 virtual course does not exceed the capacity of the provider to
21 provide the virtual course, the provider shall accept for
22 enrollment all of the applicants eligible for acceptance. If the
23 number of applicants exceeds the provider's capacity to provide the
24 virtual course, the provider shall use a random draw system,
25 subject to the need to abide by state and federal
26 antidiscrimination laws and court orders. A primary district that
27 is also a provider shall determine whether or not it has the
28 capacity to accept applications for enrollment from nonresident
29 applicants in virtual courses and may use that limit as the reason



1 for refusal to enroll a nonresident applicant.

2 (5) A primary district may not establish additional
3 requirements beyond those specified in this subsection that would
4 prohibit a pupil from taking a virtual course. A pupil's primary
5 district may deny the pupil enrollment in a virtual course if any
6 of the following apply, as determined by the district:

7 (a) The pupil is enrolled in any of grades K to 5.

8 (b) The pupil has previously gained the credits that would be
9 provided from the completion of the virtual course.

10 (c) The virtual course is not capable of generating academic
11 credit.

12 (d) The virtual course is inconsistent with the remaining
13 graduation requirements or career interests of the pupil.

14 (e) The pupil has not completed the prerequisite coursework
15 for the requested virtual course or has not demonstrated
16 proficiency in the prerequisite course content.

17 (f) The pupil has failed a previous virtual course in the same
18 subject during the 2 most recent academic years.

19 (g) The virtual course is of insufficient quality or rigor. A
20 primary district that denies a pupil enrollment request for this
21 reason shall enroll the pupil in a virtual course in the same or a
22 similar subject that the primary district determines is of
23 acceptable rigor and quality.

24 (h) The cost of the virtual course exceeds the amount
25 identified in subsection (10), unless the pupil or the pupil's
26 parent or legal guardian agrees to pay the cost that exceeds this
27 amount.

28 (i) The request for a virtual course enrollment did not occur
29 within the same timelines established by the primary district for



1 enrollment and schedule changes for regular courses.

2 (j) The request for a virtual course enrollment was not made
3 in the academic term, semester, trimester, or summer preceding the
4 enrollment. This subdivision does not apply to a request made by a
5 pupil who is newly enrolled in the primary district.

6 (6) If a pupil is denied enrollment in a virtual course by the
7 pupil's primary district, the primary district shall provide
8 written notification to the pupil of the denial, the reason or
9 reasons for the denial under subsection (5), and a description of
10 the appeal process. The pupil may appeal the denial by submitting a
11 letter to the superintendent of the intermediate district in which
12 the pupil's primary district is located. The letter of appeal must
13 include the reason provided by the primary district for not
14 enrolling the pupil and the reason why the pupil is claiming that
15 the enrollment should be approved. The intermediate district
16 superintendent or designee shall respond to the appeal within 5
17 days after it is received. If the intermediate district
18 superintendent or designee determines that the denial of enrollment
19 does not meet 1 or more of the reasons specified in subsection (5),
20 the primary district shall enroll the pupil in the virtual course.

21 (7) To provide a virtual course to an eligible pupil under
22 this section, a provider must do all of the following:

23 (a) Ensure that the virtual course has been published in the
24 pupil's primary district's catalog of board-approved courses or
25 published in the statewide catalog of virtual courses maintained by
26 the Michigan Virtual University.

27 (b) Assign to each pupil a teacher of record and provide the
28 primary district with the personnel identification code assigned by
29 the center for the teacher of record. If the provider is a



1 community college, the virtual course must be taught by an
2 instructor employed by or contracted through the providing
3 community college.

4 (c) Offer the virtual course on an open entry and exit method,
5 or aligned to a semester, trimester, or accelerated academic term
6 format.

7 (d) If the virtual course is offered to eligible pupils in
8 more than 1 district, the following additional requirements must
9 also be met:

10 (i) Provide the Michigan Virtual University with a course
11 syllabus that meets the definition under subsection (14)(g) in a
12 form and manner prescribed by the Michigan Virtual University for
13 inclusion in a statewide catalog of virtual courses.

14 (ii) Not later than October 1 of each fiscal year, provide the
15 Michigan Virtual University with an aggregated count of enrollments
16 for each virtual course the provider delivered to pupils under this
17 section during the immediately preceding school year, and the
18 number of enrollments in which the pupil earned 60% or more of the
19 total course points for each virtual course.

20 (8) To provide a virtual course under this section, a
21 community college shall ensure that each virtual course it provides
22 under this section generates postsecondary credit.

23 (9) For any virtual course a pupil enrolls in under this
24 section, the pupil's primary district must assign to the pupil a
25 mentor and shall supply the provider with the mentor's contact
26 information.

27 (10) For a pupil enrolled in 1 or more virtual courses, the
28 primary district shall use foundation allowance or per-pupil funds
29 calculated under section 20 to pay for the expenses associated with



1 the virtual course or courses. A primary district is not required
2 to pay toward the cost of a virtual course an amount that exceeds
3 6.67% of the target foundation allowance for the current fiscal
4 year as calculated under section 20.

5 (11) A virtual learning pupil has the same rights and access
6 to technology in the pupil's primary district's school facilities
7 as all other pupils enrolled in the pupil's primary district. The
8 department shall establish standards for hardware, software, and
9 internet access for pupils who are enrolled in more than 2 virtual
10 courses under this section in an academic term, semester, or
11 trimester taken at a location other than a school facility.

12 (12) If a pupil successfully completes a virtual course, as
13 determined by the pupil's primary district, the pupil's primary
14 district shall grant appropriate academic credit for completion of
15 the course and shall count that credit toward completion of
16 graduation and subject area requirements. A pupil's school record
17 and transcript must identify the virtual course title as it appears
18 in the virtual course syllabus.

19 (13) The enrollment of a pupil in 1 or more virtual courses
20 must not result in a pupil being counted as more than 1.0 full-time
21 equivalent pupils under this article. The minimum requirements to
22 count the pupil in membership are those established by the pupil
23 accounting manual as it was in effect for the 2015-2016 school year
24 or as subsequently amended by the department if the department
25 notifies the legislature about the proposed amendment at least 60
26 days before the amendment becomes effective.

27 **(14) Subject to the requirements of this subsection, a**
28 **district may provide virtual instruction under this subsection for**
29 **not more than 6 days in a school year. If a district plans to**



1 provide instruction under this subsection, the district's plan must
 2 be approved by the board of the district, and the district must
 3 provide notice of the plan to impacted pupils and their parents or
 4 legal guardians before enactment of the plan. Instruction may be
 5 provided synchronously or asynchronously, as determined by the
 6 department. Days of instruction under this subsection may be used
 7 only for the following purposes, as defined by the department:

8 (a) A maximum of 3 days may be designated as testing days,
 9 during which students are released from regular classroom
 10 instruction to participate in state or federally mandated
 11 assessments. Days of virtual instruction provided under this
 12 subdivision are limited to buildings and grade levels impacted by
 13 assessments.

14 (b) A maximum of 3 days of virtual instruction may be provided
 15 due to conditions not within control of the district, including,
 16 but not limited to, closures due to snow, ice, or other extreme
 17 weather events or unforeseen emergencies. Days of virtual
 18 instruction under this subdivision may be used only after a
 19 district has exhausted all emergency closure days permitted under
 20 section 101.

21 (15) ~~(14)~~ As used in this section:

22 (a) "Instructor" means an individual who is employed by or
 23 contracted through a community college.

24 (b) "Mentor" means a professional employee of the primary
 25 district who monitors the pupil's progress, ensures the pupil has
 26 access to needed technology, is available for assistance, and
 27 ensures access to the teacher of record. A mentor may also serve as
 28 the teacher of record if the primary district is the provider for
 29 the virtual course and the mentor meets the requirements under



1 subdivision (e).

2 (c) "Primary district" means the district that enrolls the
3 pupil and reports the pupil for pupil membership purposes.

4 (d) "Provider" means the district, intermediate district,
5 community college, or other third-party vendor that the primary
6 district pays to provide the virtual course or the Michigan Virtual
7 University if it is providing the virtual course.

8 (e) "Teacher of record" means a teacher who meets all of the
9 following:

10 (i) Is appropriately placed under a valid Michigan teaching
11 certificate or a teaching permit, authorization, or approval issued
12 by the department. As used in this subparagraph, "appropriately
13 placed" means holding a valid Michigan educator credential with the
14 required grade range and discipline or subject area for the
15 assignment, as defined by the superintendent of public instruction.

16 (ii) Is responsible for providing instruction, determining
17 instructional methods for each pupil, diagnosing learning needs,
18 assessing pupil learning, prescribing intervention strategies and
19 modifying lessons, reporting outcomes, and evaluating the effects
20 of instruction and support strategies.

21 (iii) Has a personnel identification code provided by the
22 center.

23 (iv) If the provider is a community college, is an instructor
24 employed by or contracted through the providing community college.

25 (f) "Virtual course" means a course of study that is capable
26 of generating a credit or a grade and that is provided in an
27 interactive learning environment where any portion of the
28 curriculum is delivered using the internet and in which pupils may
29 be separated from their instructor or teacher of record by time or



1 location, or both.

2 (g) "Virtual course syllabus" means a document that includes
3 all of the following:

4 (i) An alignment document detailing how the course meets
5 applicable state standards or, if the state does not have state
6 standards, nationally recognized standards.

7 (ii) The virtual course content outline.

8 (iii) The virtual course required assessments.

9 (iv) The virtual course prerequisites.

10 (v) Expectations for actual instructor or teacher of record
11 contact time with the virtual learning pupil and other
12 communications between a pupil and the instructor or teacher of
13 record.

14 (vi) Academic support available to the virtual learning pupil.

15 (vii) The virtual course learning outcomes and objectives.

16 (viii) The name of the institution or organization providing the
17 virtual content.

18 (ix) The name of the institution or organization providing the
19 instructor or teacher of record.

20 (x) The course titles assigned by the provider and the course
21 titles and course codes from the National Center for Education
22 Statistics (NCES) school codes for the exchange of data (SCED).

23 (xi) The number of eligible pupils that will be accepted by the
24 provider in the virtual course. A primary district that is also the
25 provider may limit the enrollment to those pupils enrolled in the
26 primary district.

27 (xii) The results of the virtual course quality review using
28 the guidelines and model review process published by the Michigan
29 Virtual University.



1 (h) "Virtual learning pupil" means a pupil enrolled in 1 or
2 more virtual courses.

3 Sec. 21h. (1) From the state school aid pupil support reserve
4 fund money appropriated in section 11, there is allocated
5 \$6,137,400.00 for ~~2025-2026~~**2026-2027** for assisting districts
6 assigned by the superintendent to participate in a partnership
7 district agreement to improve student achievement and district
8 financial stability. It is the intent of the legislature that the
9 appropriation in this section will be funded with state school aid
10 pupil support reserve fund money through 2027-2028. The
11 superintendent shall identify any conditions that may be
12 contributing to low academic performance within a district being
13 considered for assignment to a partnership district agreement. The
14 purpose of the partnership district agreement is to identify
15 district needs, develop intervention plans, and partner with
16 public, private, and nonprofit organizations to coordinate
17 resources and improve student achievement. Assignment of a district
18 to a partnership district agreement is made by the superintendent.

19 (2) A district described in subsection (1) is eligible for
20 funding under this section if the district includes at least 1
21 school that has been identified as low performing under the
22 approved federal accountability system. A district described in
23 this subsection must do all of the following to be eligible for
24 funding under this section:

25 (a) Within 90 days of assignment to the partnership district
26 agreement described in this section, complete a comprehensive needs
27 assessment or evaluation in collaboration with an intermediate
28 district, community members, education organizations, and
29 postsecondary institutions, as applicable, that is approved by the



1 superintendent. The comprehensive needs assessment or evaluation
2 must include at least all of the following:

3 (i) A review of the district's implementation and utilization
4 of a multi-tiered system of supports to ensure that it is used to
5 appropriately inform instruction.

6 (ii) A review of the district and school building leadership
7 and educator capacity to substantially improve student outcomes.

8 (iii) A review of classroom, instructional, and operational
9 practices and curriculum to ensure alignment with research-based
10 instructional practices and state curriculum standards.

11 (b) Develop a district continuous improvement plan that has
12 been approved by the superintendent and that addresses the needs
13 identified in the comprehensive needs assessment or evaluation
14 completed under subdivision (a). The district continuous
15 improvement plan must include at least all of the following:

16 (i) Specific actions that will be taken by the district and
17 each of its partners to improve student achievement.

18 (ii) Specific measurable benchmarks that will be met within 18
19 months to improve student achievement and identification of
20 expected student achievement outcomes to be attained within 3 years
21 after assignment to the partnership.

22 (iii) Measurable benchmarks that put pupils on track to meet or
23 exceed grade level proficiency, increase high school graduation
24 rates, reduce class sizes in grades K to 3, and improve attendance
25 rates.

26 (c) Provide access to training for district leadership,
27 including, but not limited to, the superintendent or chief
28 administrator and school board or board of directors members, on
29 areas of education fiscal and policy matters. The department may



1 require training for district leadership and all board members
 2 under this subdivision at a rate and frequency needed to support
 3 measurable academic outcomes for the district.

4 (3) Upon approval of the district continuous improvement plan
 5 developed under subsection (2), the department shall assign a team
 6 of individuals with expertise in comprehensive school and district
 7 reform to partner with the district, the intermediate district,
 8 community organizations, education organizations, and postsecondary
 9 institutions identified in the ~~academic and financial operating or~~
 10 ~~intervention~~ **district continuous improvement** plan to review the
 11 district's use of existing financial resources to ensure that those
 12 resources are being used as efficiently and effectively as possible
 13 to improve student academic achievement and to ensure district
 14 financial stability. The superintendent of public instruction may
 15 waive burdensome administrative rules for a partnership district
 16 for the duration of the partnership district agreement.

17 (4) Funds allocated under this section, excluding funds
 18 allocated under subsection (5), may be used to pay for district
 19 expenditures approved by the superintendent to improve student
 20 achievement. Funds may be used for professional development for
 21 teachers or district or school leadership, increased instructional
 22 time, teacher mentors, literacy, numeracy, reducing K-3 class
 23 sizes, reducing chronic absenteeism, or other expenditures that
 24 directly impact student achievement and cannot be paid from
 25 existing district financial resources. Notwithstanding section 17b,
 26 the department shall make payments to districts under this section
 27 on a schedule determined by the department.

28 (5) From the funds allocated under subsection (1), there is
 29 allocated for ~~2025-2026~~ **2026-2027** an amount not to exceed



1 \$137,400.00 for the purchase of a data analytics tool to be used by
 2 districts described in subsection (1). The superintendent of public
 3 instruction shall require districts described in subsection (1) to
 4 purchase a data analytics tool funded under this subsection as part
 5 of the agreements described in this section.

6 (6) The department shall annually report to the legislature on
 7 the activities funded under this section and how those activities
 8 impacted student achievement in districts that received funds under
 9 this section. To the extent possible, participating districts
 10 receiving funding under this section shall participate in the
 11 report.

12 ~~(7) In addition to the allocation under subsection (1), from~~
 13 ~~the state school aid fund money appropriated in section 11, there~~
 14 ~~is allocated an amount not to exceed \$36,000,000.00 to districts~~
 15 ~~described in subsection (1) for 2023-2024 only for supplemental~~
 16 ~~funding to be used by districts for the purposes of this section in~~
 17 ~~equal installments of \$12,000,000.00 in each of the fiscal years~~
 18 ~~2023-2024, 2024-2025, and 2025-2026. The funds allocated under this~~
 19 ~~subsection for 2023-2024 are a work project appropriation, and any~~
 20 ~~unexpended funds for 2023-2024 are carried forward into 2024-2025.~~
 21 ~~The purpose of the work project is to provide assistance to~~
 22 ~~districts eligible for funding under this section. The estimated~~
 23 ~~completion date of the work project described in this subsection is~~
 24 ~~September 30, 2026.~~

25 Sec. 22a. (1) From the state school aid fund money
 26 appropriated in section 11, ~~there is allocated an amount not to~~
 27 ~~exceed \$3,927,000,000.00 for 2024-2025 and there is allocated an~~
 28 ~~amount not to exceed \$3,785,000,000.00~~ **\$3,726,000,000.00** for 2025-
 29 **2026 and there is allocated an amount not to exceed**



1 **\$3,562,000,000.00 for 2026-2027** for payments to districts and
2 qualifying public school academies to guarantee each district and
3 qualifying public school academy an amount equal to its 1994-95
4 total state and local per-pupil revenue for school operating
5 purposes under section 11 of article IX of the state constitution
6 of 1963. Pursuant to section 11 of article IX of the state
7 constitution of 1963, this guarantee does not apply to a district
8 in a year in which the district levies a millage rate for school
9 district operating purposes less than it levied in 1994. However,
10 subsection (2) applies to calculating the payments under this
11 section. Funds allocated under this section that are not expended
12 in the fiscal year for which they were allocated, as determined by
13 the department, may be used to supplement the allocations under
14 sections 22b and 51c to fully fund those allocations for the same
15 fiscal year.

16 (2) To ensure that a district receives an amount equal to the
17 district's 1994-95 total state and local per-pupil revenue for
18 school operating purposes, there is allocated to each district a
19 state portion of the district's 1994-95 foundation allowance in an
20 amount calculated as follows:

21 (a) Except as otherwise provided in this subsection, the state
22 portion of a district's 1994-95 foundation allowance is an amount
23 equal to the district's 1994-95 foundation allowance or \$6,500.00,
24 whichever is less, minus the difference between the sum of the
25 product of the taxable value per membership pupil of all property
26 in the district that is nonexempt property times the district's
27 certified mills and, for a district with certified mills exceeding
28 12, the product of the taxable value per membership pupil of
29 property in the district that is commercial personal property times



the certified mills minus 12 mills and the quotient of the ad valorem property tax revenue of the district captured under tax increment financing acts divided by the district's membership. For a district that has a millage reduction required under section 31 of article IX of the state constitution of 1963, the department shall calculate the state portion of the district's foundation allowance as if that reduction did not occur. For a receiving district, if school operating taxes are to be levied on behalf of a dissolved district that has been attached in whole or in part to the receiving district to satisfy debt obligations of the dissolved district under section 12 of the revised school code, MCL 380.12, taxable value per membership pupil of all property in the receiving district that is nonexempt property and taxable value per membership pupil of property in the receiving district that is commercial personal property do not include property within the geographic area of the dissolved district; ad valorem property tax revenue of the receiving district captured under tax increment financing acts does not include ad valorem property tax revenue captured within the geographic boundaries of the dissolved district under tax increment financing acts; and certified mills do not include the certified mills of the dissolved district. ~~For~~ **Except as otherwise provided in this subdivision, for** a community district, the department shall reduce the allocation as otherwise calculated under this section by an amount equal to the amount of local school operating tax revenue that would otherwise be due to the community district if not for the operation of section 386 of the revised school code, MCL 380.386, and the amount of this reduction is offset by the increase in funding under section 22b(2). **Beginning with the fiscal year ending September 30, 2027,**



1 it is the intent of the legislature that the previous sentence no
2 longer applies and the allocation for a community district under
3 this section shall not be reduced by the amount of local school
4 operating tax revenue that would otherwise be due to the community
5 district if not for the operation of section 386 of the revised
6 school code, MCL 380.386, and no offset is provided by increased
7 funding under section 22b(2). Beginning with the fiscal year ending
8 September 30, 2027, for a qualifying school district that has
9 entered into a qualified debt agreement, all of the following
10 apply:

11 (i) The qualifying school district is presumed to have paid the
12 unpaid obligations of the qualifying school district under the
13 qualified debt agreement and repaid all outstanding operating
14 obligations of the qualifying school district.

15 (ii) Section 386 of the revised school code, MCL 380.386, is
16 presumed to no longer apply to the community district.

17 (iii) The qualifying school district is presumed, after payment
18 under subdivision (a), to have remitted to the community district
19 any remaining money in any revenue fund established under the
20 qualified debt agreement.

21 (b) For a district that had a 1994-95 foundation allowance
22 greater than \$6,500.00, the state payment under this subsection is
23 the sum of the amount calculated under subdivision (a) plus the
24 amount calculated under this subdivision. The amount calculated
25 under this subdivision must be equal to the difference between the
26 district's 1994-95 foundation allowance minus \$6,500.00 and the
27 current year hold harmless school operating taxes per pupil. If the
28 result of the calculation under subdivision (a) is negative, the
29 negative amount is an offset against any state payment calculated



1 under this subdivision. If the result of a calculation under this
2 subdivision is negative, there is not a state payment or a
3 deduction under this subdivision. The taxable values per membership
4 pupil used in the calculations under this subdivision are as
5 adjusted by ad valorem property tax revenue captured under tax
6 increment financing acts divided by the district's membership. For
7 a receiving district, if school operating taxes are to be levied on
8 behalf of a dissolved district that has been attached in whole or
9 in part to the receiving district to satisfy debt obligations of
10 the dissolved district under section 12 of the revised school code,
11 MCL 380.12, ad valorem property tax revenue captured under tax
12 increment financing acts do not include ad valorem property tax
13 revenue captured within the geographic boundaries of the dissolved
14 district under tax increment financing acts.

15 (3) For pupils in membership in a qualifying public school
16 academy, there is allocated under this section to the authorizing
17 body that is the fiscal agent for the qualifying public school
18 academy for forwarding to the qualifying public school academy an
19 amount equal to the 1994-95 per-pupil payment to the qualifying
20 public school academy under section 20.

21 (4) A district or qualifying public school academy may use
22 funds allocated under this section in conjunction with any federal
23 funds for which the district or qualifying public school academy
24 otherwise would be eligible.

25 (5) Except as otherwise provided in this subsection, for a
26 district that is formed or reconfigured after June 1, 2000 by
27 consolidation of 2 or more districts or by annexation, the
28 resulting district's 1994-95 foundation allowance under this
29 section beginning after the effective date of the consolidation or



annexation is the average of the 1994-95 foundation allowances of each of the original or affected districts, calculated as provided in this section, weighted as to the percentage of pupils in total membership in the resulting district in the fiscal year in which the consolidation takes place who reside in the geographic area of each of the original districts. If an affected district's 1994-95 foundation allowance is less than the 1994-95 basic foundation allowance, the amount of that district's 1994-95 foundation allowance is considered for the purpose of calculations under this subsection to be equal to the amount of the 1994-95 basic foundation allowance. This subsection does not apply to a receiving district unless there is a subsequent consolidation or annexation that affects the district.

~~(6) Payments under this section are subject to section 25g.~~

(6) ~~(7)~~ As used in this section:

(a) "1994-95 foundation allowance" means a district's 1994-95 foundation allowance calculated and certified by the department of treasury or the superintendent under former section 20a as enacted in 1993 PA 336 and as amended by 1994 PA 283.

(b) "Certified mills" means the lesser of 18 mills or the number of mills of school operating taxes levied by the district in 1993-94.

(c) "Current fiscal year" means the fiscal year for which a particular calculation is made.

(d) "Current year hold harmless school operating taxes per pupil" means the per-pupil revenue generated by multiplying a district's 1994-95 hold harmless millage by the district's current year taxable value per membership pupil. For a receiving district, if school operating taxes are to be levied on behalf of a dissolved



1 district that has been attached in whole or in part to the
2 receiving district to satisfy debt obligations of the dissolved
3 district under section 12 of the revised school code, MCL 380.12,
4 taxable value per membership pupil does not include the taxable
5 value of property within the geographic area of the dissolved
6 district.

7 (e) "Dissolved district" means a district that loses its
8 organization, has its territory attached to 1 or more other
9 districts, and is dissolved as provided under section 12 of the
10 revised school code, MCL 380.12.

11 (f) "Hold harmless millage" means, for a district with a 1994-
12 95 foundation allowance greater than \$6,500.00, the number of mills
13 by which the exemption from the levy of school operating taxes on a
14 principal residence, qualified agricultural property, qualified
15 forest property, supportive housing property, industrial personal
16 property, commercial personal property, and property occupied by a
17 public school academy could be reduced as provided in section 1211
18 of the revised school code, MCL 380.1211, and the number of mills
19 of school operating taxes that could be levied on all property as
20 provided in section 1211(2) of the revised school code, MCL
21 380.1211, as certified by the department of treasury for the 1994
22 tax year. For a receiving district, if school operating taxes are
23 to be levied on behalf of a dissolved district that has been
24 attached in whole or in part to the receiving district to satisfy
25 debt obligations of the dissolved district under section 12 of the
26 revised school code, MCL 380.12, school operating taxes do not
27 include school operating taxes levied within the geographic area of
28 the dissolved district.

29 (g) "Membership" means the definition of that term under



section 6 as in effect for the particular fiscal year for which a particular calculation is made.

(h) "Michigan finance authority" means the public body corporate and politic created within the department of treasury by Executive Reorganization Order No. 2010-2, MCL 12.194.

(i) ~~(h)~~—"Nonexempt property" means property that is not a principal residence, qualified agricultural property, qualified forest property, supportive housing property, industrial personal property, commercial personal property, or property occupied by a public school academy.

(j) "Obligations" means that term as defined in a qualified debt agreement.

(k) ~~(i)~~—"Principal residence", "qualified agricultural property", "qualified forest property", "supportive housing property", "industrial personal property", and "commercial personal property" mean those terms as defined in section 1211 of the revised school code, MCL 380.1211.

(l) "Qualified debt agreement" means a master debt indenture settlement agreement between a qualifying school district and 1 or more other parties, including without limitation, the state treasurer and the Michigan finance authority.

(m) ~~(j)~~—"Qualifying public school academy" means a public school academy that was in operation in the 1994-95 school year and is in operation in the current fiscal year.

(n) "Qualifying school district" means a school district described in section 12b of the revised school code, MCL 380.12b.

(o) ~~(k)~~—"Receiving district" means a district to which all or part of the territory of a dissolved district is attached under section 12 of the revised school code, MCL 380.12.



1 **(p)** ~~(h)~~ "School operating taxes" means local ad valorem
 2 property taxes levied under section 1211 of the revised school
 3 code, MCL 380.1211, and retained for school operating purposes as
 4 defined in section 20.

5 **(q)** ~~(m)~~ "Tax increment financing acts" means parts 2, 3, 4,
 6 and 6 of the recodified tax increment financing act, 2018 PA 57,
 7 MCL 125.4201 to 125.4420 and 125.4602 to 125.4629, or the
 8 brownfield redevelopment financing act, 1996 PA 381, MCL 125.2651
 9 to 125.2670.

10 **(r)** ~~(n)~~ "Taxable value per membership pupil" means each of the
 11 following divided by the district's membership:

12 (i) For the number of mills by which the exemption from the
 13 levy of school operating taxes on a principal residence, qualified
 14 agricultural property, qualified forest property, supportive
 15 housing property, industrial personal property, commercial personal
 16 property, and property occupied by a public school academy may be
 17 reduced as provided in section 1211 of the revised school code, MCL
 18 380.1211, the taxable value of principal residence, qualified
 19 agricultural property, qualified forest property, supportive
 20 housing property, industrial personal property, commercial personal
 21 property, and property occupied by a public school academy for the
 22 calendar year ending in the current fiscal year. For a receiving
 23 district, if school operating taxes are to be levied on behalf of a
 24 dissolved district that has been attached in whole or in part to
 25 the receiving district to satisfy debt obligations of the dissolved
 26 district under section 12 of the revised school code, MCL 380.12,
 27 mills do not include mills within the geographic area of the
 28 dissolved district.

29 (ii) For the number of mills of school operating taxes that may



be levied on all property as provided in section 1211(2) of the revised school code, MCL 380.1211, the taxable value of all property for the calendar year ending in the current fiscal year. For a receiving district, if school operating taxes are to be levied on behalf of a dissolved district that has been attached in whole or in part to the receiving district to satisfy debt obligations of the dissolved district under section 12 of the revised school code, MCL 380.12, school operating taxes do not include school operating taxes levied within the geographic area of the dissolved district.

Sec. 22b. (1) Except as otherwise provided in this section, for discretionary nonmandated payments to districts under this section, ~~there is allocated for 2024-2025 an amount not to exceed \$6,220,000,000.00 from the state school aid fund and general fund appropriations in section 11 and an amount not to exceed \$41,000,000.00 from the community district education trust fund appropriation in section 11, and there is allocated for 2025-2026 an amount not to exceed \$6,696,500,000.00~~ **\$6,783,000,000.00** from the state school aid fund and general fund appropriations in section 11, **there is allocated for 2026-2027 an amount not to exceed \$6,914,450,000.00 from the state school aid fund and general fund appropriations in section 11, and there is additionally allocated for 2026-2027 only an amount not to exceed \$56,100,000.00 from the state school aid fund appropriation in section 11.** In addition, there is allocated for 2025-2026 only an amount not to exceed \$124,000,000.00 from the state school aid fund appropriation in section 11, ~~. For 2024-2025, the amount necessary, estimated at \$77,700,000.00, must be deposited from the general fund into the state school aid fund to reimburse the state school aid fund for~~



~~community district education trust fund costs in excess of \$41,000,000.00, as required under section 12 of the Michigan trust fund act, 2000 PA 489, MCL 12.262. For 2024-2025 only, if the amount allocated under this subsection from the community district education trust fund appropriation under section 11 is insufficient to pay for an increase under this section, any amount exceeding that allocation may be paid from other allocations under this subsection. Except for money allocated under this section from the community district education trust fund appropriation in section 11, funds and there is allocated for 2026-2027 only an amount not to exceed \$130,000,000.00 from the enrollment stabilization fund appropriation in section 11. Funds~~ allocated under this section that are not expended in the fiscal year for which they were allocated, as determined by the department, may be used to supplement the allocations under sections 22a and 51c to fully fund those allocations for the same fiscal year.

(2) Subject to subsection ~~(3)~~ **(4)** and section 296, the allocation to a district under ~~this section~~ **subsection (1)** is an amount equal to the sum of the amounts calculated under sections 20, 20m, 51a(2), 51a(3), 51a(11), and 51e, minus the sum of the allocations to the district under sections 22a and 51c. ~~For~~ **Except as otherwise provided in this subsection, for** a community district, the allocation as otherwise calculated under this section is increased by an amount equal to the amount of local school operating tax revenue that would otherwise be due to the community district if not for the operation of section 386 of the revised school code, MCL 380.386, to offset the absence of local school operating revenue in a community district in the funding of the state portion of the foundation allowance under section 20(4). 7



1 ~~and, for 2024-2025 only, this increase must be paid from the~~
2 ~~community district education trust fund allocation in subsection~~
3 ~~(1).~~ **Beginning with the fiscal year ending September 30, 2027, it is**
4 **the intent of the legislature that the previous sentence no longer**
5 **applies. Beginning with the fiscal year ending September 30, 2027,**
6 **for a qualifying school district that has entered into a qualifying**
7 **debt agreement, all of the following apply:**

8 **(a) The qualifying school district is presumed to have paid**
9 **the unpaid obligations of the qualifying school district under the**
10 **qualified debt agreement and repaid all outstanding operating**
11 **obligations of the qualifying school district.**

12 **(b) Section 386 of the revised school code, MCL 380.386, is**
13 **presumed to no longer apply to the community district.**

14 **(c) The qualifying school district is presumed, after payment**
15 **under subdivision (a), to have remitted to the community district**
16 **any remaining money in any revenue fund established under the**
17 **qualified debt agreement.**

18 **(3) To receive an allocation under ~~subsection (1), this~~**
19 **section, each district must do all of the following:**

20 **(a) Comply with section 1280b of the revised school code, MCL**
21 **380.1280b.**

22 **(b) Comply with sections 1278a and 1278b of the revised school**
23 **code, MCL 380.1278a and 380.1278b.**

24 **(c) Furnish data and other information required by state and**
25 **federal law to the center and the department in the form and manner**
26 **specified by the center or the department, as applicable.**

27 **(d) Comply with section 1230g of the revised school code, MCL**
28 **380.1230g.**

29 **(e) Comply with section 21f.**



1 (f) For a district that has entered into a partnership
2 district agreement with the department, comply with section 22p.

3 (g) Comply with 1 of the following, as applicable:

4 (i) If Senate Bill No. 903 of the 103rd Legislature is enacted
5 into law, section 1280h of the revised school code, MCL 380.1280h.

6 (ii) If subparagraph (i) does not apply, section 164m.

7 (h) Comply with section 1280f of the revised school code, MCL
8 380.1280f. Beginning with the fiscal year ending September 30,
9 2026, if a district is not using a curriculum from the department's
10 evidence-based curriculum list required under section 1280f of the
11 revised school code, MCL 380.1280f, the district must provide a
12 notification to all parents or legal guardians of students in
13 grades K to 5 receiving instruction with that curriculum that
14 includes all of the following:

15 (i) A statement informing parents or legal guardians that the
16 curriculum used by the district is not evidence-based or not
17 aligned to state standards, which could negatively impact student
18 academic outcomes.

19 (ii) A statement explaining why the district is not using a
20 curriculum that is evidence-based or aligned to state standards.

21 (iii) A plan, including a projected timeline, for when a new
22 curriculum will be adopted that is evidence-based and aligned to
23 state standards.

24 (4) In addition to the allocation under subsection (1), and
25 subject to subsection (3) and section 296, from the state school
26 aid fund money appropriated in section 11 there is allocated for
27 2026-2027 an amount not to exceed \$1,627,665,100.00 for a weighted
28 foundation payment to districts in an amount equal to the target
29 foundation allowance multiplied by the weighted pupil membership



1 **for the district.**

2 (5) ~~(4)~~—Districts are encouraged to use funds allocated under
3 this section for the purchase and support of payroll, human
4 resources, and other business function software that is compatible
5 with that of the intermediate district in which the district is
6 located and with other districts located within that intermediate
7 district.

8 (6) ~~(5)~~—From the allocation in subsection (1), the department
9 shall pay up to \$1,000,000.00 in litigation costs incurred by this
10 state related to commercial or industrial property tax appeals,
11 including, but not limited to, appeals of classification, that
12 impact revenues dedicated to the state school aid fund.

13 (7) ~~(6)~~—From the allocation in subsection (1), the department
14 shall pay up to \$1,000,000.00 in litigation costs incurred by this
15 state associated with lawsuits filed by 1 or more districts or
16 intermediate districts against this state. If the allocation under
17 this section is insufficient to fully fund all payments required
18 under this section, the payments under this subsection must be made
19 in full before any proration of remaining payments under this
20 section.

21 (8) ~~(7)~~—It is the intent of the legislature that all
22 constitutional obligations of this state have been fully funded
23 under sections 22a, 31d, 51a, 51c, 51e, and 152a. If a claim is
24 made by an entity receiving funds under this article that
25 challenges the legislative determination of the adequacy of this
26 funding or alleges that there exists an unfunded constitutional
27 requirement, the state budget director may escrow or allocate from
28 the discretionary funds for nonmandated payments under this section
29 the amount as may be necessary to satisfy the claim before making



1 any payments to districts under subsection (2). If funds are
 2 escrowed, the escrowed funds are a work project appropriation and
 3 the funds are carried forward into the following fiscal year. The
 4 purpose of the work project is to provide for any payments that may
 5 be awarded to districts as a result of litigation. The work project
 6 is completed upon resolution of the litigation.

7 **(9)** ~~(8)~~—If the local claims review board or a court of
 8 competent jurisdiction makes a final determination that this state
 9 is in violation of section 29 of article IX of the state
 10 constitution of 1963 regarding state payments to districts, the
 11 state budget director shall use work project funds under subsection
 12 ~~(7)~~ **(8)** or allocate from the discretionary funds for nonmandated
 13 payments under this section the amount as may be necessary to
 14 satisfy the amount owed to districts before making any payments to
 15 districts under subsection (2).

16 **(10)** ~~(9)~~—If a claim is made in court that challenges the
 17 legislative determination of the adequacy of funding for this
 18 state's constitutional obligations or alleges that there exists an
 19 unfunded constitutional requirement, any interested party may seek
 20 an expedited review of the claim by the local claims review board.
 21 If the claim exceeds \$10,000,000.00, this state may remove the
 22 action to the court of appeals, and the court of appeals has and
 23 shall exercise jurisdiction over the claim.

24 **(11)** ~~(10)~~—If payments resulting from a final determination by
 25 the local claims review board or a court of competent jurisdiction
 26 that there has been a violation of section 29 of article IX of the
 27 state constitution of 1963 exceed the amount allocated for
 28 discretionary nonmandated payments under this section, the
 29 legislature shall provide for adequate funding for this state's



1 constitutional obligations at its next legislative session.

2 **(12)** ~~(11)~~—If a lawsuit challenging payments made to districts
3 related to costs reimbursed by federal title XIX Medicaid funds is
4 filed against this state, then, for the purpose of addressing
5 potential liability under such a lawsuit, the state budget director
6 may place funds allocated under this section in escrow or allocate
7 money from the funds otherwise allocated under this section, up to
8 a maximum of 50% of the amount allocated in subsection (1). If
9 funds are placed in escrow under this subsection, those funds are a
10 work project appropriation and the funds are carried forward into
11 the following fiscal year. The purpose of the work project is to
12 provide for any payments that may be awarded to districts as a
13 result of the litigation. The work project is completed upon
14 resolution of the litigation. In addition, this state reserves the
15 right to terminate future federal title XIX Medicaid reimbursement
16 payments to districts if the amount or allocation of reimbursed
17 funds is challenged in the lawsuit. As used in this subsection,
18 "title XIX" means title XIX of the social security act, 42 USC 1396
19 to 1396w-6.

20 **(13)** ~~(12)~~—As used in this section:

21 (a) "Dissolved district" means that term as defined in section
22 20.

23 (b) "Local school operating revenue" means school operating
24 taxes levied under section 1211 of the revised school code, MCL
25 380.1211. For a receiving district, if school operating taxes are
26 to be levied on behalf of a dissolved district that has been
27 attached in whole or in part to the receiving district to satisfy
28 debt obligations of the dissolved district under section 12 of the
29 revised school code, MCL 380.12, local school operating revenue



1 does not include school operating taxes levied within the
2 geographic area of the dissolved district.

3 (c) "Michigan finance authority" means the public body
4 corporate and politic created within the department of treasury by
5 Executive Reorganization Order No. 2010-2, MCL 12.194.

6 (d) "Obligations" means that term as defined in a qualified
7 debt agreement.

8 (e) "Qualified debt agreement" means a master debt indenture
9 settlement agreement between a qualifying school district and 1 or
10 more other parties, including without limitation, the state
11 treasurer and the Michigan finance authority.

12 (f) "Qualifying school district" means a school district
13 described in section 12b of the revised school code, MCL 380.12b.

14 (g) ~~(e)~~ "Receiving district" and "school operating taxes" mean
15 those terms as defined in section 20.

16 Sec. 22d. (1) From the state school aid fund money
17 appropriated under section 11, an amount not to exceed
18 ~~\$12,873,100.00~~ **\$14,184,400.00** is allocated for ~~2025-2026~~ **2026-2027**
19 for supplemental payments to rural districts under this section.

20 (2) From the allocation under subsection (1), there is
21 allocated for ~~2025-2026~~ **2026-2027** an amount not to exceed
22 ~~\$3,906,200.00~~ **\$4,304,100.00** for payments under this subsection to
23 eligible districts. A district that meets all of the following is
24 an eligible district under this subsection:

25 (a) Operates grades K to 12.

26 (b) Has fewer than 250 pupils in membership.

27 (c) Each school building operated by the district meets at
28 least 1 of the following:

29 (i) Is located in the Upper Peninsula at least 30 miles from



1 any other public school building.

2 (ii) Is located on an island that is not accessible by bridge.

3 (3) The amount of the additional funding to each eligible
 4 district under subsection (2) is determined under a spending plan
 5 developed as provided in this subsection and approved by the
 6 superintendent of public instruction. The spending plan must be
 7 developed cooperatively by the intermediate superintendents of each
 8 intermediate district in which an eligible district is located. The
 9 intermediate superintendents shall review the financial situation
 10 of each eligible district, determine the minimum essential
 11 financial needs of each eligible district, and develop and agree on
 12 a spending plan that distributes the available funding under
 13 subsection (2) to the eligible districts based on those financial
 14 needs. The intermediate superintendents shall submit the spending
 15 plan to the superintendent of public instruction for approval. Upon
 16 approval by the superintendent of public instruction, the amounts
 17 specified for each eligible district under the spending plan are
 18 allocated under subsection (2) and must be paid to the eligible
 19 districts in the same manner as payments under section 22b.

20 (4) Subject to subsection (7), from the allocation in
 21 subsection (1), there is allocated for ~~2025-2026~~**2026-2027** an
 22 amount not to exceed ~~\$8,412,100.00~~**\$9,269,000.00** for payments under
 23 this subsection to districts that have fewer than 10.0 pupils per
 24 square mile, as determined by the department, or that have greater
 25 than 250 square miles.

26 (5) The funds allocated under subsection (4) are allocated as
 27 follows:

28 (a) An amount equal to ~~\$6,373,700.00~~**\$7,022,900.00** is
 29 allocated to districts with fewer than 8.0 pupils per square mile,



as determined by the department, on an equal per-pupil basis.

(b) The balance of the funding under subsection (4) is allocated as follows:

(i) For districts with at least 8.0 but fewer than 9.0 pupils per square mile, as determined by the department, the allocation is an amount per pupil equal to 75% of the per-pupil amount allocated to districts under subdivision (a).

(ii) For districts with at least 9.0 but fewer than 10.0 pupils per square mile, as determined by the department, the allocation is an amount per pupil equal to 50% of the per-pupil amount allocated to districts under subdivision (a).

(iii) For districts that have greater than 250 square miles, have at least 10.0 pupils per square mile, and do not receive funding under subsection (2), as determined by the department, the allocation is an amount per pupil equal to 100% of the per-pupil amount allocated to districts under subdivision (a).

(c) If the total funding allocated under subdivision (b) is insufficient to fully fund payments as calculated under that subdivision, the department shall prorate payments to districts under subdivision (b) on an equal per-pupil basis. If funding allocated under subdivision (b) remains unallocated after making calculations under that subdivision, the department may provide the remaining unallocated funding on an equal per-pupil basis to districts receiving funding under subdivision (b) (i) and (ii).

(6) Subject to subsection (7), from the allocation under subsection (1), there is allocated for ~~2025-2026~~**2026-2027** an amount not to exceed ~~\$554,800.00~~**\$611,300.00** for payments under this subsection to districts where each school building operated by the district is located on an island that is accessible by bridge.



(7) A district receiving funds allocated under subsection (2) is not eligible for funding allocated under subsection (4) or (6). A district receiving funds allocated under subsection (6) is not eligible for funding under subsection (2) or (4).

Sec. 22~~l~~. (1) From the school transportation fund money appropriated under section 11, there is allocated for ~~2025-2026~~ **2026-2027** only an amount not to exceed \$125,000,000.00 to districts and intermediate districts for transportation costs. Funding for each district or intermediate district is as follows:

(a) The department must assign each district and intermediate district to an octile based on the number of riders per square mile and calculate the median cost per rider for each octile.

(b) Funds must be distributed to each district and intermediate district as follows:

(i) An initial amount at the lesser of the octile's median cost per rider or the actual transportation cost per general education rider at the district or intermediate district.

(ii) An additional amount for districts and intermediate districts that have outlier costs per rider that are deemed reasonable, as determined by the department.

(c) If funds are insufficient to fully fund payments under this section, payments may be prorated on an equal percentage basis.

~~(2) In addition to the funds allocated under subsection (1), from the school transportation fund money appropriated under section 11, there is allocated for 2022-2023 only an amount not to exceed \$200,000.00 to an intermediate district for a study on district transportation costs. The intermediate district receiving funds under this subsection must submit a report to the department,~~



~~the state budget director, the house and senate appropriations subcommittees on school aid, and the house and senate fiscal agencies by February 29, 2024 on the outcomes of the study under this subsection. Notwithstanding section 18a, funds allocated under this subsection may be available for expenditure until September 30, 2026. A recipient of funding under this subsection must return any unexpended funds to the department in a manner prescribed by the department by not later than October 30, 2026.~~

(2) ~~(3)~~—To remain eligible for funding under subsection (1), by not later than December 1 of the current fiscal year, a school district must submit, in a form and manner determined by the department, to their intermediate district, and a public school academy must submit, in a form and manner determined by the department, to the intermediate district in which the public school academy is located, the number of nonpublic school students the district expects to transport as required under section 1321 of the revised school code, MCL 380.1321. Intermediate districts shall submit this information to the department by not later than February 1.

(3) ~~(4)~~—The department shall compile the reports provided by intermediate districts under subsection ~~(3)~~ **(2)** into 1 legislative report. The department shall provide this report not later than March 1 of each fiscal year for which funding is allocated under this section to the house and senate subcommittees responsible for school aid, the house and senate fiscal agencies, and the state budget director.

(4) ~~(5)~~—Notwithstanding section 17b, the department shall make payments under this section on a schedule determined by the department.



1 Sec. 22m. (1) From the state school aid fund money
2 appropriated in section 11, there is allocated for ~~2025-2026~~**2026-**
3 **2027** an amount not to exceed \$3,500,000.00 for supporting the
4 integration of local data systems into the Michigan data hub
5 network based on common standards and applications that are in
6 compliance with section 19(6). ~~In addition, from the state school~~
7 ~~aid fund money appropriated in section 11, there is allocated for~~
8 ~~2025-2026 only an amount not to exceed \$1,500,000.00 for the~~
9 ~~purposes of this section.~~

10 (2) An entity that is the fiscal agent for no more than 5
11 consortia of intermediate districts that previously received
12 funding from the technology readiness infrastructure grant under
13 former section 22i for the purpose of establishing regional data
14 hubs that are part of the Michigan data hub network is eligible for
15 funding under this section.

16 (3) The center shall work with an advisory committee composed
17 of representatives from intermediate districts within each of the
18 data hub regions to coordinate the activities of the Michigan data
19 hub network.

20 (4) The center, in collaboration with the Michigan data hub
21 network, shall determine the amount of funds distributed under this
22 section to each participating regional data hub within the network,
23 based upon a competitive grant process. The center shall ensure
24 that the entities receiving funding under this section represent
25 geographically diverse areas in this state.

26 (5) Notwithstanding section 17b, the department shall make
27 payments under this section on a schedule determined by the center.

28 (6) To receive funding under this section, a regional data hub
29 must have a governance model that ensures local control of data,



1 data security, and student privacy issues. The integration of data
2 within each of the regional data hubs must provide for the
3 actionable use of data by districts and intermediate districts
4 through common reports and dashboards and for efficiently providing
5 information to meet state and federal reporting purposes.

6 (7) Participation in a data hub region in the Michigan data
7 hub network under this section is voluntary and is not required.

8 (8) Entities receiving funding under this section shall use
9 the funds for all of the following:

10 (a) Creating an infrastructure that effectively manages the
11 movement of data between data systems used by intermediate
12 districts, districts, and other educational organizations in
13 Michigan based on common data standards to improve student
14 achievement.

15 (b) Utilizing the infrastructure to put in place commonly
16 needed integrations, reducing cost and effort to do that work while
17 increasing data accuracy and usability.

18 (c) Promoting the use of a more common set of applications by
19 promoting systems that integrate with the Michigan data hub
20 network.

21 (d) Promoting 100% district adoption of the Michigan data hub
22 network.

23 (e) Ensuring local control of data, data security, and student
24 data privacy.

25 (f) Utilizing the infrastructure to promote the actionable use
26 of data through common reports and dashboards that are consistent
27 statewide.

28 (g) Creating a governance model to facilitate sustainable
29 operations of the infrastructure in the future, including



1 administration, legal agreements, documentation, staffing, hosting,
2 and funding.

3 (h) Evaluating future data initiatives at all levels to
4 determine whether the initiatives can be enhanced by using the
5 standardized environment in the Michigan data hub network.

6 (9) By not later than January 1 of each fiscal year, the
7 center shall prepare a summary report of information provided by
8 each entity that received funds under this section that includes
9 measurable outcomes based on the objectives described under this
10 section and a summary of compiled data from each entity to provide
11 a means to evaluate the effectiveness of the project. The center
12 shall submit the report to the house and senate appropriations
13 subcommittees on school aid and to the house and senate fiscal
14 agencies.

15 Sec. 22s. (1) The general pupil support reserve fund is
16 created as a separate account within the state school aid fund to
17 fund programs described in ~~section~~**sections 30d, 31aa, and 99h**. It
18 is the intent of the legislature that money in the general pupil
19 support reserve fund will be used to support the above ~~program~~
20 **programs** for 2025-2026, 2026-2027, and 2027-2028.

21 (2) The state treasurer may receive money or other assets from
22 any source for deposit into the general pupil support reserve fund.
23 The state treasurer shall direct the investment of the general
24 pupil support reserve fund. The state treasurer shall credit to the
25 general pupil support reserve fund interest and earnings from
26 general pupil support reserve fund investments.

27 (3) Money in the general pupil support reserve fund at the
28 close of the fiscal year remains in the general pupil support
29 reserve fund and does not lapse to the state school aid fund.



(4) The department of treasury is the administrator of the general pupil support reserve fund for auditing purposes.

(5) Money available in the general pupil support reserve fund must not be expended without a specific appropriation.

(6) For the fiscal year ending September 30, ~~2026~~**2027** only, ~~\$1,800,000.00~~**\$12,000,000.00** from the ~~general~~**educator fellowship private provider** fund **under section 27e** is deposited into the general pupil support reserve fund.

Sec. 24. (1) From the state school aid fund money appropriated in section 11, there is allocated for ~~2025-2026~~**2026-2027** an amount not to exceed \$7,650,000.00 for payments to the educating district or intermediate district for educating pupils assigned by a court or the department of health and human services to reside in or to attend a juvenile detention facility or child caring institution licensed by the department of health and human services and approved by the department to provide an on-grounds education program. The amount of the payment under this section to a district or intermediate district is calculated as prescribed under subsection (2).

(2) The department shall allocate the total amount allocated under this section by paying to the educating district or intermediate district an amount equal to the lesser of the district's or intermediate district's added cost or the department's approved per-pupil allocation for the district or intermediate district. For the purposes of this subsection:

(a) "Added cost" means 100% of the added cost each fiscal year for educating all pupils assigned by a court or the department of health and human services to reside in or to attend a juvenile detention facility or child caring institution licensed by the



1 department of health and human services or the department of
2 licensing and regulatory affairs and approved by the department to
3 provide an on-grounds education program. Added cost is computed by
4 deducting all other revenue received under this article for pupils
5 described in this section from total costs, as approved by the
6 department, in whole or in part, for educating those pupils in the
7 on-grounds education program or in a program approved by the
8 department that is located on property adjacent to a juvenile
9 detention facility or child caring institution. Costs reimbursed by
10 federal funds are not included.

11 (b) "Department's approved per-pupil allocation" for a
12 district or intermediate district is determined by dividing the
13 total amount allocated under this section for a fiscal year by the
14 full-time equated membership total for all pupils approved by the
15 department to be funded under this section for that fiscal year for
16 the district or intermediate district.

17 (3) A district or intermediate district educating pupils
18 described in this section at a residential child caring institution
19 may operate, and receive funding under this section for, a
20 department-approved on-grounds educational program for those pupils
21 that is longer than 181 days, but not longer than 233 days, if the
22 child caring institution was licensed as a child caring institution
23 and offered in 1991-92 an on-grounds educational program that was
24 longer than 181 days but not longer than 233 days and that was
25 operated by a district or intermediate district.

26 (4) Special education pupils funded under section 53a are not
27 funded under this section.

28 Sec. 24a. From the state school aid fund money appropriated in
29 section 11, there is allocated an amount not to exceed



1 \$1,355,700.00 for ~~2025-2026~~**2026-2027** for payments to intermediate
2 districts for pupils who are placed in juvenile justice service
3 facilities operated by the department of health and human services.
4 The amount of the payment to each intermediate district is an
5 amount equal to the state share of those costs that are clearly and
6 directly attributable to the educational programs for pupils placed
7 in facilities described in this section that are located within the
8 intermediate district's boundaries. The intermediate districts
9 receiving payments under this section shall cooperate with the
10 department of health and human services to ensure that all funding
11 allocated under this section is utilized by the intermediate
12 district and department of health and human services for
13 educational programs for pupils described in this section. Pupils
14 described in this section are not eligible to be funded under
15 section 24. However, a program responsibility or other fiscal
16 responsibility associated with these pupils must not be transferred
17 from the department of health and human services to a district or
18 intermediate district unless the district or intermediate district
19 consents to the transfer.

20 Sec. 25f. (1) From the state school aid fund money
21 appropriated in section 11, there is allocated an amount not to
22 exceed \$1,600,000.00 for ~~2025-2026~~**2026-2027** for payments to strict
23 discipline academies and qualified districts, as provided under
24 this section.

25 (2) To receive funding under this section, a strict discipline
26 academy or qualified district must first comply with section 25e
27 and use the pupil transfer process described in that section for
28 changes in enrollment as prescribed under that section and apply
29 annually for funding under section 24.



(3) The total amount allocated to a strict discipline academy or qualified district under this section is equal to the strict discipline academy's or qualified district's pupil membership in the immediately preceding year multiplied by an amount calculated by dividing the total allocation under this section by the total pupil membership for eligible strict discipline academies and qualified districts in the immediately preceding year. However, the sum of the amounts received by a strict discipline academy or qualified district under this section and under section 24 must not exceed the product of the strict discipline academy's or qualified district's per-pupil allocation calculated under section 20 multiplied by the strict discipline academy's or qualified district's full-time equated membership. The department shall allocate funds to strict discipline academies and qualified districts under this section on a monthly basis.

(4) Special education pupils funded under section 53a are not funded under this section.

(5) The department shall make payments to strict discipline academies and qualified districts under this section according to the payment schedule under section 17b.

(6) For purposes of this section, the pupil membership for the current fiscal year for a qualified district is the actual number of pupils that are in the custody of a county juvenile agency as described in subsection (7) (a).

(7) As used in this section:

(a) "Qualified district" means a public school academy that is not a strict discipline academy that enrolls individuals who are in the custody of a county juvenile agency to which both of the following are applicable:



(i) The agency had custody of individuals who were enrolled in a strict discipline academy in the 2020-2021 school year.

(ii) The strict discipline academy that the individuals described in subparagraph (i) were enrolled in subsequently closed.

(b) "Strict discipline academy" means a public school academy established under sections 1311b to 1311m of the revised school code, MCL 380.1311b to 380.1311m.

Sec. 26a. From the state school aid fund money appropriated in section 11, there is allocated an amount not to exceed \$14,000,000.00 for 2025-2026 to reimburse districts and intermediate districts under section 12 of the Michigan renaissance zone act, 1996 PA 376, MCL 125.2692, for taxes levied in ~~2024~~.

2025. From the state school aid fund money appropriated in section 11, there is allocated an amount not to exceed \$14,000,000.00 for 2026-2027 to reimburse districts and intermediate districts under section 12 of the Michigan renaissance zone act, 1996 PA 376, MCL 125.2692, for taxes levied in 2026. The department shall pay the allocations by not later than 60 days after the department of treasury certifies to the department and to the state budget director that the department of treasury has received all necessary information to properly determine the amounts due to each eligible recipient.

Sec. 26b. (1) From the state school aid fund money appropriated in section 11, there is allocated an amount not to exceed \$5,549,000.00 for ~~2025-2026~~ **2026-2027** for payments to districts, intermediate districts, and community college districts for the portion of the payment in lieu of taxes obligation that is attributable to districts, intermediate districts, and community college districts under section 2154 of the natural resources and



1 environmental protection act, 1994 PA 451, MCL 324.2154.

2 (2) If the amount appropriated under this section is
3 insufficient to fully pay obligations under this section, payments
4 are prorated on an equal basis among all eligible districts,
5 intermediate districts, and community college districts.

6 Sec. 26c. (1) From the state school aid fund money
7 appropriated under section 11, ~~there is allocated an amount not to~~
8 ~~exceed \$37,700,000.00 for 2024-2025 and there is allocated an~~
9 ~~amount not to exceed \$43,300,000.00 for 2025-2026~~ **there is**
10 **allocated an amount not to exceed \$48,300,000.00 for 2026-2027** to
11 the promise zone fund created in subsection (3). The funds
12 allocated under this section reflect the amount of revenue from the
13 collection of the state education tax captured under section 17 of
14 the Michigan promise zone authority act, 2008 PA 549, MCL 390.1677.

15 (2) Funds allocated to the promise zone fund under this
16 section must be used solely for payments to eligible districts and
17 intermediate districts, in accordance with section 17 of the
18 Michigan promise zone authority act, 2008 PA 549, MCL 390.1677,
19 that have a promise zone development plan approved by the
20 department of treasury under section 7 of the Michigan promise zone
21 authority act, 2008 PA 549, MCL 390.1667. Eligible districts and
22 intermediate districts shall use payments made under this section
23 for reimbursement for qualified educational expenses as that term
24 is defined in section 3 of the Michigan promise zone authority act,
25 2008 PA 549, MCL 390.1663.

26 (3) The promise zone fund is created as a separate account
27 within the state school aid fund to be used solely for the purposes
28 of the Michigan promise zone authority act, 2008 PA 549, MCL
29 390.1661 to 390.1679. All of the following apply to the promise



1 zone fund:

2 (a) The state treasurer shall direct the investment of the
3 promise zone fund. The state treasurer shall credit to the promise
4 zone fund interest and earnings from fund investments.

5 (b) Money in the promise zone fund at the close of a fiscal
6 year remains in the promise zone fund and does not lapse to the
7 general fund.

8 (4) Subject to subsection (2), the state treasurer may make
9 payments from the promise zone fund to eligible districts and
10 intermediate districts under the Michigan promise zone authority
11 act, 2008 PA 549, MCL 390.1661 to 390.1679, to be used for the
12 purposes of a promise zone authority created under that act.

13 (5) Notwithstanding section 17b, the department shall make
14 payments under this section on a schedule determined by the
15 department.

16 Sec. 26d. (1) From the state school aid fund money
17 appropriated under section 11, there is allocated an amount not to
18 exceed ~~\$14,400,000.00~~ **\$19,000,000.00** for 2025-2026 **and an amount**
19 **not to exceed \$21,800,000.00 for 2026-2027** for reimbursements to
20 intermediate districts as required under section 15b of the
21 brownfield redevelopment financing act, 1996 PA 381, MCL 125.2665b.

22 (2) The amounts reimbursed under subsection (1) must be used
23 by the intermediate district only for the purposes for which the
24 property taxes were originally levied.

25 (3) The Michigan strategic fund and the Michigan economic
26 development corporation shall work with the department of treasury
27 in identifying the amount of tax revenues that are to be reimbursed
28 under subsection (1).

29 (4) Notwithstanding section 17b, the department of treasury



1 shall make payments under this section on a schedule determined by
2 the department of treasury.

3 Sec. 27a. (1) From the educator fellowship public provider
4 fund money appropriated in section 11, there is allocated for ~~2025-~~
5 ~~2026-2026-2027~~ an amount not to exceed \$10,000,000.00, from the
6 state school aid fund money appropriated in section 11, there is
7 allocated for ~~2025-2026-2026-2027~~ an amount not to exceed
8 \$10,000,000.00, and from the general fund money appropriated in
9 section 11, there is allocated for ~~2025-2026-2026-2027~~ **only** an
10 amount not to exceed \$5,000,000.00 for the MI future educator
11 fellowship program. The funds allocated under this section must be
12 used to offset tuition costs for individuals who are working toward
13 earning their initial teacher certification. At the close of the
14 fiscal year, money allocated under this section that is unspent
15 must be deposited as follows:

16 (a) For state school aid fund money, into the educator
17 fellowship public provider fund in section 27d.

18 (b) For general fund money, into the educator fellowship
19 private provider fund in section 27e.

20 (2) To establish initial eligibility for an award from funding
21 under this section, an individual must meet all of the following
22 conditions by the date of enrollment described in subdivision

23 ~~(b)~~ **(a)** :

24 ~~(a) Have graduated from high school with a diploma or~~
25 ~~certificate of completion or achieved a high school equivalency~~
26 ~~certificate.~~

27 **(a)** ~~(b)~~ Be admitted to an eligible educator preparation
28 program; be working toward a teacher certification; be enrolled in
29 enough coursework to be considered enrolled full-time during the



1 academic year, as determined by the student's educator preparation
 2 program, or the equivalent of full-time participation for
 3 individuals enrolled in an alternative certification program, as
 4 defined by the department; and, for students at institutions of
 5 higher education, be considered at least a junior-level student, as
 6 determined by the institution of higher education.

7 **(b)** ~~(e)~~—Not have previously earned a teacher certification.

8 **(c)** ~~(d)~~—Timely complete a grant application in a form and
 9 manner prescribed by the department of lifelong education,
 10 advancement, and potential.

11 **(d)** ~~(e)~~—Timely file the Free Application for Federal Student
 12 Aid for the enrollment period described in subdivision ~~(b)~~ **(a)**.

13 **(e)** ~~(f)~~—Timely apply for all available gift aid for the
 14 enrollment period described in subdivision ~~(b)~~ **(a)**.

15 **(f)** ~~(g)~~—Agree to repay any funds received from funding under
 16 this section if the individual does not maintain enrollment in
 17 their educator preparation program, the individual does not
 18 successfully complete their educator program, or the individual
 19 does not complete the work requirement described in subsection (7).

20 **(g)** ~~(h)~~—Have a high school or college grade point average of
 21 at least 3.0.

22 **(h)** ~~(i)~~—Be a resident of this state, as determined for
 23 purposes of the Free Application for Federal Student Aid.

24 (3) To establish continuing eligibility for an award under
 25 this section at an eligible educator preparation program, an
 26 individual must meet all of the following conditions:

27 (a) Maintain full-time continuous enrollment in an eligible
 28 educator preparation program, as determined by the educator
 29 preparation program, or the equivalent of full-time participation



1 for individuals enrolled in an alternative certification program,
2 as defined by the department, excluding any period of time missed
3 due to a medical or other emergency, as determined by the
4 department of lifelong education, advancement, and potential.

5 (b) Maintain satisfactory academic progress, including a grade
6 point average of at least 3.0, in courses provided by the eligible
7 educator preparation program and meet requirements established by
8 the eligible educator preparation program.

9 (c) Participate in relevant academic and career advising
10 programs offered by the eligible educator preparation program.

11 (d) Timely file the Free Application for Federal Student Aid
12 for each academic year in which the individual receives an award
13 from funding under this section.

14 (e) Timely apply for all available gift aid for each academic
15 year in which the individual applies for funding under this
16 section.

17 (f) Maintain residency in this state, as determined for
18 purposes of the Free Application for Federal Student Aid.

19 (4) An award under this section must not exceed \$10,000.00 per
20 academic year or the cost of tuition at the eligible educator
21 preparation program attended, whichever is less. As used in this
22 subsection, the cost of tuition at an educator preparation program
23 that is an institution of higher education is the in-district
24 resident rate plus other required fees, as determined by the
25 department of lifelong education, advancement, and potential; and
26 the cost of tuition at an educator preparation program that is an
27 alternative certification provider is the cost of tuition plus
28 other required fees, as determined by the department of lifelong
29 education, advancement, and potential.



1 (5) Awards under this section must be distributed to eligible
2 educator preparation programs on behalf of an eligible recipient on
3 a timeline determined by the department of lifelong education,
4 advancement, and potential.

5 (6) Pending available funds, applicants may renew their award
6 for up to 3 years, or until program completion, whichever comes
7 first.

8 (7) To be an eligible recipient of fellowship funding under
9 this section, an individual must pledge to work as a certified
10 teacher in a public school, ~~or a nonpublic school~~, a qualifying
11 public preschool program, **or a qualifying nonpublic preschool**
12 **program** in this state and must meet 1 of the following work
13 requirements:

14 (a) For a recipient of funding under this section who received
15 an award for 1 academic year, 3 years of work as a certified
16 teacher in a public school, ~~or a nonpublic school~~, a qualifying
17 public preschool program, **or a qualifying nonpublic preschool**
18 **program** in this state.

19 (b) For a recipient of funding under this section who received
20 an award for 2 academic years, 4 years of work as a certified
21 teacher in a public school, ~~or a nonpublic school~~, a qualifying
22 public preschool program, **or a qualifying nonpublic preschool**
23 **program** in this state.

24 (c) For a recipient of funding under this section who received
25 an award for 3 academic years, 5 years of work as a certified
26 teacher in a public school, ~~or a nonpublic school~~, a qualifying
27 public preschool program, **or a qualifying nonpublic preschool**
28 **program** in this state.

29 (d) For a recipient working in a critical needs district, 3



1 years of work as a certified teacher. As used in this subdivision,
2 "critical needs district" means a district with a median household
3 income in the lowest quartile in each prosperity region, as
4 determined by the department.

5 (8) If an award recipient does not maintain enrollment in
6 their educator preparation program as required under subsection
7 (3)(a), does not successfully complete their educator preparation
8 program, or does not meet the work requirement described in
9 subsection (7), any amount received from funds under this section
10 converts to a 0% interest loan that must be repaid to this state
11 within 10 years, plus any deferment period as determined and
12 approved by the department of lifelong education, advancement, and
13 potential. The amount of repayment must be reduced proportionate to
14 the number of years worked in **public** schools, ~~or nonpublic schools,~~
15 qualifying public preschool programs, **or qualifying nonpublic**
16 **preschool programs** in this state as a certificated teacher out of 5
17 years. The department of lifelong education, advancement, and
18 potential shall develop guidance to enforce this subsection.

19 (9) An individual may not concurrently receive funding through
20 programs funded under this section and ~~grow your own~~ programs
21 funded under section 27b.

22 (10) If the amount allocated in subsection (1) is insufficient
23 to fully fund awards under this section, there is appropriated from
24 the educator fellowship public provider fund in section 27d or the
25 educator fellowship private provider fund in section 27e, as
26 applicable, the amount necessary to fully fund these programs. The
27 state budget director shall provide notification to the house and
28 senate appropriations subcommittees on K to 12 school aid and the
29 house and senate fiscal agencies for any additional appropriation



1 described under this subsection.

2 (11) Notwithstanding section 17b, the department of lifelong
3 education, advancement, and potential shall make payments under
4 this section on a schedule determined by the department of lifelong
5 education, advancement, and potential.

6 (12) The department of lifelong education, advancement, and
7 potential shall report to the chairpersons of the house
8 appropriations subcommittee on school aid and education and the
9 senate appropriations subcommittee on pre-K to 12 by February 15 of
10 the current fiscal year. The report must include the following:

11 (a) The number and amount of awards granted in the previous
12 fiscal year.

13 (b) The number of recipients in the previous fiscal year that
14 had their awards converted to loans under subsection (8).

15 (13) As used in this section, "eligible educator preparation
16 program" means a public or nonpublic institution of higher
17 education or an alternative route provider that meets all of the
18 following, as applicable:

19 (a) Is approved by the department to offer teacher preparation
20 programming.

21 (b) Enrolls 1 or more future educator fellowship recipients.

22 (c) Has not been deemed as ineligible to receive Michigan
23 achievement scholarship funding under section 248 as a result of
24 exceeding tuition restraint requirements described in section 248.

25 **(d) Includes, as part of its required educator preparation**
26 **coursework, pedagogical methods grounded in the science of reading.**
27 **If an educator preparation program does not include pedagogical**
28 **methods grounded in the science of reading, the program may**
29 **maintain eligibility by providing to the department of lifelong**



1 **education, advancement, and potential a detailed public plan, in a**
 2 **form and manner determined by the department of lifelong education,**
 3 **advancement, and potential, to comply with section 1531e of the**
 4 **revised school code, MCL 380.1531e, by not later than September 30,**
 5 **2027.**

6 Sec. 27b. (1) From the state school aid fund money
 7 appropriated in section 11, there is allocated for 2025-2026 only
 8 an amount not to exceed \$70,000,000.00 to districts, intermediate
 9 districts, and consortia of intermediate districts for grow your
 10 own programs and educator development programs as described in this
 11 section and subject to subsection (5), **and there is allocated for**
 12 **2026-2027 only an amount not to exceed \$25,000,000.00 to districts,**
 13 **intermediate districts, and consortia of intermediate districts for**
 14 **grow your own programs, educator workforce innovation programs, and**
 15 **educator development and retention programs as described in this**
 16 **section.**

17 (2) The department shall establish a competitive grant process
 18 to distribute funds under this section. A district, intermediate
 19 district, or consortium of intermediate districts must apply for
 20 funds in a form and manner prescribed by the department. As part of
 21 the application described in this subsection, a district,
 22 intermediate district, or consortium of intermediate districts must
 23 submit the following information and assurances:

24 (a) Demonstrated need for funding in the district,
 25 intermediate district, or consortium of intermediate districts or
 26 the broader community, including projected workforce needs, and a
 27 proposed spending plan on how the funds will be ~~utilized~~**used** that
 28 includes, but is not limited to, **administrative costs**, expected
 29 tuition, fees, and books for the program. **Funds used for**



1 administrative costs must not exceed 10% of funds received through
 2 an award under this section. As used in this subdivision,
 3 "administrative costs" includes only costs associated with teacher
 4 recruitment, retention, development, innovation, and evaluation.

5 (b) Number of support staff projected to participate in a
 6 program described in this section.

7 (c) The planned activities for programs described in this
 8 section.

9 (d) Projected outcomes of programs described in this section,
 10 which must include, but are not limited to, the following:

11 (i) Teacher and school leader retention and satisfaction.

12 (ii) Teacher and school leader efficacy.

13 (iii) Anticipated school or district partners, evidenced by
 14 signed partnership agreements.

15 (iv) Beginning in 2026-2027, demonstration of addressing
 16 projected workforce needs.

17 (e) Assurances that the programs described in this section
 18 will be no cost for participants and that participants will be
 19 compensated as an employee for the duration of their training,
 20 including a paid residency, fellowship, or student teaching.

21 (f) Beginning in 2026-2027, assurances that any educator
 22 preparation program partnering with the district, intermediate
 23 district, or consortium of intermediate districts to support a grow
 24 your own program under this section satisfies at least 1 of the
 25 following:

26 (i) Is approved by the department for the preparation of
 27 teachers in this state.

28 (ii) Satisfies both of the following:

29 (A) Holds national accreditation from the Council for the



1 **Accreditation of Education Preparation or the Association for**
 2 **Advancing Quality in Educator Preparation.**

3 **(B) Leads to licensure in this state.**

4 (3) Recipients of grants under this section must submit
 5 performance reports to the department not less than twice per year.
 6 Each report must include the following information:

7 **(a)** ~~(i)~~—The number of program participants served and retention
 8 in the program or district.

9 **(b)** ~~(ii)~~—Qualitative and quantitative participant feedback.

10 **(c)** ~~(iii)~~—Evidence of efficacy and progress toward projected
 11 outcomes.

12 (4) The department shall ensure that all performance reports
 13 required under subsection (3) are made publicly available on the
 14 department's website.

15 (5) ~~Grant~~ **For 2025-2026 only, grant** awards under this section
 16 must be structured into 3 tiers, as described in subsections (6),
 17 (8), and (11). **Beginning in 2026-2027, grant awards under this**
 18 **section must be structured into 4 tiers, as described in**
 19 **subsections (6), (8), (11), and (14), or be used for the purposes**
 20 **described in subsection (17).** All programs funded under this
 21 section must address a measurable and critical problem related to
 22 the health and efficacy of this state's education talent working in
 23 Michigan schools and be data- and research-driven, demonstrating
 24 effectiveness against intended and measurable outcomes.

25 (6) ~~Funding~~ **For 2025-2026 only, funding** for tier 1 grant
 26 awards must not exceed \$50,000,000.00, unless otherwise directed by
 27 the legislature. ~~The~~ **In 2025-2026, the** department shall allocate at
 28 least 1 tier 1 grant of not less than \$40,000,000.00. ~~Tier~~ **For**
 29 **2026-2027 only, funding for tier 1 grant awards must not exceed**



1 **\$8,000,000.00. Tier** 1 grants must sustain or further scale ~~grow~~
 2 ~~your own programs or educator development~~ programs that meet all of
 3 the following criteria, **as applicable:**

4 (a) ~~Have~~ **For 2025-2026 only, have** been in operation in this
 5 state for at least 5 years, and evaluated for at least 2 years by a
 6 rigorous, independent Michigan-based evaluator, and results of the
 7 program have been made publicly available.

8 (b) ~~Have~~ **For 2025-2026 only, have** at least 2 consecutive years
 9 of public financial audits of the program with no material
 10 findings.

11 (c) ~~Demonstrate~~ **For 2025-2026 only, demonstrate** broad
 12 geographic reach and investment into teachers and school leaders at
 13 every experience level, in partnerships established with not fewer
 14 than 15 local education agencies across both urban and rural
 15 regions, that extend back to the start of the 2023-2024 school
 16 year, bound by written agreements that include data sharing with an
 17 independent evaluator for evaluation purposes.

18 (d) ~~Generate~~ **For 2025-2026 only, generate** private matching
 19 funds.

20 (e) **For 2026-2027, have been in operation at least 3 years.**

21 (f) **For 2026-2027, demonstrate a proven track record of**
 22 **success, as evidenced by internal data showing both of the**
 23 **following:**

24 (i) **High rates of educator retention within the program, the**
 25 **profession, or participating districts after program completion.**

26 (ii) **Active and ongoing engagement and formal partnership with**
 27 **school districts in each of the state's intermediate districts.**

28 (g) **For 2026-2027, operate as a statewide program,**
 29 **demonstrating the ability to serve a geographically diverse**



1 **population, including both urban and rural areas.**

2 **(h) For 2026-2027, have a demonstrated track record of**
 3 **receiving private philanthropic or corporate funding.**

4 (7) Notwithstanding section 18a, funds allocated **in 2025-2026**
 5 for programs described in subsection (6) may be available for
 6 expenditure until September 30, 2029. A recipient of funding for a
 7 program described in subsection (6) must return any unexpended
 8 funds to the department in a manner prescribed by the department by
 9 not later than October 30, 2029.

10 (8) Tier 2 grants must scale or sustain ~~grow your own programs~~
 11 ~~or educator development programs~~ that meet all of the following
 12 criteria, **as applicable:**

13 (a) ~~Have~~ **For 2025-2026 only, have** been in operation for at
 14 least 3 years.

15 (b) ~~Demonstrate~~ **For 2025-2026 only, demonstrate** promising
 16 internal results, but are not yet supported by an independent
 17 evaluation.

18 (c) ~~Serve~~ **For 2025-2026 only, serve** a geographically diverse
 19 population, including both urban and rural areas.

20 (d) Have a demonstrated track record of receiving private
 21 philanthropic or corporate funding.

22 **(e) For 2026-2027, have been in operation for at least 4**
 23 **years.**

24 **(f) For 2026-2027, be a Michigan-based nonprofit organization**
 25 **organized under section 501(c)(3) of the internal revenue code, 26**
 26 **USC 501.**

27 **(g) For 2026-2027, serve both K to 12 and the early childhood**
 28 **educator pipelines in a geographically diverse population,**
 29 **including both urban and rural areas.**



1 (h) For 2026-2027, demonstrate promising internal results and
2 have contracted with a third-party research agency.

3 (i) For 2026-2027, have a demonstrated track record of
4 launching grow your own programs with more than 100 participants in
5 geographically diverse areas of the state.

6 (j) For 2026-2027, have partnered with at least 9 districts
7 and a national nonprofit strategic staffing organization to adopt
8 innovative staffing models, including strategic staffing.

9 (k) For 2026-2027, have led at least 1 program that develops
10 school district talent leaders with national best practices and is
11 degree-granting.

12 (l) For 2026-2027, have partnered with at least 5 of this
13 state's educator preparation programs to improve teacher
14 preparation, teacher candidate experience, and outcomes.

15 (9) ~~Grant~~ For 2025-2026 only, grant awards for programs
16 described in subsection (8) must not exceed \$12,500,000.00 per
17 year. For 2026-2027 only, funding for tier 2 grant awards must not
18 exceed \$8,000,000.00.

19 (10) Notwithstanding section 18a, funds allocated in 2025-2026
20 for programs described in subsection (8) may be available for
21 expenditure until September 30, 2027. A recipient of funding in
22 2025-2026 for a program described in subsection (8) must return any
23 unexpended funds to the department in a manner prescribed by the
24 department by not later than October 30, 2027.

25 (11) Tier 3 grants must ~~fund pilot-stage or early-stage~~ scale
26 or sustain ~~grow your own programs or educator development~~ programs
27 that meet all of the following criteria, as applicable:

28 (a) ~~Have~~ For 2025-2026 only, have been in operation for fewer
29 than 2 years.



1 (b) ~~Do~~**For 2025-2026 only, do** not yet have independent
2 evaluation data available.

3 (c) ~~Are~~**For 2025-2026 only, are** limited in scope or geography.

4 (d) ~~Include~~**For 2025-2026 only, include** a documented path to
5 scale or expand the program to serve more educators or additional
6 districts.

7 (e) **For 2026-2027, have been in operation for at least 3**
8 **years.**

9 (f) **For 2026-2027, have an independent evaluation partnership**
10 **with promising results.**

11 (g) **For 2026-2027, are a regional consortium model led by an**
12 **intermediate district serving between 97,000 and 103,000 students,**
13 **partnering with not fewer than 35 districts and a regional educator**
14 **preparation program approved by the department for the preparation**
15 **of teachers in this state.**

16 (h) **For 2026-2027, include a documented path to deepen**
17 **regional impact or support replication of the program model in**
18 **additional regions of the state.**

19 (12) ~~Grant~~**For 2025-2026 only, grant** awards for programs
20 described in subsection (11) must not exceed \$5,000,000.00 per
21 year. **For 2026-2027 only, funding for tier 3 grant awards must not**
22 **exceed \$3,000,000.00.**

23 (13) Notwithstanding section 18a, funds allocated **in 2025-2026**
24 for programs described in subsection (11) may be available for
25 expenditure until September 30, 2027. A recipient of funding for a
26 program described in subsection (11) must return any unexpended
27 funds to the department in a manner prescribed by the department by
28 not later than October 30, 2027.

29 **(14) Beginning in 2026-2027, tier 4 grants must fund pilot-**



1 stage, early-stage, or small programs that meet both of the
 2 following criteria:

3 (a) Do not yet have independent evaluation data available.

4 (b) Are limited in scope or geography.

5 (15) ~~(14)~~ An individual may not concurrently receive funding
 6 for programs under this section and programs funded under sections
 7 27a and 27c.

8 (16) From the state school aid fund money allocated in
 9 subsection (1) for 2026-2027, an amount not to exceed \$3,000,000.00
 10 may be awarded by the department for school librarian specialist
 11 certification grants. These grants may be awarded to eligible
 12 programs that provide a pathway for individuals to receive a school
 13 librarian specialist (NQ) endorsement from the department. In
 14 awarding grants under this subsection, the department shall
 15 prioritize awards for applicants serving in schools that have
 16 libraries but do not have staff with a school librarian or
 17 equivalent endorsement.

18 (17) ~~(15)~~ Notwithstanding section 17b, the department shall
 19 make payments under this section by not later than December 15,
 20 ~~2025-2026~~.

21 Sec. 27c. (1) From the state school aid fund money
 22 appropriated in section 11, there is allocated \$30,000,000.00 for
 23 ~~2025-2026 and 2026-2027~~, from the educator fellowship public
 24 provider fund money appropriated in section 11, there is allocated
 25 \$20,000,000.00 for ~~2025-2026-2026-2027~~, and from the educator
 26 fellowship private provider fund money appropriated in section 11,
 27 there is allocated \$7,000,000.00 for 2026-2027 for the MI future
 28 educator student teacher stipend program. Except as otherwise
 29 provided in this section, the funds allocated under this section



1 must be paid to eligible educator preparation programs for payments
2 to eligible student teachers working in a district. At the close of
3 the fiscal year, state school aid fund money allocated under this
4 section that is unspent must be deposited into the educator
5 fellowship public provider fund in section 27d.

6 (2) An eligible student teacher under this subsection must
7 meet all of the following:

8 (a) The individual must be admitted to an eligible educator
9 preparation program, be working toward a teacher certification, and
10 be participating in required student teaching coursework. As used
11 in this subdivision, "required student teaching coursework" means
12 credit hours, or the program equivalent, required by an eligible
13 educator preparation program for successful completion of the
14 program. This coursework must include regular placement in a
15 district **or nonpublic school** where the student gains real-world,
16 first-hand experience working in a classroom, teaching students,
17 engaging in the day-to-day activities of a certified teacher, and
18 working daily under the guidance of a certified teacher.

19 (b) The individual must timely complete an application in a
20 form and manner prescribed by the department of lifelong education,
21 advancement, and potential. The application must include the
22 district **or nonpublic school** in which the individual is working as
23 a student teacher and must include a certification by the district
24 **or nonpublic school** and the individual's eligible educator
25 preparation program that the student is working as a student
26 teacher. If the individual's eligible educator preparation program
27 is not provided by a public institution of higher education, the
28 district **or nonpublic school** in which the individual is working
29 must also provide an assurance that they will forward any amount



1 received under this section from the department of lifelong
2 education, advancement, and potential for purposes of the program
3 described in this section to the individual's eligible educator
4 preparation program.

5 (c) The individual must not have received a payment from funds
6 under this subsection previously, unless the individual is enrolled
7 in an eligible educator preparation program that requires multiple
8 semesters of student teaching. An individual may receive not more
9 than 2 awards under this section.

10 (d) If an individual is employed by their district **or**
11 **nonpublic school** as a teacher of record, they are not eligible for
12 payment under this section.

13 (e) An individual that is a current City Year corps member
14 enrolled in an eligible educator preparation program is eligible
15 for payment under this section.

16 (3) The department of lifelong education, advancement, and
17 potential shall pay each eligible educator preparation program an
18 amount not to exceed \$9,600.00 per academic semester for each
19 eligible student teacher working in a district **or nonpublic school**.
20 If the individual's eligible educator preparation program is not
21 provided by a public institution of higher education, the
22 department of lifelong education, advancement, and potential shall
23 pay an amount not to exceed \$9,600.00 per academic semester to the
24 district **or nonpublic school** in which the individual is working as
25 a student teacher, and that district **or nonpublic school** must
26 forward the amount received to the individual's eligible educator
27 preparation program. It is intended that payments under this
28 subsection are made at the beginning of the semester in 1 lump sum
29 for eligible student teachers.



1 (4) Eligible educator preparation programs shall pay funds
2 received under this section, in entirety, to the eligible student
3 teacher.

4 (5) Notwithstanding section 17b, the department of lifelong
5 education, advancement, and potential shall make payments under
6 this section on a schedule determined by the department of lifelong
7 education, advancement, and potential.

8 (6) If the amount allocated in subsection (1) is insufficient
9 to fully fund awards under this section, there is appropriated from
10 the educator fellowship public provider fund in section 27d **and**
11 **from the educator fellowship private provider fund in section 27e**
12 the amount necessary to fully fund the programs described in this
13 section. The state budget director shall notify the house and
14 senate appropriations subcommittees on K to 12 school aid and the
15 house and senate fiscal agencies of any additional appropriation
16 described in this subsection.

17 (7) **Any funds provided to or on behalf of an individual who is**
18 **completing the required placement under subsection (2) at a**
19 **nonpublic school must be paid from the educator fellowship private**
20 **provider fund created under section 27e.**

21 (8) ~~(7)~~—As used in this section, "eligible educator
22 preparation program" means an institution of higher education that
23 meets all of the following:

24 (a) Is a public or private institution of higher education in
25 this state.

26 (b) Has an established school of education with an educator
27 preparation program approved by the department.

28 (c) Has not been deemed as ineligible to receive Michigan
29 achievement scholarship funding under section 248 as a result of



1 exceeding tuition restraint requirements described in section 248.

2 **(d) Includes, as part of its required educator preparation**
3 **coursework, pedagogical methods grounded in the science of reading.**
4 **If an educator preparation program does not meet this standard, the**
5 **program may maintain eligibility by providing to the department of**
6 **lifelong education, advancement, and potential a detailed public**
7 **plan, in a form and manner determined by the department of lifelong**
8 **education, advancement, and potential, to comply with section 1531e**
9 **of the revised school code, MCL 380.1531e, by not later than**
10 **September 30, 2027.**

11 Sec. 27d. (1) The educator fellowship public provider fund is
12 created as a separate account within the state school aid fund for
13 the purpose of improving the educator workforce through recruitment
14 efforts for students attending public educator preparation programs
15 **and through the provision of professional learning as described**
16 **under section 35a(10) .**

17 (2) The state treasurer may receive money or other assets from
18 any source for deposit into the educator fellowship public provider
19 fund. The state treasurer shall direct the investment of the
20 educator fellowship public provider fund. The state treasurer shall
21 credit to the educator fellowship public provider fund interest and
22 earnings from educator fellowship public provider fund investments.

23 (3) Money in the educator fellowship public provider fund at
24 the close of the fiscal year remains in the educator fellowship
25 public provider fund and does not lapse to the state school aid
26 fund.

27 (4) The department of treasury is the administrator of the
28 educator fellowship public provider fund for auditing purposes.

29 (5) The department of treasury shall expend money from the



educator fellowship public provider fund, upon appropriation, for the purposes described in section 27a for students admitted to public educator preparation programs, ~~and for the purposes described in section 27c, and for the purposes described in section 35a(10) .~~

Sec. 27j. (1) The student loan repayment assistance reserve fund is created as a separate account within the state school aid fund. ~~to provide supplemental funding for the student loan repayment assistance program in section 27k.~~

(2) The state treasurer may receive money or other assets from any source for deposit into the student loan repayment assistance reserve fund. The state treasurer shall direct the investment of the student loan repayment assistance reserve fund. The state treasurer shall credit to the student loan repayment assistance reserve fund interest and earnings from student loan repayment assistance reserve fund investments.

(3) Money in the student loan repayment assistance reserve fund at the close of the fiscal year ~~remains in the student loan repayment assistance reserve fund and does not lapse~~ **lapses** to the state school aid fund.

(4) The department of treasury is the administrator of the student loan repayment assistance reserve fund for auditing purposes.

(5) Money available in the student loan repayment assistance reserve fund must not be expended without a specific appropriation.

~~(6) At the close of each fiscal year, unspent funds from state sources allocated in section 27k must be deposited into the student loan repayment assistance reserve fund created in this section.~~

Sec. 27l. (1) From the state school aid fund money appropriated



in section 11, there is allocated ~~\$203,000,000.00~~ **\$150,000,000.00** for ~~2024-2025 only, and from the MPSERS obligation reform reserve fund money appropriated under section 11, there is allocated the remaining balance, estimated at \$147,300,000.00 for 2024-2025~~ **2026-2027** only to districts and intermediate districts ~~for the purposes of this section. The state school aid fund allocation in this section is conditional on the effective issuance of a directive by the state budget director, pursuant to section 451a of the management and budget act, 1984 PA 431, MCL 18.451a, to lapse all remaining funding from a work project that was established under section 27k in 2023-2024. The amount allocated from the state school aid fund under this section may not exceed the amount lapsed from the work project as described in the immediately preceding sentence.~~

~~(2) The state school aid fund money allocated in subsection (1) is allocated to districts and intermediate districts in an equal amount per pupil. Subject to subsection (3),~~ **(2)**, a district or intermediate district shall use all of the funding allocated under this subsection to increase compensation for educators in the district or intermediate district.

(2) ~~(3)~~ If there are 1 or multiple labor unions representing educators in the district or intermediate district, the district or intermediate district shall bargain any increases in compensation under subsection ~~(2)~~ **(1)** with those unions. All payments to educators made by districts or intermediate districts with funds allocated under subsection ~~(2)~~ **(1)** shall be in addition to any existing compensation negotiated in a collective bargaining agreement.

~~(4) The MPSERS obligation reform reserve fund money allocated~~



~~in subsection (1) is allocated for payments to participating entities to offset normal costs associated with retiree health benefits. The amount allocated to each participating entity under this subsection must be based on the participating entity's proportion of the total funding distributed in 2024-2025 under section 147g. Participating entities must use funding distributed under this subsection as an offset for normal costs associated with retiree health benefits.~~

(3) ~~(5)~~ Notwithstanding section 17b, the department shall make payments under this section on a schedule determined by the department.

~~(6) The funds allocated under this section for 2024-2025 are a work project appropriation, and any unexpended funds for 2024-2025 are carried forward into 2025-2026. The purpose of the work project is to increase compensation for educators and offset normal costs associated with retiree health care benefits. The estimated completion date of the work project is September 30, 2026.~~

(4) The funds appropriated under this section for payments to educators are 1-time bonus payments. Pursuant to section 3a(3) of the public school employees retirement act of 1979, 1980 PA 300, MCL 38.1303a, payments under this section are not considered compensation for retirement purposes and are not subject to member or employer contribution requirements under the Michigan public school employees' retirement system (MPSERS).

(5) ~~(7)~~ As used in this section, ÷

~~(a)~~ "Educator" includes, but is not limited to, teachers, librarians, speech therapists, language therapists, physical therapists, occupational therapists, school counselors, school social workers, school psychologists, school nurses,



1 paraprofessionals aids, food service workers, custodians, bus
 2 drivers, and literacy coaches. Educator also includes any other
 3 school employee covered under a collective bargaining agreement.

4 ~~(b) "Participating entity" means a district, intermediate~~
 5 ~~district, district library, or community college that is a~~
 6 ~~reporting unit of the Michigan public school employees' retirement~~
 7 ~~system under the public school employees retirement act of 1979,~~
 8 ~~1980 PA 300, MCL 38.1301 to 38.1437, and that reports employees to~~
 9 ~~the Michigan public school employees' retirement system for the~~
 10 ~~applicable fiscal year.~~

11 Sec. 27m. (1) ~~From the state school aid fund money~~
 12 ~~appropriated under section 11, there is allocated for 2023-2024~~
 13 ~~only, \$4,000,000.00~~ **Subject to the provisions in this subsection,**
 14 **and in addition to the funds appropriated in section 11, from the**
 15 **state school aid fund, there is appropriated and allocated an**
 16 **amount not to exceed \$2,500,000.00** to districts and intermediate
 17 districts to fund financial awards to eligible ~~Michigan~~ teachers
 18 who hold National Board Certification. **The appropriation and**
 19 **allocation under this subsection is contingent on the effective**
 20 **issuance of a directive by the budget director, pursuant to section**
 21 **451a of the management and budget act, 1984 PA 431, MCL 18.1451a,**
 22 **to lapse the remaining funding from a work project that was**
 23 **established under this section in 2023-2024. The amount allocated**
 24 **under this subsection may not exceed the amount lapsed from the**
 25 **work project referenced in the immediately preceding sentence.**

26 (2) A district or intermediate district must apply in a form
 27 and manner determined by the department. Awards must be granted as
 28 \$4,000.00 to all eligible teachers who hold National Board
 29 Certification, and an additional \$6,000.00 for eligible teachers



1 who hold National Board Certification and serve in Title I schools.

2 ~~(3) To be eligible to receive an award, eligible teachers must~~
3 ~~meet the following, as applicable:~~

4 ~~(a) Be employed in classroom teaching at least 50% of the~~
5 ~~teacher's full-time hours, as determined by the district or~~
6 ~~intermediate district.~~

7 ~~(b) To receive an award under subsection (4), hold National~~
8 ~~Board Certification by January 1, 2024.~~

9 ~~(4) Subject to subsection (6), and notwithstanding section~~
10 ~~17b, awards under subsection (2) must be paid to the districts and~~
11 ~~intermediate districts by April 30, 2024.~~

12 ~~(5) If the amount allocated under subsection (1) is~~
13 ~~insufficient to fully make payments to all eligible participants as~~
14 ~~required under subsection (1), the department shall prorate the~~
15 ~~amount paid to districts and intermediate districts to distribute~~
16 ~~to all eligible participants on an equal basis.~~

17 ~~(3) (6) If funding remains after the awards under subsection~~
18 ~~(4) are granted, the~~ **The** ~~department shall grant additional awards~~
19 ~~under subsection (2) this section~~ on a first-come, first-served
20 basis. An eligible teacher may receive more than 1 award under
21 ~~subsection (2), but~~ shall not receive more than 1 award in a single
22 fiscal year.

23 ~~(7) In addition to the funds allocated in subsection (1), an~~
24 ~~amount not to exceed \$1,000,000.00 for 2023-2024 only from the~~
25 ~~state school aid fund money appropriated in section 11 must be used~~
26 ~~for eligible teachers to cover National Board for Professional~~
27 ~~Teaching Standards Certification fees for first-time candidates in~~
28 ~~Title I schools.~~

29 ~~(8) A district or intermediate district shall apply for~~



~~funding under subsection (7) in a form and manner determined by the department. The department shall approve applications under subsection (7) on a first-come, first-served basis. Notwithstanding section 17b, awards under subsection (7) must be paid on a schedule determined by the department.~~

(4) ~~(9)~~ The funds allocated under this section for ~~2023-2024~~ **2026-2027** are a work project appropriation, and any unexpended funds for ~~2023-2024~~ **2026-2027** are carried forward into ~~2024-2025~~ **2027-2028**. The purpose of the work project is to enable and encourage teachers to get National Board Certification. The estimated completion date of the work project is September 30, ~~2026~~ **2029**.

(5) The funds appropriated under this section are 1-time bonus payments. Pursuant to section 3a(3) of the public school employees retirement act of 1979, 1980 PA 300, MCL 38.1303a, these payments are not considered compensation for retirement purposes and are not subject to member or employer contribution requirements under the Michigan public school employees' retirement system (MPSERS).

(6) ~~(10)~~ As used in this section, "eligible teacher" includes individuals who hold a valid or expired Michigan teaching certificate and are employed by the district or intermediate district as teachers, including those in teacher leadership roles as a peer assistance and review coach, mentor, or other teacher support provider if the position does not require a school administrator certificate.

Sec. 27o. (1) From the state school aid fund money appropriated in section 11, there is allocated \$3,000,000.00 for 2026-2027 only to an intermediate district to support a statewide digital credentialing initiative for students in CTE programs and



1 educators. The digital credentialing initiative must provide
2 students and instructional staff with access to a verifiable,
3 portable, and accessible digital record of skills, competencies,
4 and achievements that may be securely shared with employers,
5 postsecondary institutions, and workforce partners across this
6 state, supporting Michigan's economic workforce competitiveness by
7 improving skills transparency and portability statewide.

8 (2) Funds received under this section must be awarded to an
9 intermediate district to partner with a nonprofit organization with
10 demonstrated experience in digital credentialing and workforce-
11 aligned talent record systems.

12 (3) The digital credentialing initiative must enable CTE
13 students statewide, including program completers and individuals
14 demonstrating proficiency in Perkins V-aligned competencies, to
15 earn verified, portable digital credentials documenting career
16 pathway achievements, workforce readiness, and postsecondary
17 readiness. Credentials must be aligned to department-approved CTE
18 programs and statewide competency frameworks to ensure consistency
19 and portability across regions.

20 (4) The digital credentialing initiative must include, at a
21 minimum, both of the following:

22 (a) Development of digital credentials for CTE program
23 completion, work-based learning, youth apprenticeship, and soft
24 skills. All credentials must be stored, including industry-
25 recognized credits. Credentials must be maintained within a
26 statewide credential library to support consistent issuance,
27 validation, and recognition across this state. These achievements
28 must be showcased in a digital, portable portfolio that organizes
29 and displays verified credentials, skills, competencies, and



1 achievements and can be securely shared.

2 (b) Digital credentials for educators that track literacy
3 professional development for educators, including the completion of
4 LETRS training or other science of reading-based training.

5 Credentials issued for the completion of LETRS training must be
6 competency based, verifiable, and electronically shareable by the
7 educator. Each credential must document the specific level or unit
8 completed and the date of completion.

9 (5) The development of digital credentials for CTE program
10 completion described in subsection (4) (a) must align with state and
11 regional workforce and education systems to support Michigan's
12 economic workforce competitiveness and regional talent pipeline
13 needs, while ensuring statewide consistency and portability of
14 credentials. The administering nonprofit organization shall provide
15 statewide implementation support and submit an annual report to the
16 department detailing adoption, credential issuance by type and
17 region, and progress toward improving statewide CTE-to-workforce
18 outcomes.

19 (6) The administering nonprofit organization shall provide
20 participant-level data in a form and manner prescribed by the
21 department to support credential issuance, registry reporting, and
22 integration with statewide education data systems. Data submitted
23 under this section must align with statewide education data
24 infrastructure standards, including coordination with MiDataHub and
25 MiGreatDataLake.

26 (7) The digital credentialing initiative must annually report
27 to the department, to the extent not otherwise collected through
28 existing reporting systems, the name, personnel identification
29 code, employing district or entity, level or unit completed, date



1 of completion, and credential status for each educator
2 participating in LETRS training funded under section 35a. The
3 department may incorporate this information into a statewide
4 educator workforce profile system.

5 (8) Notwithstanding section 17b, the department shall make
6 payments under this section on a schedule determined by the
7 department.

8 (9) As used in this section:

9 (a) "CTE program" means a career and technical education
10 program.

11 (b) "CTE student" means a pupil enrolled in a career and
12 technical education program.

13 Sec. 27t. From the state school aid fund money appropriated in
14 section 11, there is allocated for 2026-2027 only an amount not to
15 exceed \$500,000.00 to 1 or more districts or intermediate districts
16 participating in the educator-on-loan program established by the
17 department. Permissible uses of funds under this section include,
18 but are not limited to, paying additional costs associated with
19 hiring an employee in the Michigan public school employees'
20 retirement system and other employment-related costs, such as
21 employee benefits. Notwithstanding section 17b, the department
22 shall make payments under this section on a schedule determined by
23 the department.

24 Sec. 28. (1) To recognize differentiated instructional costs
25 for different types of pupils as well as additional costs to
26 provide essential services in ~~2025-2026~~, **2026-2027**, the following
27 sections provide a weighted foundation allocation or an additional
28 payment of some type in the following amounts, as allocated under
29 those sections:



1 **(a) Section 22b, weighted foundation payment,**
 2 **\$1,627,655,100.00.**

3 **(b) ~~(a)~~ Section 22d, isolated and rural districts,**
 4 **~~\$12,873,100.00.~~ \$14,184,400.00.**

5 **(c) ~~(b)~~ Section 22l, transportation reimbursement,**
 6 **\$125,000,000.00.**

7 ~~(c) Section 29, declining enrollment, \$71,000,000.00.~~

8 ~~(d) Section 31a, at risk, \$1,293,655,000.00.~~

9 **(d) ~~(e)~~ Section 32d, great start readiness program,**
 10 **~~\$656,217,600.00.~~ \$730,356,100.00.**

11 ~~(f) Section 41, bilingual education for English language~~
 12 ~~learners, \$62,732,600.00.~~

13 **(e) ~~(g)~~ Section 51c, special education, mandated percentages,**
 14 **~~\$1,107,900,000.00.~~ \$1,141,700,000.00.**

15 **(f) ~~(h)~~ Section 54d, early on, ~~\$23,670,700.00.~~ \$26,081,900.00.**

16 **(g) ~~(i)~~ Section 61a, career and technical education, standard**
 17 **reimbursement, ~~\$41,733,800.00.~~ \$45,985,000.00.**

18 ~~(j) Section 61d, career and technical education incentives,~~
 19 ~~\$13,400,000.00.~~

20 **(h) Section 61b, career and technical education, early middle**
 21 **college and career and technical education, \$9,220,400.00.**

22 (2) The funding described in subsection (1) is not a separate
 23 allocation of any funding but is instead a listing of funding
 24 allocated in the sections listed in subsection (1).

25 Sec. 30d. (1) From the state school aid fund money
 26 appropriated in section 11, there is allocated an amount not to
 27 exceed \$200,000,000.00 for ~~2025-2026,~~ **2026-2027**, and from the
 28 general fund money appropriated in section 11, there is allocated
 29 an amount not to exceed ~~\$1,600,000.00~~ **\$2,000,000.00** for ~~2025-2026~~



1 ~~only-2026-2027~~ for the purpose of making payments to participating
2 entities to provide free school lunch and breakfast to public
3 school and nonpublic school pupils in grades pre-K to 12.

4 (2) To receive funding under this section, a participating
5 entity must participate in the National School Lunch Program **and**
6 **School Breakfast Program** and must do all of the following:

7 (a) Provide reimbursable breakfasts and reimbursable lunches
8 at no cost to all students for any school breakfast program or
9 school lunch program operated by the participating entity.

10 (b) Submit information regarding the number of reimbursable
11 breakfasts and reimbursable lunches served in a manner prescribed
12 by the department.

13 (c) Maximize federal reimbursement for reimbursable breakfasts
14 and reimbursable lunches by operating under the CEP if the
15 participating entity has an identified student percentage greater
16 than or equal to the minimum requirement to be eligible to
17 participate in the CEP. For purposes of this subdivision, all
18 eligible participating entities must elect CEP on behalf of a
19 single school, a group or groups of schools, or all schools in the
20 participating entity, as applicable, in a manner that maximizes
21 federal reimbursement.

22 (d) Meet all applicable state and federal standards in its
23 school breakfast and lunch programs, as determined by the
24 department.

25 (e) Take all efforts to maximize and implement policies that
26 require parents or guardians to fill out relevant family income
27 information, in a manner prescribed by the department, for the
28 purposes of determining student eligibility for federal free or
29 reduced cost meal reimbursement rates and CEP eligibility



1 determinations.

2 (f) Forgive all school meal debt related to federally
3 reimbursable meals, as determined by the department.

4 (3) Participating entities are encouraged to offer meals that
5 meet students' dietary restrictions, including the provision of
6 gluten-free meals, vegetarian meals, vegan meals, and, upon
7 request, kosher meals, halal meals, and meals meeting any allergy
8 restrictions as confirmed by a doctor's note. Participating
9 entities are encouraged to purchase food from Michigan growers when
10 possible and practical.

11 (4) For each eligible participating entity, the department
12 shall pay an amount equal to the following:

13 (a) The amount equal to the federal rate per student paid per
14 pupil per free breakfast and lunch under the ~~Child Nutrition Act~~
15 **child nutrition act** of 1966, 42 USC 21 1771 to 1793, and the
16 Richard B. Russell ~~National School Lunch Act~~, **national school lunch**
17 **act**, 42 USC 1751 to 1769j, multiplied by the number of breakfasts
18 and lunches provided by the participating entity to students, less
19 the federal revenue received by the participating entity under the
20 school breakfast program and the school lunch program under the
21 ~~Child Nutrition Act~~ **child nutrition act** of 1966, 42 USC 21 1771 to
22 1793, and the Richard B. Russell ~~National School Lunch Act~~,
23 **national school lunch act**, 42 USC 1751 to 1769j, and other state
24 lunch payments received under section 31d.

25 (b) The amount equal to the federal rate per student paid per
26 pupil per free breakfast and lunch under the ~~Child Nutrition Act~~
27 **child nutrition act** of 1966, 42 USC 21 1771 to 1793, and the
28 Richard B. Russell ~~National School Lunch Act~~, **national school lunch**
29 **act**, 42 USC 1751 to 1769j, multiplied by the number of breakfasts



1 and lunches provided by the participating entity, as applicable, to
 2 children participating in the Great Start Readiness Program under
 3 section 32d at the participating entity, less all other federal and
 4 state lunch payments made for those children. For purposes of this
 5 subdivision, compliance with 7 CFR 226.9 is required. The
 6 department shall assign rates of reimbursement pursuant to 7 CFR
 7 226.9, at least annually, on the basis of family size and income
 8 information reported by each eligible participating entity.
 9 Assigned rates of reimbursement must be adjusted annually to
 10 reflect changes in the national average payment rates.

11 (5) Notwithstanding section 17b, the department may make
 12 payments under this section on a schedule determined by the
 13 department.

14 (6) In addition to the appropriations in section 11, if the
 15 amount allocated in subsection (1) is insufficient to fully
 16 reimburse districts for meals as required in this section, there is
 17 appropriated from the school meals reserve fund created in section
 18 30e the amount necessary to fully fund these reimbursements.

19 (7) In addition to the appropriations in section 11, if the
 20 amount allocated in subsection (1) is insufficient to fully
 21 reimburse nonpublic schools for meals as required in this section,
 22 there is appropriated from the general pupil support reserve fund
 23 created in section 22s the amount necessary, not to exceed
 24 \$1,000,000.00, to fund these reimbursements.

25 (8) ~~(6)~~ As used in this section:

26 (a) "CEP" means the Community Eligibility Provision under the
 27 Richard B. Russell ~~National School Lunch Act~~, **national school lunch**
 28 **act**, 42 USC 1751 to 1769j.

29 (b) "Participating entity" means a district, intermediate



1 district, nonpublic school, or the Michigan Schools for the Deaf
2 and Blind.

3 ~~(7) In addition to the appropriations in section 11, if the~~
4 ~~amount allocated in subsection (1) is insufficient to fully~~
5 ~~reimburse districts for meals as required in this section, there is~~
6 ~~appropriated from the school meals reserve fund created in section~~
7 ~~30e the amount necessary to fully fund these reimbursements.~~

8 Sec. 31a. ~~(1) There is allocated for 2025-2026 an amount not~~
9 ~~to exceed \$1,336,805,000.00 from the state school aid fund money~~
10 ~~appropriated in section 11 and an amount not to exceed~~
11 ~~\$1,500,000.00 from the general fund money appropriated in section~~
12 ~~11 for payments to eligible districts and eligible public school~~
13 ~~academies for the purposes of ensuring that pupils are proficient~~
14 ~~in English language arts by the end of grade 3, that pupils are~~
15 ~~proficient in mathematics by the end of grade 8, that pupils are~~
16 ~~attending school regularly, that high school graduates are career~~
17 ~~and college ready, and for the purposes under subsections (7), (8),~~
18 ~~and (23).~~

19 ~~(2) For a district or public school academy to be eligible to~~
20 ~~receive funding under this section, other than funding under~~
21 ~~subsection (7), (8), or (23), the district or public school~~
22 ~~academy, for grades K to 12, must comply with the requirements~~
23 ~~under section 1280f of the revised school code, MCL 380.1280f, and~~
24 ~~must use resources to address early literacy and numeracy, and for~~
25 ~~at least grades K to 12 or, if the district or public school~~
26 ~~academy does not operate all of grades K to 12, for all of the~~
27 ~~grades it operates, must implement a multi-tiered system of~~
28 ~~supports that is an evidence-based framework that uses data driven~~
29 ~~problem solving to integrate academic and behavioral instruction~~



~~and that uses intervention delivered to all pupils in varying intensities based on pupil needs. The multi-tiered system of supports described in this subsection must provide at least all of the following essential components:~~

~~(a) Team-based leadership.~~

~~(b) A tiered delivery system.~~

~~(c) Selection and implementation of instruction, interventions, and supports.~~

~~(d) A comprehensive screening and assessment system.~~

~~(e) Continuous data-based decision making.~~

~~(3) From the state school aid fund money allocated under subsection (1), there is allocated for 2025-2026 an amount not to exceed \$1,293,655,000.00 to continue a weighted foundation per pupil payment for districts and public school academies enrolling economically disadvantaged pupils. The department shall pay under this subsection to each eligible district or eligible public school academy an amount per pupil equal to a percentage calculated under subsection (4) multiplied by the target foundation allowance for the following, as applicable:~~

~~(a) Except as otherwise provided under subdivision (b), (c), or (d) the greater of the following:~~

~~(i) The number of membership pupils in the district or public school academy who are determined to be economically disadvantaged, as reported to the center in the form and manner prescribed by the center not later than the fifth Wednesday after the pupil membership count day of the immediately preceding fiscal year.~~

~~(ii) If the district or public school academy is in the community eligibility program, the number of pupils determined to be eligible based on the product of the identified student~~



~~percentage multiplied by the total number of pupils in the district or public school academy, as reported to the center in the form and manner prescribed by the center not later than the fifth Wednesday after the pupil membership count day of the immediately preceding fiscal year. These calculations must be made at the building level. This subparagraph only applies to an eligible district or eligible public school academy for the fiscal year immediately following the first fiscal year in which it is in the community eligibility program. As used in this subparagraph, "identified student percentage" means the quotient of the number of pupils in an eligible district or eligible public school academy who are determined to be economically disadvantaged, as reported to the center in a form and manner prescribed by the center, not later than the fifth Wednesday after the pupil membership count day in the fiscal year preceding the first fiscal year in which the eligible district or eligible public school academy is in the community eligibility program, divided by the total number of pupils counted in an eligible district or eligible public school academy on the pupil membership count day in the fiscal year preceding the first fiscal year in which the eligible district or eligible public school academy is in the community eligibility program.~~

~~(b) If the district or public school academy began operations as a district or public school academy after the pupil membership count day of the immediately preceding school year, the number of membership pupils in the district or public school academy who are determined to be economically disadvantaged, as reported to the center in the form and manner prescribed by the center not later than the fifth Wednesday after the pupil membership count day of~~



1 ~~the current fiscal year.~~

2 ~~(c) If the district or public school academy began operations~~
3 ~~as a district or public school academy after the pupil membership~~
4 ~~count day of the current fiscal year, the number of membership~~
5 ~~pupils in the district or public school academy who are determined~~
6 ~~to be economically disadvantaged, as reported to the center in the~~
7 ~~form and manner prescribed by the center not later than the fifth~~
8 ~~Wednesday after the supplemental count day of the current fiscal~~
9 ~~year.~~

10 ~~(d) If, for a particular fiscal year, the number of membership~~
11 ~~pupils in a district or public school academy who are determined~~
12 ~~under subdivision (a) to be economically disadvantaged or to be~~
13 ~~eligible based on the identified student percentage varies by more~~
14 ~~than 20 percentage points from the number of those pupils in the~~
15 ~~district or public school academy as calculated under subdivision~~
16 ~~(a) for the immediately preceding fiscal year caused by an~~
17 ~~egregious reporting error by the district or public school academy,~~
18 ~~the department may choose to have the calculations under~~
19 ~~subdivision (a) instead be made using the number of membership~~
20 ~~pupils in the district or public school academy who are determined~~
21 ~~to be economically disadvantaged, as reported to the center in the~~
22 ~~form and manner prescribed by the center not later than the fifth~~
23 ~~Wednesday after the supplemental count day of the immediately~~
24 ~~preceding fiscal year.~~

25 ~~(4) Each district or public school academy must be assigned an~~
26 ~~opportunity index score each fiscal year, the value of which is the~~
27 ~~quotient of the number of economically disadvantaged pupils as~~
28 ~~determined under subsection (3) for the district or public school~~
29 ~~academy and the total number of pupils in the district or public~~



1 ~~school academy in the immediately preceding fiscal year, multiplied~~
2 ~~by 100 and rounded up to the nearest whole number. Each district or~~
3 ~~public school academy must be assigned an opportunity index band as~~
4 ~~follows:~~

5 ~~(a) A district or public school academy with an opportunity~~
6 ~~index score greater than or equal to 0 but less than 20 must be~~
7 ~~assigned to band 1 and shall receive reimbursement under subsection~~
8 ~~(3) at a rate of at least 35.0% and less than 36.0%. The~~
9 ~~reimbursement rate under this subdivision must be an amount equal~~
10 ~~to the district's opportunity index score minus 1, multiplied by~~
11 ~~the band adjustment factor applicable to this subdivision, plus~~
12 ~~35.0%.~~

13 ~~(b) A district or public school academy with an opportunity~~
14 ~~index score greater than or equal to 20 but less than 44 must be~~
15 ~~assigned to band 2 and shall receive reimbursement under subsection~~
16 ~~(3) at a rate of at least 36.0% and less than 37.5%. The~~
17 ~~reimbursement rate under this subdivision must be an amount equal~~
18 ~~to the district's opportunity index score minus 20, multiplied by~~
19 ~~the band adjustment factor applicable to this subdivision, plus~~
20 ~~36.0%.~~

21 ~~(c) A district or public school academy with an opportunity~~
22 ~~index score greater than or equal to 44 but less than 59 must be~~
23 ~~assigned to band 3 and shall receive reimbursement under subsection~~
24 ~~(3) at a rate of at least 37.5% and less than 39.0%. The~~
25 ~~reimbursement rate under this subdivision must be an amount equal~~
26 ~~to the district's opportunity index score minus 44, multiplied by~~
27 ~~the band adjustment factor applicable to this subdivision, plus~~
28 ~~37.5%.~~

29 ~~(d) A district or public school academy with an opportunity~~



~~index score greater than or equal to 59 but less than 73 must be assigned to band 4 and shall receive reimbursement under subsection (3) at a rate of at least 39.0% and less than 42.0%. The reimbursement rate under this subdivision must be an amount equal to the district's opportunity index score minus 59, multiplied by the band adjustment factor applicable to this subdivision, plus 39.0%.~~

~~(e) A district or public school academy with an opportunity index score greater than or equal to 73 but less than 85 must be assigned to band 5 and shall receive reimbursement under subsection (3) at a rate of at least 42.0% and less than 47.0%. The reimbursement rate under this subdivision must be an amount equal to the district's opportunity index score minus 73, multiplied by the band adjustment factor applicable to this subdivision, plus 42.0%.~~

~~(f) A district or public school academy with an opportunity index score greater than or equal to 85 must be assigned to band 6 and shall receive reimbursement under subsection (3) at a rate of 47.0%.~~

~~(g) As used in this subsection, "band adjustment factor" means an amount equal to the difference between the lowest and highest reimbursement bounds for each band, divided by the number of possible opportunity index scores in that band.~~

~~(5) Except as otherwise provided in this section, a district or public school academy receiving funding under this section shall use that money only to provide instructional programs and direct noninstructional services, including, but not limited to, medical, mental health, or counseling services, for at-risk pupils; for school health clinics; and for the purposes of subsection (6), (7),~~



~~(8), or (23). In addition, a district that is a school district of the first class or a district or public school academy in which at least 50% of the pupils in membership were determined to be economically disadvantaged in the immediately preceding state fiscal year, as determined and reported as described in subsection (3), may use the funds it receives under this section for school security or school parent liaison personnel. The uses of the funds described in the immediately preceding sentence must align to the needs assessment and the multi-tiered system of supports model and, for funds spent on parent liaison personnel, must connect parents to the school community. A district or public school academy shall not use any of the money received under this section for administrative costs. The instruction or direct noninstructional services provided under this section may be conducted before or after regular school hours or by adding extra school days to the school year.~~

~~(6) A district or public school academy that receives funds under this section and that operates a school breakfast program under section 1272a of the revised school code, MCL 380.1272a, shall use from the funds received under this section an amount, not to exceed \$10.00 per pupil for whom the district or public school academy receives funds under this section, necessary to pay for costs associated with the operation of the school breakfast program.~~

(1) ~~(7)~~ From the state school aid fund money allocated under subsection ~~(1)~~, **appropriated in section 11**, there is allocated for ~~2025-2026~~ **2026-2027** an amount not to exceed \$33,000,000.00, to support primary health care services provided to children and adolescents up to age 21. These funds must be expended in a form



1 and manner determined jointly by the department and the department
 2 of health and human services. When making funding decisions for new
 3 adolescent health centers under this subsection, the department and
 4 department of health and human services shall prioritize support
 5 for primary health care services in unserved and underserved
 6 counties as determined by the department of health and human
 7 services. An amount equal to 4% of the funds allocated under this
 8 subsection must be made available for technical support and
 9 coordination services from a nonprofit organization exclusively
 10 dedicated to serving adolescent health centers in this state and
 11 that has a membership that includes federally qualified health
 12 centers, local public health departments, hospital systems, and
 13 public school districts. As a requirement of being awarded the
 14 funds under this subsection as prescribed under this subsection, a
 15 nonprofit organization described in this subsection shall make
 16 readily available technical support and coordination services to
 17 all child and adolescent health centers in this state.

18 **(2)** ~~(8)~~ From the state school aid fund money ~~allocated under~~
 19 ~~subsection (1),~~ **appropriated in section 11**, there is allocated for
 20 ~~2025-2026-2026-2027~~ an amount not to exceed \$10,150,000.00 for the
 21 state portion of the hearing and vision screenings as described in
 22 part 93 of the public health code, 1978 PA 368, MCL 333.9301 to
 23 333.9329, and, from the general fund money ~~allocated under~~
 24 ~~subsection (1),~~ **appropriated in section 11**, there is allocated for
 25 ~~2025-2026-2026-2027~~ an amount not to exceed \$1,500,000.00 for the
 26 state portion of the dental screenings as described in part 93 of
 27 the public health code, 1978 PA 368, MCL 333.9301 to 333.9329. A
 28 local public health department shall pay at least 50% of the total
 29 cost of the screenings. The frequency of the vision screenings must



1 be as required under R 325.13091 to R 325.13096 of the Michigan
2 Administrative Code and the frequency of the hearing screenings
3 must be as required under R 325.3271 to R 325.3276 of the Michigan
4 Administrative Code. Funds must be awarded in a form and manner
5 approved jointly by the department and the department of health and
6 human services.

7 **(3)** Notwithstanding section 17b, the department shall make
8 payments to eligible entities under this ~~subsection~~**section** on a
9 schedule determined by the department.

10 ~~(9) Each district or public school academy receiving funds~~
11 ~~under this section shall submit to the department by July 15 of~~
12 ~~each fiscal year a report, in the form and manner prescribed by the~~
13 ~~department, that includes a brief description of each program~~
14 ~~conducted or services performed by the district or public school~~
15 ~~academy using funds under this section, the amount of funds under~~
16 ~~this section allocated to each of those programs or services, the~~
17 ~~total number of at risk pupils served by each of those programs or~~
18 ~~services, and the data necessary for the department and the~~
19 ~~department of health and human services to verify matching funds~~
20 ~~for the temporary assistance for needy families program. In~~
21 ~~prescribing the form and manner of the report, the department shall~~
22 ~~ensure that districts are allowed to expend funds received under~~
23 ~~this section on any activities that are permissible under this~~
24 ~~section. If a district or public school academy does not comply~~
25 ~~with this subsection, the department shall withhold an amount equal~~
26 ~~to the August payment due under this section until the district or~~
27 ~~public school academy complies with this subsection. If the~~
28 ~~district or public school academy does not comply with this~~
29 ~~subsection by the end of the fiscal year, the withheld funds are~~



1 ~~forfeited to the school aid fund.~~

2 ~~(10) To receive funds under this section, a district or public~~
3 ~~school academy must allow access for the department or the~~
4 ~~department's designee to audit all records related to the program~~
5 ~~for which it receives those funds. The district or public school~~
6 ~~academy shall reimburse the state for all disallowances found in~~
7 ~~the audit.~~

8 ~~(11) Subject to subsections (6), (7), (8), and (23), for~~
9 ~~schools in which more than 40% of pupils are identified as at-risk,~~
10 ~~a district or public school academy may use the funds it receives~~
11 ~~under this section to implement tier 1, evidence-based practices in~~
12 ~~schoolwide reforms that are guided by the district's comprehensive~~
13 ~~needs assessment and are included in the district improvement plan.~~
14 ~~Schoolwide reforms must include parent and community supports,~~
15 ~~activities, and services, that may include the pathways to~~
16 ~~potential program created by the department of health and human~~
17 ~~services or the communities in schools program. As used in this~~
18 ~~subsection, "tier 1, evidence-based practices" means research based~~
19 ~~instruction and classroom interventions that are available to all~~
20 ~~learners and effectively meet the needs of most pupils.~~

21 ~~(12) A district or public school academy that receives funds~~
22 ~~under this section may use those funds to provide research based~~
23 ~~professional development and to implement a coaching model that~~
24 ~~supports the multi-tiered system of supports framework.~~
25 ~~Professional development may be provided to district and school~~
26 ~~leadership and teachers and must be aligned to professional~~
27 ~~learning standards; integrated into district, school building, and~~
28 ~~classroom practices; and solely related to the following:~~

29 ~~(a) Implementing the multi-tiered system of supports required~~



~~in subsection (2) with fidelity and utilizing the data from that system to inform curriculum and instruction.~~

~~(b) Implementing section 1280f of the revised school code, MCL 380.1280f, as required under subsection (2), with fidelity.~~

~~(13) A district or public school academy that receives funds under subsection (3) may use funds received under subsection (3) for support staff providing services to at-risk pupils.~~

~~(14) A district or public school academy may use up to 60% of the funds it receives under this section for the following purposes:~~

~~(a) Up to 30% to reduce the teacher to pupil ratio in grades K to 3.~~

~~(b) Up to 30% to support retention and recruitment efforts that help reduce staff turnover and vacancies of instructional and support staff if the district or public school academy is assigned to opportunity index band 4, 5, or 6.~~

~~(15) Funds used as described in subsection (14) must align with the needs assessment and the multi-tiered system of supports model. A district or public school academy shall not use any of the money described in subsection (14) for administrative costs or to supplant existing funding, including, but not limited to, maintaining existing salaries or costs. A district or public school academy shall report its intent to use funds described in subsection (14) to the department by not later than November 1 of the current fiscal year.~~

~~(16) A district or public school academy determined to be eligible to use a portion of funds received under subsection (3) for the purposes described in subsection (14) retains the ability to use funding for the purposes described in subsection (14) for~~



1 ~~the fiscal year in which eligibility was determined plus 2~~
2 ~~additional fiscal years beyond that fiscal year.~~

3 ~~(17) Beginning with the fiscal year ending September 30, 2026,~~
4 ~~and each year thereafter, for a district receiving funding under~~
5 ~~this section through the opportunity index formula, the district~~
6 ~~must provide a report to parents or legal guardians that details~~
7 ~~the amount of funding received under that allocation, how the~~
8 ~~district distributed that funding in a way to target buildings with~~
9 ~~the highest needs, and what evidence-based interventions were~~
10 ~~implemented with those dollars. The report must include a method,~~
11 ~~including contact information, for parents or legal guardians to~~
12 ~~provide feedback on the use of these dollars as well as to seek~~
13 ~~more information about services and interventions available for~~
14 ~~their children.~~

15 ~~(18) A district or public school academy that receives funds~~
16 ~~under this section may use up to 10% of the funds received under~~
17 ~~this section to provide evidence-based instruction for pre-~~
18 ~~kindergarten instructional and noninstructional services to at-risk~~
19 ~~pupils.~~

20 ~~(19) Except as otherwise provided in this subsection, if~~
21 ~~necessary, the department shall prorate payments under this~~
22 ~~section, except payments under subsection (7), (8), or (23), by~~
23 ~~reducing the amount of the allocation as otherwise calculated under~~
24 ~~this section by an equal percentage per district. Subject to the~~
25 ~~availability of funds, if proration is necessary under this~~
26 ~~subsection, the department must ensure that no district receives an~~
27 ~~amount less than 11.5% of the target foundation for each~~
28 ~~economically disadvantaged pupil enrolled in the district.~~

29 ~~(20) If a district is dissolved pursuant to section 12 of the~~



1 ~~revised school code, MCL 380.12, the intermediate district to which~~
2 ~~the dissolved district was constituent shall determine the~~
3 ~~estimated number of pupils that are economically disadvantaged and~~
4 ~~that are enrolled in each of the other districts within the~~
5 ~~intermediate district and provide that estimate to the department~~
6 ~~for the purposes of distributing funds under this section within 60~~
7 ~~days after the district is declared dissolved.~~

8 ~~(21) A district or public school academy that receives funds~~
9 ~~under this section may use funds received under this section to~~
10 ~~provide an anti-bullying or crisis intervention program.~~

11 ~~(22) The department shall collaborate with the department of~~
12 ~~health and human services to prioritize assigning Pathways to~~
13 ~~Potential success coaches to elementary schools that have a high~~
14 ~~percentage of pupils in grades K to 3 who are not proficient in~~
15 ~~English language arts, based upon state assessments for pupils in~~
16 ~~those grades.~~

17 ~~(23) From the state school aid fund money appropriated under~~
18 ~~section 11, there is allocated for 2023-2024 only an amount not to~~
19 ~~exceed \$10,000,000.00 for an electronic patient data and health~~
20 ~~care analytic system to be made available to each child and~~
21 ~~adolescent health center program. The department of health and~~
22 ~~human services shall collaborate on system implementation with a~~
23 ~~nonprofit organization exclusively dedicated to serving child and~~
24 ~~adolescent health center programs in this state and that has a~~
25 ~~membership that includes federally qualified health centers, local~~
26 ~~public health departments, hospital systems, and public school~~
27 ~~districts, including, but not limited to, technology assessment,~~
28 ~~design, coordination, and system implementation with child and~~
29 ~~adolescent health center programs. Funds appropriated under this~~



~~subsection are a work project appropriation and any unexpended funds for 2023-2024 are carried forward into 2024-2025. The purpose of the work project is to continue to implement an electronic patient data and health care analytic system. The estimated completion date of the work project is September 30, 2028.~~

~~(24) As used in this section:~~

~~(a) "At-risk pupil" means a pupil in grades pre-K to 12 for whom the district has documentation that the pupil meets any of the following criteria:~~

~~(i) The pupil is economically disadvantaged.~~

~~(ii) The pupil is an English language learner.~~

~~(iii) The pupil is chronically absent as defined by and reported to the center.~~

~~(iv) The pupil is a victim of child abuse or neglect.~~

~~(v) The pupil is a pregnant teenager or teenage parent.~~

~~(vi) The pupil has a family history of school failure, incarceration, or substance abuse.~~

~~(vii) The pupil is an immigrant who has immigrated within the immediately preceding 3 years.~~

~~(viii) The pupil did not complete high school in 4 years and is still continuing in school as identified in the Michigan cohort graduation and dropout report.~~

~~(ix) For pupils for whom the results of the state summative assessment have been received, is a pupil who did not achieve proficiency on the English language arts, mathematics, science, or social studies content area assessment.~~

~~(x) Is a pupil who is at risk of not meeting the district's or public school academy's core academic curricular objectives in English language arts or mathematics, as demonstrated on local~~



1 assessments.

2 ~~(b) "Economically disadvantaged" means a pupil who has been~~
3 ~~determined eligible for free or reduced-price meals as determined~~
4 ~~under the Richard B. Russell national school lunch act, 42 USC 1751~~
5 ~~to 1769j; who is in a household receiving supplemental nutrition~~
6 ~~assistance program or temporary assistance for needy families~~
7 ~~assistance; or who is homeless, migrant, or in foster care, as~~
8 ~~reported to the center.~~

9 ~~(c) "English language learner" means limited English~~
10 ~~proficient pupils who speak a language other than English as their~~
11 ~~primary language and have difficulty speaking, reading, writing, or~~
12 ~~understanding English as reported to the center.~~

13 Sec. 31c. (1) From the state school aid fund money
14 appropriated in section 11, there is allocated for 2025-2026 only
15 an amount not to exceed \$65,000,000.00 for grants to eligible
16 districts for pilot programs to maintain or establish small classes
17 in grades K to 3 in eligible school buildings in the district.

18 (2) To be eligible for a grant under subsection (1), a
19 district must have at least 1 eligible school building and must
20 apply to the department in the form and manner prescribed by the
21 department. A district shall include in its application a projected
22 budget for maintaining or establishing small classes in grades K to
23 3 and shall demonstrate in the projected budget that at least ~~30%~~
24 **10%** of the funds received by the district under section 31a will be
25 used to support small classes under this section.

26 (3) For a school building to be considered an eligible school
27 building under subsection (2), the school building must meet all of
28 the following requirements:

29 (a) Operate at least 1 of grades K to 3.



(b) Be operated by a district that operates all of grades K to 12 and that receives funds under section 31a.

(c) Be located in a district that is in an opportunity index band, as described in section 31a, of 4 or higher.

(4) Not more than 25% of the total allocation under this section may be paid to any single district. The department shall make allocations under this section to districts that are geographically diverse, including urban, suburban, and rural districts. Grants issued under this section must be awarded to at least the following districts:

(a) Muskegon Heights Public School Academy System.

(b) Benton Harbor Area Schools.

(c) Flint School District.

(d) Wayne-Westland Community School District.

(5) A district that receives funds under this section shall use the funds to maintain or establish small classes in grades K to 3 in school buildings of the district for which funds are received under this section. The average class size must be not more than 17 pupils per class, with not more than 19 pupils in any particular class. A district that receives funds under this section shall use at least ~~30%~~ **10%** of the funds the district receives for 2025-2026 under section 31a for the purposes of this section.

(6) Funding to districts under this section for 2025-2026 is intended to be for the first of 2 years of funding.

(7) The funds allocated in this section are a work project appropriation, and any unexpended funds for 2025-2026 are carried forward into 2026-2027. The purpose of the work project is to lower class sizes in grades K to 3. The estimated completion date of the work project is September 30, 2030.



1 (8) Notwithstanding section 17b, the department shall make
2 payments under this section on a schedule determined by the
3 department.

4 Sec. 31d. (1) From the state school aid fund money
5 appropriated in section 11, there is allocated an amount not to
6 exceed \$29,553,400.00 for ~~2025-2026~~**2026-2027** for the purpose of
7 making payments to districts and other eligible entities under this
8 section.

9 (2) The amounts allocated from state sources under this
10 section are used to pay the amount necessary to reimburse districts
11 for 6.0127% of the necessary costs of the state mandated portion of
12 lunch programs provided by those districts. The department shall
13 calculate the amount due to each district under this section using
14 the methods of calculation adopted by the Michigan supreme court in
15 the consolidated cases known as *Durant v State of Michigan*, 456
16 Mich 175 (1997).

17 (3) The payments made under this section include all state
18 payments made to districts so that each district receives at least
19 6.0127% of the necessary costs of operating the state mandated
20 portion of the lunch program in a fiscal year.

21 (4) The payments made under this section to districts and
22 other eligible entities that are not required under section 1272a
23 of the revised school code, MCL 380.1272a, to provide a lunch
24 program must be in an amount not to exceed \$10.00 per eligible
25 pupil plus 5 cents for each free lunch and 2 cents for each reduced
26 price lunch provided, as determined by the department.

27 (5) From the federal funds appropriated in section 11, there
28 is allocated for ~~2025-2026~~**2026-2027** all available federal funding,
29 estimated at ~~\$901,400,000.00~~**\$418,267,600.00** for child nutrition



1 programs and, for ~~2025-2026~~, **2026-2027**, all available federal
2 funding, estimated at ~~\$22,000,000.00~~, **\$100.00**, for food
3 distribution programs.

4 (6) Notwithstanding section 17b, the department shall make
5 payments to eligible entities other than districts under this
6 section on a schedule determined by the department.

7 (7) In purchasing food for a lunch program funded under this
8 section, a district or other eligible entity shall give preference
9 to food that is grown or produced by Michigan businesses if it is
10 competitively priced and of comparable quality.

11 (8) In addition to the appropriations in section 11, if the
12 amount allocated in subsection (1) is insufficient to fully
13 reimburse districts for meals as required under this section, there
14 is appropriated from the school meals reserve fund created under
15 section 30e the amount necessary to fully fund these
16 reimbursements.

17 Sec. 31f. (1) From the state school aid fund money
18 appropriated in section 11, there is allocated an amount not to
19 exceed \$16,900,000.00 for ~~2025-2026~~**2026-2027** for the purpose of
20 making payments to districts to reimburse for the cost of providing
21 breakfast.

22 (2) The funds allocated under this section for school
23 breakfast programs are made available to all eligible applicant
24 districts that meet all of the following criteria:

25 (a) The district participates in the federal school breakfast
26 program and meets all standards as prescribed by 7 CFR parts 210,
27 220, 225, 226, and 245.

28 (b) Each breakfast eligible for payment meets the federal
29 standards described in subdivision (a).



(3) The payment for a district under this section is at a per meal rate equal to the lesser of the district's actual cost or 100% of the statewide average cost of a meal served, as determined and approved by the department, less federal reimbursement, participant payments, and state breakfast reimbursements received under section 30d. The department shall determine the statewide average cost using costs as reported in a manner approved by the department for the preceding school year.

(4) Notwithstanding section 17b, the department may make payments under this section pursuant to an agreement with the department.

(5) In purchasing food for a school breakfast program funded under this section, a district shall give preference to food that is grown or produced by Michigan businesses if it is competitively priced and of comparable quality.

(6) In addition to the appropriations in section 11, if the amount allocated in subsection (1) is insufficient to fully reimburse districts for meals as required under this section, there is appropriated from the school meals reserve fund created under section 30e the amount necessary to fully fund these reimbursements.

Sec. 31j. (1) From the state school aid fund money appropriated in section 11, there is allocated an amount not to exceed \$4,000,000.00 for 2026-2027 for a program to support districts in the purchase of locally grown fruits, vegetables, and legumes as described in this section.

(2) Funding under this section retained by the department for administration must not exceed 5%. Funding under this section retained by project partners for data collection, outreach, and



1 training must not exceed 2% for each partner.

2 (3) The department shall develop and implement a competitive
3 grant program for districts to assist in paying for the costs
4 incurred by the district to purchase or increase purchases of whole
5 or minimally processed fruits, vegetables, and legumes grown in
6 this state. The maximum amount that may be drawn down on a grant to
7 a district is based on the number of meals served by the district
8 during the previous school year under the Richard B. Russell
9 national school lunch act, 42 USC 1751 to 1769j. The department
10 shall collaborate with the Michigan department of agriculture and
11 rural development to provide training to newly participating
12 schools and electronic information on Michigan agriculture.

13 (4) The goals of the program under this section include
14 improving daily nutrition and eating habits for children through
15 the school and child care settings while investing in Michigan's
16 agricultural and related food business economy.

17 (5) A district that receives a grant under this section shall
18 use those funds for the costs incurred by the district to do both
19 of the following:

20 (a) Purchase whole or minimally processed fruits, vegetables,
21 and legumes that meet both of the following:

22 (i) For each fiscal year, were purchased for use in meals and
23 supportive activities as part of the United States Department of
24 Agriculture child nutrition programs provided between October 1
25 through September 30 of that fiscal year.

26 (ii) Are grown in this state and, if minimally processed, are
27 also processed in this state.

28 (b) Pay for labor and food transportation of locally grown
29 fruits, vegetables, and legumes that directly support the



1 activities and goals of the program described in this section. The
2 amount paid under this subdivision must not exceed 25% of the grant
3 award.

4 (6) For Michigan-grown fruits, vegetables, and legumes that
5 satisfy the requirements of subsection (5), the department shall
6 make matching reimbursements in an amount not to exceed 10 cents
7 for every school meal that is served as part of the United States
8 Department of Agriculture's child nutrition programs.

9 (7) In awarding grants under this section, the department
10 shall work in consultation with Michigan-based farm-to-school
11 resource organizations to develop scoring criteria that assess an
12 applicant's ability to procure Michigan-grown products, prepare and
13 menu Michigan-grown products, promote and market Michigan-grown
14 products, and submit letters of intent from districts on plans for
15 educational activities that promote the goals of the program.

16 (8) The department shall give preference to districts that
17 propose educational activities that meet 1 or more of the
18 following: promote healthy food activities; have clear educational
19 objectives; involve parents or the community; connect to a school's
20 or child care center's farm-to-school or farm-to-early-child-care
21 procurement activities; and market and promote the program, leading
22 to increased pupil knowledge and consumption of Michigan-grown
23 products. The department shall give stronger weighting and
24 consideration to applications with robust marketing and promotional
25 activities.

26 (9) In awarding grants, the department shall also consider all
27 of the following:

28 (a) The percentage of children who qualify for free or
29 reduced-price school meals under the Richard B. Russell national



1 school lunch act, 42 USC 1751 to 1769j.

2 (b) The variety of school sizes and geographic locations
3 within the identified prosperity regions.

4 (c) Existing or planned collaboration between districts, or
5 with agricultural businesses and essential local food
6 infrastructure, such as farms, farm cooperatives, processors,
7 distributors, and local food hubs.

8 (10) As a condition of receiving a grant under this section, a
9 district shall provide or direct its vendors to provide to the
10 department copies of monthly receipts that show the quantity of
11 different Michigan-grown fruits, vegetables, and legumes purchased,
12 the amount of money spent on each of these products, the name and
13 Michigan location of the farm that grew the products, and the
14 methods or plans to market and promote the program. The district
15 also shall provide to the department monthly United States
16 Department of Agriculture child nutrition reimbursable meal numbers
17 and must retain monthly menus noting when and how Michigan-grown
18 products were used in meals. The district and school food service
19 director or directors also shall agree to respond to brief online
20 surveys and to provide a report that shows the percentage
21 relationship of Michigan spending compared to total food spending.
22 By not later than 60 days after the end of the period in which
23 funds under this section were received, and in which federal child
24 nutrition programs require submission of claims, each district
25 shall submit a report to the department on outcomes and related
26 measurements for economic development and children's nutrition and
27 readiness to learn. The report must include at least both of the
28 following:

29 (a) The extent to which farmers and related businesses,



1 including distributors and processors, saw an increase in market
2 opportunities and income generation through sales of Michigan or
3 local products to districts. All of the following apply for
4 purposes of this subdivision:

5 (i) The data used to determine the amount of this increase are
6 the total dollar amount of Michigan or local fruits, vegetables,
7 and legumes purchased by schools, along with the number of
8 different types of products purchased; school food purchasing
9 trends identified along with products that are of new and growing
10 interest among food service directors; the number of businesses
11 impacted; and the percentage of total food budget spent on
12 Michigan-grown fruits, vegetables, and legumes.

13 (ii) The district shall use purchasing data collected for the
14 program and surveys of school food service directors on the impact
15 and success of the program as the source for the data described in
16 subparagraph (i).

17 (b) The ability to which pupils can access a variety of
18 healthy Michigan-grown foods through schools and increase their
19 consumption of those foods. All of the following apply for purposes
20 of this subdivision:

21 (i) The data used to determine whether this subdivision is met
22 are the number of pupils exposed to Michigan-grown fruits,
23 vegetables, and legumes at schools; the variety of products served;
24 new items taste-tested or placed on menus; and the increase in
25 pupil willingness to try new local healthy foods.

26 (ii) The district shall use purchasing data collected for the
27 project, meal count and enrollment numbers, school menu calendars,
28 and surveys of school food service directors as the source for the
29 data described in subparagraph (i).



(11) The department shall compile the reports provided by districts under subsection (10) into 1 legislative report. The department shall provide this report not later than April 1 of each fiscal year following the fiscal year for which funding is allocated under this section to the house and senate subcommittees responsible for school aid, the house and senate fiscal agencies, and the state budget director.

(12) Notwithstanding section 17b, the department shall make payments under this section on a schedule determined by the department.

Sec. 31n. (1) From the state school aid fund money appropriated in section 11, there is allocated for ~~2025-2026~~**2026-2027** for the purposes of this section an amount not to exceed \$106,545,000.00 and from the general fund money appropriated in section 11, there is allocated for ~~2025-2026~~**2026-2027** for the purposes of this section an amount not to exceed \$1,300,000.00. The department and the department of health and human services shall continue a program to distribute this funding to add licensed behavioral health providers for general education pupils, and recipients of the funds under subsection (6) shall continue to seek federal Medicaid match funding for all eligible mental health and support services.

(2) The department and the department of health and human services shall maintain an advisory council for programs funded under this section and any other funding under this act to improve or maintain the mental health of ~~students,~~**pupils**, except for programs funded under section ~~31a(7) and (8).~~**31a(1) and (2)**. The advisory council shall define goals for implementation of programs, and shall provide feedback on that implementation. At a minimum,



1 the advisory council shall consist of representatives of state
 2 associations representing school health, school mental health,
 3 school counseling, education, health care, and other organizations,
 4 representatives from the department and the department of health
 5 and human services, and a representative from the school safety and
 6 mental health commission. The department and department of health
 7 and human services, working with the advisory council, shall
 8 determine an approach to increase capacity for mental health and
 9 support services in schools for general education pupils, and shall
 10 determine where that increase in capacity qualifies for federal
 11 Medicaid match funding.

12 (3) The advisory council shall develop a fiduciary agent
 13 checklist for intermediate districts to facilitate development of a
 14 plan to submit to the department and to the department of health
 15 and human services. The department and department of health and
 16 human services shall determine the requirements and format for
 17 intermediate districts to submit a plan for possible funding under
 18 subsection (6). The department shall make applications for funding
 19 for this program available to districts and intermediate districts
 20 by not later than December 1 of each fiscal year for which funds
 21 are allocated under this section and shall award the funding by not
 22 later than February 1 of each fiscal year for which funds are
 23 allocated under this section.

24 (4) The department of health and human services shall ~~amend~~
 25 **ensure that** the state Medicaid plan **continues to be written in a**
 26 **way sufficient** to obtain appropriate Medicaid waivers ~~as necessary~~
 27 ~~for the purpose of generating to generate~~ additional Medicaid match
 28 funding for school mental health and support services for general
 29 education pupils ~~, and this expansion is called through the~~ Caring



1 for Students (C4S) **expansion.**

2 (5) From the state school aid fund money allocated under
 3 subsection (1), there is allocated for ~~2025-2026~~**2026-2027** an
 4 amount not to exceed \$14,300,000.00 to be distributed to the
 5 network of child and adolescent health centers to place a licensed
 6 master's level behavioral health provider in schools that do not
 7 currently have services available to general education ~~students.~~
 8 **pupils.** Child and adolescent health centers that are part of the
 9 network described in this subsection shall provide a commitment to
 10 maintain services and implement all available federal Medicaid
 11 match methodologies. The department of health and human services
 12 shall use all existing or additional federal Medicaid match
 13 opportunities to maximize funding allocated under this subsection.
 14 The department shall provide funds under this subsection to child
 15 and adolescent health centers that are part of the network
 16 described in this subsection in the same proportion that funding
 17 under section ~~31a(7)~~**31a(1)** is provided to child and adolescent
 18 health centers that are part of the network described in this
 19 subsection and that are located and operating in those districts. A
 20 payment from funding allocated under this subsection must not be
 21 paid to an entity that is not part of the network described in this
 22 subsection.

23 (6) From the state school aid fund money allocated under
 24 subsection (1), there is allocated for ~~2025-2026~~**2026-2027** an
 25 amount not to exceed \$87,245,000.00 to be distributed to
 26 intermediate districts for the provision of mental health and
 27 support services to general education ~~students.~~**pupils.** Recipients
 28 of funds under this subsection shall continue to seek federal
 29 Medicaid match funding for all eligible mental health and support



1 services. If a district or intermediate district is not able to
 2 procure the services of a licensed master's level behavioral health
 3 provider, the district or intermediate district shall notify the
 4 department and the department of health and human services and, if
 5 the department and department of health and human services verify
 6 that the district or intermediate district attempted to procure
 7 services from a master's level behavioral health provider and was
 8 not able to do so, then the district or intermediate district may
 9 instead procure services from a provider with less than a master's
 10 degree in behavioral health. To be able to use the exemption in the
 11 immediately preceding sentence, the district or intermediate
 12 district must submit evidence satisfactory to the department and
 13 department of health and human services demonstrating that the
 14 district or intermediate district took measures to procure the
 15 services of a licensed master's level behavioral health provider
 16 but was unable to do so, and the department and department of
 17 health and human services must be able to verify this evidence.
 18 From the first \$56,173,600.00 of the funds allocated under this
 19 subsection, the department shall distribute up to \$1,003,100.00 for
 20 ~~2025-2026~~**2026-2027** to each intermediate district that submits a
 21 plan approved by the department and the department of health and
 22 human services by February 1 of each fiscal year for which funds
 23 are allocated under this section. The department shall distribute
 24 the remaining \$31,071,400.00 of the funds allocated under this
 25 subsection for ~~2025-2026~~**2026-2027** to intermediate districts **that**
 26 **submit a plan approved by the department and the department of**
 27 **health and human services by February 1 of each fiscal year for**
 28 **which funds are allocated under this section** on an equal per-pupil
 29 basis based on the combined total number of pupils in membership in



1 the intermediate district and its constituent districts, including
2 public school academies that are considered to be constituent
3 districts under section 705(7) of the revised school code, MCL
4 380.705. The department and department of health and human services
5 shall work cooperatively in providing oversight and assistance to
6 intermediate districts and shall monitor the program upon
7 implementation. An intermediate district shall use funds awarded
8 under this subsection to provide funding to its constituent
9 districts, including public school academies that are considered to
10 be constituent districts under section 705(7) of the revised school
11 code, MCL 380.705, for the provision of mental health and support
12 services to general education ~~students~~ **pupils**. In addition to the
13 criteria identified under subsection (9), an intermediate district
14 shall consider geography, cost, or other challenges when awarding
15 funding to its constituent districts. Districts receiving funding
16 under this subsection are encouraged to provide suicide prevention
17 and awareness education and counseling.

18 (7) If funding awarded to an intermediate district remains
19 after funds are provided by the intermediate district to its
20 constituent districts, the intermediate district shall notify the
21 department and department of health and human services and submit
22 evidence satisfactory to the department and department of health
23 and human services demonstrating how it would like to use funds for
24 purposes other than hiring licensed behavioral health providers for
25 general education pupils. With permission from the department and
26 department of health and human services, the intermediate district
27 may hire or contract for experts to provide mental health and
28 support services to general education ~~students~~ **pupils** residing
29 within the boundaries of the intermediate district, including, but



1 not limited to, expanding, hiring, or contracting for staff and
2 experts to provide those services directly or to increase access to
3 those services through coordination with outside mental health
4 agencies; the intermediate district may also contract with 1 or
5 more other intermediate districts for coordination and the
6 facilitation of activities related to providing mental health and
7 support services to general education ~~students~~**pupils** residing
8 within the boundaries of the intermediate district; the
9 intermediate district may also use the funds under this section to
10 create or strengthen school-based behavioral health assessment
11 teams that focus on providing age-appropriate interventions,
12 identifying behaviors that suggest a pupil may be struggling with
13 mental health challenges, providing treatment and support of the
14 pupil, and using disciplinary interventions and the criminal
15 justice system as methods of last resort; and the intermediate
16 district may also use the funds under this section to provide
17 evidence-based trainings that support ~~student~~**pupil** mental health.

18 (8) If funding awarded to an intermediate district under this
19 section remains unspent, or if the intermediate district submits an
20 application requesting a lower allocation than the maximum amount
21 permitted, the department, in conjunction with the intermediate
22 district, may reallocate the funds to another intermediate district
23 or other intermediate districts capable of expending the funds
24 before the funding deadline in accordance with this section as if
25 those funds were originally allocated to the intermediate district
26 or intermediate districts to which the funds are being reallocated.

27 (9) A district requesting funds under this section from the
28 intermediate district in which it is located shall submit an
29 application for funding for the provision of mental health and



1 support services to general education pupils. A district receiving
2 funding from the application process described in this subsection
3 shall provide services to nonpublic ~~students~~**pupils** upon request.
4 An intermediate district shall not discriminate against an
5 application submitted by a public school academy simply on the
6 basis of the applicant being a public school academy. The
7 department shall approve grant applications based on the following
8 criteria:

9 (a) The district's commitment to maintain mental health and
10 support services delivered by licensed providers into future fiscal
11 years.

12 (b) The district's commitment to work with its intermediate
13 district to use funding it receives under this section that is
14 spent by the district for general education pupils toward
15 participation in federal Medicaid match methodologies. A district
16 must provide a local match of at least 20% of the funding allocated
17 to the district under section 31n.

18 (c) The district's commitment to adhere to any local funding
19 requirements determined by the department and the department of
20 health and human services.

21 (d) The extent of the district's existing partnerships with
22 community health care providers or the ability of the district to
23 establish such partnerships.

24 (e) The district's documentation of need, including gaps in
25 current mental health and support services for the general
26 education population.

27 (f) The district's submission of a formal plan of action
28 identifying the number of schools and ~~students~~**pupils** to be served.

29 (g) Whether the district will participate in ongoing



1 trainings.

2 (h) Whether the district will submit an annual report to the
3 state.

4 (i) Whether the district demonstrates a willingness to work
5 with the state to establish program and service delivery
6 benchmarks.

7 (j) Whether the district has developed a school safety plan or
8 is in the process of developing a school safety plan.

9 (k) Any other requirements determined by the department or the
10 department of health and human services.

11 (10) Funding under this section, including any federal
12 Medicaid funds that are generated, must not be used to supplant
13 existing services.

14 (11) Both of the following are allocated to the department of
15 health and human services from the general fund money allocated
16 under subsection (1):

17 (a) For ~~2025-2026~~, **2026-2027**, an amount not to exceed
18 \$1,000,000.00 for the purpose of upgrading technology and systems
19 infrastructure and other administrative requirements to support the
20 programs funded under this section.

21 (b) For ~~2025-2026~~, **2026-2027**, an amount not to exceed
22 \$300,000.00 for the purpose of administering the programs under
23 this section and working on generating additional Medicaid funds as
24 a result of programs funded under this section.

25 (12) From the state school aid fund money allocated under
26 subsection (1), there is allocated for ~~2025-2026~~ **2026-2027** an
27 amount not to exceed \$5,000,000.00 to intermediate districts on an
28 equal per intermediate district basis for the purpose of
29 administering programs funded under this section. Recipients of the



1 funds under this subsection shall continue to seek federal Medicaid
2 match funding for all eligible mental health and support services
3 and participate in all learning collaboratives about C4S required
4 by the department and department of health and human services.

5 (13) The department and the department of health and human
6 services shall work with the advisory council to develop proposed
7 measurements of outcomes and performance. Those measurements must
8 include, at a minimum, the number of pupils served, the number of
9 schools served, and where those pupils and schools were located.
10 The department and the department of health and human services
11 shall compile data necessary to measure outcomes and performance,
12 and districts and intermediate districts receiving funding under
13 this section shall provide data requested by the department and
14 department of health and human services for the measurement of
15 outcomes and performance. The department and department of health
16 and human services shall provide an annual report by not later than
17 December 1 of each year to the house and senate appropriations
18 subcommittees on school aid and health and human services, to the
19 house and senate fiscal agencies, and to the state budget director.
20 At a minimum, the report must include measurements of outcomes and
21 performance, proposals to increase efficacy and usefulness,
22 proposals to increase performance, and proposals to expand
23 coverage.

24 (14) A district or intermediate district that receives funding
25 directly or indirectly under this section may carry over any
26 unexpended funds received under this section for up to 2 fiscal
27 years beyond the fiscal year in which the funds were received.

28 **(15) As used in this section, "general education pupil"**
29 **includes children served under sections 32d and 32t.**



1 Sec. 31p. (1) From the ~~federal funding~~ **state school aid fund**
 2 **money** appropriated under section 11, there is allocated for ~~2022-~~
 3 ~~2023-2026-2027~~ only an amount not to exceed ~~\$50,000,000.00 from the~~
 4 ~~federal funding awarded to this state from the coronavirus state~~
 5 ~~fiscal recovery fund under the American rescue plan act of 2021,~~
 6 ~~title IX, subtitle M of Public Law 117-2, \$3,000,000.00~~ for grants
 7 to intermediate districts to implement a ~~TRAILS~~ program as
 8 described in subsection (2).

9 (2) The ~~TRAILS~~ program described in this subsection must
 10 improve youth access to evidence-based mental health services by
 11 training school mental health professionals in effective practices,
 12 such as cognitive behavioral therapy and mindfulness.

13 (3) The department shall establish a grant process to
 14 distribute funds under this section.

15 (4) The department shall award, in an equal amount, grants
 16 under this section to each intermediate district that has an
 17 approved grant application for funding under this section.
 18 Intermediate districts must forward to the ~~TRAILS~~ program described
 19 in subsection (2) an amount equal to the amount awarded to the
 20 intermediate district under this subsection to contract with the
 21 ~~TRAILS~~ program. The ~~TRAILS~~ program must use funding received from
 22 intermediate districts to satisfy the terms of the contracts with
 23 the intermediate districts on a statewide basis.

24 (5) Notwithstanding section 17b, the department shall make
 25 payments under this section on a schedule determined by the
 26 department.

27 ~~(6) The funds allocated under this section for 2022-2023 are a~~
 28 ~~work project appropriation, and any unexpended funds for 2022-2023~~
 29 ~~are carried forward into 2023-2024. The purpose of the work project~~



~~is to continue support for the TRAILS program. The estimated completion date of the work project is December 31, 2026.~~

~~(7) The federal funding allocated under this section is intended to respond to the COVID-19 public health emergency and its negative impacts.~~

Sec. 31aa. (1) From the state school aid fund money appropriated in section 11, there is allocated \$300,000,000.00 for ~~2025-2026-2026-2027~~ only, and from the general fund money appropriated in section 11, there is allocated ~~\$21,000,000.00~~ **\$10,000,000.00** for ~~2025-2026-2026-2027~~ only, to support school safety and mental health.

(2) From the state school aid fund money allocated in subsection (1), an amount not to exceed ~~\$200,000,000.00,~~ **\$100,000,000.00**, and from the general fund money allocated in subsection (1), ~~an the amount not to exceed \$14,000,000.00~~ **necessary to provide payments to nonpublic schools as calculated under this subsection** may be used to provide payments to districts, intermediate districts, nonpublic schools, and the Michigan Schools for the Deaf and Blind, ~~that opt in and agree to receive funding under this subsection,~~ **as applicable**, for activities to improve student mental health. ~~and improve student safety. The department shall make payments under this subsection to districts, intermediate districts, nonpublic schools, and the Michigan Schools for the Deaf and Blind in an amount not to exceed \$73.53 per pupil. The total amount allocated for nonpublic schools under this subsection must not exceed \$7,000,000.00.~~ The allowable expenditures of funds under this subsection are as follows:

(a) Hiring or contracting for support staff for student mental health needs, including, but not limited to, school psychologists,



1 social workers, counselors, and school nurses.

2 (b) Purchasing and implementing mental health screening tools.

3 (c) Purchasing a statewide, integrated technology platform
4 that streamlines behavioral health documentation and care
5 coordination.

6 (d) Providing school-based mental health personnel access to
7 consultation with behavioral health clinicians to respond to
8 complex student mental health needs.

9 (e) Purchasing and implementing an online behavioral health
10 tool moderated and led by licensed behavioral health professionals.

11 (f) Hiring or contracting a behavioral health coordinator.

12 (g) Evidence-based trainings to support mental health.

13 (h) Costs associated with collaboration between school
14 employees, families, and community partners to address the
15 academic, behavioral, and social needs of all students through
16 collaborative partnerships, resource coordination, data collection,
17 and data sharing.

18 (i) Costs associated with conducting a systematic school
19 mental health needs assessment and resource mapping that identifies
20 programmatic and systemic needs and helps staff determine
21 priorities and create action plans.

22 **(j) Implementing cell-phone-free school policies. As used in**
23 **this subdivision, "cell-phone-free school policy" means a policy**
24 **that prohibits students from accessing or using a personal**
25 **communication device capable of telecommunication or digital**
26 **communication during instructional time, as determined by the**
27 **school.**

28 **(k) Purchasing and implementing an evidence-based character-**
29 **and relationship-building education program that includes family**

1 engagement, service learning, and project-based character
 2 development, and that fosters positive student-educator
 3 relationships and whole-school culture.

4 (3) From the state school aid fund money allocated in
 5 subsection (1), an amount not to exceed \$200,000,000.00 and from
 6 the general fund money allocated in subsection (1), the amount
 7 necessary to provide payments to nonpublic schools as calculated
 8 under this subsection may be used to provide payments to districts,
 9 intermediate districts, nonpublic schools, and the Michigan Schools
 10 for the Deaf and Blind, as applicable, for activities to improve
 11 student safety. Subject to eligibility requirements in subsection
 12 (6), the department shall make payments to eligible districts,
 13 intermediate districts, nonpublic schools, and the Michigan Schools
 14 for the Deaf and Blind in an amount not to exceed \$147.06 per
 15 pupil. The total amount allocated for nonpublic schools under this
 16 subsection must not exceed \$14,000,000.00. The allowable
 17 expenditures of funds under this subsection are as follows:

18 (a) ~~(j)~~—Coordination with local law enforcement.

19 (b) ~~(k)~~—Training for school staff on threat assessment.

20 (c) ~~(l)~~—Training for school staff and students on threat
 21 response.

22 (d) ~~(m)~~—Training for school staff on crisis communication.

23 (e) ~~(n)~~—Safety infrastructure, including, but not limited to,
 24 cameras, door blocks, hardened vestibules, window screening, and
 25 technology necessary to operate buzzer systems. This may also
 26 include firearm detection software that integrates to existing
 27 security cameras to detect and alert school personnel and first
 28 responders to visible firearms on school property.

29 (f) ~~(o)~~—Age-appropriate training for students and families on



1 responsible firearm ownership, including safe handling and safe
2 storage of firearms.

3 **(g)** ~~(p)~~—School resource officers and safety dogs. School
4 resource officers hired under this subsection must be properly
5 licensed and in good standing with the Michigan commission on law
6 enforcement standards, and must be in compliance with all
7 applicable laws.

8 **(h)** ~~(q)~~—Student Safety Management System, the information
9 technology platform and related services to improve student safety
10 by mitigating cyberbullying, school violence, human trafficking,
11 and self-harm that supports students from grades K to 12.

12 **(i)** ~~(r)~~—A secure platform, administered by the department of
13 state police, for school officials, emergency responders, and
14 emergency management coordinators to house all school safety-
15 related items, including, but not limited to, EOP templates, EOP
16 guidance, reference documents, and security assessments. The
17 platform should use existing password-protected access control
18 methods schools currently utilize and, to the extent possible, be
19 capable of integrating with existing platforms or technologies used
20 by districts for school safety. Through permissions-based access
21 control, the platform should be able to relay information clearly
22 and in real time to each person or entity necessary to provide a
23 unified response to a safety incident, or to take appropriate
24 action in response to an anticipated disruption to the normal
25 functions of the surrounding community.

26 **(j)** ~~(s)~~—Emergency infrastructure needs to respond to an
27 immediate threat to the health or safety of students and staff in
28 the district, intermediate district, nonpublic school, or the
29 Michigan Schools for the Deaf and Blind. A district, intermediate



1 district, nonpublic school, or the Michigan Schools for the Deaf
 2 and Blind shall not expend funds for this purpose without first
 3 obtaining approval from the department. In making a determination
 4 of approval, the department shall, at a minimum, assess whether the
 5 district, intermediate district, nonpublic school, or the Michigan
 6 Schools for the Deaf and Blind is responding to an immediate threat
 7 to the health or safety of students and staff, and whether the
 8 district, intermediate district, nonpublic school, or the Michigan
 9 Schools for the Deaf and Blind has other sources of funding that
 10 should be utilized first.

11 **(k)** ~~(t)~~—A contract with a vendor for a comprehensive safety
 12 and security assessment or a comprehensive safety and security
 13 event assessment in schools operated by the district, intermediate
 14 district, nonpublic school, or the Michigan Schools for the Deaf
 15 and Blind.

16 **(l)** ~~(u)~~—An emergency response system.

17 ~~(v) Implementing cell phone free school policies. As used in~~
 18 ~~this subdivision, "cell phone free school policy" means a policy~~
 19 ~~that prohibits students from accessing or using a personal~~
 20 ~~communication device capable of telecommunication or digital~~
 21 ~~communication during instructional time, as determined by the~~
 22 ~~school.~~

23 ~~(3) By not later than December 31 of each fiscal year, from~~
 24 ~~the state school aid fund money allocated in subsection (1), the~~
 25 ~~department shall make payments to districts, intermediate~~
 26 ~~districts, and the Michigan Schools for the Deaf and Blind that opt~~
 27 ~~in and agree to receive funding in an equal amount per pupil based~~
 28 ~~on the total number of pupils in membership in each district,~~
 29 ~~intermediate district, and the Michigan Schools for the Deaf and~~



~~Blind that opts in and agrees to receive funding. By December 31 of each fiscal year, from the general fund money allocated in subsection (2), the department shall make payments to nonpublic schools that opt in and agree to receive funding in an equal amount per pupil based on the total number of pupils in membership in each nonpublic school that opts in and agrees to receive funding, using pupil counts determined by the department. The department shall ensure that the amount per pupil paid to nonpublic schools does not exceed the amount per pupil paid to districts and intermediate districts. Districts, intermediate districts, the Michigan Schools for the Deaf and Blind, and nonpublic schools may opt in and agree to receive funding in a form and manner determined by the department.~~

~~(4) From the state school aid fund money allocated in subsection (1), there is allocated an amount not to exceed \$50,000,000.00, and from the general fund money allocated in subsection (1), there is allocated an amount not to exceed \$3,500,000.00 for competitive grants to districts, intermediate districts, and nonpublic schools for school resource officers and safety dogs. To receive funding under this subsection, a district, intermediate district, or nonpublic school must apply for funding to the department in a form and manner prescribed by the department. The department shall prioritize applicants who include a spending plan to sustain salaries after grant funding has concluded. Recipients of funding under this subsection shall ensure that any school resource officer hired with these funds has completed training by the Michigan commission on law enforcement standards.~~

~~(5) From the state school aid fund money allocated in~~



~~subsection (1), there is allocated an amount not to exceed \$50,000,000.00 and from the general fund money allocated in subsection (1), there is allocated an amount not to exceed \$3,500,000.00 for competitive grants to districts, intermediate districts, and nonpublic schools to hire or contract for support staff for student mental health needs, including, but not limited to, school psychologists, social workers, and counselors. To receive funding under this subsection, a district, intermediate district, or nonpublic school must apply for funding to the department in a form and manner prescribed by the department. The department shall prioritize applicants that include a spending plan to sustain salaries after grant funding has concluded.~~

(4) ~~(6)~~ Recipients of funding under this section must provide a final expense report to the department by July 1 of each fiscal year. If the department determines that the eligible recipient has misused the funds allocated under this section, the eligible recipient shall reimburse the department for the amount of state funding misused.

~~(7) The department shall use the information received under subsection (6) to compile a report that includes the number of recipients that have hired school resource officers using funds received under this section and any supporting information provided by the recipients. By not later than August 1 of each year, the department shall provide the report compiled under this subsection to the senate and house appropriations subcommittees on school aid, the senate and house fiscal agencies, the senate and house policy offices, the state budget office, and the Michigan commission on law enforcement standards.~~

(5) ~~(8)~~ Districts receiving funds under this section must

1 coordinate with intermediate districts to avoid duplication of
 2 services and to streamline delivery of services to students.

3 **(6) ~~(9)~~** To receive funding under ~~this section~~, **subsection (3)**,
 4 a district, an intermediate district, a nonpublic school, or the
 5 Michigan Schools for the Deaf and Blind must agree to be subject to
 6 a comprehensive investigation **after a mass casualty event, must**
 7 **agree to comply with a comprehensive investigation into the mass**
 8 **casualty event and, for the purpose of that investigation, must**
 9 affirmatively agree to waive any privilege **held by the district,**
 10 **intermediate district, nonpublic school, or Michigan School for the**
 11 **Deaf and Blind** that may otherwise protect information from
 12 disclosure in the event of a mass casualty event, and must agree to
 13 comply with a comprehensive investigation. All of the following
 14 apply to a comprehensive investigation described in this
 15 subsection:

16 (a) The comprehensive investigation will assess the
 17 circumstances surrounding the mass casualty event, including, but
 18 not limited to:

- 19 (i) Emergency response effectiveness.
- 20 (ii) Compliance with safety protocols.
- 21 (iii) Communication procedures.
- 22 (iv) Any factors contributing to the incident.

23 (b) The governor shall designate an appropriate person or
 24 investigative entity to conduct the comprehensive investigation.
 25 This person or investigative entity may include, but is not limited
 26 to, state law enforcement agencies, independent review boards, or
 27 specially appointed task forces. The person or designated
 28 investigative entity has the authority to do all of the following:

- 29 (i) Access relevant records and data from the district.



1 (ii) Interview witnesses and district personnel involved.

2 (iii) Issue findings and recommendations based on the
3 investigation.

4 (c) The person or investigative entity designated in
5 subdivision (b) shall prepare a detailed report of its findings and
6 submit the report to the governor and relevant legislative
7 committees within 90 days following the conclusion of the
8 investigation. The report must include recommendations for
9 preventing future incidents and improving school safety protocols.

10 ~~(10) Funds allocated under subsection (4) for 2025-2026 are a~~
11 ~~work project appropriation, and any unexpended funds for 2025-2026~~
12 ~~are carried forward into 2026-2027. The purpose of the work project~~
13 ~~is to continue providing funding to support districts, intermediate~~
14 ~~districts, and nonpublic schools in having school resource~~
15 ~~officers. The estimated completion date of the work project is~~
16 ~~September 30, 2029.~~

17 ~~(11) Funds allocated under subsection (5) for 2025-2026 are a~~
18 ~~work project appropriation, and any unexpended funds for 2025-2026~~
19 ~~are carried forward into 2026-2027. The purpose of the work project~~
20 ~~is to continue providing funding to support districts, intermediate~~
21 ~~districts, and nonpublic schools in hiring staff to support student~~
22 ~~mental health. The estimated completion date of the work project is~~
23 ~~September 30, 2029.~~

24 **(7) In addition to the appropriations in section 11, if the**
25 **general fund money allocated in subsection (1) is insufficient to**
26 **fully fund awards to nonpublic schools under subsections (2) and**
27 **(3), there is appropriated from the general pupil support reserve**
28 **fund created in section 22s the amount necessary, not to exceed**
29 **\$11,000,000.00, to fund these reimbursements.**



1 (8) ~~(12)~~ As used in this section:

2 (a) "Mass casualty event" means any of the following that
3 occur on school grounds or at a school-sponsored event:

4 (i) An incident resulting in significant **physical** injuries to
5 not fewer than 3 individuals. **As used in this subparagraph,**
6 **"significant physical injury" means an injury that involves a risk**
7 **of death, significant physical pain, protracted and obvious**
8 **disfigurement, or a protracted loss or impairment of the function**
9 **of a bodily member, organ, or mental or sensory faculty.**

10 (ii) An incident resulting in **2 or more** fatalities.

11 (iii) An incident **of such scope** that ~~exceeds the normal~~
12 ~~resources for the~~ emergency response available **resources** in the
13 jurisdiction where the incident takes place **are not sufficient and**
14 **resources from surrounding jurisdictions are required.**

15 (iv) An incident that results in a sudden ~~and timely~~ surge of
16 injured individuals necessitating emergency services.

17 (b) "Safety dog" means a dog that is contracted by a law
18 enforcement agency of this state, a local unit of government of
19 this state, or a district or an intermediate district and that is
20 trained for detection of firearms, explosives, narcotics, or vape
21 substances.

22 (c) "School grounds" means all properties owned or operated by
23 the district, including transportation vehicles owned or operated
24 by the district.

25 (d) "School-sponsored event" means any activity organized or
26 sanctioned by the district.

27 (9) ~~(13)~~ Notwithstanding section 17b, the department shall
28 make payments under this section on a schedule determined by the
29 department.



1 Sec. 32d. (1) From the state school aid fund money
 2 appropriated in section 11, there is allocated to eligible
 3 intermediate districts and consortia of intermediate districts for
 4 great start readiness programs **and other purposes described in this**
 5 **section** an amount not to exceed ~~\$609,720,000.00 for 2024-2025 and~~
 6 ~~\$638,217,600.00 for 2025-2026. From the general fund money~~
 7 ~~appropriated under section 11, there is allocated \$600,000.00 for~~
 8 ~~2024-2025 and \$350,000.00 for 2025-2026, \$712,356,100.00 for 2026-~~
 9 **2027**, and from the great start readiness reserve fund money
 10 appropriated in section 11, there is allocated \$18,000,000.00 for
 11 ~~2024-2025 and 2025-2026~~ **2026-2027** for the purposes of this section.
 12 ~~For 2024-2025, an intermediate district or consortium shall use~~
 13 ~~funds allocated under this section for great start readiness~~
 14 ~~programs to provide part-day programs, school-day programs, GSRP~~
 15 ~~extended programs, GSRP/Head Start school-day blended programs, or~~
 16 ~~GSRP/Head Start extended blended programs that are comprehensive,~~
 17 ~~free, compensatory classroom programs designed to improve the~~
 18 ~~readiness and subsequent achievement of children who meet the~~
 19 ~~participant eligibility and prioritization guidelines as defined by~~
 20 ~~the department of lifelong education, advancement, and potential.~~
 21 ~~For 2025-2026, an~~ **An** intermediate district or consortium shall use
 22 funds allocated under this section for eligible great start
 23 readiness program options. For a child to be eligible to
 24 participate in a program under this section, the child must be at
 25 least 4, but less than 5, years of age as of September 1 of the
 26 school year in which the program is offered and must meet those
 27 eligibility and prioritization guidelines. After eligible children
 28 who will be 4 years of age as of September 1 are enrolled, a child
 29 who is not 4 years of age as of September 1, but who will be 4



1 years of age by not later than December 1, is eligible to
 2 participate if both of the following are met:

3 (a) The child's parent or legal guardian seeks a waiver from
 4 the September 1 eligibility date by submitting a request for
 5 enrollment in a program to the responsible intermediate district.

6 (b) The child meets eligibility and prioritization guidelines.

7 (2) From the state school aid fund money allocated under
 8 subsection (1), an amount not to exceed ~~\$597,720,000.00 for 2024-~~
 9 ~~2025 and \$626,217,600.00~~ **\$700,356,100.00** for ~~2025-2026~~ **2026-2027** is
 10 allocated to intermediate districts or consortia of intermediate
 11 districts based on the formula in section 39. An intermediate
 12 district or consortium of intermediate districts receiving funding
 13 under this section shall act as the fiduciary for the great start
 14 readiness programs. An intermediate district or consortium of
 15 intermediate districts receiving funding under this section may
 16 collaborate with local governments to identify children eligible
 17 for programs funded under this section and may contract with local
 18 governments to provide services. To be eligible to receive funds
 19 allocated under this subsection from an intermediate district or
 20 consortium of intermediate districts, a district, a consortium of
 21 districts, a local government, or a public or private for-profit or
 22 nonprofit legal entity or agency must comply with this section and
 23 section 39. ~~For 2024-2025, if, due to the number of GSRP extended~~
 24 ~~program or GSRP/Head Start extended blended program slots awarded,~~
 25 ~~the amount allocated in this subsection is insufficient to award at~~
 26 ~~least the same number of part-day program and school-day program~~
 27 ~~slots as awarded in the immediately preceding fiscal year, there is~~
 28 ~~appropriated from the great start readiness program reserve fund~~
 29 ~~the amount necessary to fully award the same number of part-day~~



~~program and full-day program slots as awarded in the immediately preceding fiscal year. For 2025-2026, if~~ **If** the amount allocated in this subsection is insufficient to fully fund allocations calculated under section 39, there is appropriated from the great start readiness program reserve fund the amount necessary and available to fully fund those allocations.

(3) From the ~~general~~ **state school aid** fund money allocated under subsection ~~(1)~~, there is allocated an amount not to exceed ~~\$600,000.00 for 2024-2025 and an amount not to exceed \$350,000.00 for 2025-2026 for~~ **(2), the department of lifelong education, advancement, and potential shall award** a competitive grant to **a state public university to** continue a longitudinal evaluation of children who have participated in great start readiness programs.

(4) Except as otherwise provided in subsection (5), to be eligible for funding under this section, a program must prepare children for success in school through comprehensive part-day programs, school-day programs, GSRP extended programs, GSRP/Head Start school-day blended programs, GSRP/Head Start extended blended programs, or other eligible great start readiness program options that contain all of the following program components, as determined by the department of lifelong education, advancement, and potential:

(a) Participation in a collaborative recruitment and enrollment process to ensure that each child is enrolled in the program most appropriate to the child's needs and to maximize the use of federal, state, and local funds. ~~For 2025-2026, as part of this requirement, programs~~ **Programs** receiving funding under this section must provide current enrollment data, including slots open for enrollment and slots filled, to the intermediate district or



1 consortium of intermediate districts from which funding is received
2 for that program. The enrollment process must ensure that children
3 in families with lower income and children with other risk factors,
4 as determined by the department of lifelong education, advancement,
5 and potential, are enrolled before children with lesser needs.

6 (b) An age-appropriate educational curriculum that is in
7 compliance with the early childhood standards of quality for birth
8 to kindergarten children adopted by the state board, including, at
9 least, the Connect4Learning curriculum.

10 (c) Nutritional services for all program participants
11 supported by federal, state, and local resources as applicable.

12 (d) Physical and dental health and developmental screening
13 services for all program participants.

14 (e) Referral services for families of program participants to
15 community social service agencies, including mental health
16 services, as appropriate.

17 (f) Active and continuous involvement of the parents or
18 guardians of the program participants.

19 (g) A plan to conduct and report annual great start readiness
20 program evaluations and continuous improvement plans using criteria
21 approved by the department of lifelong education, advancement, and
22 potential.

23 (h) Participation in a school readiness advisory committee
24 convened as a workgroup of the great start collaborative that
25 provides for the involvement of classroom teachers, parents or
26 guardians of program participants, and community, volunteer, and
27 social service agencies and organizations, as appropriate. The
28 advisory committee shall annually review and make recommendations
29 regarding the program components listed in this subsection. The



1 advisory committee also shall make recommendations to the great
2 start collaborative regarding other community services designed to
3 improve all children's school readiness.

4 (i) The ongoing articulation of the kindergarten and first
5 grade programs offered by the program provider.

6 (j) Participation in this state's great start to quality
7 process with a level of at least enhancing quality level.

8 (5) To help expand access to great start readiness programs,
9 the department of lifelong education, advancement, and potential
10 may waive the requirements under ~~subsections (4) and (8)(c)~~
11 **subsection (4)** and a program may be eligible for funding under this
12 section for new or expanding programs if the program demonstrates
13 to the satisfaction of the department of lifelong education,
14 advancement, and potential that the program meets all of the
15 following:

16 (a) Is a licensed group or child care center or is a licensed
17 program.

18 (b) Provides the minimum instructional time as required by the
19 department of lifelong education, advancement, and potential.

20 (c) Participates in this state's quality improvement system at
21 a level determined by the department of lifelong education,
22 advancement, and potential.

23 (d) Implements a professional educator preparation plan, as
24 defined by the department of lifelong education, advancement, and
25 potential, for educators not meeting teacher credentialing
26 standards described in subsection (8). ~~or (9).~~

27 (e) Uses a developmentally appropriate curriculum, as
28 determined by the department of lifelong education, advancement,
29 and potential.



1 (f) Conducts a developmental screening and referral process,
2 as determined by the department of lifelong education, advancement,
3 and potential.

4 (g) Commits to participating in program financial review and
5 monitoring, as determined by the department of lifelong education,
6 advancement, and potential.

7 (h) Provides a plan to implement an approved great start
8 readiness program curriculum and meet additional great start
9 readiness program standards, as determined by the department of
10 lifelong education, advancement, and potential.

11 (6) A waiver under subsection (5) may be granted for up to 3
12 years for requirements related to program credentialing and may be
13 granted for up to 2 years for all other requirements, as determined
14 by the department of lifelong education, advancement, and
15 potential.

16 (7) The department of lifelong education, advancement, and
17 potential shall provide a report to the house and senate
18 appropriations subcommittees on school aid, the state budget
19 director, and the house and senate fiscal agencies that summarizes
20 the number and types of exemptions granted under subsection (5) and
21 progress made by programs granted waivers under subsection (5) by
22 September 30 of each fiscal year. It is the intent of the
23 legislature to review the waiver allowability under subsection (5)
24 before the fiscal year ending September 30, 2027.

25 ~~(8) For applications submitted before September 30, 2025, an~~
26 ~~application for funding under this section must provide for the~~
27 ~~following, in a form and manner determined by the department of~~
28 ~~lifelong education, advancement, and potential:~~

29 ~~(a) Ensure either of the following:~~



1 ~~(i) That the applicant complies with all program components~~
2 ~~described in subsection (4).~~

3 ~~(ii) That the applicant meets the requirements of a waiver~~
4 ~~under subsection (5).~~

5 ~~(b) Except as otherwise provided in this subdivision, ensure~~
6 ~~that children participating in an eligible great start readiness~~
7 ~~program for whom the intermediate district is receiving funds under~~
8 ~~this section are children who live with families with a household~~
9 ~~income that is equal to or less than 400% of the federal poverty~~
10 ~~guidelines. If the intermediate district determines that all~~
11 ~~eligible children are being served and that there are no children~~
12 ~~on the waiting list who live with families with a household income~~
13 ~~that is equal to or less than 400% of the federal poverty~~
14 ~~guidelines, the intermediate district may then enroll children who~~
15 ~~live with families with a household income that is greater than~~
16 ~~400% of the federal poverty guidelines. The enrollment process must~~
17 ~~consider income and risk factors, such that children determined~~
18 ~~with higher need are enrolled before children with lesser need. For~~
19 ~~purposes of this subdivision, all age-eligible children served in~~
20 ~~foster care or who are experiencing homelessness or who have~~
21 ~~individualized education programs recommending placement in an~~
22 ~~inclusive preschool setting are considered to live with families~~
23 ~~with household income equal to or less than 400% of the federal~~
24 ~~poverty guidelines regardless of actual family income and are~~
25 ~~prioritized for enrollment within the lowest quintile. The~~
26 ~~department of lifelong education, advancement, and potential shall~~
27 ~~publish the household income thresholds under this subdivision in a~~
28 ~~clear manner on its website and the great start to quality website.~~

29 ~~(c) Except as provided in subsection (5), ensure that the~~



1 ~~applicant only uses qualified personnel for this program, as~~
2 ~~follows:~~

3 ~~(i) Teachers possessing proper training. A lead teacher must~~
4 ~~have a valid Michigan teaching certificate with an early childhood~~
5 ~~or lower elementary endorsement or a bachelor's or higher degree in~~
6 ~~child development or early childhood education with specialization~~
7 ~~in preschool teaching. However, except as otherwise provided in~~
8 ~~this subparagraph, if an applicant demonstrates to the department~~
9 ~~of lifelong education, advancement, and potential that it is unable~~
10 ~~to fully comply with this subparagraph after making reasonable~~
11 ~~efforts to comply, teachers or paraprofessionals with at least 5~~
12 ~~years of experience as a paraprofessional in a great start~~
13 ~~readiness program, Head Start, or licensed child care center~~
14 ~~classroom who have significant but incomplete training in early~~
15 ~~childhood education or child development may be used if the~~
16 ~~applicant provides to the department of lifelong education,~~
17 ~~advancement, and potential, and the department of lifelong~~
18 ~~education, advancement, and potential approves, a plan for each~~
19 ~~teacher to come into compliance with the standards in this~~
20 ~~subparagraph. Individuals may qualify with at least 3 years of~~
21 ~~experience and significant training in early childhood education or~~
22 ~~child development, based on the recommendation of the intermediate~~
23 ~~district after a classroom observation. A teacher's compliance plan~~
24 ~~must be completed within 3 years of the date of employment.~~
25 ~~Progress toward completion of the compliance plan consists of at~~
26 ~~least 2 courses per calendar year.~~

27 ~~(ii) Paraprofessionals possessing proper training in early~~
28 ~~childhood education, including an associate degree in early~~
29 ~~childhood education or child development or the equivalent, or a~~



~~child development associate (CDA) credential. However, if an applicant demonstrates to the department of lifelong education, advancement, and potential that it is unable to fully comply with this subparagraph after making reasonable efforts to comply, the applicant may use paraprofessionals who have completed at least 1 course that earns college credit in early childhood education or child development or enroll in a child development associate credential with at least 6 months of verified experience in early education and care, if the applicant provides to the department of lifelong education, advancement, and potential, and the department of lifelong education, advancement, and potential approves, a plan for each paraprofessional to come into compliance with the standards in this subparagraph. A paraprofessional's compliance plan must be completed within 3 years of the date of employment. Progress toward completion of the compliance plan consists of at least 2 courses, 60 clock hours, or an equivalent of training per calendar year.~~

~~(d) Include a program budget that contains only those costs that are not reimbursed or reimbursable by federal funding, that are clearly and directly attributable to the great start readiness program, and that would not be incurred if the program were not being offered. Eligible costs include transportation costs. The program budget must indicate the extent to which these funds will supplement other federal, state, local, or private funds. An applicant shall not use funds received under this section to supplant any federal funds received by the applicant to serve children eligible for a federally funded preschool program that has the capacity to serve those children.~~

~~(8) (9) Beginning in 2025-2026, applications~~ **Applications** for



1 funding under this section must be submitted to the department of
 2 lifelong education, advancement, and potential in a form and manner
 3 determined by the department of lifelong education, advancement,
 4 and potential. The application must demonstrate, at a minimum,
 5 compliance with program requirements described in subsection (4) or
 6 (5) and must ensure that recipients will only utilize qualified
 7 personnel, as determined by the department of lifelong education,
 8 advancement, and potential, for eligible great start readiness
 9 program options.

10 ~~(10) For a grant recipient that enrolls pupils in a school-day~~
 11 ~~program or GSRP extended program funded under this section, each~~
 12 ~~child enrolled in the school-day program or GSRP extended program~~
 13 ~~is counted as described in section 39 for purposes of determining~~
 14 ~~the amount of the grant award. This subsection does not apply after~~
 15 ~~September 30, 2025.~~

16 (9) ~~(11)~~ For a grant recipient that enrolls pupils in an
 17 eligible great start readiness program option that blends GSRP and
 18 Head Start programming, the grant recipient shall ensure that all
 19 Head Start and GSRP policies and regulations are applied to the
 20 blended slots, with adherence to the highest standard from either
 21 program, to the extent allowable under federal law. A grant
 22 recipient may request a waiver from the department of lifelong
 23 education, advancement, and potential to align GSRP policies and
 24 regulations with Head Start national standards for quality,
 25 including ratios, and the department of lifelong education,
 26 advancement, and potential may approve the waiver. Not later than
 27 March 1 of each year, the department of lifelong education,
 28 advancement, and potential will report to the legislature and post
 29 on a publicly available website a list by intermediate district or



consortium with the number and type of each waiver requested and approved.

(10) ~~(12)~~ To help expand access to great start readiness programs, the department of lifelong education, advancement, and potential may allow great start readiness programs to implement Head Start national performance standards for quality as an alternative to great start readiness program policies and regulations if the great start readiness program demonstrates to the satisfaction of the department of lifelong education, advancement, and potential that the great start readiness program is meeting the requirements of the Head Start national performance standards.

(11) ~~(13)~~ ~~Beginning in 2025-2026, an~~ **An** intermediate district or consortia of intermediate districts receiving funding under this section must publish, on an easily accessible website, a data dashboard containing the number of allocations requested from the state, a list of programs offering great start readiness programs in their boundaries, and current enrollment data for each subrecipient, including total slots open for enrollment, slots filled, and waitlist information, if applicable. A link to this website must be provided to families on waitlists for any great start readiness program in their boundaries.

(12) ~~(14)~~ An intermediate district or consortium of intermediate districts receiving a grant under this section shall designate an early childhood coordinator, and may provide services directly or may contract with 1 or more districts or public or private for-profit or nonprofit providers that meet all requirements of subsection (4) ~~, (8), or (9),~~ **or (8)**, as applicable.



1 **(13)** ~~(15)~~ An intermediate district or consortium of
 2 intermediate districts may retain for administrative services
 3 provided by the intermediate district or consortium of intermediate
 4 districts an amount not to exceed 4% of the grant amount. Expenses
 5 incurred by subrecipients engaged by the intermediate district or
 6 consortium of intermediate districts for directly running portions
 7 of the program are considered program costs or a contracted program
 8 fee for service. Subrecipients operating early childhood programs
 9 may include indirect costs, not to exceed the federal de minimis.

10 **(14)** ~~(16)~~ An intermediate district or consortium of
 11 intermediate districts may expend not more than 2% of the total
 12 grant amount for outreach, recruiting, and public awareness of the
 13 program, if the intermediate district or consortium of intermediate
 14 districts also participates in related statewide marketing and
 15 outreach efforts.

16 ~~(17) Each grant recipient shall enroll children identified~~
 17 ~~under subsection (8) (b) according to how far the child's household~~
 18 ~~income is below 400% of the federal poverty guidelines by ranking~~
 19 ~~each applicant child's household income from lowest to highest and~~
 20 ~~dividing the applicant children into quintiles based on how far the~~
 21 ~~child's household income is below 400% of the federal poverty~~
 22 ~~guidelines, and then enrolling children in the quintile with the~~
 23 ~~lowest household income before enrolling children in the quintile~~
 24 ~~with the next lowest household income until slots are completely~~
 25 ~~filled. If the grant recipient determines that all eligible~~
 26 ~~children are being served and that there are no children on the~~
 27 ~~waiting list who live with families with a household income that is~~
 28 ~~equal to or less than 400% of the federal poverty guidelines, the~~
 29 ~~grant recipient may then enroll children who live with families~~



~~with a household income that is greater than 400% of the federal poverty guidelines. The enrollment process must consider income and risk factors, such that children determined with higher need are enrolled before children with lesser need. For purposes of this subsection, all age-eligible children served in foster care or who are experiencing homelessness or who have individualized education programs recommending placement in an inclusive preschool setting are considered to live with families with household income equal to or less than 400% of the federal poverty guidelines regardless of actual family income and are prioritized for enrollment within the lowest quintile. This subsection does not apply after September 30, 2025.~~

(15) ~~(18)~~ An intermediate district or consortium of intermediate districts receiving a grant under this section shall allow parents of eligible children who are residents of the intermediate district or within the consortium to choose a program operated by or contracted with another intermediate district or consortium of intermediate districts and shall enter into a written agreement regarding payment, in a manner prescribed by the department of lifelong education, advancement, and potential.

(16) ~~(19)~~ An intermediate district or consortium of intermediate districts receiving a grant under this section shall conduct a local process to contract with interested and eligible public and private for-profit and nonprofit community-based providers that meet all requirements of subsection (4) for at least 30% of its total allocation. ~~For 2024-2025, for the purposes of this 30% allocation, an intermediate district or consortium of intermediate districts may count children served by a Head Start grantee or delegate in a GSRP/Head Start school day blended~~



~~1 program, GSRP/Head Start extended blended program, GSRP extended~~
~~2 program, and great start readiness school-day program. Children~~
 3 served in a program funded ~~only~~ through **only** Head Start are not
 4 counted toward this 30% allocation. ~~Beginning in 2025-2026, the~~ **The**
 5 department of lifelong education, advancement, and potential shall
 6 provide guidance to intermediate districts and consortia of
 7 intermediate districts on counting children served by Head Start
 8 programming for the purposes of this 30% allocation. ~~For 2024-2025,~~
 9 ~~an intermediate district or consortium shall report to the~~
 10 ~~department of lifelong education, advancement, and potential, in a~~
 11 ~~manner prescribed by the department of lifelong education,~~
 12 ~~advancement, and potential, a detailed list of community-based~~
 13 ~~providers by provider type, including private for-profit, private~~
 14 ~~nonprofit, community college or university, Head Start grantee or~~
 15 ~~delegate, and district or intermediate district, and the number and~~
 16 ~~proportion of its total allocation allocated to each provider as~~
 17 ~~subrecipient. Beginning in 2025-2026, an~~ **An** intermediate district
 18 or consortium shall report to the department of lifelong education,
 19 advancement, and potential, in a manner prescribed by the
 20 department of lifelong education, advancement, and potential,
 21 information necessary for the department of lifelong education,
 22 advancement, and potential to determine the intermediate district's
 23 or consortium of intermediate districts' compliance with this
 24 subsection. If the intermediate district or consortium is not able
 25 to contract for at least 30% of its total allocation, the
 26 intermediate district or consortium shall notify the department of
 27 lifelong education, advancement, and potential and, if the
 28 department of lifelong education, advancement, and potential
 29 verifies that the intermediate district or consortium attempted to



1 contract for at least 30% of its total allocation and was not able
2 to do so, the intermediate district or consortium may retain and
3 use all of its allocation as provided under this section. To be
4 able to use this exemption, the intermediate district or consortium
5 shall demonstrate to the department of lifelong education,
6 advancement, and potential that the intermediate district or
7 consortium increased the percentage of its total allocation for
8 which it contracts with a community-based provider and the
9 intermediate district or consortium shall submit evidence
10 satisfactory to the department of lifelong education, advancement,
11 and potential, and the department of lifelong education,
12 advancement, and potential must be able to verify this evidence,
13 demonstrating that the intermediate district or consortium took
14 measures to contract for at least 30% of its total allocation as
15 required under this subsection, including, but not limited to, at
16 least all of the following measures:

17 (a) The intermediate district or consortium notified each
18 nonparticipating licensed child care center located in the service
19 area of the intermediate district or consortium regarding the
20 center's eligibility to participate, in a manner prescribed by the
21 department of lifelong education, advancement, and potential.

22 (b) The intermediate district or consortium provided to each
23 nonparticipating licensed child care center located in the service
24 area of the intermediate district or consortium information
25 regarding great start readiness program requirements and a
26 description of the application and selection process for community-
27 based providers.

28 (c) The intermediate district or consortium provided to the
29 public and to participating families a list of community-based



1 great start readiness program subrecipients with a great start to
 2 quality level of at least enhancing quality level.

3 **(17) ~~(20)~~—**If an intermediate district or consortium of
 4 intermediate districts receiving a grant under this section fails
 5 to submit satisfactory evidence to demonstrate its effort to
 6 contract for at least 30% of its total allocation, as required
 7 under subsection ~~(19)~~, **(16)**, the department of lifelong education,
 8 advancement, and potential may reduce the allocation to the
 9 intermediate district or consortium by a percentage equal to the
 10 difference between the percentage of an intermediate district's or
 11 consortium's total allocation awarded to community-based providers
 12 and 30% of its total allocation. **By not later than September 30,**
 13 **the department of lifelong education, advancement, and potential**
 14 **shall submit a report on any intermediate districts impacted by**
 15 **this subsection to the senate and house appropriations**
 16 **subcommittees on school aid, the senate and house appropriations**
 17 **committees, the senate and house fiscal agencies, the senate and**
 18 **house policy offices, and the state budget office.**

19 **(18) ~~(21)~~—**To assist intermediate districts and consortia in
 20 complying with the requirement to contract with community-based
 21 providers, for at least 30% of their total allocation, the
 22 department of lifelong education, advancement, and potential shall
 23 do all of the following:

24 (a) Ensure that a great start resource center or the
 25 department of lifelong education, advancement, and potential
 26 provides each intermediate district or consortium receiving a grant
 27 under this section with the contact information for each licensed
 28 child care center located in the service area of the intermediate
 29 district or consortium by March 1 of each year.



~~(b) Provide, or ensure that an organization with which the department of lifelong education, advancement, and potential contracts provides, a community-based provider with a validated great start to quality rating within 90 days of the provider's having submitted a request and self-assessment. This subdivision does not apply after September 30, 2025.~~

(b) ~~(e)~~ Ensure that all intermediate district, district, community college or university, Head Start grantee or delegate, private for-profit, and private nonprofit providers are subject to a single great start to quality continuous quality improvement system. The continuous quality improvement system must ensure that regulators process all prospective providers at the same pace on a first-come, first-served basis and must not allow 1 type of provider to receive a great start to quality level ahead of any other type of provider.

(c) ~~(d)~~ By not later than March 1 of each year, compile the results of the information reported by each intermediate district or consortium under subsection ~~(19)~~ **(16)** and report to the legislature and post on a publicly available website a list by intermediate district or consortium with the number and percentage of each intermediate district's or consortium's total allocation allocated to community-based providers by provider type, including private for-profit, private nonprofit, community college or university, Head Start grantee or delegate, and district or intermediate district.

(d) ~~(e)~~ Allow intermediate districts and consortia and eligible community-based providers to utilize materials and supplies purchased for great start readiness programs within their facilities for other early care and education activities, in the



1 following order of priority:

2 (i) Early care and education activities under a federal award.

3 (ii) Early care and education activities under other state
4 awards.

5 (iii) Early care and education activities under local or
6 regional awards.

7 **(19)** ~~(22)~~—A recipient of funds under this section shall report
8 to the center in a form and manner prescribed by the center the
9 information necessary to derive the number of children
10 participating in the program, the number of eligible children not
11 participating in the program and on a waitlist, and the total
12 number of children participating in the program by various
13 demographic groups and eligibility factors necessary to analyze
14 equitable and priority access to services for the purposes of
15 subsection (3).

16 **(20)** ~~(23)~~—As used in this section:

17 (a) "Child care center" means that term as defined in section
18 1 of 1973 PA 116, MCL 722.111.

19 (b) "Eligible great start readiness program options" means a
20 program option that operates on a school-day, part-day, or extended
21 schedule length, as determined by the department of lifelong
22 education, advancement, and potential. The department of lifelong
23 education, advancement, and potential must maintain and publish on
24 its website requirements for each eligible schedule length,
25 including the minimum day length, the minimum number of days per
26 week, and the minimum number of weeks per year. These programs may
27 be blended with Head Start programs, if allowable by federal rules
28 and regulations.

29 (c) "Federal poverty guidelines" means the guidelines



published annually in the Federal Register by the United States Department of Health and Human Services under its authority to revise the poverty line under 42 USC 9902.

(d) "GSRP extended program" means a program that operates for at least the same length of day as a district's first grade program for a minimum of 5 days per week, 36 weeks per year.

(e) "GSRP/Head Start extended blended program" means a program funded under this section and a Head Start program that are combined for an extended program.

(f) "GSRP/Head Start school-day blended program" means a part-day program funded under this section and a Head Start program, which are combined for a school-day program.

(g) "Licensed child care center" means a child care center that has been issued a license under 1973 PA 116, MCL 722.111 to 722.128, to operate a child care center.

(h) "Part-day program" means a program that operates at least 4 days per week, 30 weeks per year, for at least 3 hours of teacher-child contact time per day but for fewer hours of teacher-child contact time per day than a school-day program.

(i) "School-day program" means a program that operates for at least the same length of day as a district's first grade program for a minimum of 4 days per week, 30 weeks per year. A classroom that offers a school-day program must enroll all children for the school day to be considered a school-day program.

(21) ~~(24)~~ From the state school aid fund money allocated in subsection (1), there is allocated for ~~2024-2025 and 2025-2026~~ **2026-2027** an amount not to exceed \$10,000,000.00 and, from the great start readiness program reserve fund money allocated in subsection (1), there is allocated for ~~2024-2025 and 2025-2026~~



1 **2026-2027** an amount not to exceed \$18,000,000.00 for reimbursement
 2 of transportation costs for children attending great start
 3 readiness programs funded under this section. To receive
 4 reimbursement under this subsection, by not later than November 1
 5 of each year, a program funded under this section that provides
 6 transportation shall submit to the intermediate district that is
 7 the fiscal agent for the program a projected transportation budget.
 8 The amount of the reimbursement for transportation under this
 9 subsection is no more than the projected transportation budget or
 10 \$500.00 multiplied by the number of children funded for the program
 11 under this section. If the amount allocated under this subsection
 12 is insufficient to fully reimburse the transportation costs for all
 13 programs that provide transportation and submit the required
 14 information, the department of lifelong education, advancement, and
 15 potential shall prorate the reimbursement in an equal amount per
 16 child funded. The department of lifelong education, advancement,
 17 and potential shall make payments to the intermediate district that
 18 is the fiscal agent for each program, and the intermediate district
 19 shall then reimburse the program provider for transportation costs
 20 as prescribed under this subsection.

21 ~~(22) (25) For 2024-2025, subject to, and from the funds~~
 22 ~~allocated under, subsection (24), the department of lifelong~~
 23 ~~education, advancement, and potential shall reimburse a program for~~
 24 ~~transportation costs related to parent or guardian accompanied~~
 25 ~~transportation provided by transportation service companies, buses,~~
 26 ~~or other public transportation services. Beginning in 2025-2026,~~
 27 ~~subject~~ **Subject** to, and from the funds allocated under, subsection
 28 ~~(24), (21),~~ the department of lifelong education, advancement, and
 29 potential shall allow programs to utilize those funds for costs



1 related to parent- or guardian-provided transportation and for
 2 costs related to parent- or guardian-accompanied transportation
 3 provided by transportation service companies, buses, or other
 4 public transportation services. For payments related to parent- or
 5 guardian-provided transportation, the department of lifelong
 6 education, advancement, and potential shall develop parameters to
 7 ensure dollars are utilized in a way that improves access to
 8 eligible great start readiness program options for low-income and
 9 geographically isolated families. To be eligible ~~for reimbursement~~
 10 ~~under this subsection in 2024-2025, and to utilize funding under~~
 11 ~~this subsection, in 2025-2026,~~ a program must submit to the
 12 intermediate district or consortia of intermediate districts all of
 13 the following:

14 (a) The names of families provided with transportation support
 15 along with a documented reason for the need for transportation
 16 support and the type of transportation provided.

17 (b) Financial documentation of actual transportation costs
 18 incurred by the program, including, but not limited to, receipts
 19 and mileage reports, as determined by the department of lifelong
 20 education, advancement, and potential.

21 (c) Any other documentation or information determined
 22 necessary by the department of lifelong education, advancement, and
 23 potential.

24 **(23)** ~~(26)~~ The department of lifelong education, advancement,
 25 and potential shall implement a process to review and approve age-
 26 appropriate comprehensive classroom level quality assessments for
 27 GSRP grantees that support the early childhood standards of quality
 28 for birth to kindergarten children adopted by the state board. The
 29 department of lifelong education, advancement, and potential shall



1 make available to intermediate districts at least 2 classroom level
 2 quality assessments that have been approved by the department of
 3 lifelong education, advancement, and potential.

4 **(24)** ~~(27)~~—An intermediate district that is a GSRP grantee may
 5 approve the use of a supplemental curriculum that aligns with and
 6 enhances the age-appropriate educational curriculum in the
 7 classroom. If the department of lifelong education, advancement,
 8 and potential objects to the use of a supplemental curriculum
 9 approved by an intermediate district, the director of the
 10 department of lifelong education, advancement, and potential shall
 11 establish a review committee independent of the department of
 12 lifelong education, advancement, and potential. The review
 13 committee shall meet within 60 days of the department of lifelong
 14 education, advancement, and potential registering its objection in
 15 writing and provide a final determination on the validity of the
 16 objection within 60 days of the review committee's first meeting.

17 **(25)** ~~(28)~~—The department of lifelong education, advancement,
 18 and potential shall implement a process to evaluate and approve
 19 age-appropriate educational curricula that are in compliance with
 20 the early childhood standards of quality for birth to kindergarten
 21 children adopted by the state board.

22 **(26)** ~~(29)~~—From the state school aid fund money allocated under
 23 subsection (1), there is allocated for ~~2024-2025 and 2025-2026~~
 24 **2026-2027** an amount not to exceed \$2,000,000.00 for payments to
 25 intermediate districts or consortia of intermediate districts for
 26 professional development and training materials for educators in
 27 programs implementing new curricula or child assessment tools
 28 approved for use in the great start readiness program. **Curricula**
 29 **and child assessment tools purchased with funds received under this**



subsection must be in compliance with early childhood standards of quality for birth to kindergarten children, including the science of reading, as that term is defined in section 1280f of the revised school code, MCL 380.1280f.

(27) ~~(30)~~—A great start readiness program, a GSRP extended program, a GSRP/Head Start school-day blended program, a GSRP/Head Start extended blended program, or other eligible great start readiness programs funded under this section are permitted to utilize AmeriCorps Pre-K Reading Corps members in classrooms implementing research-based ~~early~~-literacy intervention strategies.

(28) ~~(31)~~—In addition to the allocation under subsection (1), from the state school aid fund money appropriated under section 11, there is allocated an amount not to exceed ~~\$25,000,000.00 for 2024-2025 and an amount not to exceed \$10,000,000.00~~ **\$3,600,000.00** for ~~2025-2026~~ **2026-2027** only for classroom start up grants to intermediate districts and consortia of intermediate districts for new or expanding great start readiness classrooms. All of the following apply to funding allocated under this subsection:

(a) To receive funding under this subsection, intermediate districts and consortia of intermediate districts must apply for the funding in a form and manner prescribed by the department of lifelong education, advancement, and potential.

(b) The department of lifelong education, advancement, and potential shall pay an amount not to exceed \$50,000.00 for each new or expanded classroom. If funding is insufficient to fully fund all eligible applicants, the department of lifelong education, advancement, and potential must prorate the per-classroom amount on an equal basis. ~~If the allocation is not fully paid in the current fiscal year, the department of lifelong education, advancement, and~~



~~potential may award any remaining funding from fiscal year 2024-2025 during fiscal year 2025-2026, and may award any remaining funding from fiscal year 2025-2026 during fiscal year 2026-2027 for each new or expanded classroom at an equal amount per classroom, based on remaining available funds, not to exceed \$50,000.00 per classroom.~~

(c) Funds received under this subsection by intermediate districts and consortia of intermediate districts must be paid in full to the entity operating the classroom and may be used for 1 or more of the following purposes:

(i) Costs associated with attracting, recruiting, retaining, and licensing required classroom education personnel to staff new or expanded classrooms.

(ii) Supporting facility improvements or purchasing facility space or modular classroom units necessary to provide a safe, high-quality learning environment for children in each new or expanded classroom, and for costs to become a licensed facility such as architectural drawings, permits, and other prelicensure inspection fees.

(iii) Outreach material necessary for public awareness that the great start readiness program has openings in the area and for costs associated with enrolling eligible children in new or expanded classrooms.

(iv) Supporting costs in each new or expanded classroom associated with improving a provider's great start to quality level.

(d) Recipients of funds under this subsection must demonstrate that instructional staff have completed, or are in the process of completing, professional learning in the science of reading. Grant



1 funds may be used to support this professional learning and are
 2 intended to ensure new classrooms are well equipped to implement
 3 evidence-based ~~early~~-literacy strategies.

4 ~~(e) The funds allocated under this subsection for 2024-2025~~
 5 ~~are a work project appropriation, and any unexpended funds for~~
 6 ~~2024-2025 do not lapse to the state school aid fund and are carried~~
 7 ~~forward into 2025-2026. The purpose of the work project is to~~
 8 ~~continue support for new or expanded great start readiness~~
 9 ~~classrooms. The estimated completion date of the work project is~~
 10 ~~September 30, 2026.~~

11 **(e)** ~~(f)~~ The funds allocated under this subsection for 2025-
 12 2026 are a work project appropriation, and any unexpended funds for
 13 2025-2026 do not lapse to the state school aid fund and are carried
 14 forward into 2026-2027. The purpose of the work project is to
 15 continue support for new or expanded great start readiness
 16 classrooms. The estimated completion date of the work project is
 17 September 30, 2027.

18 **(f)** ~~(g)~~ Notwithstanding section 17b, the department of
 19 lifelong education, advancement, and potential shall make payments
 20 under this subsection on a schedule determined by the department of
 21 lifelong education, advancement, and potential.

22 **(29)** ~~(32)~~ In addition to the funds allocated in subsection
 23 (1), there is allocated from the general fund money appropriated
 24 under section 11 for 2024-2025 only an amount not to exceed
 25 \$1,950,000.00 for an intermediate district or a consortium of
 26 intermediate districts to partner with the department of lifelong
 27 education, advancement, and potential and community-based
 28 organizations to continue implementing statewide outreach and
 29 enrollment campaign activities to raise awareness about the



1 availability of services through the great start readiness program,
2 and to promote enrollment.

3 **(30)** ~~(33)~~—The funds allocated under subsection ~~(32)~~—**(29)** for
4 2024-2025 are a work project appropriation, and any unexpended
5 funds for 2024-2025 are carried forward into 2025-2026. The purpose
6 of the work project is to raise awareness of and participation in
7 great start readiness programming. The estimated completion date of
8 the work project is September 30, 2027.

9 **(31)** ~~(34)~~—Notwithstanding section 17b, the department of
10 lifelong education, advancement, and potential shall make payments
11 under subsection ~~(32)~~—**(29)** on a schedule determined by the
12 department of lifelong education, advancement, and potential.

13 Sec. 32e. (1) The great start readiness program reserve fund
14 is created as a separate account in the state school aid fund for
15 the purpose of supporting the great start readiness program **and for**
16 **the purposes described in section 32v.**

17 (2) The state treasurer may receive money or other assets from
18 any source for deposit into the great start readiness program
19 reserve fund. The state treasurer shall direct the investment of
20 the great start readiness program reserve fund. The state treasurer
21 shall credit to the great start readiness program reserve fund
22 interest and earnings from great start readiness program reserve
23 fund investments.

24 (3) Money in the great start readiness program reserve fund at
25 the close of the fiscal year remains in the great start readiness
26 program reserve fund and does not lapse to the state school aid
27 fund or the general fund.

28 (4) The department of treasury is the administrator of the
29 great start readiness program reserve fund for auditing purposes.



(5) Money available in the great start readiness program reserve fund must not be expended without a specific appropriation.

(6) For the fiscal year ending September 30, 2023 only, \$200,000,000.00 from the state school aid fund is deposited into the great start readiness program reserve fund.

Sec. 32n. (1) From the state school aid fund money appropriated in section 11, there is allocated for ~~2024-2025-2026-~~
~~2027~~ only an amount not to exceed ~~\$79,000,000.00, \$50,000,000.00,~~
 and from the state school aid pupil support reserve fund money appropriated in section 11, there is allocated for ~~2025-2026-2026-~~
~~2027~~ only an amount not to exceed ~~\$75,000,000.00-\$85,000,000.00~~ to Clinton County RESA to collaborate with the department of lifelong education, advancement, and potential, for the purposes of this section. ~~It is the intent of the legislature that, for 2026-2027,~~
~~the allocation from the state school aid pupil support reserve fund money appropriated in section 11 for the purposes described in this section will be \$85,000,000.00.~~ It is the intent of the legislature that, for 2027-2028, the allocation from the state school aid pupil support reserve fund money appropriated in section 11 for the purposes described in this section will be \$100,000,000.00.

(2) ~~From the state school aid fund money allocated in subsection (1), there is allocated for 2024-2025 only an amount not to exceed \$57,000,000.00, and from the state school aid pupil support reserve fund money allocated in subsection (1), there is allocated for 2025-2026 only an amount not to exceed \$75,000,000.00~~
The funds allocated in subsection (1) must be used for a grant program for eligible applicants to expand access to quality, affordable programming before and after the school day or during the summer for young people. **Not more than 40% of the total**



1 **allocation under subsection (1) may be allocated to statewide or**
2 **regional grant applications.** The department of lifelong education,
3 advancement, and potential shall establish competitive grant
4 criteria for the program described in this subsection. To be
5 eligible for a grant under this subsection, the applicant must
6 meet, at a minimum, all of the following criteria:

7 (a) Serve children in any of grades K to 12.

8 (b) Be a community-based organization that is exempt from
9 federal income tax under section 501(c)(3) of the internal revenue
10 code, 26 USC 501, an institution of higher education, a public
11 library, a ~~local government,~~ **city or municipality**, or an
12 intermediate district.

13 (c) Provide before-school, after-school, before-and-after-
14 school, or summer school programming to children described in
15 subdivision (a). These programs must be used to support expanded
16 learning opportunities, including, but not limited to, mentoring,
17 leadership, community engagement, agriculture, visual and
18 performing arts, literacy, science, technology, engineering,
19 mathematics, health and wellness, recreation, financial literacy,
20 physical fitness, career and college exploration, youth voice, 21st
21 century skills, conflict resolution, and social engagement
22 programming.

23 (d) Address **academic outcomes and not fewer than 2 additional**
24 measurable goals, including, but not limited to, improved school
25 attendance, ~~academic outcomes,~~ improved attitudes toward school,
26 improved positive behaviors, skill development and retention,
27 higher education aspirations, and improved family engagement and
28 include activities linked to research or quality practices.

29 (e) Be 1 of the following:



1 (i) A licensed child care organization.

2 (ii) An entity that has an active application to be a licensed
3 child care organization.

4 (iii) An exempt entity.

5 **(f) For entities meeting eligibility requirements under**
6 **subdivision (e) (ii) and (iii) , demonstrate in a form and manner**
7 **determined by the department that all of the following are in place**
8 **for staff working with youth:**

9 **(i) Background checks through the Central Registry Clearance**
10 **and the Internet Criminal History Access Tool.**

11 **(ii) First aid and cardiopulmonary resuscitation (CPR)**
12 **training.**

13 **(iii) Health and Safety Training Courses for Child Care**
14 **Providers, Modules A, B, and C.**

15 (3) The department of lifelong education, advancement, and
16 potential shall establish a competitive grant process for awarding
17 funding under subsection (2). The department of lifelong education,
18 advancement, and potential shall develop the form and manner for
19 applying for the grants. The application must include a request for
20 information on the applicant's outreach to children, youth, and
21 families who are eligible for free or reduced-price meals under the
22 Richard B. Russell national school lunch act, 42 USC 1751 to 1769j.
23 The application must be open for not less than 30 calendar days.

24 ~~Except as otherwise provided in this subsection, at~~ **At** least 30
25 days before the application is opened, the department of lifelong
26 education, advancement, and potential must publish on its public
27 website the criteria that will be used in evaluating the
28 application that must include, but are not limited to, priorities
29 under subsection (5). ~~For 2025-2026 only, the department of~~



1 ~~lifelong education, advancement, and potential, is not required to~~
2 ~~publish the evaluation criteria at least 30 days before the~~
3 ~~application is opened.~~

4 (4) Subject to subsection ~~(9)~~, **(8)**, in determining award
5 amounts under subsection (2), the department of lifelong education,
6 advancement, and potential shall, to the extent practicable, ensure
7 that eligible entities in all geographic regions of this state are
8 represented in the distribution of grant funding under subsection
9 (2).

10 (5) Subject to subsection ~~(9)~~, **(8)**, the department of lifelong
11 education, advancement, and potential shall prioritize the
12 distribution of grant funding under subsection (2) based on, at a
13 minimum, the following:

14 (a) An applicant's demonstrated need.

15 (b) The percentage of low-income families in the geographic
16 area being served. Prioritization must be determined by the average
17 percentage of pupils in the district who are eligible for free and
18 reduced-priced meals as determined under the Richard B. Russell
19 national school lunch act, 42 USC 1751 to 1769j, where eligible
20 entities will provide before-and-after-school or summer school
21 programs.

22 (c) Whether the application provides services for the full
23 school year.

24 (d) The applicant's track record for providing quality,
25 affordable before-and-after-school or summer school services.

26 (e) Whether an applicant serving children in any of grades K
27 to 8 is a licensed child care organization, is an entity that has
28 an active application to be a licensed child care organization, or
29 has implemented the Michigan Out-of-School Time Standards of



1 Quality if the applicant is an exempt entity and, beginning in
2 2025-2026, serves at least 15 school-age youth at a single location
3 in grades K to 12.

4 (6) ~~Subject to subsection (7), an~~ **An** eligible entity that
5 receives grant funding under subsection (2) shall use the funding
6 only to provide before-school, after-school, before-and-after-
7 school, or summer school programming to children described in
8 subsection (2)(a). The programming offered under subsection (2)
9 must meet all of the following:

10 (a) For programming that is offered by a licensed child care
11 organization, be provided to children and youth in a manner in
12 which the children are physically present at the building or
13 location for which the licensed child care organization received
14 its license under 1973 PA 116, MCL 722.111 to 722.128, or, for
15 programming that is offered by an exempt entity serving grades K to
16 12, be provided to children and youth in a manner in which the
17 children and youth are physically present at a building or location
18 designated by the exempt entity.

19 (b) Provide educational programming in core subject areas,
20 including, but not limited to, mathematics, reading, and science.

21 (c) Provide data to evaluate the program in a form and manner
22 as prescribed by the department of lifelong education, advancement,
23 and potential.

24 ~~(7) For 2024-2025 only, and subject to subsections (4) and~~
25 ~~(5), up to 2% of funding allocated under subsection (2) must be~~
26 ~~allocated to a nonprofit entity with experience serving youth-~~
27 ~~serving organizations to provide start-up grants and capacity~~
28 ~~building, professional development, and technical assistance for~~
29 ~~implementation of high-quality, evidence-based out-of-school time~~



1 ~~learning opportunities.~~

2 ~~(7) (8) Beginning in 2025-2026, all~~ **All** of the following apply
3 to funding allocated under ~~this section:~~ **subsection (2):**

4 (a) An amount not to exceed 0.25% of the funding allocated
5 under subsection (2) or \$250,000.00, whichever is greater, may be
6 retained by Clinton County RESA for administrative costs.

7 (b) An amount not to exceed \$500,000.00 of the funding
8 allocated under subsection (2) must be allocated by Clinton County
9 RESA, as directed by the department of lifelong education,
10 advancement, and potential, and in collaboration with the center
11 and the Michigan afterschool partnership as needed, to provide
12 statewide evaluation activities of eligible youth served, their
13 families, and programs funded under this section. This evaluation
14 must allow for a comparative analysis between program youth and
15 their peers in grades K to 12.

16 (c) An amount not to exceed 1.5% of the funding allocated
17 under subsection (2) must be allocated by Clinton County RESA, as
18 directed by the department of lifelong education, advancement, and
19 potential, and in collaboration with the Michigan afterschool
20 partnership, to provide statewide out-of-school time activities and
21 supports including, but not limited to, capacity building
22 initiatives, professional development, and technical assistance to
23 increase the likelihood for implementation of high quality,
24 evidence-based, out-of-school time learning opportunities by
25 eligible entities under subsections (4) and (5).

26 ~~(8) (9)~~ The department of lifelong education, advancement, and
27 potential shall award not less than 60% of the funding under
28 subsection (2) to community-based organizations.

29 ~~(9) (10)~~ Notwithstanding section 17b, the department of



1 lifelong education, advancement, and potential shall make payments
 2 under this section in ~~full upon grant award.~~ **an amount equal to 1/2**
 3 **of the grant total upon award of the grant, and the remaining 1/2**
 4 **of the grant total on a schedule determined by the department of**
 5 **lifelong education, advancement, and potential. The department of**
 6 **lifelong education, advancement, and potential may make payments in**
 7 **full to grantees demonstrating resource needs, as determined by the**
 8 **department of lifelong education, advancement, and potential.**

9 Grantees that do not comply with reporting requirements, fail to
 10 provide the services proposed in their grant application, or close
 11 during the grant period may be required to repay the funding they
 12 received under this section to the department of lifelong
 13 education, advancement, and potential.

14 **(10)** ~~(11)~~ The department of lifelong education, advancement,
 15 and potential, in collaboration with the Michigan Afterschool
 16 Partnership, shall convene an advisory committee to review the
 17 program components listed within this section and make
 18 recommendations to the department of lifelong education,
 19 advancement, and potential for changes on the program described in
 20 this section. The advisory committee shall meet at a schedule set
 21 by the department of lifelong education, advancement, and
 22 potential, or at least quarterly. The advisory committee shall
 23 provide for the involvement of, but not limited to, community-based
 24 organizations, regional intermediaries, district administrators,
 25 youth, parents, and representatives from the business and
 26 philanthropic communities, as appropriate.

27 **(11) Subject to subsection (2), the department of lifelong**
 28 **education, advancement, and potential shall establish and implement**
 29 **a multi-tiered grant funding structure within its competitive grant**



1 process to account for statewide or regional grant applications, as
2 well as midsize grants serving 6 to 14 program sites and smaller
3 grants serving 1 to 5 program sites.

4 ~~(12) From the state school aid fund money allocated in~~
5 ~~subsection (1), Clinton County RESA shall allocate \$22,000,000.00~~
6 ~~in 2024-2025 only to recipients under this subsection as follows:~~

7 ~~(a) \$4,000,000.00 to support the efforts of FFA.~~

8 ~~(b) \$4,000,000.00 to the Boys and Girls Club of Southeastern~~
9 ~~Michigan in Detroit to expand programming. Programming expansion~~
10 ~~includes, but is not limited to, construction or remodeling of~~
11 ~~facilities to allow for new or extended programs.~~

12 ~~(c) \$4,000,000.00 to the HYPE Athletics Center in Dearborn~~
13 ~~Heights to provide programming that may include, but is not limited~~
14 ~~to, science, technology, engineering, arts, and mathematics (STEAM)~~
15 ~~programs; literacy and reading programs; after school programs;~~
16 ~~youth fitness and athletic programs; and mental health and~~
17 ~~behavioral health services.~~

18 ~~(d) \$1,500,000.00 to Brilliant Detroit to support delivery of~~
19 ~~high-dosage neighborhood-based tutoring and direct noninstructional~~
20 ~~services for at-risk pupils who are 3 to 12 years of age. Funding~~
21 ~~under this subdivision is intended to ensure that pupils are~~
22 ~~proficient in English language arts by the end of grade 3 and~~
23 ~~proficient in mathematics by the end of grade 8, that all~~
24 ~~participants are kindergarten ready, and that pupils are prepared~~
25 ~~to attend school regularly. As used in this subdivision, "at-risk~~
26 ~~pupil" means that term as defined in section 31a.~~

27 ~~(e) \$1,200,000.00 to the State Alliance of Michigan YMCAs to~~
28 ~~provide students in grades 6 to 12 with hands-on civics and model-~~
29 ~~government programs that offer statewide engagement with peers~~



1 ~~across this state for the purpose of expanding those students'~~
2 ~~opportunities to improve their social studies knowledge, thinking~~
3 ~~skills, and intellectual processes and dispositions required for~~
4 ~~active engagement in fulfilling responsibilities of civic~~
5 ~~participation.~~

6 ~~(f) \$1,000,000.00 to the Downtown Boxing Gym in Detroit to~~
7 ~~expand programming. Programming expansion includes, but is not~~
8 ~~limited to, construction or remodeling of facilities to allow for~~
9 ~~new or extended programs.~~

10 ~~(g) \$1,000,000.00 to support the operations of the Flint~~
11 ~~Center for Educational Excellence.~~

12 ~~(h) \$800,000.00 to the Detroit Opera for educational~~
13 ~~programming for grades pre-K to 12, including field trips, summer~~
14 ~~camps, and other learning opportunities. The funds allocated under~~
15 ~~this subdivision are a work project appropriation, and any~~
16 ~~unexpended funds for 2024-2025 are carried forward into 2025-2026.~~
17 ~~The purpose of the work project is to support the Detroit Opera~~
18 ~~educational programming as described in this subdivision. The~~
19 ~~estimated completion date of the work project is September 30,~~
20 ~~2028.~~

21 ~~(i) \$500,000.00 to Special Olympics Michigan, a nonprofit~~
22 ~~organization organized under the laws of this state that is exempt~~
23 ~~from federal income tax under section 501(c)(3) of the internal~~
24 ~~revenue code of 1986, 26 USC 501, that has a mission statement to~~
25 ~~provide year-round sports training and athletic competition for~~
26 ~~children and adults with intellectual disabilities. Funding under~~
27 ~~this subdivision must be used by the organization to expand the~~
28 ~~organization's programming.~~

29 ~~(j) \$500,000.00 to the Horatio Williams Foundation to support~~



~~efforts to provide college preparation services, math leagues, sports programming, and literacy services in Detroit.~~

~~(k) \$500,000.00 to Friends of the Children, a nonprofit organization that employs salaried professional mentors who support youth and their families from grades K to 12. The salaried professional mentorship program in this subdivision must employ a 2-generational approach to supporting youth in and outside of the classroom, particularly in reading and math comprehension; support students and their families by connecting them to concrete supports like education and employment pathways, housing, utility assistance, and food security; and be located in a city with a population greater than 600,000 in a county with a population greater than 1,500,000 according to the most recent federal decennial census.~~

~~(l) \$500,000.00 to the Detroit Police Athletic League to support operations and programming including, but not limited to, athletic programs and youth enrichment programs.~~

~~(m) \$500,000.00 to the Detroit Science Center, a nonprofit organization that is tax exempt under section 501(c)(3) of the internal revenue code of 1986, 26 USC 501, and located in a city with a population greater than 600,000 in a county with a population greater than 1,700,000 according to the most recent federal decennial census. Funds under this subdivision must be used by the nonprofit organization to expand the nonprofit organization's mission of providing opportunities for students to discover, explore, and appreciate science, technology, engineering, and mathematics in a creative, dynamic learning environment.~~

~~(n) \$2,000,000.00 to buildOn Detroit to expand the Service Learning Program for high school students.~~



~~(13) For 2024-2025 only, recipients of grants under subsection (12) may not apply for funding under subsection (2).~~

~~(14) Funds allocated under subsection (12) for 2024-2025 are a work project appropriation, and any unexpended funds for 2024-2025 are carried forward into 2025-2026. The purpose of the work project is to provide additional support to out-of-school time programs. The estimated completion date of the work project is September 30, 2026.~~

(12) ~~(15)~~ As used in this section:

(a) "An entity that has an active application to be a licensed child care organization" means an entity that has an active application to be a licensed child care organization under 1973 PA 116, MCL 722.111 to 722.128, and will be a licensed child care organization before the entity provides services for which a child care organization is required to be licensed under 1973 PA 116, MCL 722.111 to 722.128.

(b) "Child care organization" means that term as defined in section 1 of 1973 PA 116, MCL 722.111.

(c) "Exempt entity" means an entity described in section 1(1)(i)(i) to (v) of 1973 PA 116, MCL 722.111.

(d) "Licensed child care organization" means a child care organization that has been issued a license under 1973 PA 116, MCL 722.111 to 722.128, to operate a child care organization.

(e) "School-age" means a child who is eligible to attend a grade of kindergarten or higher, but is less than 13 years of age. A child is considered to be school age on the first day of the school year in which the child is eligible under section 1 of 1973 PA 116, MCL 722.111.

(f) "Statewide or regional grant" means a grant to 2 or more



1 entities, community-based organizations, statewide network
2 affiliations, or any combination of those entities working together
3 with the objective of serving more than 2,000 children across at
4 least 15 program sites statewide, or to serve more than 2,000
5 children across at least 15 program sites within a publicly defined
6 boundary region, and that have a demonstrated track record of
7 success in providing or organizing a statewide or regional system
8 of out-of-school time programs. If an applicant applies for a
9 statewide or regional grant, the applicant and the program sites
10 included on their application may not appear on any other grant
11 application submitted for funding under subsection (2).

12 Sec. 32p. (1) From the state school aid fund money
13 appropriated in section 11, there is allocated for 2026-2027 an
14 amount not to exceed \$30,000,000.00 to create and implement
15 statewide early learning partnerships. It is the intent of the
16 legislature that these early learning partnerships will provide
17 centralized access points to families for trusted entry into the
18 early childhood system, family and community outreach to build
19 awareness, trust, and referral networks, outreach through child
20 health providers to engage pediatric professionals for early
21 detection of developmental delays or other health needs, and data
22 collection and analysis to provide real-time insights necessary to
23 improve services and systems.

24 (2) From the funds allocated in subsection (1), the department
25 of lifelong education, advancement, and potential shall award at
26 least \$16,900,000.00 to eligible intermediate districts for the
27 purposes of this subsection. All of the following apply to funds
28 awarded under this subsection:

29 (a) Intermediate districts must apply for funding in a form



1 and manner determined by the department of lifelong education,
2 advancement, and potential.

3 (b) The department of lifelong education, advancement, and
4 potential shall award funding to eligible intermediate districts in
5 a way that ensures that families statewide have equitable access to
6 services provided by an early learning partnership. The amount
7 awarded to an eligible intermediate district must not be less than
8 the amount received by the intermediate district in 2024-2025 for
9 local great start collaboratives. At least \$1,000,000.00 must be
10 awarded to eligible intermediate districts in a manner determined
11 by the department of lifelong education, advancement, and potential
12 to support MiFamily engagement regional centers. To be eligible for
13 funds awarded under this subdivision, intermediate districts must
14 partner with an entity with expertise in family leadership, as
15 determined by the department of lifelong education, advancement,
16 and potential.

17 (c) Intermediate districts must use funding received under
18 this subsection for the following purposes:

19 (i) Convening early learning partnerships on a regular basis to
20 ensure early childhood system building and the development of
21 implementation strategies through active partnerships with families
22 and multiple community organizations.

23 (ii) Improving family access, leadership, and engagement in
24 early childhood education.

25 (iii) Enhancing child development, learning, and well-being.

26 (iv) Creating strong, efficient community systems.

27 (v) Providing universal developmental screening and follow-up
28 support through care coordinators.

29 (vi) Participating in a coordinated, statewide enrollment



1 system that increases child participation in early care and
2 education programs as described in subsection (5).

3 (vii) Supporting the following staffing costs in each early
4 learning partnership:

5 (A) At least 0.8 FTE for a lead position to provide system-
6 building capacity by facilitating the implementation of program
7 components and activities, ensuring initiatives are data-driven,
8 completing annual program assessments, connecting families to
9 developmental screening, and ensuring intermediate districts have
10 dedicated care coordinators.

11 (B) At least 0.5 FTE for a care coordinator within each
12 intermediate district. Care coordinators are responsible for
13 answering questions from families, providing follow-up services
14 related to developmental screenings and referrals, tracking data,
15 and providing cross-sector coordination to ensure families are
16 seamlessly connected to the full scope of services within the
17 intermediate district region.

18 (3) From the funds allocated in subsection (1), there is
19 allocated for 2026-2027 an amount not to exceed \$3,900,000.00 for
20 evidence-based, family-centered, data-driven family support
21 services, including, but not limited to, home visiting programs
22 that comply with the requirements of 2012 PA 291, MCL 400.791 to
23 400.798. Funds allocated under this subsection must be expended in
24 a form and manner determined jointly by the department of lifelong
25 education, advancement, and potential and the department of health
26 and human services. The department of lifelong education,
27 advancement, and potential shall make payments under this
28 subsection to an intermediate district serving as a fiscal agent
29 for these funds on a schedule determined by the department of



1 lifelong education, advancement, and potential.

2 (4) From the funds allocated in subsection (1), the department
3 of lifelong education, advancement, and potential shall award at
4 least \$4,000,000.00 to eligible intermediate districts for the
5 purpose of improving access to books and other literacy materials
6 for children from birth to age 5. An intermediate district must
7 apply for these funds in a form and manner determined by the
8 department of lifelong education, advancement, and potential and
9 may use the funding to support programs, including, but not limited
10 to, the Dolly Parton Imagination Library, Reach Out and Read
11 Michigan, or any other program that provides books and literacy
12 materials to children from birth to age 5 and educates families on
13 the importance of frequently reading aloud with children. If
14 funding available under this subsection is insufficient to fully
15 fund all interested intermediate districts and families, funding to
16 each intermediate district must prioritize enrollment to those
17 families with the highest levels of economic need.

18 (5) From the funds allocated in subsection (1), there is
19 allocated for 2026-2027 an amount not to exceed \$4,000,000.00 for
20 an intermediate district to partner with the department of lifelong
21 education, advancement, and potential and community-based
22 organizations to raise awareness about the availability of services
23 through early learning partnerships and to develop systems to
24 identify and reach out to families. All of the following apply to
25 funding under this subsection:

26 (a) Funding under this subsection must be used for the
27 following purposes:

28 (i) Organizing community events and outreach activities to
29 inform parents about early learning partnerships, the positive



1 impacts of early childhood education, and additional early
2 childhood programs available to families.

3 (ii) Developing and implementing a coordinated statewide
4 enrollment system that allows providers to advertise available
5 services and allows families to enroll in early education programs.
6 The system described in this subparagraph must include information
7 about additional early childhood programs for families to increase
8 participation in early care and education.

9 (b) Families are not required to participate in early learning
10 partnerships.

11 (6) From the funds allocated in subsection (1), the department
12 of lifelong education, advancement, and potential may award up to
13 \$1,200,000.00 to intermediate districts to administer or provide
14 services, programs, or resources required by this section that
15 would otherwise be administered or provided by the department of
16 lifelong education, advancement, and potential. Funds awarded under
17 this subsection may be distributed as follows:

18 (a) Up to \$50,000.00 to Oakland Schools to provide strategic
19 leadership in collaboration with the department of lifelong
20 education, advancement, and potential to ensure accountability,
21 efficacy, and consistent implementation of programs under this
22 section to a national fidelity standard, as determined by the
23 department of lifelong education, advancement, and potential.

24 (b) Up to \$1,150,000.00 to Clinton County RESA to collaborate
25 with the department of lifelong education, advancement, and
26 potential to provide statewide leadership, technical assistance, a
27 central access point, community outreach, and administrative
28 support.

29 (7) Notwithstanding section 17b, the department of lifelong



1 **education, advancement, and potential shall make payments under**
 2 **this section on a schedule determined by the department of lifelong**
 3 **education, advancement, and potential.**

4 Sec. 32v. (1) From the state school aid fund money
 5 appropriated under section 11, there is allocated for ~~2022-2023~~
 6 **2026-2027** only an amount not to exceed ~~\$30,000,000.00~~
 7 **\$21,700,000.00, and from the great start readiness reserve fund**
 8 **money appropriated in section 11, there is allocated for 2026-2027**
 9 **only an amount not to exceed \$8,300,000.00** to implement ~~an~~ early
 10 childhood workforce ~~project.~~**development initiatives.**

11 (2) The department must award funding under this section to an
 12 intermediate district or a consortium of intermediate districts to
 13 serve as a fiscal agent. ~~The recipient intermediate district or~~
 14 ~~consortium of intermediate districts at the direction of the~~
 15 ~~department and in collaboration with the department of licensing~~
 16 ~~and regulatory affairs child care licensing bureau, and~~
 17 ~~organizations with experience recruiting and training early~~
 18 ~~childhood professionals, must do all of the following:~~

19 ~~(a) Assess early childhood workforce needs, with a priority~~
 20 ~~placed on professionals in child care, Head Start, and the great~~
 21 ~~start readiness program settings, and support improvements in how~~
 22 ~~data on the early learning and care workforce is collected, stored,~~
 23 ~~and used for professional advancement.~~

24 ~~(b) Update and promote clear career pathways for early~~
 25 ~~learning and care roles, including current compensation levels.~~

26 ~~(c) Ensure professional development, certificates, and degrees~~
 27 ~~align to the career pathway and quality rating and improvement~~
 28 ~~system.~~

29 ~~(d) Develop and pilot alternative education and training~~



~~programs, including, but not limited to, competency based
 credentials and micro-credentials for early learning and care
 professionals.~~

~~(c) Pilot projects that support the recruitment and retention
 of early learning and care professionals with a priority placed on
 professionals in child care and the great start readiness program
 settings. At least 1 pilot project must test strategies to
 sustainably increase wages and benefits to align with professionals
 with similar levels of educational requirements, specialization
 requirements, and job responsibilities. In collaboration with the
 department of lifelong education, advancement, and potential, the
 department shall direct funds allocated to an intermediate district
 or consortium of intermediate districts for initiatives that will
 support any of the following objectives:~~

~~(a) Increasing the number of early childhood workers in the
 great start readiness program, child care, and Head Start.~~

~~(b) Enhancing professional development and career advancement
 opportunities for early childhood workers.~~

~~(c) Implementing early childhood worker recruitment and
 retention strategies, including, but not limited to, the following:~~

~~(i) Stipends, grants, or reimbursements for eligible
 postsecondary costs, travel, or housing expenses, as determined by
 the department.~~

~~(ii) Bonus or incentive payments, or implementation of
 compensation structures intended to recruit, retain, or reward
 eligible early childhood workers.~~

~~(iii) Payment of costs associated with the provision of health
 care, retirement, or paid leave benefits to early childhood
 workers.~~



1 (iv) Matching costs for any other funds allocated to enhance or
2 supplement the implementation of initiatives eligible under this
3 section.

4 (d) Administering the funds under this section and data
5 collection efforts in partnership with at least 1 public university
6 located in this state. At a minimum, data collection efforts must
7 evaluate the effectiveness of early childhood workforce initiatives
8 funded. Total administration and data collection costs must not
9 exceed 5% of the funds allocated under this section.

10 (3) Funds allocated under this section for ~~2022-2023-2026-2027~~
11 are a work project appropriation, and any unexpended funds for
12 ~~2022-2023-2026-2027~~ are carried forward into ~~2023-2024-2027-2028~~.
13 The purpose of the work project is to ~~launch an early childhood~~
14 ~~workforce project to recruit, train, and retain professionals in~~
15 ~~all early learning settings, with a priority on child care and~~
16 ~~preschool settings.~~ **support the implementation of early childhood**
17 **workforce development initiatives.** The estimated completion date of
18 the work project is September 30, ~~2027-2029~~.

19 (4) Notwithstanding section 17b, the department shall make
20 payments under this section on a schedule determined by the
21 department.

22 Sec. 35a. (1) From the appropriations in section 11, there is
23 allocated ~~for 2024-2025 an amount not to exceed \$82,900,000.00 and~~
24 ~~for 2025-2026 an amount not to exceed \$52,000,000.00~~ **for 2026-2027**
25 **an amount not to exceed \$77,500,000.00** from the state school aid
26 fund **and an amount not to exceed \$50,000,000.00 from the educator**
27 **fellowship public provider fund** for the purposes of this section.
28 It is the intent of the legislature that, for ~~2026-2027, 2027-2028,~~
29 the allocation from the state school aid fund money appropriated in



1 section 11 for the purposes described in this section will be
 2 ~~\$42,000,000.00. Excluding staff or contracted employees funded~~
 3 ~~under subsection (8), the \$52,500,000.00. The~~ superintendent shall
 4 designate staff or contracted employees funded under this section
 5 as critical shortage. ~~By not later than December 31 of~~ **For** each
 6 fiscal year in which funding is allocated under this section, the
 7 superintendent of public instruction shall do both of the
 8 following:

9 (a) Report in person to the house and senate appropriations
 10 subcommittees on school aid regarding progress on ~~early~~-literacy
 11 and be available for questioning as prescribed through a process
 12 developed by the chairs of the house and senate appropriations
 13 subcommittees on school aid.

14 (b) Submit a written report to the house and senate
 15 appropriations subcommittees on school aid regarding progress on
 16 ~~early~~-literacy. ~~Beginning in 2025-2026, the~~ **The** report described in
 17 this subdivision must include the number of literacy coaches
 18 supported by funding provided under subsection ~~(4)~~, **(2)**, including
 19 the number of coaches supported in each intermediate district, and
 20 the percentage of supported coaches that have received, or are in
 21 the process of receiving, professional learning by the approved
 22 provider described in subsection ~~(11)~~. **(5)**.

23 ~~(2) A district that receives funds under subsection (5) may~~
 24 ~~spend up to 5% of those funds for professional development for~~
 25 ~~educators in a department-approved research-based training program~~
 26 ~~related to current state literacy standards for pupils in grades~~
 27 ~~pre-K to 5. The professional development must also include training~~
 28 ~~in the use of screening and diagnostic tools, progress monitoring,~~
 29 ~~and intervention methods used to address barriers to learning and~~



~~delays in learning that are diagnosed through the use of these tools.~~

~~(3) A district that receives funds under subsection (5) may use up to 5% of those funds to administer department-approved screening and diagnostic tools to monitor the development of early literacy and early reading skills, and risk factors for word-level reading difficulties of pupils in grades pre-K to 5 and to support evidence-based professional learning described in subsection (11) for educators in administering and using screening, progress monitoring, and diagnostic assessment data to inform instruction through prevention and intervention in a multi-tiered system of supports framework. A department-approved screening and diagnostic tool administered by a district using funding under this section must include all of the following components: phonemic awareness, phonics, fluency, rapid automatized naming (RAN), and comprehension. Further, all of the following sub-skills must be assessed within each of these components:~~

~~(a) Phonemic awareness – segmentation, blending, and sound manipulation (deletion and substitution).~~

~~(b) Phonics – decoding (reading) and encoding (spelling).~~

~~(c) Fluency.~~

~~(d) Comprehension – making meaning of text.~~

(2) (4) From the allocation state school aid fund money allocated under subsection (1), there is allocated an amount not to exceed \$42,000,000.00 **\$52,500,000.00** for 2024-2025 and 2025-2026 **2026-2027** for the purpose of providing early-literacy coaches at intermediate districts to assist teachers in developing and implementing instructional strategies for pupils in grades pre-K to 5 so that pupils are reading at grade level by the end of grade 3.



1 All of the following apply to funding under this subsection:

2 (a) The department shall develop an application process
3 consistent with the provisions of this subsection. An application
4 must provide assurances that literacy coaches funded under this
5 subsection are knowledgeable about at least the following:

6 (i) Current state literacy standards for pupils in grades pre-K
7 to 3.

8 (ii) Implementing an instructional delivery model based on
9 frequent use of formative, screening, and diagnostic tools, known
10 as a multi-tiered system of supports, to determine individual
11 progress for pupils in grades pre-K to 5 so that pupils are reading
12 at grade level by the end of grade 3.

13 (iii) The use of data from diagnostic tools to determine the
14 necessary additional supports and interventions needed by
15 individual pupils in grades pre-K to 5 to read at grade level.

16 (b) From the allocation under this subsection, the department
17 shall award grants to intermediate districts for the support of
18 ~~early~~-literacy coaches. The department shall provide this funding
19 in the following manner:

20 (i) The department shall award each intermediate district grant
21 funding to support the cost of ~~2 early~~ **4** literacy coaches in an
22 equal amount per ~~early~~-literacy coach, not to exceed \$125,000.00.

23 (ii) After distribution of the grant funding under subparagraph
24 (i), the department shall distribute ~~the remainder of~~ grant funding
25 for additional ~~early~~-literacy coaches in an amount not to exceed
26 \$125,000.00 per ~~early~~-literacy coach. ~~The number of funded early~~
27 ~~literacy coaches for each intermediate district is~~ **The department**
28 **shall ensure that each intermediate district receives funding for**
29 **at least 1 additional literacy coach compared to the number of**



1 **coaches funded under this section in 2025-2026.**

2 **(iii) If funding under this subsection remains available after**
3 **the distributions in subparagraphs (i) and (ii), the department shall**
4 **distribute the remaining funds** based on the percentage of the total
5 statewide number of pupils in grades K to 3 who meet the income
6 eligibility standards for the federal free and reduced-price lunch
7 programs who are enrolled in districts in the intermediate
8 district. **Funds may be distributed under this section only after**
9 **the department ensures that no intermediate district receives**
10 **funding for fewer literacy coaches in 2026-2027 compared to the**
11 **number of coaches for which the intermediate district received**
12 **funding in 2025-2026.**

13 (c) If an intermediate district that receives funding under
14 this subsection uses an assessment tool that screens for
15 characteristics of dyslexia, the intermediate district shall use
16 the assessment results from that assessment tool to identify pupils
17 who demonstrate characteristics of dyslexia.

18 (d) All literacy coaches funded under this subsection must
19 have already received, or be making progress toward receiving,
20 professional learning by the approved provider described in
21 subsection ~~(11)~~ **(5)**.

22 (e) To be eligible to receive funding under this subsection,
23 an intermediate district must provide the department with a list by
24 September 1 of the immediately preceding fiscal year containing
25 contact information for all literacy coaches funded under this
26 subsection, in a form and manner determined by the department. An
27 intermediate district shall communicate any personnel changes and
28 changes to contact information for literacy coaches funded under
29 this subsection to the department within 30 days of the personnel



1 change or change in contact information.

2 (f) The department shall develop a coaching evaluation
3 framework to be implemented in alignment to the literacy coaching
4 model described in section 1280f of the revised school code, MCL
5 388.1280f.

6 (g) All literacy coaches funded under this subsection must
7 comply with the requirements described in section 35o.

8 ~~(5) From the allocation under subsection (1), there is~~
9 ~~allocated an amount not to exceed \$19,900,000.00 for 2024-2025 to~~
10 ~~districts that provide additional instructional time to those~~
11 ~~pupils in grades pre-K to 5 who have been identified by using~~
12 ~~department-approved screening and diagnostic tools as needing~~
13 ~~additional supports and interventions to read at grade level by the~~
14 ~~end of grade 3. Additional instructional time may be provided~~
15 ~~before, during, and after regular school hours or as part of a~~
16 ~~year-round balanced school calendar. All of the following apply to~~
17 ~~funding under this subsection:~~

18 ~~(a) To be eligible to receive funding, a district must~~
19 ~~demonstrate to the satisfaction of the department that the district~~
20 ~~has done all of the following:~~

21 ~~(i) Implemented a multi-tiered system of supports instructional~~
22 ~~delivery model that is an evidence-based model that uses data-~~
23 ~~driven problem solving to integrate academic and behavioral~~
24 ~~instruction and that uses intervention delivered to all pupils in~~
25 ~~varying intensities based on pupil needs. The multi-tiered system~~
26 ~~of supports must provide at least all of the following essential~~
27 ~~components:~~

28 ~~(A) Team-based leadership.~~

29 ~~(B) A tiered delivery system.~~



~~(C) Selection and implementation of instruction, interventions, and supports.~~

~~(D) A comprehensive screening and assessment system.~~

~~(E) Continuous data-based decision making.~~

~~(ii) Used department-approved research-based diagnostic tools to identify individual pupils in need of additional instructional time.~~

~~(iii) Used a reading instruction method that focuses on the 5 fundamental building blocks of reading: phonics, phonemic awareness, fluency, vocabulary, and comprehension and content knowledge.~~

~~(iv) Provided teachers of pupils in grades pre-K to 5 with research-based professional development in diagnostic data interpretation.~~

~~(v) Complied with the requirements under section 1280f of the revised school code, MCL 380.1280f.~~

~~(b) The department shall distribute funding allocated under this subsection to eligible districts on an equal per-first-grade-pupil basis.~~

~~(c) If the funds allocated under this subsection are insufficient to fully fund the payments under this subsection, payments under this subsection are prorated on an equal per-pupil basis based on grade 1 pupils.~~

~~(6) By not later than September 1 of each year, a district that receives funding under subsection (5) in conjunction with the Michigan student data system, if possible, shall provide to the department a report that includes at least both of the following, in a form and manner prescribed by the department:~~

~~(a) For pupils in grades pre-K to 5, the teachers, pupils,~~



~~schools, and grades served with funds under this section and the categories of services provided.~~

~~(b) For pupils in grades pre-K to 5, pupil proficiency and growth data that allows analysis both in the aggregate and by each of the following subgroups, as applicable:~~

~~(i) School.~~

~~(ii) Grade level.~~

~~(iii) Gender.~~

~~(iv) Race.~~

~~(v) Ethnicity.~~

~~(vi) Economically disadvantaged status.~~

~~(vii) Disability.~~

~~(viii) Pupils identified as having reading deficiencies.~~

~~(7) From the allocation under subsection (1), there is allocated an amount not to exceed \$6,000,000.00 for 2024-2025 to an intermediate district in which the combined total number of pupils in membership of all of its constituent districts is the fewest among all intermediate districts. All of the following apply to the funding under this subsection:~~

~~(a) Funding under this subsection must be used by the intermediate district, in partnership with an association that represents intermediate district administrators in this state, to implement all of the following:~~

~~(i) Literacy essentials teacher and principal training modules.~~

~~(ii) Face-to-face and online professional learning of literacy essentials teacher and principal training modules for literacy coaches, principals, and teachers.~~

~~(iii) The placement of regional lead literacy coaches to facilitate professional learning for early literacy coaches. These~~



~~regional lead literacy coaches shall provide support for new literacy coaches, building teachers, and administrators and shall facilitate regional data collection to evaluate the effectiveness of statewide literacy coaches funded under this section.~~

~~(iv) Provide \$500,000.00 from this subsection for literacy training, modeling, coaching, and feedback for district principals or chief administrators, as applicable. The training described in this subparagraph must use the pre-K and K to 3 essential instructional practices in literacy created by the general education leadership network as the framework for all training provided under this subparagraph.~~

~~(v) Job embedded professional learning opportunities for mathematics teachers through mathematics instructional coaching. Funding must be used for professional learning for coaches, professional developers, administrators, and teachers; coaching for early mathematics educators; the development of statewide and regional professional learning networks in mathematics instructions; and the development and support of digital professional learning modules.~~

~~(b) By not later than September 1 of each year, the intermediate district described in this subsection, in consultation with grant recipients, shall submit a report to the chairs of the senate and house appropriations subcommittees on school aid, the chairs of the senate and house standing committees responsible for education legislation, the house and senate fiscal agencies, and the state budget director. The report described under this subdivision must include student achievement results in English language arts and mathematics and survey results with feedback from parents and teachers regarding the initiatives implemented under~~



1 ~~this subsection.~~

2 ~~(c) Up to 2% of funds allocated under this subsection may be~~
3 ~~used by the association representing intermediate district~~
4 ~~administrators that is in partnership with the intermediate~~
5 ~~district specified in this subsection to administer this~~
6 ~~subsection.~~

7 ~~(8) From the allocation under subsection (1), the department~~
8 ~~shall allocate the amount of \$5,000,000.00 for 2024-2025 only to an~~
9 ~~intermediate district or a consortium of intermediate districts to~~
10 ~~partner with the Michigan Education Corps for the PreK Reading~~
11 ~~Corps, the K3 Reading Corps, and the Math Corps. An intermediate~~
12 ~~district or a consortium of intermediate districts receiving~~
13 ~~funding under this subsection must forward the amount received~~
14 ~~under this subsection to the Michigan Education Corps for statewide~~
15 ~~services. As conditions of receiving funding from an intermediate~~
16 ~~district or a consortium of intermediate districts, all of the~~
17 ~~following apply to funding received by the Michigan Education Corps~~
18 ~~under this subsection:~~

19 ~~(a) By September 1 of the current fiscal year, the Michigan~~
20 ~~Education Corps shall provide a report concerning its use of the~~
21 ~~funding to the senate and house appropriations subcommittees on~~
22 ~~school aid, the senate and house fiscal agencies, and the senate~~
23 ~~and house caucus policy offices on outcomes and performance~~
24 ~~measures of the Michigan Education Corps, including, but not~~
25 ~~limited to, the degree to which the Michigan Education Corps'~~
26 ~~replication of the PreK Reading Corps, the K3 Reading Corps, and~~
27 ~~the Math Corps programs is demonstrating sufficient efficacy and~~
28 ~~impact. The report must include data pertaining to at least all of~~
29 ~~the following:~~



~~(i) The current impact of the programs on this state in terms of numbers of children and schools receiving support. This portion of the report must specify the number of children tutored, including dosage and completion, and the demographics of those children.~~

~~(ii) Whether the assessments and interventions are implemented with fidelity. This portion of the report must include details on the total number of assessments and interventions completed and the range, mean, and standard deviation.~~

~~(iii) Whether the literacy or math improvement of children participating in the programs is consistent with expectations. This portion of the report must detail at least all of the following:~~

~~(A) Growth rate by grade or age level, in comparison to targeted growth rate.~~

~~(B) Average linear growth rates.~~

~~(C) Exit rates.~~

~~(D) Percentage of children who exit who also meet or exceed spring benchmarks.~~

~~(iv) The impact of the programs on organizations and stakeholders, including, but not limited to, school administrators, internal coaches, and AmeriCorps members.~~

~~(b) If the department determines that the Michigan Education Corps has misused the funds allocated under this subsection, the Michigan Education Corps shall reimburse this state for the amount of state funding misused.~~

~~(c) An intermediate district or a consortium of intermediate districts may not reserve any portion of the allocation provided under this subsection for an evaluation of the Michigan Education Corps, the Michigan Education Corps' funding, or the Michigan~~



~~Education Corps' programming unless agreed to in writing by the Michigan Education Corps. An intermediate district or a consortium of intermediate districts shall award the entire amount allocated under this subsection to the Michigan Education Corps and shall not condition the forwarding of this funding on the implementation of an independent evaluation.~~

(3) ~~(9)~~—If a district or intermediate district expends any funding received under subsection ~~(4)~~ or ~~(5)~~ **(2)** for professional development in research-based effective reading instruction, the district or intermediate district shall select a professional development program from the list described in subdivision (a). All of the following apply to the requirement under this subsection:

(a) The department shall issue a request for proposals for professional development programs in research-based effective reading instruction to develop an initial approved list of professional development programs in research-based effective reading instruction. The department shall make the initial approved list public and shall determine if it will, on a rolling basis, approve any new proposals submitted for addition to its initial approved list.

(b) To be included as an approved professional development program in research-based effective reading instruction under subdivision (a), an applicant must demonstrate to the department in writing the program's competency in all of the following topics:

(i) Understanding of phonemic awareness, phonics, fluency, vocabulary, and comprehension.

(ii) Appropriate use of assessments and differentiated instruction.

(iii) Selection of appropriate instructional materials.



(iv) Application of research-based instructional practices.

(c) As used in this subsection, "effective reading instruction" means reading instruction scientifically proven to result in improvement in pupil reading skills.

(4) ~~(10)~~ From the ~~allocation~~ state school aid fund money allocated under subsection (1), there is allocated an amount not to exceed \$10,000,000.00 ~~\$25,000,000.00~~, and from the educator fellowship public provider fund money allocated under subsection (1), there is allocated an amount not to exceed \$50,000,000.00 for 2024-2025 and 2025-2026 ~~2026-2027~~ only to an intermediate district identified by the department for the provision of professional learning by the approved provider described in subsection ~~(11)~~, first to educators in pre-K, kindergarten, and grade 1 next to educators in grade 2 and grade 3; and then to additional elementary school educators and pre-K to grade 12 certificated special education personnel with endorsements in learning disabilities, emotional impairments, or speech and language impairments. **(5). All of the following apply to funding under this subsection:**

(a) Funds must first be used to provide the professional learning described in subsection (5) to all of the following:

(i) Pre-K to grade 5 educators that provide, support, or oversee pre-K to grade 5 reading instruction.

(ii) Special education educators.

(iii) Administrators overseeing individuals described in subparagraphs (i) and (ii).

(iv) Literacy coaches.

(v) Faculty and staff at educator preparation programs that teach reading fundamental courses.

(vi) Partners that lead regional and statewide literacy



1 professional development, as determined by the department.

2 (b) If funds remain after the allocation of funds under
3 subdivision (a), districts that establish a public goal to train
4 all qualifying staff may receive the following:

5 (i) Access to personalized training and support for district-
6 wide implementation at no additional cost to the district.

7 (ii) If funding is available, grants to support district-wide
8 completion of the professional learning described in subsection
9 (5). Eligible costs under this subparagraph include hiring
10 substitute teachers and compensating participants for additional
11 time.

12 (c) For purposes of this subsection, the approved provider
13 described in subsection (5) must establish and manage professional
14 learning opportunities that are open to all school personnel
15 described in this subsection. ~~as follows:~~

16 ~~(a) The approved provider must first open voluntary enrollment~~
17 ~~for any pre-K through grade 3 teacher on a first-come, first-served~~
18 ~~basis, with voluntary enrollment prioritized for pre-K,~~
19 ~~kindergarten, and grade 1 teachers. The approved provider shall~~
20 ~~then open voluntary enrollment for the remaining school personnel~~
21 ~~described in this subsection.~~

22 ~~(b) The approved provider must maintain open enrollment until~~
23 ~~all funds are expended.~~

24 (5) ~~(11)~~ For the provision of professional learning to the
25 school personnel described in subsection ~~(10)~~, (4), LETRS is the
26 approved provider of professional learning as long as LETRS
27 continues to meet all of the following:

28 (a) Be offered through a system of training that provides
29 educators with the knowledge base to effectively implement any



1 class-wide, supplemental, or intervention reading approach and to
2 determine why some students struggle with reading, writing,
3 spelling, and language.

4 (b) Provide training activities that direct educators to
5 implement effective reading and spelling instruction supported by
6 scientifically based research and foster a direct explicit
7 instructional sequence that uses techniques to support teachers'
8 independence in using their newly-learned skills with students in
9 the classroom.

10 (c) Include integrated components for educators and
11 administrators in pre-K to grade 3 with embedded evaluation or
12 assessment of knowledge. Evaluation or assessment of knowledge
13 under this subdivision must incorporate evaluations of learning
14 throughout each unit and include a summative assessment that must
15 be completed to demonstrate successful course completion.

16 (d) Build teacher content knowledge and pedagogical knowledge
17 of the critical components of literacy including how the brain
18 learns to read, phonological and phonemic awareness; letter
19 knowledge; phonics; advanced phonics; vocabulary and oral language;
20 fluency; comprehension; spelling and writing; and the organization
21 of language.

22 (e) Support educators in understanding how to effectively use
23 screening, progress monitoring, and diagnostic assessment data to
24 improve literacy outcomes through prevention and intervention for
25 reading difficulties in a multi-tiered system of supports. The
26 multi-tiered system of supports must include at least all of the
27 following essential components:

28 (i) Team-based leadership.

29 (ii) A tiered delivery system.



(iii) Selection and implementation of instruction, interventions, and supports.

(iv) A comprehensive screening and assessment system.

(v) Continuous data-based decision making.

~~(12) Notwithstanding section 17b, the department shall make payments made under subsections (7) and (8) on a schedule determined by the department.~~

(f) On a quarterly basis, report all of the following information to the department, in a form and manner prescribed by the department:

(i) The total number of individuals who have completed the required professional learning, organized by role group.

(ii) The total number of individuals who are enrolled in the professional learning, organized by role group.

(iii) The total number of individuals who enrolled but withdrew from the professional learning prior to completion, organized by role group.

(iv) The total number of individuals who enrolled but transferred to a different cohort prior to completion, organized by role group.

(v) The cost per individual to enroll in the professional learning.

(vi) The total grant funds expended for all individuals who completed or enrolled in the professional learning during the quarter reported.

(vii) The total unused grant funds for the quarter reported.

(viii) The strategies and technical assistance provided to support participant completion.

(6) ~~(13)~~As used in this section:



1 (a) "Dyslexia" means both of the following:

2 (i) A specific learning disorder that is neurobiological in
3 origin and characterized by difficulties with accurate or fluent
4 word recognition and by poor spelling and decoding abilities that
5 typically result from a deficit in the phonological component of
6 language that is often unexpected in relation to other cognitive
7 abilities and the provision of effective classroom instruction.

8 (ii) A specific learning disorder that may include secondary
9 consequences, such as problems in reading comprehension and a
10 reduced reading experience that can impede the growth of vocabulary
11 and background knowledge and lead to social, emotional, and
12 behavioral difficulties.

13 (b) "Evidence-based" means an activity, program, process,
14 service, strategy, or intervention that demonstrates statistically
15 significant effects on improving pupil outcomes or other relevant
16 outcomes and that meets at least both of the following:

17 (i) At least 1 of the following:

18 (A) Is based on strong evidence from at least 1 well-designed
19 and well-implemented experimental study.

20 (B) Is based on moderate evidence from at least 1 well-
21 designed and well-implemented quasi-experimental study.

22 (C) Is based on promising evidence from at least 1 well-
23 designed and well-implemented correlational study with statistical
24 controls for selection bias.

25 (D) Demonstrates a rationale based on high-quality research
26 findings or positive evaluation that the activity, program,
27 process, service, strategy, or intervention is likely to improve
28 pupil outcomes or other relevant outcomes.

29 (ii) Includes ongoing efforts to examine the effects of the



1 activity, program, process, service, strategy, or intervention.

2 (c) "Explicit" means direct and deliberate instruction through
3 continuous pupil-teacher interaction that includes teacher
4 modeling, guided practice, and independent practice.

5 (d) "Fluency" means the ability to read with speed, accuracy,
6 and proper expression.

7 (e) "Multi-tiered system of supports" means a comprehensive
8 framework that includes 3 distinct tiers of instructional support
9 and is composed of a collection of evidence-based strategies
10 designed to meet the individual needs and assets of a whole pupil
11 at all achievement levels.

12 (f) "Phonemic awareness" means the conscious awareness of all
13 of the following:

14 (i) Individual speech sounds, including, but not limited to,
15 consonants and vowels, in spoken syllables.

16 (ii) The ability to consciously manipulate through, including,
17 but not limited to, matching, blending, segmenting, deleting, or
18 substituting, individual speech sounds described in subparagraph
19 (i).

20 (iii) All levels of the speech sound system, including, but not
21 limited to, word boundaries, rhyme recognition, stress patterns,
22 syllables, onset-rime units, and phonemes.

23 (g) "Phonological" means relating to the system of contrastive
24 relationships among the speech sounds that constitute the
25 fundamental components of a language.

26 (h) "Progress monitoring" means the assessing of students'
27 academic performance, quantifying students' rates of improvement or
28 progress toward goals, and determining how students are responding
29 to instruction.



(i) "Rapid automatized naming (RAN)" means a task that measures how quickly individuals can name objects; pictures; colors; or symbols, including letters and digits, aloud, which can predict later reading abilities for preliterate children.

Sec. 35d. (1) From the state school aid fund money appropriated under section 11, there is allocated for 2026-2027 only an amount not to exceed \$1,000,000.00 for the department to provide grants to districts and intermediate districts for the purchase of 1 or more components or trainings through an eligible teacher training program for children with dyslexia from a provider of an eligible teacher training program for children with dyslexia as described in this section. It is intended that supports funded under this section assist with the implementation of dyslexia requirements under section 1280f of the revised school code, MCL 380.1280f.

(2) A provider that provides programming that meets all of the following criteria is considered to be a provider of an eligible teacher training program for purposes of this section:

(a) The programming allows teachers to incorporate the 5 components essential to an effective reading program into their daily lessons. The 5 components described in this subdivision are phonemic awareness, phonics, vocabulary, fluency, and comprehension.

(b) The programming trains educators to teach reading using a proven, multisensory approach.

(c) The programming educates teachers on how to explicitly and effectively teach reading to beginning readers.

(d) The programming breaks reading and spelling down into smaller skills involving letters and sounds, and then builds on



1 these skills over time.

2 (e) The programming uses multisensory teaching strategies to
3 teach reading by using sight, hearing, touch, and movement to help
4 students connect and learn the concepts being taught.

5 (3) Districts and intermediate districts may apply to the
6 department for grants to purchase components or training through an
7 eligible teacher training program from a provider of an eligible
8 teacher training program, and, upon receiving an application and
9 except as otherwise provided in this subsection, the department
10 shall make payments to districts and intermediate districts for
11 those purchases. The department shall make payments under this
12 section on a first-come, first-served basis until funds are
13 depleted.

14 Sec. 35m. (1) From the state school aid fund money
15 appropriated in section 11, there is allocated for ~~2025-2026~~**2026-**
16 **2027** only an amount not to exceed ~~\$64,400,000.00~~**\$50,000,000.00** for
17 the purposes described in this section, including payments to
18 improve educational outcomes in literacy.

19 (2) The department shall continue the committee for literacy
20 achievement that includes representatives of higher education and
21 early childhood literacy educators who have expertise in literacy
22 instruction and research. The committee shall exist until at least
23 September 2029. The department shall appoint the members of the
24 committee for literacy achievement. The department shall develop a
25 process to identify and assemble experts for the committee. The
26 primary focus of the committee is to recommend tools and strategies
27 with the goal of increasing student academic outcomes in the area
28 of literacy. The committee is encouraged to collaborate with the
29 Michigan Education Research Institute or other entities with



1 similar expertise on the subject of literacy. The department shall
2 determine the size and benchmarks of the committee. The committee
3 shall do all of the following:

4 (a) Critically evaluate ~~early~~-literacy series and materials.
5 The committee shall evaluate with research-based outcomes, using
6 the committee's expertise in the field of literacy. The committee
7 shall assign grade tiers to the series based on the series'
8 likelihood to increase student literacy outcomes. Priority must be
9 given to series that already have a demonstrated history of
10 increasing student outcomes. The committee may perform an
11 evaluation under this subdivision based on submissions from a
12 vendor, but must independently verify the validity of information
13 provided by the vendor. The committee is also strongly encouraged
14 to evaluate available materials not submitted to the department by
15 a vendor.

16 (b) Critically evaluate literacy professional development. The
17 committee shall evaluate with research-based outcomes, using the
18 committee's expertise in the field of literacy. The committee shall
19 assign grade tiers to the professional development based on the
20 professional development's likelihood to increase student literacy
21 outcomes. Priority must be given to professional development that
22 already has a demonstrated history of increasing student outcomes.
23 The committee may perform an evaluation under this subdivision
24 based on submissions from a vendor, but must independently verify
25 the validity of information provided by the vendor. The committee
26 is also strongly encouraged to evaluate available materials not
27 submitted to the department by a vendor.

28 (c) Critically evaluate other applicable literacy tools or
29 services the committee determines to have a high likelihood or



1 demonstrated history of increasing student literacy outcomes. The
2 committee may perform an evaluation under this subdivision based on
3 submissions from a vendor, but must independently verify the
4 validity of information provided by the vendor. The committee is
5 also strongly encouraged to evaluate available materials not
6 submitted to the department by a vendor.

7 (d) Create, maintain, and post annually on a publicly
8 available website a rankings list of all ~~early~~-literacy series and
9 other items the committee has evaluated. This includes items from
10 each part of the rankings list, items evaluated in the 2024-2025
11 school year, and any subsequent items evaluated going forward. The
12 committee shall denote on the list whether major changes have been
13 made to ~~an early~~-a literacy series or other item on the list since
14 the ~~early~~-literacy series or other item was evaluated by the
15 committee and if the ~~early~~-literacy series or other item has not
16 been evaluated since the last ranking. The rankings list created in
17 this subdivision must align with the list of evidence-based tier 1,
18 classwide elementary reading curricula and materials that are
19 aligned with science of reading methods that research has shown to
20 improve literacy outcomes and help pupils achieve reading
21 proficiency as required under section 1280f of the revised school
22 code, MCL 380.1280f. **A list described in this subdivision may
23 include a maximum of 15 recommendations. Additional items may be
24 evaluated. However, only the top 15 may be recommended for use.**

25 (3) An individual on the committee shall recuse themselves
26 from evaluating ~~early~~-literacy series and other items that the
27 individual has helped create, that the individual would benefit
28 from financially, or for which the individual has any other
29 conflict of interest.



1 (4) From the funds allocated in subsection (1), the department
2 shall make payments to districts and intermediate districts in an
3 amount **necessary, as** determined by the department, **for a district**
4 **or intermediate district to implement the chosen literacy item.** The
5 ~~department shall not make payments under this subsection until it~~
6 ~~has critically evaluated as many early literacy series and other~~
7 ~~items from subsection (2) as possible. Payments under this~~
8 ~~subsection must be made during the current fiscal year to support~~
9 ~~district implementation in 2026-2027. The department shall use the~~
10 ~~rankings list described in subsection (2) as the basis for how~~
11 ~~funding is allocated in subsection (1) to districts and~~
12 ~~intermediate districts. Districts and intermediate districts using~~
13 ~~higher-ranked literacy tools that are proven to increase student~~
14 ~~outcomes shall receive more funding than districts and intermediate~~
15 ~~districts utilizing lower ranked literacy tools in both the base~~
16 ~~award and the per-pupil awards described in this subsection. The~~
17 ~~department may determine that some districts and intermediate~~
18 ~~districts will not receive funding under this section based on the~~
19 ~~effectiveness of the early literacy series or other items being~~
20 ~~utilized by the district or intermediate district. The department~~
21 ~~shall award funding under this section using the following~~
22 ~~methodology:~~

23 (a) ~~A base award equal to the amount necessary for the~~
24 ~~district or intermediate district to implement the chosen early~~
25 ~~literacy series or other item. The department may place a cap on~~
26 ~~the total award per district, intermediate district, or early~~
27 ~~literacy series or other item and may choose not to award funding~~
28 ~~if the early literacy series or other item is determined to be~~
29 ~~ineffective or is determined to be less effective than other~~



1 ~~choices.~~

2 ~~(b) A tiered per-pupil award based on the number of pupils in~~
3 ~~membership at the district and intermediate district. The tiered~~
4 ~~per-pupil award must provide a higher per-pupil payment to~~
5 ~~districts and intermediate districts using higher-ranked early~~
6 ~~literacy series or other items as determined under subsection (2).~~
7 ~~The department may choose not to award funding if the early~~
8 ~~literacy series or other item is determined to be ineffective or is~~
9 ~~determined to be less effective than other choices.~~

10 (5) From the funding allocated in subsection (1), the
11 department may pay an annual stipend of up to \$8,000.00 for each
12 member of the committee for literacy achievement who is employed by
13 or at a public institution of higher education, a district, or an
14 intermediate district. A stipend must be commensurate with the
15 committee member's contribution to the committee. Funding must be
16 paid to the public institution of higher education, the district,
17 or the intermediate district where the committee member is
18 employed, and the public institution of higher education, the
19 district, or the intermediate district must then use funding
20 received to award the stipend directly to the individual committee
21 member. A committee member who is not employed by or at a public
22 institution of higher education, a district, or an intermediate
23 district is not eligible to receive a stipend under this
24 subsection.

25 (6) To be eligible for funding under this section, a district
26 or intermediate district must apply in a form and manner determined
27 by the department. As a condition of receiving the funding, the
28 district or intermediate district must agree to provide to the
29 department information twice a year, on or before May 1 and October



1 1, on the ~~early~~-literacy series and other items used for the
 2 previous and current school years, and the ~~early~~-literacy series
 3 and other items to be used for the next school year. The ~~early~~
 4 literacy series and other items used by districts and intermediate
 5 districts must be added to the annual rankings required under
 6 subsection (2).

7 (7) Except as otherwise provided in this section and
 8 notwithstanding section 17b, the department shall make payments
 9 under this section on a schedule determined by the department.

10 ~~(8) Funds allocated under subsection (1) for 2025-2026 are a~~
 11 ~~work project appropriation, and any unexpended funds for 2025-2026~~
 12 ~~are carried forward into 2026-2027. The purpose of the work project~~
 13 ~~is to improve literacy instructional practices. The estimated~~
 14 ~~completion date of the work project is September 30, 2029.~~

15 ~~(9) In addition to the allocation under subsection (1), from~~
 16 ~~the state school aid fund money appropriated in section 11, there~~
 17 ~~is allocated an amount not to exceed \$4,000,000.00 for 2025-2026~~
 18 ~~only to an intermediate district in which the combined total number~~
 19 ~~of pupils in membership of all of its constituent districts is the~~
 20 ~~fewest among all intermediate districts in this state. All of the~~
 21 ~~following apply to the funding under this subsection:~~

22 ~~(a) Funding under this subsection must be used by the~~
 23 ~~intermediate district, in partnership with an association that~~
 24 ~~represents intermediate district administrators in this state, to~~
 25 ~~implement all of the following:~~

26 ~~(i) Literacy essentials teacher and principal training modules.~~
 27 ~~(ii) Face-to-face and online professional learning on literacy~~
 28 ~~essentials teacher and principal training modules for literacy~~
 29 ~~coaches, principals, and teachers.~~



1 ~~(iii) The placement of regional lead literacy coaches to~~
2 ~~facilitate professional learning for early literacy coaches.~~
3 ~~Regional lead literacy coaches described in this subparagraph shall~~
4 ~~provide support for new literacy coaches, building teachers, and~~
5 ~~administrators, and shall facilitate regional data collection to~~
6 ~~evaluate the effectiveness of statewide literacy coaches funded~~
7 ~~under this section.~~

8 ~~(iv) A provision of \$500,000.00 under this subsection for~~
9 ~~literacy training, modeling, coaching, and feedback for district~~
10 ~~principals or chief administrators, as applicable. The training~~
11 ~~described in this subparagraph must use the pre-K and K to 3~~
12 ~~essential instructional practices in literacy created by the~~
13 ~~general education leadership network as the framework for all~~
14 ~~training provided under this subparagraph.~~

15 ~~(b) By not later than September 1 of each year, the~~
16 ~~intermediate district described in this subsection, in consultation~~
17 ~~with grant recipients, shall submit a report to the chairs of the~~
18 ~~senate and house appropriations subcommittees on school aid, the~~
19 ~~chairs of the senate and house standing committees responsible for~~
20 ~~education legislation, the house and senate fiscal agencies, and~~
21 ~~the state budget director. The report described in this subdivision~~
22 ~~must include student achievement results in English language arts~~
23 ~~and survey results with feedback from parents and teachers~~
24 ~~regarding the initiatives implemented under this subsection.~~

25 ~~(c) Up to 2% of funds allocated under this subsection may be~~
26 ~~used by the association representing intermediate district~~
27 ~~administrators that is in partnership with the intermediate~~
28 ~~district specified in this subsection to administer this~~
29 ~~subsection.~~



~~(10) In addition to the allocation under subsection (1), from the state school aid fund money appropriated in section 11, there is allocated an amount not to exceed \$1,600,000.00 for 2025-2026 to expand the implementation of the literacy and social, emotional, and behavioral components of a multi-tiered system of supports, including positive behavioral interventions and supports, using the Michigan Multi-Tiered System of Supports Technical Assistance Center. Both of the following apply to funds allocated under this subsection:~~

~~(a) The department shall use funds allocated under this subsection, through an intermediate district, for the purpose of expanding the statewide expertise, technical assistance, and implementation of the multi-tiered system of supports, dyslexia expertise, and evidence-based instructional practices grounded in the science of reading using the Michigan Multi-Tiered System of Supports Technical Assistance Center, a nationally recognized program. In addition, the department shall identify an intermediate district to act as a fiscal agent for these funds.~~

~~(b) Up to 2% of funds allocated under this subsection may be used by the intermediate district serving as the fiscal agent for these funds to administer this subsection.~~

Sec. 35o. (1) From the state school aid fund money appropriated in section 11, there is allocated an amount not to exceed \$6,000,000.00 for 2026-2027 to an intermediate district in which the combined total number of pupils in membership of all of its constituent districts is the fewest among all intermediate districts in this state to improve literacy instruction in alignment with the science of reading and section 1280f of the revised school code, MCL 380.1280f.



1 (2) Funding under this subsection must be used by the
2 intermediate district described in subsection (1), in partnership
3 with an association that represents intermediate district
4 administrators in this state, to do all of the following:

5 (a) Maintain, and update as necessary based on research, the
6 state's literacy essentials and disciplinary literacy essentials
7 for grades pre-K to 12, including teacher and principal training
8 modules and materials.

9 (b) Lead face-to-face and online professional learning on the
10 state's literacy essentials and disciplinary literacy essentials
11 for grades pre-K to 12 for literacy coaches, principals, and
12 teachers.

13 (c) Lead face-to-face and online professional learning for
14 school and district administrators and leadership teams about
15 leading systems that support effective literacy instruction in all
16 classrooms.

17 (d) Facilitate a statewide network of literacy coaches that
18 ensures consistent use of evidence-based literacy practices
19 including monthly communities of practice, regular coaching
20 intensives, and an annual institute. In addition to completing
21 training from the approved provider of professional learning
22 described in section 35a(5), all literacy coaches funded under
23 section 35a(2) must do all of the following, as applicable:

24 (i) Participate in the statewide coaching network described in
25 this subdivision.

26 (ii) Participate in at least 1 coaching intensive.

27 (iii) Attend the annual institute.

28 (iv) Complete the literacy essentials and coaching modules.

29 (v) For literacy coaches who are new to the network, attend a



1 new coach kickoff.

2 (e) Place regional lead literacy coaches to facilitate
3 professional learning for literacy coaches. Regional lead literacy
4 coaches described in this subdivision shall provide support for
5 literacy coaches, teachers, and administrators, and shall
6 facilitate regional data collection to evaluate the effectiveness
7 of statewide literacy coaches funded under this section.

8 (f) Meet monthly with the department and the department of
9 lifelong education, advancement, and potential to align efforts and
10 achieve statewide goals to train every educator in the science of
11 reading.

12 (3) By not later than September 1 of each year, the
13 intermediate district described in subsection (1), in consultation
14 with grant recipients, shall submit a report to the chairs of the
15 senate and house appropriations subcommittees on school aid, the
16 chairs of the senate and house standing committees responsible for
17 education legislation, the house and senate fiscal agencies, the
18 state budget director, and the directors of the departments of
19 education and lifelong education, advancement, and potential. The
20 report described in this subdivision must include coaching cycle
21 data by intermediate district, statewide student achievement
22 results in English language arts, and survey results with feedback
23 from teachers and administrators regarding the initiatives
24 implemented under this section.

25 (4) Up to 2% of funds allocated under this section may be used
26 by the association representing intermediate district
27 administrators that is in partnership with the intermediate
28 district as described in subsection (1) to administer this section.

29 Sec. 35p. (1) From the state school aid fund money



1 appropriated in section 11, there is allocated for 2026-2027 only
2 an amount not to exceed \$50,000,000.00 to implement high-impact
3 tutoring programs through eligible tutoring partners in eligible
4 districts.

5 (2) Eligible tutoring partners shall apply for funding in a
6 form and manner determined by the department. An application for
7 funding described in this subsection must include at least all of
8 the following:

9 (a) An identification of a district or intermediate district
10 that will serve as a fiscal agent for awarded funds.

11 (b) A list of district partners that will be recipients of
12 high-impact tutoring from the eligible tutoring partner, including
13 a letter of support from each district that affirms their
14 commitment to ensure alignment with tier 1 instruction,
15 implementation fidelity, including, but not limited to, student
16 usage and frequency, and participation in data sharing and training
17 necessary to maximize outcomes.

18 (c) Projections for the number of students who will be served,
19 broken down by partner district.

20 (d) A description of the efficacious nature of the eligible
21 tutoring partner's program, including the ability of the eligible
22 tutoring partner to hit certain benchmarks and goals, based on
23 evidence.

24 (e) A plan for how the eligible tutoring partner will target
25 high-impact tutoring for the highest need student populations based
26 on some or all of the following criteria:

27 (i) Statewide assessment data.

28 (ii) Screeners or formative assessment scores.

29 (iii) Economically disadvantaged status.



1 (iv) Special education status.

2 (v) English language learner status.

3 (f) A planned budget for the high-impact tutoring program
4 provided, including the total dollars necessary to serve the
5 identified student population and an estimate of the percentage of
6 awarded dollars that would be directly deployed for high-impact
7 tutoring.

8 (g) A commitment to provide periodic reporting to each
9 district served and to the department, in a form and manner
10 determined by the department, to ensure funds are being spent in
11 accordance with this section.

12 (h) A commitment to return any or all funds awarded if the
13 department determines dollars are used in a way that violates this
14 section.

15 (i) Any additional information required by the department to
16 make informed decisions on awarding competitive grants under this
17 section and to ensure financial stewardship awarded dollars.

18 (3) The department shall award grants to applicants on a
19 competitive basis, using at least all of the following in making
20 award determinations:

21 (a) The cost effectiveness of the application based on the
22 number of students projected to be served, the total requested
23 budget, and the demonstrated outcome capacity of the high-impact
24 tutoring program.

25 (b) The reasonability that the eligible tutoring partner will
26 be able to meet the stated outcome benchmarks.

27 (c) Other criteria, as determined by the department, to ensure
28 grants are awarded to the most impactful applicants.

29 (4) If the amount allocated in subsection (1) is not



1 sufficient to fully fund all eligible tutoring partners that apply
2 for funding, the department must prioritize grant awards to
3 districts with the lowest levels of literacy proficiency, as
4 determined by student scores on the Michigan student test of
5 educational progress (M-STEP).

6 (5) The department may approve applications from eligible
7 tutoring partners that offer innovative ways to reach students at a
8 lower cost by waiving elements of high-impact tutoring described in
9 subsection (11). This must include, but is not limited to, offering
10 virtual programs. In such cases, the eligible tutoring partner
11 submitting the application must provide evidence of program impact
12 and implement an outcomes-based contract model.

13 (6) It is the intent of the legislature that the work
14 associated with the grant application, oversight, and
15 administration of awards under this section be performed primarily
16 by the eligible tutoring partner and not by districts that have
17 agreed to receive high-impact tutoring.

18 (7) If a district or intermediate district agrees to receive
19 high-impact tutoring from an eligible tutoring partner, the
20 district or intermediate district must do all of the following:

21 (a) Work with the eligible tutoring partner to identify
22 students that would benefit from the program. The district or
23 intermediate district must communicate with parents or legal
24 guardians of identified students to describe the available program,
25 outline possible student outcomes, and encourage student
26 participation.

27 (b) To the extent possible, integrate the high-impact tutoring
28 program with the district's Michigan Integrated Continuous
29 Improvement Process (MICIP) plan.



1 (c) If the district or intermediate district is the fiscal
2 agent for the eligible tutoring partner, except as otherwise
3 provided in this subdivision, forward the amount awarded to the
4 tutoring partner. The designated fiscal agent may retain up to 0.5%
5 of the funding awarded to the tutoring partner for administrative
6 purposes.

7 (8) All of the following apply to the funds allocated under
8 this section:

9 (a) The department shall make award determinations and
10 notifications by not later than January 15, 2027.

11 (b) The department shall make initial payments to identified
12 fiscal agents by no later than March 1, 2027. Identified fiscal
13 agents shall forward funding to eligible tutoring partners by not
14 later than March 15, 2027.

15 (c) Eligible tutoring partners shall begin deploying services
16 in recipient districts and intermediate districts before the end of
17 the 2026-2027 school year.

18 (9) From the allocation in subsection (1), there is allocated
19 \$600,000.00 to the Clinton County Regional Educational Service
20 Agency to work with the Michigan Association of Intermediate School
21 Administrators (MAISA), to do all of the following:

22 (a) Provide a report on high-impact tutoring programs
23 implemented with the funding allocated under subsection (1).

24 (b) Develop and provide technical assistance to districts in
25 selecting high-impact tutoring strategies and integrating these
26 strategies into district Michigan Integrated Continuous Improvement
27 Process (MICIP) plans. Developing and providing technical
28 assistance may include the design, review, and integration of
29 eligible tutoring programs within the MiStrategyBank.



1 (c) Collect, aggregate, and report data in collaboration with
2 the MAISA Michigan Collaborative Hub. An amount not to exceed
3 \$300,000.00 of the funds allocated under this subsection may be
4 used for this purpose.

5 (d) Provide an annual report of the impact of high-impact
6 tutoring programs to the office of the governor, the senate and
7 house education committees, the senate and house appropriations
8 subcommittees on school aid, and the state budget director.

9 (10) From the allocation in subsection (1), there is allocated
10 not more than \$5,000,000.00 for a parent-driven tutoring pilot. All
11 of the following apply to the parent-driven tutoring pilot
12 described in this subsection:

13 (a) The department shall award grants to districts to
14 participate in a parent-driven tutoring pilot. The department shall
15 do both of the following when making award determinations under
16 this subdivision:

17 (i) Prioritize applicants in an opportunity index band, as
18 determined under section 6(21), of 4 or higher.

19 (ii) Ensure recipients represent both urban and rural districts
20 and include all geographic regions of this state.

21 (b) A district that receives an award under this subsection
22 shall open an application process to parents and legal guardians of
23 students. The application must include the name of the chosen
24 tutoring provider. Districts shall prioritize applications from
25 parents and legal guardians of students that are economically
26 disadvantaged and most academically at risk.

27 (c) Funds awarded through the application process described in
28 subdivision (b) may be used for tutoring services through an
29 evidence-based tutoring provider with whom the district is not



1 currently partnered.

2 (d) A district receiving funds under this subsection shall
3 make payments directly to the tutoring provider chosen on the
4 application by a parent or legal guardian under subdivision (b).

5 (e) A district receiving funds under this section may retain
6 2.5% of funds for administration.

7 (f) A district shall provide a final report to the department
8 including how many students participated in tutoring by grade
9 level, which tutoring providers were used, and funds awarded by
10 tutoring provider.

11 (11) As used in this section:

12 (a) "Eligible tutoring partner" means a tutoring provider,
13 including, but not limited to, a tutoring provider created by for-
14 profit vendors, nonprofit vendors, intermediate districts,
15 districts, and the Michigan Schools for the Deaf and Blind, that
16 provides high-impact tutoring and meets at least 1 of the
17 following:

18 (i) Is included on the ProvenTutoring list maintained by the
19 Center for Research and Reform in Education at Johns Hopkins
20 University.

21 (ii) Has a Tutoring Program Design Badge as awarded by the
22 National Student Support Accelerator, a program of the SCALE
23 Initiative at Stanford University.

24 (iii) Is a vetted high-impact tutoring program included in the
25 MiStrategyBank. If necessary, the Michigan Association of
26 Intermediate School Administrators may convene a committee to
27 review tutoring programs for inclusion in the MiStrategyBank.

28 (b) "High-impact tutoring" means, except as otherwise provided
29 in this section, in-person tutoring that meets all of the



1 following:

2 (i) Occurs before, during, or after the school day.

3 (ii) Is individualized, with tutor ratios not higher than 1:4.

4 (iii) Provides intensive support with a minimum of 2 sessions
5 per week.

6 (iv) Uses a structured, evidence-based curriculum designed for
7 tutoring, with formative assessments to track progress.

8 (v) Uses trained tutors.

9 (vi) Includes ongoing assessment and feedback.

10 Sec. 35q. (1) By not later than March 1, 2027, the department,
11 in collaboration with the department of lifelong education,
12 advancement, and potential, and the center, shall publish to a
13 publicly accessible location on its website and shall update
14 periodically thereafter, as new data becomes available, a literacy
15 achievement and opportunity transparency dashboard that includes at
16 least the following:

17 (a) The percentage of children in this state with access to
18 free, full-day pre-K opportunities.

19 (b) The percentage of pre-K to grade 5 educators in this state
20 who are trained in the science of reading.

21 (c) The percentage of districts in this state using a
22 curriculum funded under section 35m.

23 (d) Literacy-related results, including multiyear trend data,
24 from the following state assessments:

25 (i) The grade 3 Michigan student test of educational progress
26 (M-STEP).

27 (ii) The grade 7 Michigan student test of educational progress
28 (M-STEP).

29 (iii) The SAT.



1 (iv) The National Assessment of Educational Progress (NAEP).

2 (e) Additional metrics that help the public and policymakers
3 track statewide literacy progress.

4 (f) A summary of activities the state is taking to improve
5 literacy outcomes.

6 (2) The data published under subsection (1) must be
7 disaggregated by district and school demographics where possible.

8 Sec. 36. (1) From the state school aid fund money appropriated
9 in section 11, there is allocated for 2026-2027 only an amount not
10 to exceed \$5,000,000.00 for the purposes described in this section,
11 including payments to improve educational outcomes in mathematics.

12 (2) The department shall create the committee for mathematics
13 achievement, which must include representatives of higher education
14 and mathematics educators who have expertise in mathematics
15 instruction and research. The committee shall exist until at least
16 September 2029. The department shall appoint the members of the
17 committee for mathematics achievement. The department shall develop
18 a process to identify and assemble experts for the committee for
19 mathematics achievement. The primary focus of the committee for
20 mathematics achievement is to recommend curricula and materials
21 with the goal of increasing student academic outcomes in the area
22 of mathematics. The committee for mathematics achievement is
23 encouraged to collaborate with entities with expertise on the
24 subject of mathematics. The department shall determine the size and
25 benchmarks of the committee for mathematics achievement. The
26 committee for mathematics achievement shall do all of the
27 following:

28 (a) Critically evaluate K to 5 mathematics curricula and
29 materials. The committee for mathematics achievement shall evaluate



1 with research-based outcomes, using the committee for mathematics
2 achievement's expertise in the field of mathematics. The committee
3 for mathematics achievement shall assign grade tiers to a
4 curriculum based on the curriculum's likelihood of increasing
5 student mathematics outcomes. Priority must be given to curricula
6 that already have a demonstrated history of increasing student
7 outcomes. The committee for mathematics achievement may perform an
8 evaluation under this subdivision based on submissions from a
9 vendor, but must independently verify the validity of information
10 provided by the vendor. The committee for mathematics achievement
11 is also strongly encouraged to evaluate available materials not
12 submitted to the department by a vendor.

13 (b) Create, maintain, and annually post on a publicly
14 available website a rankings list of all K to 5 mathematics
15 curricula the committee for mathematics achievement has evaluated.
16 This includes items from each part of the rankings list, items
17 evaluated in the 2026-2027 school year, and any subsequent items
18 evaluated going forward. The committee for mathematics achievement
19 shall denote on the list whether major changes have been made to a
20 mathematics curriculum on the list since the mathematics curriculum
21 was evaluated by the committee for mathematics achievement and if
22 the mathematics curriculum has not been evaluated since the last
23 ranking.

24 (c) The committee for mathematics achievement must select not
25 more than 5 mathematics curricula to recommend for purchase by
26 districts.

27 (3) An individual on the committee for mathematics achievement
28 shall recuse themselves from evaluating mathematics curricula or
29 other items that the individual has helped create, that the



1 individual would benefit from financially, or for which the
2 individual has any other conflict of interest.

3 (4) From the funds allocated in subsection (1), and subject to
4 subsection (6), the department shall make payments to districts and
5 intermediate districts in an amount determined by the department.
6 The department shall not make payments under this subsection until
7 the committee for mathematics achievement has critically evaluated
8 as many mathematics curricula and other items from subsection (2)
9 as possible. Payments under this subsection may be used only to
10 purchase 1 of the 5 mathematics curricula described in subsection
11 (2)(c). If funding remains after all payments have been made to
12 districts and intermediate districts, the department may open a
13 second round of applications. The department shall award funding
14 under this subsection as a formula grant in an amount equal to the
15 amount necessary for the district or intermediate district to
16 implement the chosen mathematics curriculum or other item until
17 funding is depleted. The department may place a cap on the total
18 award per district or intermediate district.

19 (5) From the funds allocated in subsection (1), the department
20 may pay an annual stipend of up to \$8,000.00 for each member of the
21 committee for mathematics achievement who is employed by or at a
22 public institution of higher education, a district, or an
23 intermediate district. A stipend paid under this subsection must be
24 commensurate with the committee member's contribution to the
25 committee for mathematics achievement. Funding must be paid to the
26 public institution of higher education, the district, or the
27 intermediate district where the committee member is employed, and
28 the public institution of higher education, the district, or the
29 intermediate district must then use funding received to award the



1 stipend directly to the individual committee member. A committee
2 member who is not employed by or at a public institution of higher
3 education, a district, or an intermediate district is not eligible
4 to receive a stipend under this subsection.

5 (6) To be eligible for funding under subsection (4), a
6 district or intermediate district must apply in a form and manner
7 determined by the department. As a condition of receiving the
8 funding, the district or intermediate district must agree to
9 provide to the department information twice per year, on or before
10 May 1 and October 1, on the mathematics curriculum used for the
11 previous and current school years, and the mathematics curriculum
12 and other items to be used for the next school year. The
13 mathematics curricula used by districts and intermediate districts
14 described in this subsection must be added to the annual rankings
15 required under subsection (2).

16 (7) Except as otherwise provided in this section and
17 notwithstanding section 17b, the department shall make payments
18 under this section on a schedule determined by the department.

19 (8) Funds allocated under subsection (1) for 2026-2027 are a
20 work project appropriation, and any unexpended funds for 2026-2027
21 are carried forward into 2027-2028. The purpose of the work project
22 is to improve mathematics instructional practices. The estimated
23 completion date of the work project is September 30, 2029.

24 Sec. 36a. (1) From the state school aid fund money
25 appropriated in section 11, there is allocated for 2026-2027 only
26 an amount not to exceed \$5,000,000.00 for the purposes described in
27 this section, including payments to improve educational outcomes in
28 STEM.

29 (2) The department shall create the committee for STEM



1 achievement, which must include representatives of higher education
2 and STEM educators who have expertise in STEM instruction and
3 research. The committee for STEM achievement shall exist until at
4 least September 2029. The department shall appoint the members of
5 the committee for STEM achievement. The department shall develop a
6 process to identify and assemble experts for the committee for STEM
7 achievement. The primary focus of the committee for STEM
8 achievement is to recommend tools and strategies with the goal of
9 increasing student academic outcomes in the areas of STEM. The
10 committee for STEM achievement is encouraged to collaborate with
11 entities with expertise on the subject of STEM. The department
12 shall determine the size and benchmarks of the committee for STEM
13 achievement. The committee for STEM achievement shall do both of
14 the following:

15 (a) Critically evaluate applicable STEM tools or services for
16 classroom instruction for pupils in grades 3 to 8 that the
17 committee for STEM achievement determines to have a high likelihood
18 or demonstrated history of increasing student STEM outcomes. The
19 committee for STEM achievement may perform an evaluation under this
20 subdivision based on submissions from a vendor, but must
21 independently verify the validity of information provided by the
22 vendor. The committee for STEM achievement is also strongly
23 encouraged to evaluate available materials not submitted to the
24 department by a vendor.

25 (b) Create, maintain, and post annually on a publicly
26 available website a rankings list of all STEM items that the
27 committee for STEM achievement has evaluated. This includes items
28 from each part of the rankings list, items evaluated in the 2026-
29 2027 school year, and any subsequent items evaluated going forward.



1 The committee for STEM achievement shall denote on the list whether
2 major changes have been made to a STEM item on the list since the
3 STEM item was evaluated by the committee for STEM achievement and
4 if the STEM item has not been evaluated since the last ranking.

5 (3) An individual on the committee for STEM achievement shall
6 recuse themselves from evaluating STEM items that the individual
7 has helped create, that the individual would benefit from
8 financially, or for which the individual has any other conflict of
9 interest.

10 (4) From the funds allocated in subsection (1), the department
11 shall make payments to districts and intermediate districts in an
12 amount determined by the department. The department shall not make
13 payments under this subsection until the committee for STEM
14 achievement has critically evaluated as many STEM items from
15 subsection (2) as possible. If funding remains after all payments
16 have been made to districts and intermediate districts, the
17 department may open a second round of applications. The department
18 shall award funding under this subsection as a formula grant in an
19 amount equal to the amount necessary for the district or
20 intermediate district to implement the chosen STEM item until
21 funding is depleted. The department may place a cap on the total
22 award per district or intermediate district. Funds under this
23 subsection may not be used to purchase curricula that may be
24 purchased using funds under section 36.

25 (5) From the funding allocated in subsection (1), the
26 department may pay an annual stipend of up to \$8,000.00 for each
27 member of the committee for STEM achievement who is employed by or
28 at a public institution of higher education, a district, or an
29 intermediate district. A stipend paid under this subsection must be



1 commensurate with the committee member's contribution to the
2 committee for STEM achievement. Funding must be paid to the public
3 institution of higher education, the district, or the intermediate
4 district where the committee member is employed, and the public
5 institution of higher education, the district, or the intermediate
6 district must then use funding received to award the stipend
7 directly to the individual committee member. A committee member who
8 is not employed by or at a public institution of higher education,
9 a district, or an intermediate district is not eligible to receive
10 a stipend under this subsection.

11 (6) To be eligible for funding under this section, a district
12 or intermediate district must apply in a form and manner determined
13 by the department. As a condition of receiving the funding, the
14 district or intermediate district must agree to provide to the
15 department information twice per year, on or before May 1 and
16 October 1, on the STEM items used for the previous and current
17 school years, and the STEM items to be used for the next school
18 year. The STEM items used by districts and intermediate districts
19 must be added to the annual rankings required under subsection (2).

20 (7) Except as otherwise provided in this section and
21 notwithstanding section 17b, the department shall make payments
22 under this section on a schedule determined by the department.

23 (8) Funds allocated under subsection (1) for 2026-2027 are a
24 work project appropriation, and any unexpended funds for 2026-2027
25 are carried forward into 2027-2028. The purpose of the work project
26 is to improve STEM instructional practices. The estimated
27 completion date of the work project is September 30, 2029.

28 (9) As used in this section, "STEM" means science, technology,
29 engineering, and mathematics.



1 Sec. 39. (1) An eligible applicant receiving funds under
2 section 32d shall submit an application, in a form and manner
3 prescribed by the department of lifelong education, advancement,
4 and potential, by a date specified by the department of lifelong
5 education, advancement, and potential in the immediately preceding
6 fiscal year. An eligible applicant is not required to amend the
7 applicant's current accounting cycle or adopt this state's fiscal
8 year accounting cycle in accounting for financial transactions
9 under this section. The application must include all of the
10 following:

11 (a) The estimated total number of age-eligible children in the
12 community, as provided to the applicant by the department of
13 lifelong education, advancement, and potential utilizing the most
14 recent population data available from the American Community Survey
15 conducted by the United States Census Bureau. The department of
16 lifelong education, advancement, and potential shall ensure that it
17 provides updated American Community Survey population data at least
18 once every 3 years.

19 (b) The estimated number of age-eligible children in the
20 community who are being served exclusively by Head Start programs
21 operating in the community.

22 (c) The number of children whom the applicant will have the
23 capacity to serve in each eligible great start readiness program
24 option who meet the age-eligible criteria of section 32d.

25 (2) The great start readiness target foundation amount for
26 ~~2025-2026~~**2026-2027** is ~~\$10,650.00~~**\$11,736.00**.

27 (3) After notification of funding allocations, an applicant
28 receiving funds under section 32d shall also submit an
29 implementation plan for approval, in a form and manner prescribed



1 by the department of lifelong education, advancement, and
2 potential, by a date specified by the department of lifelong
3 education, advancement, and potential, that details how the
4 applicant complies with the program components established by the
5 department of lifelong education, advancement, and potential under
6 section 32d.

7 (4) Subject to subsection (5), the initial allocation to each
8 eligible applicant under section 32d is equal to the sum of the
9 following:

10 (a) The number of children in the current school year served
11 in a program determined by the department of lifelong education,
12 advancement, and potential to be a school-day program multiplied by
13 the great start readiness target foundation.

14 (b) The number of children in the current school year served
15 in a program determined by the department of lifelong education,
16 advancement, and potential to be a part-day program or a school-day
17 blended with Head Start multiplied by the great start readiness
18 target foundation divided by 2.

19 (c) The total number of children in the current school year
20 served in a program determined by the department of lifelong
21 education, advancement, and potential to be an extended program
22 multiplied by the great start readiness target foundation
23 multiplied by 1.2.

24 (d) The number of children in the current school year served
25 in a program determined by the department of lifelong education,
26 advancement, and potential to be an extended program blended with
27 Head Start or a part-day extended program multiplied by the great
28 start readiness target foundation multiplied by 0.6.

29 (5) Subject to subsection (6), if the calculations under



1 subsection (4) result in a total allocation exceeding the amount
2 available as allocated or appropriated under section 32d(2),
3 initial allocations to each eligible applicant under section 32d
4 are calculated as the sum of the following:

5 (a) An amount equal to the calculations described in
6 subsection (4) but using for those calculations the lesser of the
7 number of children served in the immediately preceding fiscal year
8 or the number of children the applicant has the capacity to serve
9 in the current fiscal year instead of the number of children served
10 in the current fiscal year.

11 (b) An amount equal to the remaining available dollars after
12 calculations in subdivision (a) distributed proportionately to
13 eligible applicants where calculations under subdivision (a) are
14 less than the amount originally calculated under subsection (4).

15 (6) If the calculations under subsection (5) result in a total
16 allocation exceeding the amount available as allocated or
17 appropriated under section 32d(2), the initial allocation to each
18 eligible applicant is the amount calculated under subsection (4)
19 prorated on an equal percentage basis.

20 (7) If, taking into account the total amount to be allocated
21 to the applicant as calculated under this section, an applicant
22 determines that it is able to include additional eligible children
23 in the great start readiness program without additional funds under
24 section 32d, the applicant may include additional eligible children
25 but does not receive additional funding under section 32d for those
26 children.

27 (8) The department of lifelong education, advancement, and
28 potential shall review the program components under section 32d and
29 under this section at least biennially. The department of lifelong



1 education, advancement, and potential also shall convene a
2 committee of internal and external stakeholders at least once every
3 5 years to ensure that the funding structure under this section
4 reflects current system needs under section 32d.

5 (9) Each intermediate district or consortium of intermediate
6 districts that receives funds under section 32d shall report all of
7 the following to the department of lifelong education, advancement,
8 and potential by not later than September 15 of the immediately
9 preceding fiscal year, December 15, and March 15:

10 (a) The total number of children enrolled in all great start
11 readiness programs administered by the intermediate district or
12 consortium of intermediate districts, disaggregated by program type
13 and by provider type.

14 (b) The total number of children on a waitlist for all great
15 start readiness programs administered by the intermediate district
16 or consortium of intermediate districts.

17 (c) The estimated total capacity of all great start readiness
18 programs administered by the intermediate district or consortium of
19 intermediate districts.

20 (10) By not later than October 1, January 1, and April 1 of
21 each fiscal year, the department of lifelong education,
22 advancement, and potential shall report to the house and senate
23 fiscal agencies and the state budget office on the data collected
24 under subsection (9), disaggregated by intermediate district or
25 consortium of intermediate districts. The report must include grant
26 application information included under subsection (1) for each
27 intermediate district or consortium of intermediate districts. The
28 department of lifelong education, advancement, and potential shall
29 submit the report described in this subsection in a spreadsheet-



1 compatible format.

2 (11) To assist the legislature in determining necessary
3 funding levels to support payments for the great start readiness
4 program as calculated under this section, each revenue estimating
5 conference conducted under section 367b of the management and
6 budget act, 1984 PA 431, MCL 18.1367b, must include an estimated
7 enrollment in great start readiness programs for the current and
8 two subsequent fiscal years.

9 Sec. 39a. (1) From the federal funds appropriated in section
10 11, there is allocated for ~~2025-2026-2026-2027~~ to districts,
11 intermediate districts, and other eligible entities all available
12 federal funding, estimated at ~~\$824,700,000.00, \$1,100.00~~ for the
13 federal programs under the no child left behind act of 2001, Public
14 Law 107-110, or the every student succeeds act, Public Law 114-95.
15 These funds are allocated as follows:

16 (a) An amount estimated at ~~\$1,200,000.00-\$100.00~~ for ~~2025-2026~~
17 **2026-2027** to provide students with drug- and violence-prevention
18 programs and to implement strategies to improve school safety,
19 funded from DED-OESE, drug-free schools and communities funds.

20 (b) An amount estimated at ~~\$100,000,000.00-\$100.00~~ for 2025-
21 2026 for the purpose of preparing, training, and recruiting high-
22 quality teachers and class size reduction, funded from DED-OESE,
23 improving teacher quality funds.

24 (c) An amount estimated at ~~\$13,000,000.00-\$100.00~~ for ~~2025-~~
25 ~~2026-2026-2027~~ for programs to teach English to limited English
26 proficient (LEP) children, funded from DED-OESE, language
27 acquisition state grant funds.

28 (d) An amount estimated at ~~\$2,800,000.00-\$100.00~~ for ~~2025-2026~~
29 **2026-2027** for rural and low-income schools, funded from DED-OESE,



1 rural and ~~low-income~~ **low-income** school funds.

2 (e) An amount estimated at ~~\$585,000,000.00~~ **\$100.00** for ~~2025-~~
 3 ~~2026-2026-2027~~ to provide supplemental programs to enable
 4 educationally disadvantaged children to meet challenging academic
 5 standards, funded from DED-OESE, title I, disadvantaged children
 6 funds.

7 (f) An amount estimated at ~~\$9,200,000.00~~ **\$100.00** for ~~2025-2026~~
 8 **2026-2027** for the purpose of identifying and serving migrant
 9 children, funded from DED-OESE, title I, migrant education funds.

10 (g) An amount estimated at ~~\$40,400,000.00~~ **\$100.00** for ~~2025-~~
 11 ~~2026-2026-2027~~ for the purpose of providing high-quality extended
 12 learning opportunities, after school and during the summer, for
 13 children in low-performing schools, funded from DED-OESE, twenty-
 14 first century community learning center funds.

15 (h) An amount estimated at ~~\$14,000,000.00~~ **\$100.00** for ~~2025-~~
 16 ~~2026-2026-2027~~ to help support local school improvement efforts,
 17 funded from DED-OESE, title I, local school improvement grants.

18 (i) An amount estimated at ~~\$55,000,000.00~~ **\$100.00** for ~~2025-~~
 19 ~~2026-2026-2027~~ to improve the academic achievement of students,
 20 funded from DED-OESE, title IV, student support and academic
 21 enrichment grants.

22 (j) An amount estimated at ~~\$3,100,000.00~~ **\$100.00** for ~~2025-2026~~
 23 **2026-2027** for literacy programs that advance literacy skills for
 24 students from birth through grade 12, including, but not limited
 25 to, English-proficient students and students with disabilities,
 26 funded from DED-OESE, striving readers comprehensive literacy
 27 program.

28 (k) An amount estimated at ~~\$1,000,000.00~~ **\$100.00** for ~~2025-2026~~
 29 **2026-2027** for grants to support and demonstrate innovative



1 partnerships to train school-based mental health service providers,
 2 funded from DED-OESE, mental health service professional
 3 demonstration grant program.

4 (2) From the federal funds appropriated in section 11, there
 5 is allocated to districts, intermediate districts, and other
 6 eligible entities all available federal funding, estimated at
 7 ~~\$66,415,000.00~~ **\$500.00** for ~~2025-2026~~ **2026-2027** for the following
 8 programs that are funded by federal grants:

9 (a) An amount estimated at ~~\$3,000,000.00~~ **\$100.00** for ~~2025-2026~~
 10 **2026-2027** to provide services to homeless children and youth,
 11 funded from DED-OVAE, homeless children and youth funds.

12 (b) An amount estimated at ~~\$30,000,000.00~~ **\$100.00** for ~~2025-~~
 13 ~~2026-~~ **2026-2027** for providing career and technical education
 14 services to pupils, funded from DED-OVAE, basic grants to states.

15 (c) An amount estimated at ~~\$14,000,000.00~~ **\$100.00** for ~~2025-~~
 16 ~~2026-~~ **2026-2027** for the Michigan charter school subgrant program,
 17 funded from DED-OII, public charter schools program funds.

18 (d) An amount estimated at ~~\$17,700,000.00~~ **\$100.00** for ~~2025-~~
 19 ~~2026-~~ **2026-2027** for the purpose of promoting and expanding high-
 20 quality preschool services, funded from ~~HHS-OCC,~~ **HHS-OECD** preschool
 21 development funds.

22 (e) An amount estimated at ~~\$1,715,000.00~~ **\$100.00** for ~~2025-2026~~
 23 **2026-2027** for the purpose of addressing priority substance abuse
 24 treatment, prevention, and mental health needs, funded from HHS-
 25 SAMHSA.

26 (3) The department, or, for subsections (1)(g) and (2)(d), the
 27 department of lifelong education, advancement, and potential, shall
 28 distribute all federal funds allocated under this section in
 29 accordance with federal law and with flexibility provisions



1 outlined in Public Law 107-116, and in the education flexibility
2 partnership act of 1999, Public Law 106-25. Notwithstanding section
3 17b, the department or the department of lifelong education,
4 advancement, and potential, as applicable, shall make payments of
5 federal funds to districts, intermediate districts, and other
6 eligible entities under this section on a schedule determined by
7 the department.

8 (4) For the purposes of applying for federal grants
9 appropriated under this article, the department, or, for
10 subsections (1)(g) and (2)(d), the department of lifelong
11 education, advancement, and potential, shall allow an intermediate
12 district to submit a consortium application on behalf of 2 or more
13 districts with the agreement of those districts as appropriate
14 according to federal rules and guidelines.

15 (5) For the purposes of funding federal title I grants under
16 this article, in addition to any other federal grants for which the
17 strict discipline academy is eligible, the department, or, for
18 subsections (1)(g) and (2)(d), the department of lifelong
19 education, advancement, and potential, shall allocate to a strict
20 discipline academy out of title I, part A an amount equal to what
21 the strict discipline academy would have received if included and
22 calculated under title I, part D, or what it would receive under
23 the formula allocation under title I, part A, whichever is greater.

24 (6) As used in this section:

25 (a) "DED" means the United States Department of Education.

26 (b) "DED-OESE" means the DED Office of Elementary and
27 Secondary Education.

28 (c) "DED-OII" means the DED Office of Innovation and
29 Improvement.



(d) "DED-OVAE" means the DED Office of Vocational and Adult Education.

(e) "HHS" means the United States Department of Health and Human Services.

(f) ~~"HHS-OCC"~~ **"HHS-OECD"** means the HHS Office of ~~Child Care~~**Early Childhood Development**.

(g) "HHS-SAMHSA" means the HHS Substance Abuse and Mental Health Services Project.

Sec. 51a. (1) From the state school aid fund money in section 11, there is allocated ~~an amount not to exceed \$2,028,696,100.00 for 2024-2025 and there is allocated an amount not to exceed \$2,219,596,100.00~~ **\$2,125,396,100.00** for 2025-2026 ~~from~~ **and there is allocated an amount not to exceed \$2,264,337,500.00 for 2026-2027.** **From** state sources and all available federal funding under sections 1411 to 1419 of part B of the individuals with disabilities education act, 20 USC 1411 to 1419, **there is allocated an amount** estimated at ~~\$450,000,000.00 for 2024-2025 and \$500,000,000.00 for 2025-2026~~ **and \$100.00 for 2026-2027**, plus any carryover federal funds from previous year appropriations. The allocations under this subsection are for the purpose of reimbursing districts and intermediate districts for special education programs, services, and special education personnel as prescribed in article 3 of the revised school code, MCL 380.1701 to 380.1761; net tuition payments made by intermediate districts to the Michigan Schools for the Deaf and Blind; and special education programs and services for pupils who are eligible for special education programs and services according to statute or rule. For meeting the costs of special education programs and services not reimbursed under this article, a district or intermediate district may use money in general funds



1 or special education funds, not otherwise restricted, or
 2 contributions from districts to intermediate districts, tuition
 3 payments, gifts and contributions from individuals or other
 4 entities, or federal funds that may be available for this purpose,
 5 as determined by the intermediate district plan prepared under
 6 article 3 of the revised school code, MCL 380.1701 to 380.1761.
 7 Notwithstanding section 17b, the department shall make payments of
 8 federal funds to districts, intermediate districts, and other
 9 eligible entities under this section on a schedule determined by
 10 the department.

11 (2) From the funds allocated under subsection (1), there is
 12 allocated the amount necessary, estimated at ~~\$441,400,000.00 for~~
 13 ~~2024-2025 and \$492,400,000.00~~ **\$457,800,000.00** for 2025-2026 **and**
 14 **\$495,200,000.00 for 2026-2027**, for payments toward reimbursing
 15 districts and intermediate districts for 28.6138% of total approved
 16 costs of special education, excluding costs reimbursed under
 17 section 53a, and 70.4165% of total approved costs of special
 18 education transportation.

19 (3) If the department determines that the amount allocated for
 20 a fiscal year to a district or intermediate district under
 21 subsection (2) is insufficient to fulfill the specified percentages
 22 in subsection (2), the department shall pay the shortfall to the
 23 district or intermediate district during the fiscal year beginning
 24 on the October 1 following the determination. If the department
 25 determines that the amount allocated for a fiscal year to a
 26 district or intermediate district under subsection (2) exceeds the
 27 sum of the amount necessary to fulfill the specified percentages in
 28 subsection (2), the department shall deduct the amount of the
 29 excess from the district's or intermediate district's payments



1 under this article for the fiscal year beginning on the October 1
2 following the determination.

3 (4) State funds are allocated on a total approved cost basis.
4 Federal funds are allocated under applicable federal requirements.

5 (5) From the amount allocated in subsection (1), there is
6 allocated an amount not to exceed \$3,200,000.00 for ~~2024-2025 and~~
7 **2025-2026 and 2026-2027** to reimburse 100% of the net increase in
8 necessary costs incurred by a district or intermediate district in
9 implementing the revisions in the administrative rules for special
10 education that became effective on July 1, 1987. As used in this
11 subsection, "net increase in necessary costs" means the necessary
12 additional costs incurred solely because of new or revised
13 requirements in the administrative rules minus cost savings
14 permitted in implementing the revised rules. The department shall
15 determine net increase in necessary costs in a manner specified by
16 the department.

17 (6) For purposes of this section and sections 51b to 58, all
18 of the following apply:

19 (a) "Total approved costs of special education" are determined
20 in a manner specified by the department and may include indirect
21 costs, but must not exceed 115% of approved direct costs for
22 section 52 and section 53a programs. The total approved costs
23 include salary and other compensation for all approved special
24 education personnel for the program, including payments for Social
25 Security and Medicare and public school employee retirement system
26 contributions. The total approved costs do not include salaries or
27 other compensation paid to administrative personnel who are not
28 special education personnel as that term is defined in section 6 of
29 the revised school code, MCL 380.6. Costs reimbursed by federal



1 funds, other than those federal funds included in the allocation
2 made under this article, are not included. Special education
3 approved personnel not utilized full time in the evaluation of
4 students or in the delivery of special education programs,
5 ancillary, and other related services are reimbursed under this
6 section only for that portion of time actually spent providing
7 these programs and services, with the exception of special
8 education programs and services provided to youth placed in child
9 caring institutions or juvenile detention programs approved by the
10 department to provide an on-grounds education program.

11 (b) Reimbursement for ancillary and other related services, as
12 that term is defined by R 340.1701c of the Michigan Administrative
13 Code, is not provided when those services are covered by and
14 available through private group health insurance carriers or
15 federal reimbursed program sources unless the department and
16 district or intermediate district agree otherwise and that
17 agreement is approved by the state budget director. Expenses, other
18 than the incidental expense of filing, must not be borne by the
19 parent. In addition, the filing of claims must not delay the
20 education of a pupil. A district or intermediate district is
21 responsible for payment of a deductible amount and for an advance
22 payment required until the time a claim is paid.

23 (c) If an intermediate district purchases a special education
24 pupil transportation service from a constituent district that was
25 previously purchased from a private entity; if the purchase from
26 the constituent district is at a lower cost, adjusted for changes
27 in fuel costs; and if the cost shift from the intermediate district
28 to the constituent does not result in any net change in the revenue
29 the constituent district receives from payments under sections 22b



1 and 51c, then upon application by the intermediate district, the
 2 department shall direct the intermediate district to continue to
 3 report the cost associated with the specific identified special
 4 education pupil transportation service and shall adjust the costs
 5 reported by the constituent district to remove the cost associated
 6 with that specific service.

7 (7) A pupil who is enrolled in a full-time special education
 8 program conducted or administered by an intermediate district or a
 9 pupil who is enrolled in the Michigan Schools for the Deaf and
 10 Blind is not included in the membership count of a district, but is
 11 counted in membership in the intermediate district of residence.

12 (8) Special education personnel transferred from 1 district to
 13 another to implement the revised school code are entitled to the
 14 rights, benefits, and tenure to which the individual would
 15 otherwise be entitled had that individual been employed by the
 16 receiving district originally.

17 (9) If a district or intermediate district uses money received
 18 under this section for a purpose other than the purpose or purposes
 19 for which the money is allocated, the department may require the
 20 district or intermediate district to refund the amount of money
 21 received. The department shall deposit money that is refunded in
 22 the state treasury to the credit of the state school aid fund.

23 (10) From the funds allocated in subsection (1), there is
 24 allocated the amount necessary, estimated at ~~\$1,600,000.00 for~~
 25 ~~2024-2025 and estimated at \$1,600,000.00~~ **\$1,800,000.00** for 2025-
 26 **2026 and estimated at \$1,800,000.00 for 2026-2027**, to pay the
 27 foundation allowances for pupils described in this subsection. The
 28 department shall calculate the allocation to a district under this
 29 subsection by multiplying the number of pupils described in this



1 subsection who are counted in membership in the district times the
2 sum of the foundation allowance under section 20 of the pupil's
3 district of residence, plus the amount of the district's per-pupil
4 allocation under section 20m, not to exceed the target foundation
5 allowance for the current fiscal year, or, for a pupil described in
6 this subsection who is counted in membership in a district that is
7 a public school academy, times an amount equal to the amount per
8 membership pupil under section 20(6). The department shall
9 calculate the allocation to an intermediate district under this
10 subsection in the same manner as for a district, using the
11 foundation allowance under section 20 of the pupil's district of
12 residence not to exceed the target foundation allowance for the
13 current fiscal year and that district's per-pupil allocation under
14 section 20m. This subsection applies to all of the following
15 pupils:

16 (a) Pupils described in section 53a.

17 (b) Pupils counted in membership in an intermediate district
18 who are not special education pupils and are served by the
19 intermediate district in a juvenile detention or child caring
20 facility.

21 (c) Pupils with an emotional impairment counted in membership
22 by an intermediate district and provided educational services by
23 the department of health and human services.

24 (11) If it is determined that funds allocated under subsection
25 (2) or (10) or under section 51c will not be expended, funds up to
26 the amount necessary and available may be used to supplement the
27 allocations under subsection (2) or (10) or under section 51c to
28 fully fund those allocations. After payments under subsections (2)
29 and (10) and section 51c, the department shall expend the remaining



1 funds from the allocation in subsection (1) in the following order:

2 (a) One hundred percent of the reimbursement required under
3 section 53a.

4 (b) One hundred percent of the reimbursement required under
5 subsection (5).

6 (c) One hundred percent of the payment required under section
7 54.

8 (d) One hundred percent of the payments under section 56.

9 (12) The allocations under subsections (2) and (10) are
10 allocations to intermediate districts only and are not allocations
11 to districts, but instead are calculations used only to determine
12 the state payments under section 22b.

13 (13) If a public school academy that is not a cyber school, as
14 that term is defined in section 551 of the revised school code, MCL
15 380.551, enrolls under this section a pupil who resides outside of
16 the intermediate district in which the public school academy is
17 located and who is eligible for special education programs and
18 services according to statute or rule, or who is a child with a
19 disability, as that term is defined under the individuals with
20 disabilities education act, Public Law 108-446, the intermediate
21 district in which the public school academy is located and the
22 public school academy shall enter into a written agreement with the
23 intermediate district in which the pupil resides for the purpose of
24 providing the pupil with a free appropriate public education, and
25 the written agreement must include at least an agreement on the
26 responsibility for the payment of the added costs of special
27 education programs and services for the pupil. If the public school
28 academy that enrolls the pupil does not enter into an agreement
29 under this subsection, the public school academy shall not charge



1 the pupil's resident intermediate district or the intermediate
2 district in which the public school academy is located the added
3 costs of special education programs and services for the pupil, and
4 the public school academy is not eligible for any payouts based on
5 the funding formula outlined in the resident or nonresident
6 intermediate district's plan. If a pupil is not enrolled in a
7 public school academy under this subsection, the provision of
8 special education programs and services and the payment of the
9 added costs of special education programs and services for a pupil
10 described in this subsection are the responsibility of the district
11 and intermediate district in which the pupil resides.

12 (14) For the purpose of receiving its federal allocation under
13 part B of the individuals with disabilities education act, Public
14 Law 108-446, a public school academy that is a cyber school, as
15 that term is defined in section 551 of the revised school code, MCL
16 380.551, and is in compliance with section 553a of the revised
17 school code, MCL 380.553a, directly receives the federal allocation
18 under part B of the individuals with disabilities education act,
19 Public Law 108-446, from the intermediate district in which the
20 cyber school is located, as the subrecipient. If the intermediate
21 district does not distribute the funds described in this subsection
22 to the cyber school by the part B application due date of July 1,
23 the department may distribute the funds described in this
24 subsection directly to the cyber school according to the formula
25 prescribed in 34 CFR 300.705 and 34 CFR 300.816. Beginning July 1,
26 2021, this subsection is subject to section 8c. It is the intent of
27 the legislature that the immediately preceding sentence apply
28 retroactively and is effective July 1, 2021.

29 (15) For a public school academy that is a cyber school, as



that term is defined in section 551 of the revised school code, MCL 380.551, and is in compliance with section 553a of the revised school code, MCL 380.553a, that enrolls a pupil under this section, the intermediate district in which the cyber school is located shall ensure that the cyber school complies with sections 1701a, 1703, 1704, 1751, 1752, 1756, and 1757 of the revised school code, MCL 380.1701a, 380.1703, 380.1704, 380.1751, 380.1752, 380.1756, and 380.1757; applicable rules; and the individuals with disabilities education act, Public Law 108-446. Beginning July 1, 2021, this subsection is subject to section 8c. It is the intent of the legislature that the immediately preceding sentence apply retroactively and is effective July 1, 2021.

(16) For the purposes of this section, the department or the center shall only require a district or intermediate district to report information that is not already available from the financial information database maintained by the center.

Sec. 51c. As required by the court in the consolidated cases known as *Durant v State of Michigan*, 456 Mich 175 (1997), from the allocation under section 51a(1), there is allocated for ~~2024-2025 and for 2025-2026~~ **and for 2026-2027** the amount necessary, estimated at ~~\$993,100,000.00 for 2024-2025 and \$1,107,900,000.00~~ **\$1,056,400,000.00 for 2025-2026 and \$1,141,700,000.00 for 2026-2027**, for payments to reimburse districts for 28.6138% of total approved costs of special education excluding costs reimbursed under section 53a, and 70.4165% of total approved costs of special education transportation. Funds allocated under this section that are not expended in the fiscal year for which they were allocated, as determined by the department, may be used to supplement the allocations under sections 22a and 22b to fully fund those



1 allocations for the same fiscal year.

2 Sec. 51d. (1) From the federal funds appropriated in section
3 11, there is allocated for ~~2025-2026-2026-2027~~ all available
4 federal funding, estimated at ~~\$83,000,000.00, \$300.00~~, for special
5 education programs and services that are funded by federal grants.
6 The department shall distribute all federal funds allocated under
7 this section in accordance with federal law. Notwithstanding
8 section 17b, the department shall make payments of federal funds to
9 districts, intermediate districts, and other eligible entities
10 under this section on a schedule determined by the department.

11 (2) From the federal funds allocated under subsection (1), the
12 following amounts are allocated:

13 (a) For ~~2025-2026, 2026-2027~~, an amount estimated at
14 ~~\$14,000,000.00 \$100.00~~ for handicapped infants and toddlers, funded
15 from DED-OSERS, handicapped infants and toddlers funds.

16 (b) For ~~2025-2026, 2026-2027~~, an amount estimated at
17 ~~\$14,000,000.00 \$100.00~~ for preschool grants under Public Law 94-
18 142, funded from DED-OSERS, handicapped preschool incentive funds.

19 (c) For ~~2025-2026, 2026-2027~~, an amount estimated at
20 ~~\$55,000,000.00 \$100.00~~ for special education programs funded by
21 DED-OSERS, handicapped program, individuals with disabilities act
22 funds.

23 (3) As used in this section, "DED-OSERS" means the United
24 States Department of Education Office of Special Education and
25 Rehabilitative Services.

26 Sec. 51e. (1) From the allocation under section 51a(1), there
27 is allocated for the amount necessary, estimated at ~~\$503,000,000.00~~
28 ~~for 2024-2025 and \$528,100,000.00 \$519,800,000.00~~ for 2025-2026 **and**
29 **\$533,200,000.00 for 2026-2027**, for payments to districts and



1 intermediate districts for 100% of foundation allowance costs
2 associated with special education pupils.

3 (2) The department shall calculate the amount allocated to a
4 district under this section by multiplying the district's special
5 education pupil membership, excluding pupils described in section
6 51a(11), times 100% of the foundation allowance under section 20 of
7 the pupil's district of residence, plus 100% of the amount of the
8 district's per-pupil allocation under section 20m, not to exceed
9 100% of the target foundation allowance for the current fiscal
10 year, or, for a special education pupil in membership in a district
11 that is a public school academy, times an amount equal to 100% of
12 the amount per membership pupil calculated under section 20(6). For
13 an intermediate district, the amount allocated under this
14 subsection is an amount per special education membership pupil,
15 excluding pupils described in section 51a(11), and is calculated in
16 the same manner as for a district, using 100% of the foundation
17 allowance under section 20 of the pupil's district of residence,
18 not to exceed 100% of the target foundation allowance for the
19 current fiscal year, and 100% of that district's per-pupil
20 allocation under section 20m.

21 Sec. 51g. From the general fund money appropriated in section
22 11, \$3,000,000.00 is allocated for ~~2025-2026~~ **2026-2027** to an
23 association for administrators of special education services to
24 develop content for use by special education students, teachers,
25 and others. Any content that is developed as described in this
26 section must be accessible throughout this state. Funds received by
27 an association under this section may be used to support the
28 development of assessment tools to measure the needs of students
29 with special education needs in remote learning environments and



1 the effectiveness of various educational methods and tools, in
2 collaboration with the department. Funds under this section may
3 also be utilized to identify any available federal funds for
4 research related to special education in remote learning.

5 **Sec. 51i. (1) It is the intent of the legislature that,**
6 **beginning in the fiscal year ending September 30, 2028, a weighted**
7 **special education funding formula begins to be implemented to**
8 **recognize the higher costs associated with certain student needs.**

9 **(2) It is the intent of the legislature that a weighted**
10 **special education funding formula described in subsection (1) be**
11 **implemented in a way to work toward the following target weights**
12 **for payments to districts and intermediate districts for identified**
13 **special education students:**

- 14 (a) Speech and language impairment, 1.1.
- 15 (b) Specific learning disability, 1.1.
- 16 (c) Other health impairment multiplied, 1.8.
- 17 (d) Physical impairment multiplied, 3.1.
- 18 (e) Severe multiple impairments, 3.1.
- 19 (f) Cognitive impairment, 3.1.
- 20 (g) Deaf or hard of hearing multiplied, 3.1.
- 21 (h) Deaf-blindness, 3.1.
- 22 (i) Emotional impairment multiplied, 3.8.
- 23 (j) Visual impairment, 3.8.
- 24 (k) Early childhood developmental delays, 3.8.
- 25 (l) Autism spectrum disorder, 3.8.
- 26 (m) Traumatic brain injury, 3.8.

27 **(3) It is the intent of the legislature that payments to**
28 **districts and intermediate districts under the formula described in**
29 **this section be adjusted to take into account available federal**



revenue and local revenue generating capacity of recipient districts and intermediate districts.

Sec. 53a. (1) For districts, reimbursement for pupils described in subsection (2) is 100% of the total approved costs of operating special education programs and services approved by the department and included in the intermediate district plan adopted under article 3 of the revised school code, MCL 380.1701 to 380.1761, minus the district's foundation allowance calculated under section 20 and minus the district's per-pupil allocation under section 20m. For intermediate districts, the department shall calculate reimbursement for pupils described in subsection (2) in the same manner as for a district, using the foundation allowance under section 20 of the pupil's district of residence, not to exceed the target foundation allowance under section 20 for the current fiscal year plus the amount of the district's per-pupil allocation under section 20m.

(2) Reimbursement under subsection (1) is for the following special education pupils:

(a) Pupils assigned to a district or intermediate district through the community placement program of the courts or a state agency, if the pupil was a resident of another intermediate district at the time the pupil came under the jurisdiction of the court or a state agency.

(b) Pupils who are residents of institutions operated by the department of health and human services.

(c) Pupils who are former residents of department of community health institutions for the developmentally disabled who are placed in community settings other than the pupil's home.

(d) Pupils enrolled in a department-approved on-grounds



educational program longer than 180 days, but not longer than 233 days, at a residential child care institution, if the child care institution offered in 1991-92 an on-grounds educational program longer than 180 days but not longer than 233 days.

(e) Pupils placed in a district by a parent for the purpose of seeking a suitable home, if the parent does not reside in the same intermediate district as the district in which the pupil is placed.

(3) Only those costs that are clearly and directly attributable to educational programs for pupils described in subsection (2), and that would not have been incurred if the pupils were not being educated in a district or intermediate district, are reimbursable under this section.

(4) The costs of transportation are funded under this section and are not reimbursed under section 58.

(5) The department shall not allocate more than \$10,500,000.00 of the allocation for ~~2025-2026~~ **2026-2027** in section 51a(1) under this section.

Sec. 54. **(1)** Each intermediate district receives an amount per pupil for each pupil in attendance at the Michigan Schools for the Deaf and Blind. The amount is proportionate to the total instructional cost at each school. The department shall not allocate more than \$1,688,000.00 of the allocation for ~~2025-2026~~ **2026-2027** in section 51a(1) under this ~~section~~ **subsection**.

(2) From the state school aid fund money allocated in section 51a(1), there is allocated an amount not to exceed \$2,841,400.00 for 2026-2027 for the Michigan Schools for the Deaf and Blind. Notwithstanding section 17b, the department shall make payments under this subsection on a schedule determined by the department.

Sec. 54b. From the state school aid fund money appropriated in



1 section 11, there is allocated an amount not to exceed
2 \$1,600,000.00 for 2026-2027 to expand the implementation of the
3 literacy and social, emotional, and behavioral components of a
4 multi-tiered system of supports, including positive behavioral
5 interventions and supports, using the Michigan Multi-Tiered System
6 of Supports Technical Assistance Center. All of the following apply
7 to funds allocated under this section:

8 (a) The department shall use funds allocated under this
9 section, through an intermediate district, for the purpose of
10 expanding the statewide expertise, technical assistance, and
11 implementation of the multi-tiered system of supports, dyslexia
12 expertise, and evidence-based instructional practices grounded in
13 the science of reading using the Michigan Multi-Tiered System of
14 Supports Technical Assistance Center. The department shall identify
15 an intermediate district to act as a fiscal agent for funds
16 allocated under this section.

17 (b) The department shall provide a report each year to the
18 state budget director, the house and senate appropriations
19 subcommittees on school aid, and the house and senate fiscal
20 agencies that details the following:

21 (i) The progress being made by districts in implementing multi-
22 tiered systems of supports.

23 (ii) The progress being made by districts in providing reading
24 intervention services described in section 1280f of the revised
25 school code, MCL 380.1280f, for pupils in grades K to 12.

26 (iii) Other information the department determines would be
27 useful to understand the status of districts' implementation of
28 effective multi-tiered systems of supports and reading intervention
29 programs.



1 **(c) Up to 2% of funds allocated under this section may be used**
2 **by the intermediate district serving as the fiscal agent for these**
3 **funds to administer this section.**

4 Sec. 54d. (1) From the state school aid fund money
5 appropriated in section 11, there is allocated an amount not to
6 exceed ~~\$23,670,700.00~~ **\$26,081,900.00** for ~~2025-2026~~ **2026-2027** to
7 intermediate districts for the purpose of providing state early on
8 services programs for children from birth to 3 years of age with a
9 developmental delay or a disability, or both, and their families,
10 as described in the early on Michigan state plan, as approved by
11 the department of lifelong education, advancement, and potential.

12 (2) To be eligible to receive grant funding under this
13 section, each intermediate district must apply in a form and manner
14 determined by the department of lifelong education, advancement,
15 and potential.

16 (3) The grant funding allocated under this section must be
17 used to increase early on services and resources available to
18 children that demonstrate developmental delays to help prepare them
19 for success as they enter school. State early on services include
20 evaluating and providing early intervention services for eligible
21 infants and toddlers and their families to address developmental
22 delays, including those affecting physical, cognitive,
23 communication, adaptive, social, or emotional development. Grant
24 funds must not be used to supplant existing services that are
25 currently being provided.

26 (4) The department of lifelong education, advancement, and
27 potential shall distribute the funds allocated under subsection (1)
28 to intermediate districts according to the department of lifelong
29 education, advancement, and potential's early on funding formula



1 utilized to distribute the federal award to Michigan under part C
2 of the individuals with disabilities education act, Public Law 108-
3 446. Funds received under this section must not supplant existing
4 funds or resources allocated for early on early intervention
5 services. An intermediate district receiving funds under this
6 section shall maximize the capture of Medicaid funds to support
7 early on early intervention services to the extent possible.

8 (5) Each intermediate district that receives funds under this
9 section shall report data and other information to the department
10 of lifelong education, advancement, and potential in a form,
11 manner, and frequency prescribed by the department of lifelong
12 education, advancement, and potential to allow for monitoring and
13 evaluation of the program and to ensure that the children described
14 in subsection (1) received appropriate levels and types of services
15 delivered by qualified personnel, based on the individual needs of
16 the children and their families.

17 (6) Notwithstanding section 17b, the department of lifelong
18 education, advancement, and potential shall make payments under
19 this section on a schedule determined by the department of lifelong
20 education, advancement, and potential.

21 (7) Grant funds awarded and allocated to an intermediate
22 district under this section must be expended by the grant recipient
23 before June 30 of the fiscal year immediately following the fiscal
24 year in which the funds were received.

25 Sec. 56. (1) For the purposes of this section:

26 (a) "Membership" means for a particular fiscal year the total
27 membership of the intermediate district and the districts
28 constituent to the intermediate district, except that if a district
29 has elected not to come under part 30 of the revised school code,



1 MCL 380.1711 to 380.1741, membership of the district is not
2 included in the membership of the intermediate district.

3 (b) "Millage levied" means the millage levied for special
4 education under part 30 of the revised school code, MCL 380.1711 to
5 380.1741, including a levy for debt service obligations.

6 (c) "Taxable value" means the total taxable value of the
7 districts constituent to an intermediate district, except that if a
8 district has elected not to come under part 30 of the revised
9 school code, MCL 380.1711 to 380.1741, taxable value of the
10 district is not included in the taxable value of the intermediate
11 district.

12 (2) From the allocation under section 51a(1), there is
13 allocated an amount not to exceed \$40,008,100.00 for ~~2024-2025~~
14 **2025-2026** and \$40,008,100.00 for ~~2025-2026-2026-2027~~ to reimburse
15 intermediate districts levying millages for special education under
16 part 30 of the revised school code, MCL 380.1711 to 380.1741. The
17 purpose, use, and expenditure of the reimbursement are limited as
18 if the funds were generated by these millages and governed by the
19 intermediate district plan adopted under article 3 of the revised
20 school code, MCL 380.1701 to 380.1761. As a condition of receiving
21 funds under this section, an intermediate district distributing any
22 portion of special education millage funds to its constituent
23 districts must submit for departmental approval and implement a
24 distribution plan.

25 (3) Except as otherwise provided in this subsection,
26 reimbursement for those millages levied in ~~2023-2024-2024-2025~~ is
27 made in ~~2024-2025-2025-2026~~ at an amount per ~~2023-2024-2024-2025~~
28 membership pupil computed by subtracting from ~~\$260,200.00~~
29 **\$278,700.00** the ~~2023-2024-2024-2025~~ taxable value behind each



1 membership pupil and multiplying the resulting difference by the
 2 ~~2023-2024-2024-2025~~ millage levied, and then subtracting from that
 3 amount the ~~2023-2024-2024-2025~~ local community stabilization share
 4 revenue for special education purposes and ~~2023-2024-2024-2025~~ tax
 5 increment revenues captured by a brownfield redevelopment authority
 6 created under the brownfield redevelopment financing act, 1996 PA
 7 381, MCL 125.2651 to 125.2670, behind each membership pupil for
 8 reimbursement of personal property exemption loss under the local
 9 community stabilization authority act, 2014 PA 86, MCL 123.1341 to
 10 123.1362, and reimbursements paid under section 26d for tax
 11 increment revenues captured by a brownfield redevelopment authority
 12 under the brownfield redevelopment financing act, 1996 PA 381, MCL
 13 125.2651 to 125.2670. For the purposes of the calculation described
 14 in the previous sentence only, for an intermediate district
 15 receiving funds under this section and section 62, reimbursements
 16 paid under section 26d must be multiplied by the ratio of special
 17 education millage levied, as defined in this section, and the sum
 18 of special education millage levied and vocational-technical
 19 education millage levied, as defined in section 62. Reimbursement
 20 in ~~2024-2025-2025-2026~~ for an intermediate district whose 2017-2018
 21 allocation was affected by the operation of subsection (5) is an
 22 amount equal to 102.5% of the 2017-2018 allocation to that
 23 intermediate district.

24 (4) Except as otherwise provided in this subsection,
 25 reimbursement for those millages levied in ~~2024-2025-2025-2026~~ is
 26 made in ~~2025-2026-2026-2027~~ at an amount per ~~2024-2025-2025-2026~~
 27 membership pupil computed by subtracting from ~~\$278,500.00~~
 28 **\$294,000.00** the ~~2024-2025-2025-2026~~ taxable value behind each
 29 membership pupil and multiplying the resulting difference by the



1 ~~2024-2025-2025-2026~~ millage levied, and then subtracting from that
 2 amount the ~~2024-2025-2025-2026~~ local community stabilization share
 3 revenue for special education purposes and ~~2024-2025-2025-2026~~ tax
 4 increment revenues captured by a brownfield redevelopment authority
 5 created under the brownfield redevelopment financing act, 1996 PA
 6 381, MCL 125.2651 to 125.2670, behind each membership pupil for
 7 reimbursement of personal property exemption loss under the local
 8 community stabilization authority act, 2014 PA 86, MCL 123.1341 to
 9 123.1362, and reimbursements paid under section 26d for tax
 10 increment revenues captured by a brownfield redevelopment authority
 11 under the brownfield redevelopment financing act, 1996 PA 381, MCL
 12 125.2651 to 125.2670. For the purposes of the calculation described
 13 in the previous sentence only, for an intermediate district
 14 receiving funds under this section and section 62, reimbursements
 15 paid under section 26d must be multiplied by the ratio of special
 16 education millage levied, as defined in this section, and the sum
 17 of special education millage levied and vocational-technical
 18 education millage levied, as defined in section 62. Reimbursement
 19 in ~~2025-2026-2026-2027~~ for an intermediate district whose 2017-2018
 20 allocation was affected by the operation of subsection (5) is an
 21 amount equal to 102.5% of the 2017-2018 allocation to that
 22 intermediate district.

23 (5) The department shall ensure that the amount paid to a
 24 single intermediate district under subsection (2) does not exceed
 25 62.9% of the total amount allocated under subsection (2).

26 (6) The department shall ensure that the amount paid to a
 27 single intermediate district under subsection (2) is not less than
 28 75% of the amount allocated to the intermediate district under
 29 subsection (2) for the immediately preceding fiscal year.



(7) From the allocation under section 51a(1), there is allocated an amount not to exceed \$34,200,000.00 for ~~2024-2025 and 2025-2026~~ **and 2026-2027** to provide payments to intermediate districts levying millages for special education under part 30 of the revised school code, MCL 380.1711 to 380.1741. The purpose, use, and expenditure of the payments under this subsection are limited as if the funds were generated by these millages and governed by the intermediate district plan adopted under article 3 of the revised school code, MCL 380.1701 to 380.1761. The department shall provide a payment under this subsection to each intermediate district described in this subsection as follows:

(a) For ~~2024-2025 and 2025-2026~~ **and 2026-2027**, except as otherwise provided in this subsection, for an intermediate district with a 3-year average special education millage revenue per pupil in the immediately preceding fiscal year that is less than \$251.00 and that is levying at least 46.2% but less than 60.0% of its maximum millage rate allowed under section 1724a of the revised school code, MCL 380.1724a, an amount computed by subtracting from \$251.00 the 3-year average special education millage revenue per pupil in the immediately preceding fiscal year and, only if the millage levied by the intermediate district is less than 1, multiplying that amount by the number of mills levied divided by 1, and then multiplying that amount by the 3-year average membership in the immediately preceding fiscal year, and then subtracting from that amount the amount allocated under subsection (2) for the current fiscal year. If the calculation under this subdivision results in an amount below zero, there is no payment under this subdivision.

(b) For ~~2024-2025 and 2025-2026~~ **and 2026-2027**, except as



1 otherwise provided in this subsection, for an intermediate district
2 with a 3-year average special education millage revenue per pupil
3 in the immediately preceding fiscal year that is less than \$296.00
4 and that is levying at least 60.0% of its maximum millage rate
5 allowed under section 1724a of the revised school code, MCL
6 380.1724a, an amount computed by subtracting from \$296.00 the 3-
7 year average special education millage revenue per pupil in the
8 immediately preceding fiscal year, and, only if the millage levied
9 by the intermediate district is less than 1, multiplying that
10 amount by the number of mills levied divided by 1, and then
11 multiplying that amount by the 3-year average membership in the
12 immediately preceding fiscal year, and then subtracting from that
13 amount the amount allocated under subsection (2) for the current
14 fiscal year. If the calculation under this subdivision results in
15 an amount below zero, there is no payment under this subdivision.

16 (8) After making allocations to eligible intermediate
17 districts under subsections (3), (4), and (7), if funds remain
18 unallocated from the allocations under subsections (2) and (7), the
19 department must allocate remaining funds to intermediate districts
20 proportional to the amounts allocated to intermediate districts
21 under subsections (3) and (4).

22 (9) As used in subsection (7):

23 (a) "3-year average membership" means the 3-year average pupil
24 membership for each of the 3 most recent fiscal years.

25 (b) "3-year average special education millage revenue per
26 pupil" means the 3-year average taxable value per mill levied
27 behind each membership pupil for each of the 3 most recent fiscal
28 years multiplied by the millage levied in the most recent fiscal
29 year.



1 Sec. 61a. (1) From the state school aid fund money
2 appropriated in section 11, there is allocated an amount not to
3 exceed ~~\$41,733,800.00~~ **\$45,985,000.00** for ~~2025-2026~~ **2026-2027** to
4 reimburse on an added cost basis districts, except for a district
5 that served as the fiscal agent for a vocational education
6 consortium in the 1993-94 school year and that has a foundation
7 allowance as calculated under section 20 greater than the target
8 foundation allowance under that section, and secondary area
9 vocational-technical education centers for secondary-level career
10 and technical education programs according to rules approved by the
11 superintendent. Applications for participation in the programs must
12 be submitted in the form prescribed by the department. The
13 department shall determine the added cost for each career and
14 technical education program area. The department shall prioritize
15 the allocation of added cost funds based on the capital and program
16 expenditures needed to operate the career and technical education
17 programs provided; the number of pupils enrolled; the advancement
18 of pupils through the instructional program; the existence of an
19 articulation agreement with at least 1 postsecondary institution
20 that provides pupils with opportunities to earn postsecondary
21 credit during the pupil's participation in the career and technical
22 education program and transfers those credits to the postsecondary
23 institution upon completion of the career and technical education
24 program; and the program rank in student placement, job openings,
25 and wages, and shall ensure that the allocation does not exceed 75%
26 of the added cost of any program. Notwithstanding any rule or
27 department determination to the contrary, when determining a
28 district's allocation or the formula for making allocations under
29 this section, the department shall include the participation of



pupils in grade 9 in all of those determinations and in all portions of the formula. With the approval of the department, the board of a district maintaining a secondary career and technical education program may offer the program for the period from the close of the school year until September 1. The program shall use existing facilities and must be operated as prescribed by rules promulgated by the superintendent.

(2) Except for a district that served as the fiscal agent for a vocational education consortium in the 1993-94 school year, the department shall reimburse districts and intermediate districts for local career and technical education administration, shared time career and technical education administration, and career education planning district career and technical education administration. The superintendent shall adopt guidelines for the definition of what constitutes administration and shall make reimbursement pursuant to those guidelines. The department shall not distribute more than \$800,000.00 of the allocation in subsection (1) under this subsection.

(3) A career and technical education program funded under this section may provide an opportunity for participants who are eligible to be funded under section 107 to enroll in the career and technical education program funded under this section if the participation does not occur during regular school hours.

Sec. 61b. (1) From the state school aid fund money appropriated under section 11, there is allocated for ~~2025-2026~~ **2026-2027** an amount not to exceed ~~\$8,368,000.00~~ **\$9,220,400.00** for CTE early middle college and CTE dual enrollment programs authorized under this section and for planning grants for the development or expansion of CTE early middle college programs. The



1 purpose of these programs is to increase the number of Michigan
2 residents with high-quality degrees or credentials, and to increase
3 the number of students who are college and career ready upon high
4 school graduation.

5 (2) From the funds allocated under subsection (1), the
6 department shall allocate an amount as determined under this
7 subsection to each intermediate district serving as a fiscal agent
8 for state-approved CTE early middle college and CTE dual enrollment
9 programs in each of the career education planning districts
10 identified by the department. An intermediate district shall not
11 use more than 5% of the funds allocated under this subsection for
12 administrative costs for serving as the fiscal agent.

13 (3) To be an eligible fiscal agent, an intermediate district
14 must agree to do all of the following in a form and manner
15 determined by the department:

16 (a) Distribute funds to eligible CTE early middle college and
17 CTE dual enrollment programs in a career education planning
18 district as described in this section.

19 (b) Collaborate with the career and educational advisory
20 council in the workforce development board service delivery area to
21 develop 1 regional strategic plan under subsection (4) that aligns
22 CTE programs and services into an efficient and effective delivery
23 system for high school students. The department will align career
24 education planning districts, workforce development board service
25 delivery areas, and intermediate districts for the purpose of
26 creating 1 regional strategic plan for each workforce development
27 board service delivery area.

28 (c) Implement a regional process to rank career clusters in
29 the workforce development board service delivery area as described



1 under subsection (4). Regional processes must be approved by the
2 department before the ranking of career clusters.

3 (d) Report CTE early middle college and CTE dual enrollment
4 program and student data and information as prescribed by the
5 department and the center.

6 (e) The local education agency responsible for student
7 reporting in the Michigan student data system (MSDS) will report
8 the total number of college credits the student earned, at the time
9 of high school graduation, as determined by the department and the
10 center.

11 (f) The local education agency will report each award outcome
12 in the Michigan student data system (MSDS) that the CTE early
13 middle college student attained. For purposes of this subsection,
14 an on-track CTE early middle college graduate is a graduate who
15 obtained their high school diploma and at least 1 of the following:

16 (i) An associate degree.

17 (ii) 60 transferable college credits.

18 (iii) Professional certification.

19 (iv) A Michigan Early Middle College Association certificate.

20 (v) Participation in a registered apprenticeship.

21 (4) A regional strategic plan must be approved by the career
22 and educational advisory council before submission to the
23 department. A regional strategic plan must include, but is not
24 limited to, the following:

25 (a) An identification of regional employer need based on a
26 ranking of all career clusters in the workforce development board
27 service delivery area ranked by 10-year projections of annual job
28 openings and median wage for each standard occupational code in
29 each career cluster as obtained from the United States Bureau of



1 Labor Statistics. Standard occupational codes within high-ranking
2 clusters also may be further ranked by median wage and annual job
3 openings. The career and educational advisory council located in
4 the workforce development board service delivery area shall review
5 the rankings and modify them if necessary to accurately reflect
6 employer demand for talent in the workforce development board
7 service delivery area. A career and educational advisory council
8 shall document that it has conducted this review and certify that
9 it is accurate. These career cluster rankings must be determined
10 and updated once every 4 years.

11 (b) An identification of educational entities in the workforce
12 development board service delivery area that will provide eligible
13 CTE early middle college and CTE dual enrollment programs including
14 districts, intermediate districts, postsecondary institutions, and
15 noncredit occupational training programs leading to an industry-
16 recognized credential.

17 (c) A strategy to inform parents and students of CTE early
18 middle college and CTE dual enrollment programs in the workforce
19 development board service delivery area.

20 (d) Any other requirements as defined by the department.

21 (5) An eligible CTE program is a program that meets all of the
22 following:

23 (a) Has been identified in the highest 5 career cluster
24 rankings in any of the 16 workforce development board service
25 delivery area strategic plans jointly approved by the department of
26 labor and economic opportunity and the department.

27 (b) Has a coherent sequence of courses in a specific career
28 cluster that will allow a student to earn a high school diploma and
29 achieve at least 1 of the following:



1 (i) For CTE early middle college, outcomes as defined in
2 subsection (3) (f).

3 (ii) For CTE dual enrollment, 1 of the following:

4 (A) An associate degree.

5 (B) An industry-recognized technical certification approved by
6 the department of labor and economic opportunity.

7 (C) Up to 60 transferable college credits.

8 (D) Participation in a registered apprenticeship, pre-
9 apprenticeship, or apprentice readiness program.

10 (c) Is aligned with the Michigan merit curriculum.

11 (d) Has an articulation or a college credit agreement with at
12 least 1 postsecondary institution that provides students with
13 opportunities to receive postsecondary credits during the student's
14 participation in the CTE early middle college or CTE dual
15 enrollment program and transfers those credits to the postsecondary
16 institution upon completion of the CTE early middle college or CTE
17 dual enrollment program.

18 (e) Provides instruction that is supervised, directed, or
19 coordinated by an appropriately certificated CTE teacher or, for
20 concurrent enrollment courses, a postsecondary faculty member.

21 (f) Provides for highly integrated student support services
22 that include at least the following:

23 (i) Teachers as academic advisors.

24 (ii) Supervised course selection.

25 (iii) Monitoring of student progress and completion.

26 (iv) Career planning services provided by a local one-stop
27 service center as described in the Michigan works one-stop service
28 center system act, 2006 PA 491, MCL 408.111 to 408.135, or by a
29 high school counselor or advisor.



1 (g) Has courses that are taught on a college campus, are
2 college courses offered at the high school and taught by college
3 faculty, or are courses taught in combination with online
4 instruction.

5 (6) The department shall distribute funds to eligible CTE
6 early middle college and CTE dual enrollment programs as follows:

7 (a) The department shall determine statewide average CTE costs
8 per pupil for each CIP code program by calculating statewide
9 average costs for each CIP code program for the 3 most recent
10 fiscal years.

11 (b) The distribution to each eligible CTE early middle college
12 or CTE dual enrollment program is the product of 50% of CTE costs
13 per pupil times the pupil enrollment of each eligible CTE early
14 middle college or CTE dual enrollment program in the immediately
15 preceding school year.

16 (7) To receive funds under this section, a CTE early middle
17 college or CTE dual enrollment program shall furnish to the
18 intermediate district that is the fiscal agent identified in
19 subsection (2), in a form and manner determined by the department,
20 all information needed to administer this program and meet federal
21 reporting requirements; shall allow the department or the
22 department's designee to review all records related to the program
23 for which it receives funds; and shall reimburse the state for all
24 disallowances found in the review, as determined by the department.

25 (8) There is allocated for ~~2025-2026~~**2026-2027** from the funds
26 under subsection (1) an amount not to exceed \$500,000.00 from the
27 state school aid fund allocation for grants to intermediate
28 districts or consortia of intermediate districts for the purpose of
29 planning for new or expanded early middle college programs.



1 Applications for grants must be submitted in a form and manner
2 determined by the department. The amount of a grant under this
3 subsection must not exceed \$50,000.00. To be eligible for a grant
4 under this subsection, an intermediate district or consortia of
5 intermediate districts must provide matching funds equal to the
6 grant received under this subsection. Notwithstanding section 17b,
7 the department shall make payments under this subsection in the
8 manner determined by the department.

9 (9) Funds distributed under this section may be used to fund
10 program expenditures that would otherwise be paid from foundation
11 allowances, **including, but not limited to, work-based learning**
12 **programs**. A program receiving funding under section 61a may receive
13 funding under this section for allowable costs that exceed the
14 reimbursement the program received under section 61a. The combined
15 payments received by a program under section 61a and this section
16 must not exceed the total allowable costs of the program. A program
17 provider shall not use more than 5% of the funds allocated under
18 this section to the program for administrative costs.

19 (10) If the allocation under subsection (1) is insufficient to
20 fully fund payments as otherwise calculated under this section, the
21 department shall prorate payments under this section on an equal
22 percentage basis, using for that proration calculation payments
23 made for CTE dual enrollment programs only.

24 (11) If pupils enrolled in a career cluster in an eligible CTE
25 early middle college or CTE dual enrollment program qualify to be
26 reimbursed under this section, those pupils continue to qualify for
27 reimbursement until graduation, even if the career cluster is no
28 longer identified as being in the highest 5 career cluster
29 rankings.



(12) As used in this section:

(a) "Allowable costs" means those costs directly attributable to the program as jointly determined by the department of labor and economic opportunity and the department.

(b) "Career and educational advisory council" means an advisory council to the local workforce development boards located in a workforce development board service delivery area consisting of educational, employer, labor, and parent representatives.

(c) "CIP" means classification of instructional programs.

(d) "CTE" means career and technical education programs.

(e) "CTE dual enrollment program" means a 4-year high school program of postsecondary courses offered by eligible postsecondary educational institutions that leads to an industry-recognized certification or degree.

(f) "Early middle college program" means a 5-year high school program.

(g) "Eligible postsecondary educational institution" means that term as defined in section 3 of the career and technical preparation act, 2000 PA 258, MCL 388.1903.

Sec. 61w. (1) From the state school aid fund money appropriated in section 11, there is allocated for 2026-2027 only an amount not to exceed \$2,900,000.00 for competitive grants to districts and intermediate districts to support digital career exploration programs and virtual reality simulation programs that enhance and expand existing career and technical education programs.

(2) Districts and intermediate districts shall apply for funds under this section on a competitive basis in a form and manner determined by the department.



1 (3) A virtual reality simulation program described in this
2 section must offer software, hardware, or both that provides
3 immersive career exploration and workforce development programming
4 for students.

5 (4) Fifty percent of the funds allocated under this section
6 must be awarded to districts and intermediate districts to purchase
7 software, hardware, or related technology platforms. The remaining
8 50% of the funds must be awarded to districts and intermediate
9 districts to partner with businesses or nonprofit organizations
10 that provide mobile virtual reality career exploration services,
11 including providers capable of delivering software and hardware
12 with immersive career experiences directly to schools.

13 (5) Awards received under this section must be used to support
14 career and technical education programs aligned with high-skill,
15 high-wage, and high-demand occupations across career clusters
16 aligned with local and market needs. A recipient may use an award
17 under this section to support virtual reality simulation programs
18 that reach multiple career clusters or career exploration
19 opportunities.

20 (6) Notwithstanding section 17b, the department shall make
21 payments under this section on a schedule determined by the
22 department.

23 Sec. 62. (1) For the purposes of this section:

24 (a) "Membership" means for a particular fiscal year the total
25 membership of the intermediate district and the districts
26 constituent to the intermediate district or the total membership of
27 the area vocational-technical program, except that if a district
28 has elected not to come under sections 681 to 690 of the revised
29 school code, MCL 380.681 to 380.690, the membership of that



1 district are not included in the membership of the intermediate
2 district. However, the membership of a district that has elected
3 not to come under sections 681 to 690 of the revised school code,
4 MCL 380.681 to 380.690, is included in the membership of the
5 intermediate district if the district meets both of the following:

6 (i) The district operates the area vocational-technical
7 education program pursuant to a contract with the intermediate
8 district.

9 (ii) The district contributes an annual amount to the operation
10 of the program that is commensurate with the revenue that would
11 have been raised for operation of the program if millage were
12 levied in the district for the program under sections 681 to 690 of
13 the revised school code, MCL 380.681 to 380.690.

14 (b) "Millage levied" means the millage levied for area
15 vocational-technical education under sections 681 to 690 of the
16 revised school code, MCL 380.681 to 380.690, including a levy for
17 debt service obligations incurred as the result of borrowing for
18 capital outlay projects and in meeting capital projects fund
19 requirements of area vocational-technical education.

20 (c) "Taxable value" means the total taxable value of the
21 districts constituent to an intermediate district or area
22 vocational-technical education program, except that if a district
23 has elected not to come under sections 681 to 690 of the revised
24 school code, MCL 380.681 to 380.690, the taxable value of that
25 district is not included in the taxable value of the intermediate
26 district. However, the taxable value of a district that has elected
27 not to come under sections 681 to 690 of the revised school code,
28 MCL 380.681 to 380.690, is included in the taxable value of the
29 intermediate district if the district meets both of the following:



1 (i) The district operates the area vocational-technical
2 education program pursuant to a contract with the intermediate
3 district.

4 (ii) The district contributes an annual amount to the operation
5 of the program that is commensurate with the revenue that would
6 have been raised for operation of the program if millage were
7 levied in the district for the program under sections 681 to 690 of
8 the revised school code, MCL 380.681 to 380.690.

9 (2) From the state school aid fund money appropriated in
10 section 11, there is allocated an amount not to exceed
11 \$9,190,000.00 each fiscal year for 2024-2025 and 2025-2026 to
12 reimburse intermediate districts and area vocational-technical
13 education programs established under section 690(3) of the revised
14 school code, MCL 380.690, levying millages for area vocational-
15 technical education under sections 681 to 690 of the revised school
16 code, MCL 380.681 to 380.690. The purpose, use, and expenditure of
17 the reimbursement are limited as if the funds were generated by
18 those millages.

19 ~~(3) Reimbursement for those millages levied in 2023-2024 is~~
20 ~~made in 2024-2025 at an amount per 2023-2024 membership pupil~~
21 ~~computed by subtracting from \$269,800.00 the 2023-2024 taxable~~
22 ~~value behind each membership pupil and multiplying the resulting~~
23 ~~difference by the 2023-2024 millage levied, and then subtracting~~
24 ~~from that amount the 2023-2024 local community stabilization share~~
25 ~~revenue for area vocational technical education and 2023-2024 tax~~
26 ~~increment revenues captured by a brownfield redevelopment authority~~
27 ~~created under the brownfield redevelopment financing act, 1996 PA~~
28 ~~381, MCL 125.2651 to 125.2670, behind each membership pupil for~~
29 ~~reimbursement of personal property exemption loss under the local~~



~~community stabilization authority act, 2014 PA 86, MCL 123.1341 to 123.1362, and reimbursements paid under section 26d for tax increment revenues captured by a brownfield redevelopment authority under the brownfield redevelopment financing act, 1996 PA 381, MCL 125.2651 to 125.2670. For the purposes of the calculation described in the previous sentence only, for an intermediate district receiving funds under this section and section 56, reimbursements paid under section 26d must be multiplied by the ratio of vocational-technical education millage levied, as defined in this section, and the sum of vocational-technical education millage levied and special education.~~

(3) ~~(4)~~ Reimbursement for those millages levied in 2024-2025 is made in 2025-2026 at an amount per 2024-2025 membership pupil computed by subtracting from ~~\$287,400.00~~ **\$288,300.00** the 2024-2025 taxable value behind each membership pupil and multiplying the resulting difference by the 2024-2025 millage levied, and then subtracting from that amount the 2024-2025 local community stabilization share revenue for area vocational technical education and 2024-2025 tax increment revenues captured by a brownfield redevelopment authority created under the brownfield redevelopment financing act, 1996 PA 381, MCL 125.2651 to 125.2670, behind each membership pupil for reimbursement of personal property exemption loss under the local community stabilization authority act, 2014 PA 86, MCL 123.1341 to 123.1362, and reimbursements paid under section 26d for tax increment revenues captured by a brownfield redevelopment authority under the brownfield redevelopment financing act, 1996 PA 381, MCL 125.2651 to 125.2670. For the purposes of the calculation described in the previous sentence only, for an intermediate district receiving funds under this



1 section and section 56, reimbursements paid under section 26d must
2 be multiplied by the ratio of vocational-technical education
3 millage levied, as defined in this section, and the sum of
4 vocational-technical education millage levied and special education
5 millage levied, as defined in section 56.

6 (4) Reimbursement for those millages levied in 2025-2026 is
7 made in 2026-2027 at an amount per 2025-2026 membership pupil
8 computed by subtracting from \$302,800.00 the 2025-2026 taxable
9 value behind each membership pupil and multiplying the resulting
10 difference by the 2025-2026 millage levied, and then subtracting
11 from that amount the 2025-2026 local community stabilization share
12 revenue for area vocational technical education and 2025-2026 tax
13 increment revenues captured by a brownfield redevelopment authority
14 created under the brownfield redevelopment financing act, 1996 PA
15 381, MCL 125.2651 to 125.2670, behind each membership pupil for
16 reimbursement of personal property exemption loss under the local
17 community stabilization authority act, 2014 PA 86, MCL 123.1341 to
18 123.1362, and reimbursements paid under section 26d for tax
19 increment revenues captured by a brownfield redevelopment authority
20 under the brownfield redevelopment financing act, 1996 PA 381, MCL
21 125.2651 to 125.2670. For the purposes of the calculation described
22 in the previous sentence only, for an intermediate district
23 receiving funds under this section and section 56, reimbursements
24 paid under section 26d must be multiplied by the ratio of
25 vocational-technical education millage levied, as defined in this
26 section, and the sum of vocational-technical education millage
27 levied and special education millage levied, as defined in section
28 56.

29 (5) The department shall ensure that the amount paid to a



1 single intermediate district under this section does not exceed
2 38.4% of the total amount allocated under subsection (2).

3 (6) The department shall ensure that the amount paid to a
4 single intermediate district under this section is not less than
5 75% of the amount allocated to the intermediate district under this
6 section for the immediately preceding fiscal year.

7 Sec. 65. (1) From the state school aid pupil support reserve
8 fund money appropriated in section 11, there is allocated an amount
9 not to exceed \$900,000.00 for ~~2025-2026~~ **2026-2027** only for a pre-
10 college engineering K to 12 educational program that is focused on
11 the development of a diverse future Michigan workforce, that serves
12 multiple communities within southeast Michigan, that enrolls pupils
13 from multiple districts, and that received funds appropriated for
14 this purpose in the appropriations act that provided the Michigan
15 strategic fund budget for 2014-2015. It is the intent of the
16 legislature that the appropriation under this section will be
17 funded with state school aid pupil support reserve fund money
18 through 2027-2028.

19 (2) To be eligible for funding under this section, a program
20 must have the ability to expose pupils to, and motivate and prepare
21 pupils for, science, technology, engineering, and mathematics
22 careers and postsecondary education with special attention given to
23 groups of pupils who are at-risk and underrepresented in technical
24 professions and careers.

25 Sec. 67. (1) From the general fund money appropriated in
26 section 11, there is allocated an amount not to exceed
27 \$3,000,000.00 for ~~2025-2026~~ **2026-2027** for college access programs.
28 The programs funded under this section are intended to inform
29 students of college and career options, to provide resources



1 intended to increase the number of pupils who are adequately
2 prepared with the information needed to make informed decisions on
3 college and career, support adult learners, support college
4 completion, and support workforce and employer engagement. The
5 funds appropriated under this section are intended to be used to
6 increase the number of Michigan residents with high-quality degrees
7 or credentials. Funds appropriated under this section must not be
8 used to supplant funding for counselors already funded by
9 districts.

10 (2) The department of lifelong education, advancement, and
11 potential shall administer funds allocated under this section in
12 collaboration with the Michigan college access network. These funds
13 may be used for any of the following purposes:

14 (a) Michigan college access network operations, programming,
15 and services to local college access networks.

16 (b) Local college access networks, which are community-based
17 college access/success partnerships committed to increasing the
18 college participation and completion rates within geographically
19 defined communities through a coordinated strategy.

20 (c) The Michigan college advising program, a program intended
21 to place trained, recently graduated college advisors in high
22 schools that serve significant numbers of low-income and first-
23 generation college-going pupils. State funds used for this purpose
24 may not exceed 33% of the total funds available under this
25 subsection.

26 (d) Subgrants of up to \$5,000.00 to districts with
27 comprehensive high schools that establish a college access team and
28 implement specific strategies to create a college-going culture in
29 a high school in a form and manner approved by the Michigan college



1 access network and the department of lifelong education,
2 advancement, and potential.

3 (e) The Michigan college access portal, an online one-stop
4 portal to help pupils and families plan and apply for college.

5 (f) Public awareness and outreach campaigns to encourage low-
6 income and first-generation college-going pupils to take necessary
7 steps toward college and to assist pupils and families in
8 completing a timely and accurate free application for federal
9 student aid.

10 (g) Subgrants to postsecondary institutions to recruit, hire,
11 and train college student mentors and college advisors to assist
12 high school pupils in navigating the postsecondary planning and
13 enrollment process.

14 (3) For the purposes of this section, "college" means any
15 postsecondary educational opportunity that leads to a career,
16 including, but not limited to, a postsecondary degree, industry-
17 recognized technical certification, or registered apprenticeship.

18 **Sec. 67d. (1) From the state school aid fund money**
19 **appropriated in section 11, there is allocated for 2026-2027 only**
20 **an amount not to exceed \$900,000.00 to districts and intermediate**
21 **districts to partner with nonprofit organizations for the provision**
22 **of hospitality and tourism CTE programs.**

23 **(2) Districts and intermediate districts shall apply for**
24 **funding under this section in a form and manner determined by the**
25 **department.**

26 **(3) Notwithstanding section 17b, the department shall make**
27 **payments under this section on a schedule determined by the**
28 **department.**

29 **(4) As used in this section, "hospitality and tourism CTE**



programs" means career and technical education programs that teach or train students in restaurant management, culinary arts or hospitality, and tourism management as part of career and professional development.

Sec. 67f. (1) From the state school aid pupil support reserve fund money appropriated in section 11, there is allocated for ~~2025-~~ ~~2026-2027~~ only an amount not to exceed \$10,000,000.00 for districts to improve FAFSA completion rates. It is the intent of the legislature that the appropriation under this section will be funded with state school aid pupil support reserve fund money through 2027-2028.

(2) To be eligible to receive funding under this section, each district must apply in a form and manner determined by the department of lifelong education, advancement, and potential. ~~The department of lifelong education, advancement, and potential shall make the application available by not later than November 1, 2025. A district shall apply for funding to the department of lifelong education, advancement, and potential by not later than December 1, 2025.~~ In the application, the department of lifelong education, advancement, and potential shall only require a district to certify that it will do both of the following:

(a) Except as otherwise provided in subsection (3), require all students to complete the FAFSA to graduate from high school.

(b) Use funds received under this section for participation in and implementation of activities that are known to drive FAFSA completion, as determined by the department of lifelong education, advancement, and potential, in collaboration with the Michigan College Access Network.

(3) A district shall exempt a student from the requirement to



complete the FAFSA if any of the following are met:

(a) The student's parent or legal guardian, or the student if the student is 18 years of age or older, is an emancipated minor, or is an unaccompanied youth, has submitted a parental waiver to the district exempting the student from completing the FAFSA. The parental waiver described in this subdivision must be obtained through a standard form developed by the department of lifelong education, advancement, and potential.

(b) The student is unable to complete the FAFSA because of privacy concerns.

(c) All of the following are met:

(i) After a good-faith effort, the student's parent or legal guardian refuses to sign the parental waiver, is unresponsive, or cannot sign the parental waiver.

(ii) The student is unable to complete the FAFSA as an independent student.

(iii) The student agrees to opt out of completing the FAFSA.

(iv) Other than the requirements in subsection (2), the student is on track to graduate.

(v) A school administrator of the student's high school demonstrates to the board that good-faith efforts have been made to assist the student or the student's parent or legal guardian in completing the FAFSA or obtaining a parental waiver.

(vi) The board ensures compliance with 42 USC 11432(g)(6)(A).

(4) The department of lifelong education, advancement, and potential may use past participation in the FAFSA Completion Challenge under this section as a factor in determining district eligibility.

(5) ~~(4) By not later than January 31, 2026, the~~ The department



1 of lifelong education, advancement, and potential shall pay each
 2 eligible district an equal amount per pupil multiplied by the
 3 number of pupils enrolled and attending grade 12 in the district.

4 **Initial payments must be made by not later than January 31, 2027.**

5 (6) ~~(5)~~ Notwithstanding section 17b, the department of
 6 lifelong education, advancement, and potential shall make payments
 7 under this section on a schedule determined by the department of
 8 lifelong education, advancement, and potential.

9 (7) ~~(6)~~ As used in ~~the~~ **this** section, "FAFSA" means the free
 10 application for federal student aid form.

11 Sec. 74. (1) From the state school aid fund money appropriated
 12 in section 11, there is allocated an amount not to exceed
 13 ~~\$3,949,900.00~~ **\$4,753,100.00** for ~~2025-2026~~ **2026-2027** for the
 14 purposes of this section.

15 (2) From the allocation in subsection (1), there is allocated
 16 for ~~2025-2026~~ **2026-2027** the amount necessary for payments to state
 17 supported colleges or universities and intermediate districts
 18 providing school bus driver safety instruction under section 51 of
 19 the pupil transportation act, 1990 PA 187, MCL 257.1851. The
 20 department shall make payments in an amount determined by the
 21 department not to exceed the actual cost of instruction and driver
 22 compensation for each public or nonpublic school bus driver
 23 attending a course of instruction. For the purpose of computing
 24 compensation, the hourly rate allowed each school bus driver must
 25 not exceed the hourly rate received for driving a school bus. The
 26 department shall make reimbursement compensating the driver during
 27 the course of instruction to the college or university or
 28 intermediate district providing the course of instruction.

29 (3) From the allocation in subsection (1), there is allocated



1 for ~~2025-2026~~**2026-2027** the amount necessary to pay the reasonable
2 costs of nonspecial education auxiliary services transportation
3 provided under section 1323 of the revised school code, MCL
4 380.1323. Districts funded under this subsection do not receive
5 funding under any other section of this article for nonspecial
6 education auxiliary services transportation.

7 (4) From the funds allocated in subsection (1), there is
8 allocated an amount not to exceed ~~\$1,924,900.00~~**\$1,978,100.00** for
9 ~~2025-2026~~**2026-2027** for the inspection of school buses and pupil
10 transportation vehicles by the department of state police as
11 required under section 715a of the Michigan vehicle code, 1949 PA
12 300, MCL 257.715a, and section 39 of the pupil transportation act,
13 1990 PA 187, MCL 257.1839. The department of state police shall
14 prepare a statement of costs and submit it to the department and to
15 an intermediate district serving as fiduciary in a time and manner
16 determined jointly by the department and the department of state
17 police. Upon review and approval of the statement of cost, the
18 department shall forward to the designated intermediate district
19 serving as fiduciary the amount detailed on the statement within 45
20 days after receipt of the statement. The designated intermediate
21 district fiduciary shall make payment in the amount specified on
22 the statement to the department of state police within 45 days
23 after receipt of the statement. The total reimbursement of costs
24 under this subsection must not exceed the amount allocated under
25 this subsection. Notwithstanding section 17b, the department shall
26 make payments to eligible entities under this subsection on a
27 schedule prescribed by the department.

28 Sec. 81. (1) From the state school aid fund money appropriated
29 in section 11, there is allocated for ~~2025-2026~~**2026-2027** to



1 intermediate districts the sum necessary, but not to exceed
2 ~~\$83,157,700.00, \$85,236,600.00~~, to provide state aid to
3 intermediate districts under this section.

4 (2) The amount allocated under this section to each
5 intermediate school district for the current fiscal year is equal
6 to the allocation for the immediately preceding fiscal year plus an
7 equal percentage increase for all intermediate school districts. An
8 intermediate district shall use funding provided under this section
9 to comply with requirements of this article and the revised school
10 code that are applicable to intermediate districts, and for which
11 funding is not provided elsewhere in this article, and to provide
12 technical assistance to districts as authorized by the intermediate
13 school board.

14 (3) Intermediate districts receiving funds under this section
15 shall collaborate with the department to develop expanded
16 professional development opportunities for teachers to update and
17 expand their knowledge and skills needed to support the Michigan
18 merit curriculum.

19 (4) From the allocation in subsection (1), there is allocated
20 to an intermediate district, formed by the consolidation or
21 annexation of 2 or more intermediate districts or the attachment of
22 a total intermediate district to another intermediate district or
23 the annexation of all of the constituent K to 12 districts of a
24 previously existing intermediate district which has disorganized,
25 an additional allotment of \$3,500.00 each fiscal year for each
26 intermediate district included in the new intermediate district for
27 3 years following consolidation, annexation, or attachment.

28 (5) To receive funding under this section, an intermediate
29 district shall do all of the following:



1 (a) Demonstrate to the satisfaction of the department that the
2 intermediate district employs at least 1 person who is trained in
3 pupil accounting and auditing procedures, rules, and regulations.

4 (b) Demonstrate to the satisfaction of the department that the
5 intermediate district employs at least 1 person who is trained in
6 rules, regulations, and district reporting procedures for the
7 individual-level student data that serves as the basis for the
8 calculation of the district and high school graduation and dropout
9 rates.

10 (c) Comply with sections 1278a and 1278b of the revised school
11 code, MCL 380.1278a and 380.1278b.

12 (d) Furnish data and other information required by state and
13 federal law to the center and the department in the form and manner
14 specified by the center or the department, as applicable.

15 (e) Comply with section 1230g of the revised school code, MCL
16 380.1230g.

17 (f) Ensure that all districts located within the intermediate
18 district's geographic boundaries have equitable access to the
19 intermediate district's coordination activities and services,
20 intermediate district-wide or regional meetings, regularly
21 scheduled superintendent meetings, programming, events, email
22 distribution lists, listservs, or other coordination or
23 collaboration activities organized by or hosted in the intermediate
24 district. In ensuring that all districts located within the
25 geographic boundaries of the intermediate district have equitable
26 access to the services, meetings, programming, events, email
27 distribution lists, listservs, or activities, the intermediate
28 district shall ensure that districts that are public school
29 academies and that are located within the intermediate district's



1 geographic boundaries are not excluded from the services, meetings,
 2 programming, events, email distribution lists, listservs, or
 3 activities organized by or hosted in the intermediate district if
 4 districts that are not public school academies and that are located
 5 within the geographic boundaries of the intermediate district are
 6 not excluded.

7 Sec. 94. (1) From the general fund money appropriated in
 8 section 11, there is allocated to the department for ~~2025-2026~~
 9 **2026-2027** an amount not to exceed ~~\$2,600,000.00~~ **\$1,200,000.00 and**
 10 **from the state school aid fund money appropriated in section 11,**
 11 **there is allocated for 2026-2027 only an amount not to exceed**
 12 **\$1,600,000.00 to an intermediate district identified by the**
 13 **department** for efforts to increase the number of pupils who
 14 participate and succeed in advanced placement and international
 15 baccalaureate programs, and to support the college-level
 16 examination program (CLEP). ~~It is the intent of the legislature~~
 17 ~~that, for 2026-2027, the allocation from the general fund money~~
 18 ~~appropriated in section 11 for purposes described in this section~~
 19 ~~will be \$1,200,000.00.~~ **The department must maintain administrative**
 20 **oversight of the billing and reimbursement process.**

21 (2) From the funds allocated under this section, the
 22 department shall award funds to cover all or part of the costs of
 23 advanced placement test fees or international baccalaureate test
 24 fees and international baccalaureate registration fees for low-
 25 income pupils who take an advanced placement or an international
 26 baccalaureate test and CLEP fees for low-income pupils who take a
 27 CLEP test.

28 (3) The department shall only award funds under this section
 29 if the department determines that all of the following criteria are



1 met:

2 (a) Each pupil for whom payment is made meets eligibility
3 requirements of the federal advanced placement test fee program
4 under the no child left behind act of 2001, Public Law 107-110, or
5 the every student succeeds act, Public Law 114-95, as applicable.

6 (b) The tests are administered by the college board, the
7 international baccalaureate organization, or another test provider
8 approved by the department.

9 (c) The pupil for whom payment is made pays at least \$5.00
10 toward the cost of each test for which payment is made.

11 (4) If funds remain after the awards granted in subsection
12 (2), the department shall award funds to reimburse a portion of the
13 costs associated with the provision of advanced placement (AP),
14 international baccalaureate (IB), or college-level examination
15 program (CLEP) exams for students whose family income exceeds low-
16 income status as determined by the department.

17 (5) The department shall establish procedures for awarding
18 funds under this section.

19 (6) Notwithstanding section 17b, the department shall make
20 payments under this section on a schedule determined by the
21 department.

22 Sec. 94a. (1) There is created within the state budget office
23 in the department of technology, management, and budget the center
24 for educational performance and information. The center shall do
25 all of the following:

26 (a) Coordinate the collection of all data required by state
27 and federal law from districts, intermediate districts, and
28 postsecondary institutions.

29 (b) Create, maintain, and enhance this state's P-20



1 longitudinal data system and ensure that it meets the requirements
2 of subsection (4).

3 (c) Collect data in the most efficient manner possible to
4 reduce the administrative burden on reporting entities, including,
5 but not limited to, electronic transcript services.

6 (d) Create, maintain, and enhance this state's web-based
7 educational portal to provide information to school leaders,
8 teachers, researchers, and the public in compliance with all
9 federal and state privacy laws. Data must include, but are not
10 limited to, all of the following:

11 (i) Data sets that link teachers to student information,
12 allowing districts to assess individual teacher impact on student
13 performance and consider student growth factors in teacher and
14 principal evaluation systems.

15 (ii) Data access or, if practical, data sets, provided for
16 regional data hubs that, in combination with local data, can
17 improve teaching and learning in the classroom.

18 (iii) Research-ready data sets for researchers to perform
19 research that advances this state's educational performance.

20 (e) Provide data in a useful manner to allow state and local
21 policymakers to make informed policy decisions.

22 (f) Provide public reports to the residents of this state to
23 allow them to assess allocation of resources and the return on
24 their investment in the education system of this state.

25 (g) Other functions as assigned by the state budget director.

26 (2) Each state department, officer, or agency that collects
27 information from districts, intermediate districts, or
28 postsecondary institutions as required under state or federal law
29 shall make arrangements with the center to ensure that the state



1 department, officer, or agency is in compliance with subsection
2 (1). This subsection does not apply to information collected by the
3 department of treasury under the uniform budgeting and accounting
4 act, 1968 PA 2, MCL 141.421 to 141.440a; the revised municipal
5 finance act, 2001 PA 34, MCL 141.2101 to 141.2821; the school bond
6 qualification, approval, and loan act, 2005 PA 92, MCL 388.1921 to
7 388.1939; or section 1351a of the revised school code, MCL
8 380.1351a.

9 (3) The center may enter into any interlocal agreements
10 necessary to fulfill its functions.

11 (4) The center shall ensure that the P-20 longitudinal data
12 system required under subsection (1)(b) meets all of the following:

13 (a) Includes data at the individual student level from
14 preschool through postsecondary education and into the workforce.

15 (b) Supports interoperability by using standard data
16 structures, data formats, and data definitions to ensure linkage
17 and connectivity in a manner that facilitates the exchange of data
18 among agencies and institutions within the state and between
19 states.

20 (c) Enables the matching of individual teacher and student
21 records so that an individual student may be matched with those
22 teachers providing instruction to that student.

23 (d) Enables the matching of individual teachers with
24 information about their certification and the institutions that
25 prepared and recommended those teachers for state certification.

26 (e) Enables data to be easily generated for continuous
27 improvement and decision-making, including timely reporting to
28 parents, teachers, and school leaders on student achievement.

29 (f) Ensures the reasonable quality, validity, and reliability



1 of data contained in the system.

2 (g) Provides this state with the ability to meet federal and
3 state reporting requirements.

4 (h) For data elements related to preschool through grade 12
5 and postsecondary, meets all of the following:

6 (i) Contains a unique statewide student identifier that does
7 not permit a student to be individually identified by users of the
8 system, except as allowed by federal and state law.

9 (ii) Contains student-level enrollment, demographic, and
10 program participation information, including data associated with
11 students who have been identified as having an affiliation to 1 or
12 more federally recognized Indian tribes and student participation
13 in federal programs funded under 20 USC 7401 to 7546 and
14 participation in federal programs funded under the Johnson-O'Malley
15 ~~Supplemental-supplemental Indian Education Program Modernization~~
16 ~~Act, education program modernization act~~, Public Law 115-404. Any
17 reports or data access related specifically to tribal affiliation
18 must be done through ongoing consultation with the federally
19 recognized tribes in the state with the expectation that the
20 center, the department, and the tribes will work iteratively toward
21 meaningful reports, access, and use of these records to improve
22 shared education interests and outcomes.

23 (iii) Contains student-level information about the points at
24 which students exit, transfer in, transfer out, drop out, or
25 complete education programs.

26 (iv) Has the capacity to communicate with higher education data
27 systems.

28 (i) For data elements related to preschool through grade 12
29 only, meets all of the following:



(i) Contains yearly test records of individual students for assessments approved by DED-OESE for accountability purposes under section 1111(b) of the elementary and secondary education act of 1965, 20 USC 6311, including information on individual students not tested, by grade and subject.

(ii) Contains student-level transcript information, including information on courses completed and grades earned.

(iii) Contains student-level college readiness test scores.

(j) For data elements related to postsecondary education only:

(i) Contains data that provide information regarding the extent to which individual students transition successfully from secondary school to postsecondary education, including, but not limited to, all of the following:

(A) Enrollment in remedial coursework.

(B) Completion of 1 year's worth of college credit applicable to a degree within 2 years of enrollment.

(ii) Contains data that provide other information determined necessary to address alignment and adequate preparation for success in postsecondary education.

(5) From the general fund money appropriated in section 11, there is allocated an amount not to exceed ~~\$19,364,700.00~~ **\$19,548,500.00** for ~~2025-2026-2026-2027~~ to the department of technology, management, and budget to support the operations of the center. In addition, from the federal funds appropriated in section 11, there is allocated for ~~2025-2026-2026-2027~~ the amount necessary, estimated at ~~\$2,193,500.00, \$100.00~~ to support the operations of the center and to establish a P-20 longitudinal data system necessary for state and federal reporting purposes. The center shall cooperate with the department to ensure that this



1 state is in compliance with federal law and is maximizing
2 opportunities for increased federal funding to improve education in
3 this state.

4 (6) From the funds allocated in subsection (5), the center may
5 use an amount determined by the center for competitive grants for
6 ~~2025-2026~~**2026-2027** to support collaborative efforts on the P-20
7 longitudinal data system. All of the following apply to grants
8 awarded under this subsection:

9 (a) The center shall award competitive grants to eligible
10 intermediate districts or a consortium of intermediate districts
11 based on criteria established by the center.

12 (b) Activities funded under the grant must support the P-20
13 longitudinal data system portal and may include portal hosting,
14 hardware and software acquisition, maintenance, enhancements, user
15 support and related materials, and professional learning tools and
16 activities aimed at improving the utility of the P-20 longitudinal
17 data system.

18 (c) An applicant that received a grant under this subsection
19 for the immediately preceding fiscal year has priority for funding
20 under this section. However, after 3 fiscal years of continuous
21 funding, an applicant is required to compete openly with new
22 applicants.

23 (7) Funds allocated under this section that are not expended
24 in the fiscal year in which they were allocated may be carried
25 forward to a subsequent fiscal year and are appropriated for the
26 purposes for which the funds were originally allocated.

27 (8) The center may bill departments as necessary to fulfill
28 reporting requirements of state and federal law. The center may
29 also enter into agreements to supply custom data, analysis, and



1 reporting to other principal executive departments, state agencies,
 2 local units of government, and other individuals and organizations.
 3 The center may receive and expend funds in addition to those
 4 authorized in subsection (5) to cover the costs associated with
 5 salaries, benefits, supplies, materials, and equipment necessary to
 6 provide such data, analysis, and reporting services.

7 (9) As used in this section, "DED-OESE" means the United
 8 States Department of Education Office of Elementary and Secondary
 9 Education.

10 **(10) From the state school aid fund money appropriated in**
 11 **section 11, there is allocated for 2026-2027 an amount not to**
 12 **exceed \$500,000.00 for payments on behalf of districts for costs**
 13 **associated with e-transcript services for high schools and pupils.**

14 Sec. 94e. (1) From the state school aid fund money
 15 appropriated under section 11, there is allocated for ~~2025-2026~~
 16 **2026-2027** ~~only~~ an amount not to exceed \$1,000,000.00 for support of
 17 the Michigan Education Research Institute.

18 (2) Funding allocated under this section must be distributed
 19 to the University of Michigan's Michigan Education Data Center and
 20 Michigan State University's Education Policy Innovation Center for
 21 the purpose of working collaboratively with the department, the
 22 department of lifelong education, advancement, and potential, and
 23 the center to build and maintain a research ready dataset, and to
 24 conduct research of critical importance to the state's education
 25 goals.

26 (3) The Michigan Education Research Institute shall use funds
 27 received under this section for the purpose of expanding on
 28 research that includes, but is not limited to, all the following:

29 (a) Educator shortage.



1 (b) ~~Early literacy~~**Literacy** initiative outcomes.

2 (c) Early childhood development programming outcomes.

3 (4) Notwithstanding section 17b, the department shall make
4 payments under this section on a schedule determined by the
5 department.

6 **Sec. 94f. (1) From the state school aid fund money**
7 **appropriated in section 11, there is allocated for 2026-2027 only**
8 **an amount not to exceed \$3,000,000.00 to a public university in**
9 **this state with an existing research partnership with the**
10 **department and districts for research and program evaluation**
11 **activities supporting statewide literacy initiatives. The public**
12 **university described in this subsection shall use funds received**
13 **under this section to collect and analyze data, assess program**
14 **implementation and outcomes, develop and report on key performance**
15 **indicators, and provide recommendations to improve literacy**
16 **achievement and inform state implementation, policy, and investment**
17 **decisions.**

18 (2) Notwithstanding section 17b, the department shall make
19 payments under this section on a schedule determined by the
20 department.

21 **Sec. 95b. (1) From the state school aid fund money**
22 **appropriated under section 11, there is allocated for 2026-2027**
23 **only an amount not to exceed \$2,000,000.00 for a growth and**
24 **projection analytics system with student and teacher growth**
25 **reports.**

26 (2) The growth and projections reporting platform must provide
27 continued hosting and delivery of reporting and offer the
28 department additional supports in the areas of research, analysis,
29 web reporting, and training. The platform must use historical



1 student-level data from the state and have experience providing
2 student growth reports.

3 (3) Funding under this section must be awarded to an
4 intermediate district to partner with the department and a platform
5 vendor to meet the requirements of this section. The platform
6 vendor must be determined through a competitive grant process.

7 (4) The department and the platform vendor shall provide
8 statewide training for educators to understand the reporting that
9 details the impact to student learning and growth.

10 (5) The department shall provide internet-based electronic
11 student growth and projection reporting under this section to
12 educators at the school, district, and state levels. The reporting
13 must include role-based permissions that allow educators to access
14 information about the performance of the students within their
15 immediate responsibility in accordance with applicable privacy
16 laws.

17 (6) By not later than March 31, the department shall work with
18 the center to make data available on a publicly accessible website
19 that provides student growth metrics at the district and school
20 level by grade and subject.

21 (7) Notwithstanding section 17b, the department shall make
22 payments under this section on a schedule determined by the
23 department.

24 Sec. 97n. (1) From the state school aid fund money
25 appropriated in section 11, there is allocated for ~~2025-2026~~**2026-**
26 **2027 only** \$10,000,000.00 for grants to districts to support the
27 efforts of community violence intervention plans to reduce or
28 prevent youth violence.

29 (2) Districts must apply on a competitive basis for funding



1 under this section in a form and manner determined by the
 2 department. The department shall coordinate with the office of
 3 community violence intervention in the department of health and
 4 human services to evaluate applications submitted under this
 5 section. Awards must be granted based on competitive criteria
 6 determined by the department and the department of health and human
 7 services, but must prioritize grants for local district plans that
 8 include comprehensive strategies with demonstrated external
 9 partnerships to support successful implementation.

10 (3) Districts may use funding received under this section to
 11 contract with nonprofits, community-based organizations, subject
 12 matter experts, or other governmental entities to implement a plan
 13 to reduce or prevent youth violence. A plan to reduce or prevent
 14 youth violence implemented under this subsection must use evidence-
 15 based practices, include mentorship and community engagement
 16 strategies, and may include, but is not limited to, increased
 17 academic, counseling, health, and wrap-around services to youth.

18 ~~(4) The funds allocated in this section are a work project~~
 19 ~~appropriation, and any unexpended funds for 2025-2026 are carried~~
 20 ~~forward into 2026-2027. The purpose of the work project is to~~
 21 ~~support the work of community violence intervention programs in~~
 22 ~~districts and intermediate districts. The estimated completion date~~
 23 ~~of the work project is September 30, 2030.~~

24 ~~(5)~~ Notwithstanding section 17b, the department shall make
 25 payments under this section on a schedule determined by the
 26 department.

27 Sec. 98. (1) From the general fund money appropriated in
 28 section 11, there is allocated an amount not to exceed
 29 \$9,800,000.00 for ~~2025-2026~~ **2026-2027 only** for the purposes



1 described in this section. The Michigan Virtual University shall
2 provide a report to the legislature not later than November 1 of
3 each fiscal year for which funding is allocated under this section
4 that includes its mission, its plans, and proposed benchmarks it
5 must meet, including a plan to achieve the organizational
6 priorities identified in this section, to receive full funding for
7 the next fiscal year for which funding is allocated under this
8 section. By not later than March 1 of each fiscal year for which
9 funding is allocated under this section, the Michigan Virtual
10 University shall provide an update to the house and senate
11 appropriations subcommittees on school aid to show the progress
12 being made to meet the benchmarks identified.

13 (2) The Michigan Virtual University shall operate the Michigan
14 Virtual Learning Research Institute. The Michigan Virtual Learning
15 Research Institute shall do all of the following:

16 (a) Support and accelerate innovation in education through the
17 following activities:

18 (i) Test, evaluate, and recommend as appropriate new
19 technology-based instructional tools and resources.

20 (ii) Research, design, and recommend virtual education delivery
21 models for use by pupils and teachers that include age-appropriate
22 multimedia instructional content.

23 (iii) Research, develop, and recommend annually to the
24 department criteria by which cyber schools and virtual course
25 providers should be monitored and evaluated to ensure a quality
26 education for their pupils.

27 (iv) Based on pupil completion and performance data reported to
28 the department or the center from cyber schools and other virtual
29 course providers operating in this state, analyze the effectiveness



1 of virtual learning delivery models in preparing pupils to be
2 college- and career-ready and publish a report that highlights
3 enrollment totals, completion rates, and the overall impact on
4 pupils. The Michigan Virtual Learning Research Institute shall
5 submit the report to the house and senate appropriations
6 subcommittees on school aid, the state budget director, the house
7 and senate fiscal agencies, the department, districts, and
8 intermediate districts by not later than March 31 of each fiscal
9 year for which funding is allocated under this section.

10 (v) Provide an extensive professional development program to
11 at least 30,000 educational personnel, including teachers, school
12 administrators, and school board members, that focuses on the
13 effective integration of virtual learning into curricula and
14 instruction. The Michigan Virtual Learning Research Institute is
15 encouraged to work with the MiSTEM council described in section 99s
16 to coordinate professional development of teachers in applicable
17 fields. In addition, the Michigan Virtual Learning Research
18 Institute and external stakeholders are encouraged to coordinate
19 with the department for professional development in this state,
20 including professional development for employees in child care
21 facilities, early childhood facilities, and after-school programs.
22 By not later than December 1 of each fiscal year for which funding
23 is allocated under this section, the Michigan Virtual Learning
24 Research Institute shall submit a report to the house and senate
25 appropriations subcommittees on school aid, the state budget
26 director, the house and senate fiscal agencies, and the department
27 on the number of teachers, school administrators, and school board
28 members who have received professional development services from
29 the Michigan Virtual University. The report must also include both



1 of the following:

2 (A) The identification of barriers and other opportunities to
3 encourage the adoption of virtual learning in the public education
4 system.

5 (B) A link to, and explanation of, the Michigan Virtual
6 University's online course standards for professional development
7 programming. The standards described in this sub-subparagraph must
8 inform learners how to file a complaint about course content and
9 detail the steps that will be taken for the review and resolution
10 of complaints.

11 (vi) Identify and share best practices for planning,
12 implementing, and evaluating virtual and blended education delivery
13 models with intermediate districts, districts, and public school
14 academies to accelerate the adoption of innovative education
15 delivery models statewide.

16 (b) Provide leadership for this state's system of virtual
17 learning education by doing the following activities:

18 (i) Develop and report policy recommendations to the governor
19 and the legislature that accelerate the expansion of effective
20 virtual learning in this state's schools.

21 (ii) Provide a clearinghouse for research reports, academic
22 studies, evaluations, and other information related to virtual
23 learning.

24 (iii) Promote and distribute the most current instructional
25 design standards and guidelines for virtual teaching.

26 (iv) In collaboration with the department and interested
27 colleges and universities in this state, support implementation and
28 improvements related to effective virtual learning instruction.

29 (v) Pursue public/private partnerships that include districts



1 to study and implement competency-based technology-rich virtual
2 learning models.

3 (vi) Create a statewide network of school-based mentors serving
4 as liaisons between pupils, virtual instructors, parents, and
5 school staff, as provided by the department or the center, and
6 provide mentors with research-based training and technical
7 assistance designed to help more pupils be successful virtual
8 learners.

9 (vii) Convene focus groups and conduct annual surveys of
10 teachers, administrators, pupils, parents, and others to identify
11 barriers and opportunities related to virtual learning.

12 (viii) Produce an annual consumer awareness report for schools
13 and parents about effective virtual education providers and
14 education delivery models, performance data, cost structures, and
15 research trends.

16 (ix) Provide an internet-based platform that educators can use
17 to create student-centric learning tools and resources for sharing
18 in the state's open educational resource repository and facilitate
19 a user network that assists educators in using the content creation
20 platform and state repository for open educational resources. As
21 part of this initiative, the Michigan Virtual University shall work
22 collaboratively with districts and intermediate districts to
23 establish a plan to make available virtual resources that align to
24 Michigan's K to 12 curriculum standards for use by students,
25 educators, and parents.

26 (x) Create and maintain a public statewide catalog of virtual
27 learning courses being offered by all public schools and community
28 colleges in this state. The Michigan Virtual Learning Research
29 Institute shall identify and develop a list of nationally



1 recognized best practices for virtual learning and use this list to
2 support reviews of virtual course vendors, courses, and
3 instructional practices. The Michigan Virtual Learning Research
4 Institute shall also provide a mechanism for intermediate districts
5 to use the identified best practices to review content offered by
6 constituent districts. The Michigan Virtual Learning Research
7 Institute shall review the virtual course offerings of the Michigan
8 Virtual University, and make the results from these reviews
9 available to the public as part of the statewide catalog. The
10 Michigan Virtual Learning Research Institute shall ensure that the
11 statewide catalog is made available to the public on the Michigan
12 Virtual University website and shall allow the ability to link it
13 to each district's website as provided for in section 21f. The
14 statewide catalog must also contain all of the following:

15 (A) The number of enrollments in each virtual course in the
16 immediately preceding school year.

17 (B) The number of enrollments that earned 60% or more of the
18 total course points for each virtual course in the immediately
19 preceding school year.

20 (C) The pass rate for each virtual course.

21 (xi) Support registration, payment services, and transcript
22 functionality for the statewide catalog and train key stakeholders
23 on how to use new features.

24 (xii) Collaborate with key stakeholders to examine district
25 level accountability and teacher effectiveness issues related to
26 virtual learning under section 21f and make findings and
27 recommendations publicly available.

28 (xiii) Provide a report on the activities of the Michigan
29 Virtual Learning Research Institute.



1 (3) To further enhance its expertise and leadership in virtual
2 learning, the Michigan Virtual University shall continue to operate
3 the Michigan Virtual School as a statewide laboratory and quality
4 model of instruction by implementing virtual and blended learning
5 solutions for Michigan schools in accordance with the following
6 parameters:

7 (a) The Michigan Virtual School must maintain its
8 accreditation status from recognized national and international
9 accrediting entities.

10 (b) The Michigan Virtual University shall use no more than
11 \$1,000,000.00 of the amount allocated under this section to
12 subsidize the cost paid by districts for virtual courses.

13 (c) In providing educators responsible for the teaching of
14 virtual courses as provided for in this section, the Michigan
15 Virtual School shall follow the requirements to request and assess,
16 and the department of state police shall provide, a criminal
17 history check and criminal records check under sections 1230 and
18 1230a of the revised school code, MCL 380.1230 and 380.1230a, in
19 the same manner as if the Michigan Virtual School were a school
20 district under those sections.

21 (4) From the funds allocated under subsection (1), the
22 Michigan Virtual University shall support the expansion of new
23 online and blended educator professional development programs.

24 (5) From the funds allocated under subsection (1), the
25 Michigan Virtual University shall operate a comprehensive statewide
26 laboratory designed to function as a hub for cutting-edge research,
27 the identification and dissemination of best practices, rigorous
28 experimentation, policy formulation, and proactive efforts to
29 enhance awareness about the responsible utilization of artificial



1 intelligence in schools.

2 (6) If the course offerings are included in the statewide
3 catalog of virtual courses under subsection (2)(b)(x), the Michigan
4 Virtual School operated by the Michigan Virtual University may
5 offer virtual course offerings, including, but not limited to, all
6 of the following:

7 (a) Information technology courses.

8 (b) College level equivalent courses, as that term is defined
9 in section 1471 of the revised school code, MCL 380.1471.

10 (c) Courses and dual enrollment opportunities.

11 (d) Programs and services for at-risk pupils.

12 (e) High school equivalency test preparation courses for
13 adjudicated youth.

14 (f) Special interest courses.

15 (g) Professional development programs for teachers, school
16 administrators, other school employees, and school board members.

17 (7) If a home-schooled or nonpublic school student is a
18 resident of a district that subscribes to services provided by the
19 Michigan Virtual School, the student may use the services provided
20 by the Michigan Virtual School to the district without charge to
21 the student beyond what is charged to a district pupil using the
22 same services.

23 (8) By not later than December 1 of each fiscal year for which
24 funding is allocated under this section, the Michigan Virtual
25 University shall provide a report to the house and senate
26 appropriations subcommittees on school aid, the state budget
27 director, the house and senate fiscal agencies, and the department
28 that includes at least all of the following information related to
29 the Michigan Virtual School for the preceding fiscal year:



1 (a) A list of the districts served by the Michigan Virtual
2 School.

3 (b) A list of virtual course titles available to districts.

4 (c) The total number of virtual course enrollments and
5 information on registrations and completions by course.

6 (d) The overall course completion rate percentage.

7 (9) In addition to the information listed in subsection (8),
8 the report under subsection (8) must also include a plan to serve
9 at least 600 schools with courses from the Michigan Virtual School
10 or with content available through the internet-based platform
11 identified in subsection (2) (b) (ix).

12 (10) The governor may appoint an advisory group for the
13 Michigan Virtual Learning Research Institute established under
14 subsection (2). The members of the advisory group serve at the
15 pleasure of the governor and without compensation. The purpose of
16 the advisory group is to make recommendations to the governor, the
17 legislature, and the president and board of the Michigan Virtual
18 University that will accelerate innovation in this state's
19 education system in a manner that will prepare elementary and
20 secondary students to be career and college ready and that will
21 promote the goal of increasing the percentage of residents of this
22 state with high-quality degrees and credentials to at least 60% by
23 2030.

24 (11) By not later than November 1 of each fiscal year for
25 which funding is allocated under this section, the Michigan Virtual
26 University shall submit to the house and senate appropriations
27 subcommittees on school aid, the state budget director, and the
28 house and senate fiscal agencies a detailed budget for that fiscal
29 year that includes a breakdown on its projected costs to deliver



1 virtual educational services to districts and a summary of the
2 anticipated fees to be paid by districts for those services. By not
3 later than March 1 each fiscal year for which funding is allocated
4 under this section, the Michigan Virtual University shall submit to
5 the house and senate appropriations subcommittees on school aid,
6 the state budget director, and the house and senate fiscal agencies
7 a breakdown on its actual costs to deliver virtual educational
8 services to districts and a summary of the actual fees paid by
9 districts for those services based on audited financial statements
10 for the immediately preceding fiscal year.

11 (12) As used in this section:

12 (a) "Blended learning" means a hybrid instructional delivery
13 model where pupils are provided content, instruction, and
14 assessment, in part at a supervised educational facility away from
15 home where the pupil and a teacher with a valid Michigan teaching
16 certificate are in the same physical location and in part through
17 internet-connected learning environments with some degree of pupil
18 control over time, location, and pace of instruction.

19 (b) "Cyber school" means a full-time instructional program of
20 virtual courses for pupils that may or may not require attendance
21 at a physical school location.

22 (c) "Virtual course" means a course of study that is capable
23 of generating a credit or a grade and that is provided in an
24 interactive learning environment in which the majority of the
25 curriculum is delivered using the internet and in which pupils are
26 separated from their instructor or teacher of record by time or
27 location, or both.

28 **Sec. 98d. (1) From the state school aid fund money**
29 **appropriated under section 11, there is allocated for 2026-2027**



1 only an amount not to exceed \$3,000,000.00 to a public university
2 that has previously partnered with a statewide, public, nonprofit
3 educational media service providing free, standards-aligned
4 instructional programming to Michigan schools. The public
5 university described in this subsection shall not retain any
6 portion of the funding received under this section for
7 administrative purposes. The statewide, public, nonprofit
8 educational media service described in this subsection must meet
9 all of the following requirements:

10 (a) Provide free, curriculum-aligned educational programming
11 and instructional resources for pupils, families, and educators
12 through over-the-air broadcast, digital streaming, and online
13 platforms.

14 (b) Deliver educational programming that is aligned with this
15 state's pre-K through grade 12 academic standards and supports
16 literacy instruction grounded in evidence-based reading practices.

17 (c) Operate in partnership with Michigan public broadcasting
18 stations to provide statewide educational programming and classroom
19 resources.

20 (d) Demonstrate the capability to produce and distribute
21 Michigan-specific educational content statewide through broadcast
22 and digital platforms.

23 (e) Maintain an online library of instructional resources for
24 educators, pupils, and families that is available statewide at no
25 cost.

26 (f) Use the funding allocated under this section solely for
27 the expansion of literacy programming, educator resources, and
28 family engagement activities.

29 (2) By not later than February 1, 2028, the statewide, public,



1 nonprofit educational media service described in subsection (1)
2 shall provide a report to the house and senate appropriations
3 subcommittees responsible for school aid, the house and senate
4 fiscal agencies, and the state budget director detailing its
5 compliance with ensuring that conditions listed under subsection
6 (1) were met.

7 (3) Notwithstanding section 17b, the department shall make
8 payments under this section by not later than December 1, 2026.

9 Sec. 99h. (1) From the state school aid pupil support reserve
10 fund money appropriated in section 11, there is allocated an amount
11 not to exceed \$5,000,000.00 for ~~2025-2026~~**2026-2027** only for
12 competitive grants to districts and intermediate districts, and
13 from the general pupil support reserve fund money appropriated in
14 section 11, there is allocated \$600,000.00 for ~~2025-2026~~**2026-2027**
15 only for competitive grants to nonpublic schools, that provide
16 pupils in grades pre-K to 12 with expanded opportunities to improve
17 mathematics, science, computer science, and technology skills by
18 participating in robotics competition programs hosted by program
19 providers including, but not limited to, FIRST (for inspiration and
20 recognition of science and technology) Robotics, including FIRST
21 Lego League - Discover, Explore, and Challenge, FIRST Tech
22 challenge, and FIRST Robotics competition, LTU Robofest, MATE
23 (Marine Advanced Technical Education), REC (Robotics Education
24 Competition) Foundation, Square One Education Network, VEX, and
25 other providers approved by the department. It is the intent of the
26 legislature that the appropriations under this section will be
27 funded with state school aid pupil support reserve fund money and
28 general pupil support reserve fund money through 2027-2028. All
29 approved providers shall make all programs available to students in



1 this state regardless of geographical location. Programs funded
2 under this section are intended to increase the number of pupils
3 demonstrating proficiency in science and mathematics on the state
4 assessments and to increase the number of pupils who are college-
5 and career-ready upon high school graduation. Notwithstanding
6 section 17b, the department shall make grant payments to districts,
7 nonpublic schools, and intermediate districts under this section on
8 a schedule determined by the department. The department shall set
9 maximum grant awards for each different level of programming and
10 competition in a manner that both maximizes the number of teams
11 that will be able to receive funds and expands the geographical
12 distribution of teams. Districts and intermediate districts that
13 receive funds under this section must provide relevant student
14 participation information, as determined by the department, to
15 program and competition providers described in this section. For a
16 district or intermediate district to count a program competition
17 provider for purposes of payments under this section, the program
18 and competition providers must agree to aggregate data received by
19 districts and intermediate districts and provide this information
20 to the department in a form and manner determined by the
21 department.

22 (2) The department shall do all of the following for purposes
23 of this section:

24 (a) Both of the following by not later than 60 days after the
25 state school aid appropriations bill for the current fiscal year is
26 enacted into law or October 1 of the current fiscal year, whichever
27 is later:

28 (i) Open applications for funding under this section to all
29 districts, nonpublic schools, and intermediate districts.



1 (ii) Publish a list of approved programs and vendors for
2 purposes of this section in a manner that is accessible to all
3 applicants. To obtain approval under this subparagraph, a program
4 or vendor must submit to the department registration information,
5 including any fees; pledge that it will post this information on
6 its website; and, by not later than January 1 of the current fiscal
7 year, submit this information to the department for publication on
8 the department's website.

9 (b) By not later than 60 days after applications are opened as
10 described in subdivision (a), close applications under this
11 section.

12 (c) By not later than 60 days after applications are closed as
13 described in subdivision (b), make all determinations concerning
14 funding under this section.

15 (d) By not later than July 1 of the current fiscal year,
16 publish a document listing the requirements for becoming an
17 approved program or vendor under subdivision (a).

18 (3) Except as otherwise provided under this subsection, if
19 funding under this section is insufficient to fulfill all funding
20 requests by qualified applicants under this section, the department
21 shall prorate the total funding allocated under this section
22 equally among all qualified applicants. However, for funding under
23 this section toward grants under subsection (5)(b), in its
24 proration under this subsection, the department shall ensure that
25 each district is paid in an amount equal to the percentage the
26 department would have paid the district in grant funding under
27 subsection (5)(b), but for proration under this subsection, with no
28 district receiving a grant under subsection (5)(b) in an amount
29 that is greater than the district's total accrued costs under



1 subsection (5) (b).

2 (4) A district, nonpublic school, or intermediate district
3 applying for a grant under this section must submit an application
4 in a form and manner prescribed by the department. To be eligible
5 for a grant, a district, nonpublic school, or intermediate district
6 must demonstrate in its application that the district, nonpublic
7 school, or intermediate district has established a partnership for
8 the purposes of the robotics program with at least 1 sponsor,
9 business entity, higher education institution, technical school, or
10 individual, must submit a budget, and must provide a local in-kind
11 or cash match from other private or local funds of at least 25% of
12 the cost of the robotics program award.

13 (5) The department shall distribute the grant funding under
14 this section for the following purposes:

15 (a) Grants to districts, nonpublic schools, or intermediate
16 districts to pay for stipends not to exceed \$1,500.00 per building
17 for coaching.

18 (b) Grants to districts, nonpublic schools, or intermediate
19 districts for event registrations, materials, travel costs, and
20 other expenses associated with the preparation for and attendance
21 at robotics events and competitions.

22 (c) Grants to districts, nonpublic schools, or intermediate
23 districts for awards to teams that advance to the next levels of
24 competition as determined by the department. The department shall
25 determine an equal amount per team for those teams that advance.

26 (6) A nonpublic school that receives a grant under this
27 section may use the funds for either robotics or Science Olympiad
28 programs.

29 (7) To be eligible to receive funds under this section, a



1 nonpublic school must be a nonpublic school registered with the
2 department and must meet all applicable state reporting
3 requirements for nonpublic schools.

4 (8) To be eligible to receive a grant under this section, a
5 district, nonpublic school, or intermediate district must do all of
6 the following:

7 (a) If the district, nonpublic school, or intermediate
8 district is requesting funding for more than 1 team for a building,
9 meet the minimum requirements for team size as determined by the
10 approved program provider.

11 (b) Participate in at least the minimum number of competitions
12 as determined by the approved program provider.

13 (c) Participate in at least 1 in-person competition.

14 (9) For purposes of this section, an approved program or
15 vendor under this section that provides a program under this
16 section shall not work with the department to set prices or
17 policies for the program.

18 (10) As used in this section, "current fiscal year" means the
19 fiscal year for which an allocation is made under this section.

20 **Sec. 99s. (1) From state school aid fund money appropriated**
21 **under section 11, there is allocated for 2026-2027 an amount not to**
22 **exceed \$8,000,000.00 for Michigan science, technology, engineering,**
23 **and mathematics programs. Programs funded under this section are**
24 **intended to increase the number of pupils demonstrating proficiency**
25 **in science and mathematics on the state assessments, to increase**
26 **the number of pupils who are college- and career-ready upon high**
27 **school graduation, and to promote certificate and degree attainment**
28 **in STEM fields. Notwithstanding section 17b, the department shall**
29 **make payments under this section on a schedule determined by the**



1 department.

2 (2) The MiSTEM council annually shall review and make
3 recommendations to the governor, the legislature, and the
4 department concerning changes to the statewide strategy adopted by
5 the council for delivering STEM education-related opportunities to
6 pupils. The MiSTEM council shall use funds received under this
7 section to ensure that the MiSTEM council's members or their
8 designees are trained in a third-party evaluation system such as
9 the Change the Equation STEMworks program for the purpose of rating
10 STEM programs.

11 (3) The MiSTEM council shall make specific funding
12 recommendations for the funds allocated under subsection (4) by
13 December 15 of each fiscal year. Each specific funding
14 recommendation must be for a program or demonstration grant
15 approved by the MiSTEM council. All of the following apply:

16 (a) To be eligible for MiSTEM council approval as described in
17 this subsection, a program must satisfy all of the following:

18 (i) Align with this state's academic standards.

19 (ii) Have STEMworks or other third-party certification.

20 (iii) Provide project-based experiential learning, student
21 programming, or educator professional learning experiences.

22 (iv) Focus predominantly on classroom-based STEM experiences or
23 professional learning experiences.

24 (b) The MiSTEM council shall approve programs that represent
25 all network regions and include a diverse array of options for
26 students and educators.

27 (c) To be eligible for MiSTEM council approval as described in
28 this subsection, a demonstration grant must satisfy all of the
29 following:



1 (i) Align with this state's academic standards.

2 (ii) In collaboration with the department, scale project,
3 problem, or place-based learning in a building or district in
4 support of the statewide STEM strategy as recommended by the MiSTEM
5 council.

6 (d) The MiSTEM council is encouraged to work with the MiSTEM
7 network to develop locally and regionally developed programs,
8 demonstration grants, and professional learning experiences for the
9 programs on the list of approved programs. At the direction of the
10 MiSTEM council, funds can be used to evaluate and market regions,
11 programs, and demonstration grants.

12 (e) If the MiSTEM council is unable to make specific funding
13 recommendations by December 15 of a fiscal year, the department
14 shall award and distribute the funds allocated under subsection (4)
15 on a competitive grant basis that at least follows the statewide
16 STEM strategy plan and rating system recommended by the MiSTEM
17 council. Each grant must provide STEM education-related
18 opportunities for pupils.

19 (4) From the state school aid fund money allocated under
20 subsection (1), there is allocated for 2026-2027 an amount not to
21 exceed \$3,800,000.00 for the purpose of funding programs or
22 demonstration grants under this section for 2026-2027 as
23 recommended by the MiSTEM council.

24 (5) From the state school aid fund money allocated under
25 subsection (1), there is allocated an amount not to exceed
26 \$4,200,000.00 for 2026-2027 to support the activities and programs
27 of the MiSTEM network regions. From the funds allocated under this
28 subsection, the department shall award the fiscal agent for each
29 MiSTEM network region \$220,000.00 for the base operations of each



1 region. The department shall distribute the remaining funds to each
2 fiscal agent in an equal amount per pupil, based on the number of K
3 to 12 pupils enrolled in districts within each region in the
4 immediately preceding fiscal year.

5 (6) A MiSTEM network region shall do all of the following:

6 (a) Collaborate with the career and educational advisory
7 council that is located in the MiSTEM region and the department to
8 develop a regional strategic plan for STEM education that creates a
9 robust regional STEM culture, that empowers STEM teachers, that
10 integrates business and education into the STEM network, and that
11 ensures high-quality STEM experiences for pupils. At a minimum, a
12 regional STEM strategic plan described in this subdivision should
13 do all of the following in collaboration with the department:

14 (i) Identify regional employer need for STEM.

15 (ii) Identify processes for regional employers and educators to
16 create guided pathways for STEM careers that include internships or
17 externships, apprenticeships, and other experiential engagements
18 for pupils.

19 (iii) Identify educator professional learning opportunities,
20 including internships or externships and apprenticeships, that
21 integrate this state's science standards into high-quality STEM
22 experiences that engage pupils.

23 (b) Facilitate regional STEM events such as educator and
24 employer networking and STEM career fairs to raise STEM awareness.

25 (c) Contribute to the MiSTEM website and engage in other
26 MiSTEM network functions to further the mission of STEM in this
27 state in coordination with the MiSTEM council and the department of
28 labor and economic opportunity.

29 (d) Facilitate application and implementation of state and



1 federal funds under this subsection and any other grants or funds
2 for the MiSTEM network region.

3 (e) Work with districts to provide STEM programming and
4 professional learning.

5 (f) Coordinate recurring discussions and work with the career
6 and educational advisory council to ensure that feedback and best
7 practices are being shared, including funding, program,
8 professional learning opportunities, and regional strategic plans.

9 (g) In collaboration with the department, deploy marketing and
10 outreach efforts to publish the availability of STEM learning
11 opportunities.

12 (7) To receive funds under this section, a grant recipient
13 must allow access for the department or the department's designee
14 to audit all records related to the program for which the grant
15 recipient received those funds. The grant recipient shall reimburse
16 the state for all disallowances found in the audit.

17 (8) To receive funds under this section, a grant recipient
18 must provide at least a 10% local match from local public or
19 private resources for the funds received under this subsection.

20 (9) By not later than July 1 of each fiscal year for which
21 funding is allocated under this section, grant recipients shall
22 report to the executive director of the MiSTEM network in a form
23 and manner prescribed by the executive director on performance
24 measures developed by the MiSTEM network regions and approved by
25 the executive director. The performance measures must be designed
26 to ensure that the activities of the MiSTEM network are improving
27 student academic outcomes. The report described in this subsection
28 must be published on a publicly accessible website.

29 (10) The MiSTEM network may receive funds from private



1 sources. If the MiSTEM network receives funds from private sources,
2 the MiSTEM network shall expend those funds in alignment with the
3 statewide STEM strategy.

4 (11) Not more than 5% of funds awarded under this section may
5 be retained by a fiscal agent.

6 (12) As used in this section:

7 (a) "Career and educational advisory council" means an
8 advisory council to the local workforce development boards located
9 in a prosperity region consisting of educational, employer, labor,
10 and parent representatives.

11 (b) "Department" means the department of labor and economic
12 opportunity.

13 (c) "MiSTEM council" means the Michigan Science, Technology,
14 Engineering, and Mathematics Education Advisory Council created as
15 an advisory body within the department of labor and economic
16 opportunity by Executive Reorganization Order No. 2019-3, MCL
17 125.1998.

18 (d) "STEM" means science, technology, engineering, and
19 mathematics delivered in an integrated fashion using cross-
20 disciplinary learning experiences that can include language arts,
21 performing and fine arts, and career and technical education.

22 Sec. 99nn. (1) From the state school aid fund money
23 appropriated in section 11, there is allocated for 2026-2027 only
24 an amount not to exceed \$2,900,000.00 to an intermediate district
25 to partner with the department and a virtual reality program
26 provider to serve up to 9,000 students in up to 8 districts in a
27 virtual reality simulation pilot program that improves math and
28 science education for students in grades 6 to 12.

29 (2) A virtual reality simulation pilot program described in



1 this section must do all of the following:

2 (a) Offer tactile, multimodal learning experiences that teach
3 core state standards-aligned concepts and skills for grades 6 to 12
4 mathematics and science, with a focus on improving outcomes on
5 standards-aligned algebra I and middle school math benchmarks.

6 (b) Immerse students in real-world problems across occupations
7 and career clusters to build career exposure and relevance, using
8 3-D models and interactives that visualize and manipulate abstract
9 mathematical and science concepts. A virtual reality program
10 provider described in this section must have already conducted a
11 randomized controlled trial by a third-party evaluator that
12 demonstrated double-digit growth outcomes in algebra I benchmark
13 assessments.

14 (c) Align with high-skill, high-wage, and high-demand
15 occupations across career clusters aligned with local and market
16 needs. Districts participating in a pilot program described in this
17 section shall provide access to all mathematics and science
18 teachers in a district for the purpose of building the strong
19 quantitative and critical thinking foundations that every student
20 requires to be successful across career clusters.

21 (3) An intermediate district receiving funds under this
22 section shall forward funds received to a virtual reality program
23 provider determined by the department within 30 days of the receipt
24 of funds. The intermediate district may retain up to 2.5% of funds
25 received for administrative costs. The intermediate district bears
26 no responsibility for the operation of the virtual reality pilot
27 program described in this section.

28 (4) To be eligible for funding under this section, an
29 intermediate district must apply in a form and manner determined by



1 the department.

2 (5) To be eligible to participate in the pilot program,
3 districts must apply in a form and manner determined by the
4 department.

5 (6) Notwithstanding section 17b, the department shall make
6 payments under this section on a schedule determined by the
7 department.

8 Sec. 101. (1) To be eligible to receive state aid under this
9 article, not later than the fifth Wednesday after the pupil
10 membership count day and not later than the fifth Wednesday after
11 the supplemental count day, each district superintendent shall
12 submit and certify to the center and the intermediate
13 superintendent, in the form and manner prescribed by the center,
14 the number of pupils enrolled and in regular daily attendance,
15 including identification of tuition-paying pupils, in the district
16 as of the pupil membership count day and as of the supplemental
17 count day, as applicable, for the current school year. In addition,
18 a district maintaining school during the entire year shall submit
19 and certify to the center and the intermediate superintendent, in
20 the form and manner prescribed by the center, the number of pupils
21 enrolled and in regular daily attendance in the district for the
22 current school year pursuant to rules promulgated by the
23 superintendent. Not later than the sixth Wednesday after the pupil
24 membership count day and not later than the sixth Wednesday after
25 the supplemental count day, the district shall resolve any pupil
26 membership conflicts with another district, correct any data
27 issues, and recertify the data in a form and manner prescribed by
28 the center and file the certified data with the intermediate
29 superintendent. If a district fails to submit and certify the



1 attendance data, as required under this subsection, the center
2 shall notify the department and the department shall withhold state
3 aid due to be distributed under this article from the defaulting
4 district immediately, beginning with the next payment after the
5 failure and continuing with each payment until the district
6 complies with this subsection. If a district does not comply with
7 this subsection by the end of the fiscal year, the district
8 forfeits the amount withheld. A person who willfully falsifies a
9 figure or statement in the certified and sworn copy of enrollment
10 is subject to penalty as prescribed by section 161.

11 (2) To be eligible to receive state aid under this article,
12 not later than the twenty-fourth Wednesday after the pupil
13 membership count day and not later than the twenty-fourth Wednesday
14 after the supplemental count day, an intermediate district shall
15 submit to the center, in a form and manner prescribed by the
16 center, the audited enrollment and attendance data as described in
17 subsection (1) for the pupils of its constituent districts and of
18 the intermediate district. If an intermediate district fails to
19 submit the audited data as required under this subsection, the
20 department shall withhold state aid due to be distributed under
21 this article from the defaulting intermediate district immediately,
22 beginning with the next payment after the failure and continuing
23 with each payment until the intermediate district complies with
24 this subsection. If an intermediate district does not comply with
25 this subsection by the end of the fiscal year, the intermediate
26 district forfeits the amount withheld.

27 (3) Except as otherwise provided in subsections (11) and (12)
28 all of the following apply to the provision of pupil instruction:

29 (a) Except as otherwise provided in this section, each



1 district shall provide at least 1,098 hours and 180 days of pupil
2 instruction. If a collective bargaining agreement that provides a
3 complete school calendar was in effect for employees of a district
4 as of June 24, 2014, and if that school calendar is not in
5 compliance with this subdivision, then this subdivision does not
6 apply to that district until after the expiration of that
7 collective bargaining agreement. A district may apply for a waiver
8 under subsection (9) or subdivision (h) from the requirements of
9 this subdivision.

10 (b) Except as otherwise provided in this article, a district
11 failing to comply with the required minimum hours and days of pupil
12 instruction under this subsection forfeits from its total state aid
13 allocation an amount determined by applying a ratio of the number
14 of hours or days the district was in noncompliance in relation to
15 the required minimum number of hours and days under this
16 subsection. Not later than the first business day in August, the
17 board of each district shall either certify to the department that
18 the district was in full compliance with this section regarding the
19 number of hours and days of pupil instruction in the previous
20 school year, or report to the department, in a form and manner
21 prescribed by the center, each instance of noncompliance. If the
22 district did not provide at least the required minimum number of
23 hours and days of pupil instruction under this subsection, the
24 department shall make the deduction of state aid in the following
25 fiscal year from the first payment of state school aid. A district
26 is not subject to forfeiture of funds under this subsection for a
27 fiscal year in which a forfeiture was already imposed under
28 subsection (6).

29 (c) Hours or days lost because of strikes or teachers'

1 conferences are not counted as hours or days of pupil instruction.

2 (d) Except as otherwise provided in ~~subdivisions (e) and (f)~~,
3 **this subsection**, if a district does not have at least 75% of the
4 district's membership in attendance on any day of pupil
5 instruction, the department shall pay the district state aid in
6 that proportion of 1/180 that the actual percent of attendance
7 bears to 75%.

8 (e) If a district adds 1 or more days of pupil instruction to
9 the end of its instructional calendar for a school year to comply
10 with subdivision (a) because the district otherwise would fail to
11 provide the required minimum number of days of pupil instruction
12 even after the operation of subsection (4) due to conditions not
13 within the control of school authorities, then subdivision (d) does
14 not apply for any day of pupil instruction that is added to the end
15 of the instructional calendar. Instead, for any of those days, if
16 the district does not have at least 60% of the district's
17 membership in attendance on that day, the department shall pay the
18 district state aid in that proportion of 1/180 that the actual
19 percentage of attendance bears to 60%. For any day of pupil
20 instruction added to the instructional calendar as described in
21 this subdivision, the district shall report to the department the
22 percentage of the district's membership that is in attendance, in
23 the form and manner prescribed by the department.

24 (f) At the request of a district that operates a department-
25 approved alternative education program and that does not provide
26 instruction for pupils in all of grades K to 12, the superintendent
27 shall grant a waiver from the requirements of subdivision (d). The
28 waiver must provide that an eligible district is subject to the
29 proration provisions of subdivision (d) only if the district does



1 not have at least 50% of the district's membership in attendance on
2 any day of pupil instruction. In order to be eligible for this
3 waiver, a district must maintain records to substantiate its
4 compliance with the following requirements:

5 (i) The district offers the minimum hours of pupil instruction
6 as required under this section.

7 (ii) For each enrolled pupil, the district uses appropriate
8 academic assessments to develop an individual education plan that
9 leads to a high school diploma.

10 (iii) The district tests each pupil to determine academic
11 progress at regular intervals and records the results of those
12 tests in that pupil's individual education plan.

13 (g) All of the following apply to a waiver granted under
14 subdivision (f):

15 (i) If the waiver is for a blended model of delivery, a waiver
16 that is granted for the 2011-2012 fiscal year or a subsequent
17 fiscal year remains in effect unless it is revoked by the
18 superintendent.

19 (ii) If the waiver is for a 100% online model of delivery and
20 the educational program for which the waiver is granted makes
21 educational services available to pupils for a minimum of at least
22 1,098 hours during a school year and ensures that each pupil
23 participates in the educational program for at least 1,098 hours
24 during a school year, a waiver that is granted for the 2011-2012
25 fiscal year or a subsequent fiscal year remains in effect unless it
26 is revoked by the superintendent.

27 (iii) A waiver that is not a waiver described in subparagraph
28 (i) or (ii) is valid for 3 fiscal years, unless it is revoked by the
29 superintendent, and must be renewed at the end of the 3-year period



1 to remain in effect.

2 ~~(h) For the 2024-2025 school year only, a district does not~~
3 ~~need to meet the minimum number of hours and days of pupil~~
4 ~~instruction requirement under subdivision (a) if that district~~
5 ~~meets all of the following requirements:~~

6 ~~(i) The district is located wholly or partially in a county~~
7 ~~that is covered by a state of emergency declared by the governor.~~

8 ~~(ii) A majority of the district board votes to exempt the~~
9 ~~district from the minimum number of hours and days of pupil~~
10 ~~instruction required under subdivision (a).~~

11 ~~(iii) The vote by the district board under subparagraph (ii)~~
12 ~~exempts the district from providing only the hours and days of~~
13 ~~pupil instruction actually missed due to the state of emergency.~~

14 ~~(iv) The vote by the district board under subparagraph (ii)~~
15 ~~exempts the district from not more than 15 days of pupil~~
16 ~~instruction required under subdivision (a). The amount that may be~~
17 ~~exempted under this subdivision is in addition to any days counted~~
18 ~~as pupil instruction under subsection (4).~~

19 **(h) Subdivision (d) does not apply to a district-operated**
20 **special education program approved by the department if the**
21 **district-operated special education program's instructional**
22 **calendar exceeds 180 days of pupil instruction. For any day of**
23 **instruction provided as part of a district-operated special**
24 **education program described in this subdivision, the district-**
25 **operated special education program is exempt from the attendance**
26 **threshold established under subdivision (d), provided that the**
27 **district-operated special education program offers the minimum**
28 **hours of pupil instruction required under this section and**
29 **maintains documentation of the program's approved instructional**



1 calendar.

2 (i) At the request of a district with fewer than 100 pupils in
3 membership as reported in the most recent fall pupil count, the
4 superintendent shall grant a waiver from the requirements of
5 subdivision (d) if the district demonstrates that the absence of a
6 single household may materially reduce the district's daily
7 attendance percentage below the threshold established in
8 subdivision (d). A waiver granted under this subdivision must
9 provide that the district is subject to the proration provisions of
10 subdivision (d) only if the district does not have at least 60% of
11 the district's membership in attendance on any day of pupil
12 instruction. The district shall maintain records necessary to
13 substantiate the district's eligibility for a waiver granted under
14 this subdivision.

15 (j) ~~(i)~~—The superintendent shall promulgate rules for the
16 implementation of this subsection.

17 (4) All of the following apply to the counting of hours and
18 days of pupil instruction under this section:

19 (a) Except as otherwise provided in this subsection, the first
20 6 days or the equivalent number of hours for which pupil
21 instruction is not provided because of conditions not within the
22 control of school authorities, such as severe storms, fires,
23 epidemics, utility power unavailability, water or sewer failure, or
24 health conditions as defined by the city, county, or state health
25 authorities, are counted as hours and days of pupil instruction.
26 For the 2025-2026 school year only, a district may count up to 4
27 additional days in which pupil instruction is not provided because
28 of conditions not within the control of school authorities as
29 described in this subdivision as hours and days of pupil



1 instruction if all of the following apply:

2 (i) A district seeking to count up to 4 additional days as
3 hours and days of pupil instruction under this subdivision is
4 located wholly or partially in any of the following counties:

- 5 (A) Mason County.
- 6 (B) Lake County.
- 7 (C) Osceola County.
- 8 (D) Clare County.
- 9 (E) Gladwin County.
- 10 (F) Arenac County.
- 11 (G) Manistee County.
- 12 (H) Wexford County.
- 13 (I) Missaukee County.
- 14 (J) Roscommon County.
- 15 (K) Ogemaw County.
- 16 (L) Iosco County.
- 17 (M) Benzie County.
- 18 (N) Grand Traverse County.
- 19 (O) Kalkaska County.
- 20 (P) Crawford County.
- 21 (Q) Oscoda County.
- 22 (R) Alcona County.
- 23 (S) Leelanau County.
- 24 (T) Antrim County.
- 25 (U) Otsego County.
- 26 (V) Montmorency County.
- 27 (W) Alpena County.
- 28 (X) Charlevoix County.
- 29 (Y) Emmet County.



(Z) Cheboygan County.
(AA) Presque Isle County.
(BB) Gogebic County.
(CC) Ontonagon County.
(DD) Houghton County.
(EE) Iron County.
(FF) Baraga County.
(GG) Marquette County.
(HH) Dickinson County.
(II) Menominee County.
(JJ) Alger County.
(KK) Delta County.
(LL) Schoolcraft County.
(MM) Luce County.
(NN) Chippewa County.
(OO) Mackinac County.
(PP) Keweenaw County.

(ii) A district described in subparagraph (i) was not able to provide pupil instruction on March 12, 13, 16, or 17 due to conditions not within the control of school authorities as described in this subdivision.

(iii) A district described in subparagraph (i) counts only the dates described in subparagraph (ii) in which pupil instruction was not provided as additional hours and days of pupil instruction under this subdivision.

(b) For the 2025-2026 school year only, a district located in a county described in Executive Order No. 2026-7 or Executive Order No. 2026-9 may count up to 5 additional days in which pupil instruction is not provided because of conditions not within the



1 control of school authorities as described in Executive Order No.
2 2026-7 or Executive Order No. 2026-9 as hours and days of pupil
3 instruction.

4 (c) For the 2025-2026 school year only, a district located in
5 a county or region described in Executive Order No. 2026-11 may
6 count up to 4 additional days in which pupil instruction is not
7 provided because of conditions not within the control of school
8 authorities as described in Executive Order No. 2026-11 as hours
9 and days of pupil instruction.

10 (d) With the approval of the superintendent of public
11 instruction, the department shall count as hours and days of pupil
12 instruction for a fiscal year not more than 3 additional days or
13 the equivalent number of additional hours for which pupil
14 instruction is not provided in a district due to unusual and
15 extenuating occurrences resulting from conditions not within the
16 control of school authorities such as those conditions described in
17 this subsection.

18 (e) A district that counts hours or days of professional
19 development for teachers as hours or days of pupil instruction, as
20 provided under subsection (10), is eligible to have additional
21 hours or days counted as hours and days of pupil instruction as
22 provided under subdivision (d) to the same extent as a district
23 that does not count hours or days of professional development for
24 teachers as hours or days of pupil instruction.

25 (f) In deciding whether to approve the counting of additional
26 hours or days of pupil instruction under subdivision (d) for a
27 district, the superintendent of public instruction shall not take
28 into account whether or not the district counts hours or days of
29 professional development for teachers as hours or days of pupil



1 instruction, as provided under subsection (10).

2 (g) Subsequent hours or days beyond those described in
3 subdivisions (a) to (d) are not counted as hours or days of pupil
4 instruction.

5 (5) A district does not forfeit part of its state aid
6 appropriation because it adopts or has in existence an alternative
7 scheduling program for pupils in kindergarten if the program
8 provides at least the number of hours required under subsection (3)
9 for a full-time equated membership for a pupil in kindergarten as
10 provided under section 6(4).

11 (6) In addition to any other penalty or forfeiture under this
12 section, if at any time the department determines that 1 or more of
13 the following have occurred in a district, the district forfeits in
14 the current fiscal year beginning in the next payment to be
15 calculated by the department a proportion of the funds due to the
16 district under this article that is equal to the proportion below
17 the required minimum number of hours and days of pupil instruction
18 under subsection (3), as specified in the following:

19 (a) The district fails to operate its schools for at least the
20 required minimum number of hours and days of pupil instruction
21 under subsection (3) in a school year, including hours and days
22 counted under subsection (4).

23 (b) The board of the district takes formal action not to
24 operate its schools for at least the required minimum number of
25 hours and days of pupil instruction under subsection (3) in a
26 school year, including hours and days counted under subsection (4).

27 (7) In providing the minimum number of hours and days of pupil
28 instruction required under subsection (3), a district shall use the
29 following guidelines, and a district shall maintain records to



1 substantiate its compliance with the following guidelines:

2 (a) Except as otherwise provided in this subsection, a pupil
3 must be scheduled for at least the required minimum number of hours
4 of instruction, excluding study halls, or at least the sum of 90
5 hours plus the required minimum number of hours of instruction,
6 including up to 2 study halls.

7 (b) The time a pupil is assigned to any tutorial activity in a
8 block schedule may be considered instructional time, unless that
9 time is determined in an audit to be a study hall period.

10 (c) Except as otherwise provided in this subdivision, a pupil
11 in grades 9 to 12 for whom a reduced schedule is determined to be
12 in the individual pupil's best educational interest, or a pupil in
13 grades 6 to 8 for whom a reduced schedule is determined to be in
14 the individual pupil's best educational interest due to the pupil's
15 participation in an advanced curriculum, must be scheduled for a
16 number of hours equal to at least 80% of the required minimum
17 number of hours of pupil instruction to be considered a full-time
18 equivalent pupil. A pupil in grades 6 to 12 who is scheduled in a
19 4-block schedule may receive a reduced schedule under this
20 subsection if the pupil is scheduled for a number of hours equal to
21 at least 75% of the required minimum number of hours of pupil
22 instruction to be considered a full-time equivalent pupil.

23 (d) For a pupil in grades 9 to 12 enrolled in a cooperative
24 education program, or for a special education pupil, in determining
25 full-time equated membership for that pupil, the pupil is not
26 considered less than a full-time equated pupil solely because of
27 the effect of the pupil's enrollment in the cooperative education
28 program or special education program, including necessary travel
29 time, on the number of class hours provided by the district to the



1 pupil.

2 (e) In grades 7 through 12, instructional time that is part of
3 a Junior Reserve Officer Training Corps (JROTC) program is
4 considered to be pupil instruction time regardless of whether the
5 instructor is a certificated teacher if all of the following are
6 met:

7 (i) The instructor has met all of the requirements established
8 by the United States Department of Defense and the applicable
9 branch of the armed services for serving as an instructor in the
10 Junior Reserve Officer Training Corps program.

11 (ii) The board of the district or intermediate district
12 employing or assigning the instructor complies with the
13 requirements of sections 1230 and 1230a of the revised school code,
14 MCL 380.1230 and 380.1230a, with respect to the instructor to the
15 same extent as if employing the instructor as a regular classroom
16 teacher.

17 (8) Except as otherwise provided in subsections (11) and (12),
18 the department shall apply the guidelines under subsection (7) in
19 calculating the full-time equivalency of pupils.

20 (9) Upon application by the district for a particular fiscal
21 year, the superintendent shall waive for a district the minimum
22 number of hours and days of pupil instruction requirement of
23 subsection (3) for a department-approved alternative education
24 program or another innovative program approved by the department,
25 including a 4-day school week. If a district applies for and
26 receives a waiver under this subsection and complies with the terms
27 of the waiver, the district is not subject to forfeiture under this
28 section for the specific program covered by the waiver. If the
29 district does not comply with the terms of the waiver, the amount



1 of the forfeiture is calculated based upon a comparison of the
2 number of hours and days of pupil instruction actually provided to
3 the minimum number of hours and days of pupil instruction required
4 under subsection (3). A district shall report pupils enrolled in a
5 department-approved alternative education program under this
6 subsection to the center in a form and manner determined by the
7 center. All of the following apply to a waiver granted under this
8 subsection:

9 (a) If the waiver is for a blended model of delivery, a waiver
10 that is granted for the 2011-2012 fiscal year or a subsequent
11 fiscal year remains in effect unless it is revoked by the
12 superintendent.

13 (b) If the waiver is for a 100% online model of delivery and
14 the educational program for which the waiver is granted makes
15 educational services available to pupils for a minimum of at least
16 1,098 hours during a school year and ensures that each pupil is on
17 track for course completion at proficiency level, a waiver that is
18 granted for the 2011-2012 fiscal year or a subsequent fiscal year
19 remains in effect unless it is revoked by the superintendent.

20 (c) A waiver that is not a waiver described in subdivision (a)
21 or (b) is valid for 3 fiscal years, unless it is revoked by the
22 superintendent, and must be renewed at the end of the 3-year period
23 to remain in effect.

24 (10) A district may count up to 38 hours of professional
25 development for teachers as hours of pupil instruction. All of the
26 following apply to the counting of professional development as
27 pupil instruction under this subsection:

28 (a) If the professional development exceeds 5 hours in a
29 single day, that day may be counted as a day of pupil instruction.



1 (b) At least 8 hours of the professional development counted
2 as hours of pupil instruction under this subsection must be
3 recommended by a districtwide professional development advisory
4 committee appointed by the district board. The advisory committee
5 must be composed of teachers employed by the district who represent
6 a variety of grades and subject matter specializations, including
7 special education; nonteaching staff; parents; and administrators.
8 The majority membership of the committee must be composed of
9 teaching staff.

10 (c) Professional development provided online is allowable and
11 encouraged, as long as the instruction has been approved by the
12 district. The department shall issue a list of approved online
13 professional development providers that must include the Michigan
14 Virtual School.

15 (d) Professional development may only be counted as hours of
16 pupil instruction under this subsection for the pupils of those
17 teachers scheduled to participate in the professional development.

18 (e) The professional development must meet all of the
19 following to be counted as pupil instruction under this subsection:

20 (i) Be aligned to the school or district improvement plan for
21 the school or district in which the professional development is
22 being provided.

23 (ii) Be linked to 1 or more criteria in the evaluation tool
24 developed or adopted by the district or intermediate district under
25 section 1249 of the revised school code, MCL 380.1249.

26 (iii) Has been approved by the department as counting for state
27 continuing education clock hours. The number of hours of
28 professional development counted as hours of pupil instruction
29 under this subsection may not exceed the number of state continuing



1 education clock hours for which the professional development was
2 approved.

3 (iv) Not more than a combined total of 10 hours of the
4 professional development takes place before the first scheduled day
5 of school for the school year ending in the fiscal year and after
6 the last scheduled day of school for that school year.

7 (v) Not more than 10 hours of the professional development
8 takes place in a single month.

9 (vi) At least 75% of teachers scheduled to participate in the
10 professional development are in attendance.

11 (11) Subsections (3) and (8) do not apply to a school of
12 excellence that is a cyber school, as that term is defined in
13 section 551 of the revised school code, MCL 380.551, and is in
14 compliance with section 553a of the revised school code, MCL
15 380.553a. Beginning July 1, 2021, this subsection is subject to
16 section 8c. It is the intent of the legislature that the
17 immediately preceding sentence apply retroactively and is effective
18 July 1, 2021.

19 (12) Subsections (3) and (8) do not apply to eligible pupils
20 enrolled in a dropout recovery program that meets the requirements
21 of section 23a. As used in this subsection, "eligible pupil" means
22 that term as defined in section 23a.

23 (13) At least every 2 years the superintendent shall review
24 the waiver standards set forth in the pupil accounting and auditing
25 manuals to ensure that the waiver standards and waiver process
26 continue to be appropriate and responsive to changing trends in
27 online learning. The superintendent shall solicit and consider
28 input from stakeholders as part of this review.

29 Sec. 104. (1) To receive state aid under this article, a



district shall comply with sections 1249, 1278a, 1278b, 1279g, and 1280b of the revised school code, MCL 380.1249, 380.1278a, 380.1278b, 380.1279g, and 380.1280b, and 1970 PA 38, MCL 388.1081 to 388.1086. Subject to subsection (2), from the state school aid fund money appropriated in section 11, ~~there is allocated for 2024-2025 \$39,509,400.00, and there is allocated for 2025-2026 \$37,509,400.00,~~ **\$40,000,000.00, and there is allocated for 2026-2027 \$44,500,000.00,** for payments on behalf of districts for costs associated with complying with those provisions of law. In addition, from the federal funds appropriated in section 11, there is allocated for 2025-2026 **an amount estimated at \$8,000,000.00 and for 2026-2027** an amount estimated at ~~\$8,000,000.00~~ **\$100.00** funded from DED-OESE, title VI, state assessment funds, and from DED-OSERS, part B of the individuals with disabilities education act, 20 USC 1411 to 1419, plus any carryover federal funds from previous year appropriations, for the purposes of complying with the every student succeeds act, Public Law 114-95.

(2) The results of each test administered as part of the Michigan student test of educational progress (M-STEP), including tests administered to high school students, must include an item analysis that lists all items that are counted for individual pupil scores and the percentage of pupils choosing each possible response. The department shall work with the center to identify the number of students enrolled at the time assessments are given by each district. In calculating the percentage of pupils assessed for a district's scorecard, the department shall use only the number of pupils enrolled in the district at the time the district administers the assessments and shall exclude pupils who enroll in the district after the district administers the assessments.



1 (3) The department shall distribute federal funds allocated
2 under this section in accordance with federal law and with
3 flexibility provisions outlined in Public Law 107-116, and in the
4 education flexibility partnership act of 1999, Public Law 106-25.

5 (4) The department may recommend, but may not require,
6 districts to allow pupils to use an external keyboard with tablet
7 devices for online M-STEP testing, including, but not limited to,
8 open-ended test items such as constructed response or equation
9 builder items.

10 (5) Notwithstanding section 17b, the department shall make
11 payments on behalf of districts, intermediate districts, and other
12 eligible entities under this section on a schedule determined by
13 the department.

14 (6) From the allocation in subsection (1), there is allocated
15 \$500,000.00 for ~~2024-2025 and 2025-2026~~ **and 2026-2027** for the
16 operation of an online reporting tool to provide student-level
17 assessment data in a secure environment to educators, parents, and
18 pupils immediately after assessments are scored. The department and
19 the center shall ensure that any data collected by the online
20 reporting tool do not provide individually identifiable student
21 data to the federal government.

22 (7) As used in this section:

23 (a) "DED" means the United States Department of Education.

24 (b) "DED-OESE" means the DED Office of Elementary and
25 Secondary Education.

26 (c) "DED-OSERS" means the DED Office of Special Education and
27 Rehabilitative Services.

28 Sec. 104h. (1) From the state school aid fund money
29 appropriated under section 11, there is allocated for ~~2025-2026~~



2026-2027 an amount not to exceed \$11,500,000.00 to districts to implement benchmark assessments during the ~~2025-2026~~ **2026-2027** school year. All of the following apply to the benchmark assessment system described in this subsection:

(a) The system must provide for all of the following:

(i) That, within the first 9 weeks of the ~~2025-2026~~ school year, the district shall administer 1 or more benchmark assessments provided by a provider approved under subsection ~~(6)~~, **(5)**, benchmark assessments described in subdivision (b), or local benchmark assessments, or any combination thereof, to all pupils in grades K to 8 to measure proficiency in reading and mathematics.

(ii) That, in addition to the benchmark assessment or benchmark assessments administered under subparagraph (i), by not later than the last day of the ~~2025-2026~~ school year, the district shall administer the benchmark assessment or assessments administered under subparagraph (i) to all pupils in grades K to 8 to measure proficiency in reading and mathematics. To support fall to spring growth calculations, the same benchmark assessment that is administered in the fall must be administered in the ~~spring~~ **last marking period of the school year**.

(b) Except as otherwise provided in this section, a district may administer 1 or more of the following benchmark assessments toward meeting the requirements under subdivision (a):

(i) A benchmark assessment in reading for students in grades K to 9 that contains progress monitoring tools and enhanced diagnostic assessments.

(ii) A benchmark assessment in math for students in grades K to 8 that contains progress monitoring tools.

(c) The system must provide that, to the extent practicable,



1 if a district administers a benchmark assessment or benchmark
 2 assessments under this section, the district shall administer the
 3 same benchmark assessment or benchmark assessments provided by a
 4 provider approved under subsection ~~(6)~~, **(5)**, benchmark assessment
 5 or benchmark assessments described in subdivision (b), or local
 6 benchmark assessment or local benchmark assessments that it
 7 administered to pupils in previous school years, as applicable.

8 (d) The system must provide that, if a district administers a
 9 benchmark assessment or benchmark assessments under this section,
 10 the district shall provide each pupil's data from the benchmark
 11 assessment or benchmark assessments, as available, to the pupil's
 12 parent or legal guardian within 30 days of administering the
 13 benchmark assessment or benchmark assessments.

14 (e) The system must provide that, if a local benchmark
 15 assessment or local benchmark assessments are administered under
 16 subdivision (a), the district shall report to the department, in a
 17 form and manner prescribed by the department, the local benchmark
 18 assessment or local benchmark assessments that were administered
 19 and how that assessment or those assessments measure changes,
 20 including any losses, as applicable, in learning, and the
 21 district's plan for addressing any losses in learning.

22 ~~(f) The system must provide that, by not later than 30 days~~
 23 ~~after a benchmark assessment or benchmark assessments are~~
 24 ~~administered under subdivision (a) (ii), or within a time frame~~
 25 ~~specified by the department, the district shall send benchmark~~
 26 ~~assessment data, including grade level, student demographics, and~~
 27 ~~mode of instruction, to the department in a form and manner~~
 28 ~~prescribed by the department, from all benchmark assessments~~
 29 ~~administered in the 2025-2026 school year, excluding data from a~~



~~local benchmark assessment, as applicable. If available, the data described in this subdivision must include information concerning pupil growth from fall 2025 to spring 2026.~~

(2) To receive funding under this section, a district must do all of the following:

(a) Apply for the funding in a form and manner prescribed by the department.

(b) Administer 1 or more of the benchmark assessments described in subsection ~~(6)~~, **(5)**, excluding the benchmark assessment described in subsection (4).

(c) Administer the same benchmark assessment or assessments in both the fall and spring, as required under this section.

(d) Meet all reporting requirements ~~pertaining to assessment and mode of instruction data outlined to~~ **parents and legal guardians as described** in this section.

(3) Subject to subsection (2), the department shall pay an equal amount per membership pupil in grades K to 8 in the district to each district that applies for funding under this section.

(4) The department shall make 1 of the benchmark assessments provided by a provider approved under subsection ~~(6)~~ **(5)** available to districts at no cost to the districts for purposes of meeting the requirements under this section. The benchmark assessment described in this subsection must meet all of the following:

(a) Be aligned to the content standards of this state.

(b) Complement ~~the~~ **this** state's summative assessment system.

(c) Be internet-delivered and include a standards-based assessment.

(d) Provide information on pupil achievement with regard to learning content required in a given year or grade span.



(e) Provide timely feedback to pupils and teachers.

(f) Be nationally normed.

(g) Provide information to educators about student growth and allow for multiple testing opportunities.

~~(5) By not later than November 15 of each year subsequent to a year in which funding is appropriated under this section, the department shall submit a report to the house and senate appropriations committees, the house and senate appropriations subcommittees on school aid, and the house and senate fiscal agencies regarding the benchmark assessment data received under this section, disaggregated by grade level and demographic subgroup for each district. If information concerning pupil growth is included in the data described in this subsection, it must be incorporated in the report described in this subsection.~~

(h) Include a digital library of teaching resources that are tied directly to the benchmark assessment and aligned to this state's standards.

(5) ~~(6)~~ The department shall approve at least 4 but not more than 6 providers of benchmark assessments for the purposes of this section. The department shall inform districts of all of the providers approved under this subsection in an equitable manner. The benchmark assessments, with the exclusion of the benchmark assessment described in subsection (4), provided by approved providers under this subsection must meet all of the following:

(a) Be aligned to the content standards of this state.

(b) Complement the state's summative assessment system.

(c) Be internet-delivered and include a standards-based remote, in-person, or both remote and in-person assessment using a computer-adaptive model to target the instructional level of each



1 pupil.

2 (d) Provide information on pupil achievement with regard to
3 learning content required in a given year or grade span.

4 (e) Provide immediate feedback to pupils and teachers.

5 (f) Be nationally normed.

6 (g) Provide multiple measures of growth and provide for
7 multiple testing opportunities.

8 Sec. 107. (1) From the state school aid fund appropriation in
9 section 11, there is allocated an amount not to exceed
10 ~~\$32,913,600.00~~ **\$42,525,000.00** for ~~2025-2026~~ **2026-2027** for adult
11 education programs authorized under this section. Except as
12 otherwise provided under subsections (14) and (15), funds allocated
13 under this section are restricted for adult education programs as
14 authorized under this section only. A recipient of funds under this
15 section shall not use those funds for any other purpose.

16 (2) To be eligible for funding under this section, an eligible
17 adult education provider shall employ certificated teachers and
18 qualified administrative staff and shall offer continuing education
19 opportunities for teachers to allow them to maintain certification.

20 (3) To be eligible to be a participant funded under this
21 section, an individual must be enrolled in an adult basic education
22 program, an adult secondary education program, an adult English as
23 a second language program, a high school equivalency test
24 preparation program, or a high school completion program, that
25 meets the requirements of this section, and for which instruction
26 is provided, and the individual must be at least 18 years of age by
27 July 1 of the program year and the individual's graduating class
28 must have graduated.

29 (4) By April 1 of each fiscal year for which funding is



1 allocated under this section, the intermediate districts within a
2 prosperity region or subregion shall determine which intermediate
3 district will serve as the prosperity region's or subregion's
4 fiscal agent for the next fiscal year and shall notify the
5 department in a form and manner determined by the department. The
6 department shall approve or disapprove of the prosperity region's
7 or subregion's selected fiscal agent. From the funds allocated
8 under subsection (1), an amount as determined under this subsection
9 is allocated to each intermediate district serving as a fiscal
10 agent for adult education programs in each of the prosperity
11 regions or subregions identified by the department. An intermediate
12 district shall not use more than 5% of the funds allocated under
13 this subsection for administration costs for serving as the fiscal
14 agent. The allocation provided to each intermediate district
15 serving as a fiscal agent must be calculated as follows:

16 (a) Sixty percent of this portion of the funding must be
17 distributed based upon the proportion of the state population of
18 individuals between the ages of 18 and 24 that are not high school
19 graduates that resides in each of the prosperity regions or
20 subregions located within the intermediate district, as reported by
21 the most recent 5-year estimates from the American Community Survey
22 (ACS) from the United States Census Bureau.

23 (b) Thirty-five percent of this portion of the funding must be
24 distributed based upon the proportion of the state population of
25 individuals age 25 or older who are not high school graduates that
26 resides in each of the prosperity regions or subregions located
27 within the intermediate district, as reported by the most recent 5-
28 year estimates from the ACS from the United States Census Bureau.

29 (c) Five percent of this portion of the funding must be



1 distributed based upon the proportion of the state population of
2 individuals age 18 or older who lack basic English language
3 proficiency that resides in each of the prosperity regions or
4 subregions located within the intermediate district, as reported by
5 the most recent 5-year estimates from the ACS from the United
6 States Census Bureau.

7 (5) To be an eligible fiscal agent, an intermediate district
8 must agree to do the following in a form and manner determined by
9 the department:

10 (a) Distribute funds to adult education programs in a
11 prosperity region or subregion as described in this section.

12 (b) Collaborate with the career and educational advisory
13 council, which is an advisory council of the workforce development
14 boards located in the prosperity region or subregion, or its
15 successor, to develop a regional strategy that aligns adult
16 education programs and services into an efficient and effective
17 delivery system for adult education learners, with special
18 consideration for providing contextualized learning and career
19 pathways and addressing barriers to education and employment.

20 (c) Collaborate with the career and educational advisory
21 council, which is an advisory council of the workforce development
22 boards located in the prosperity region or subregion, or its
23 successor, to create a local process and criteria that will
24 identify eligible adult education providers to receive funds
25 allocated under this section based on location, demand for
26 services, past performance, quality indicators as identified by the
27 department, and cost to provide instructional services. The fiscal
28 agent shall determine all local processes, criteria, and provider
29 determinations. However, the local processes, criteria, and



1 provider services must be approved by the department before funds
2 may be distributed to the fiscal agent.

3 (d) Provide oversight to its adult education providers
4 throughout the program year to ensure compliance with the
5 requirements of this section.

6 (e) Report adult education program and participant data and
7 information as prescribed by the department.

8 (6) An adult basic education program, an adult secondary
9 education program, or an adult English as a second language program
10 operated on a year-round or school year basis may be funded under
11 this section, subject to all of the following:

12 (a) The program enrolls adults who are determined by a
13 department-approved assessment, in a form and manner prescribed by
14 the department, to be below twelfth grade level in reading or
15 mathematics, or both, or to lack basic English proficiency.

16 (b) The program tests individuals for eligibility under
17 subdivision (a) before enrollment and upon completion of the
18 program in compliance with the state-approved assessment policy.

19 (c) A participant in an adult basic education program is
20 eligible for reimbursement until 1 of the following occurs:

21 (i) The participant's reading and mathematics proficiency are
22 assessed at or above the ninth grade level.

23 (ii) The participant fails to show progress on 2 successive
24 assessments after having completed at least 450 hours of
25 instruction.

26 (d) A participant in an adult secondary education program is
27 eligible for reimbursement until 1 of the following occurs:

28 (i) The participant's reading and mathematics proficiency are
29 assessed above the twelfth grade level.



1 (ii) The participant fails to show progress on 2 successive
2 assessments after having at least 450 hours of instruction.

3 (e) A funding recipient enrolling a participant in an English
4 as a second language program is eligible for funding according to
5 subsection (9) until the participant meets 1 of the following:

6 (i) The participant is assessed as having attained basic
7 English proficiency as determined by a department-approved
8 assessment.

9 (ii) The participant fails to show progress on 2 successive
10 department-approved assessments after having completed at least 450
11 hours of instruction. The department shall provide information to a
12 funding recipient regarding appropriate assessment instruments for
13 this program.

14 (7) A high school equivalency test preparation program
15 operated on a year-round or school year basis may be funded under
16 this section, subject to all of the following:

17 (a) The program enrolls adults who do not have a high school
18 diploma or a high school equivalency certificate.

19 (b) The program administers a pre-test approved by the
20 department before enrolling an individual to determine the
21 individual's literacy levels, administers a high school equivalency
22 practice test to determine the individual's potential for success
23 on the high school equivalency test, and administers a post-test
24 upon completion of the program in compliance with the state-
25 approved assessment policy.

26 (c) A funding recipient receives funding according to
27 subsection (9) for a participant, and a participant may be enrolled
28 in the program until 1 of the following occurs:

29 (i) The participant achieves a high school equivalency



1 certificate.

2 (ii) The participant fails to show progress on 2 successive
3 department-approved assessments used to determine readiness to take
4 a high school equivalency test after having completed at least 450
5 hours of instruction.

6 (8) A high school completion program operated on a year-round
7 or school year basis may be funded under this section, subject to
8 all of the following:

9 (a) The program enrolls adults who do not have a high school
10 diploma.

11 (b) The program tests participants described in subdivision
12 (a) before enrollment and upon completion of the program in
13 compliance with the state-approved assessment policy.

14 (c) A funding recipient receives funding according to
15 subsection (9) for a participant in a course offered under this
16 subsection until 1 of the following occurs:

17 (i) The participant passes the course and earns a high school
18 diploma.

19 (ii) The participant fails to earn credit in 2 successive
20 semesters or terms in which the participant is enrolled after
21 having completed at least 900 hours of instruction.

22 (9) The department shall make payments to a funding recipient
23 under this section in accordance with all of the following:

24 (a) Statewide allocation criteria, including 3-year average
25 enrollments, census data, and local needs.

26 (b) Participant completion of the adult basic education
27 objectives by achieving an educational gain as determined by the
28 national reporting system levels; for achieving basic English
29 proficiency, as determined by the department; for achieving a high



1 school equivalency certificate or passage of 1 or more individual
2 high school equivalency tests; for attainment of a high school
3 diploma or passage of a course required for a participant to attain
4 a high school diploma; for enrollment in a postsecondary
5 institution; or for entry into or retention of employment, as
6 applicable.

7 (c) Participant completion of core indicators as identified in
8 the workforce innovation and opportunity act, Public Law 113-128.

9 (d) Allowable expenditures.

10 (10) An individual who is not eligible to be a participant
11 funded under this section may receive adult education services upon
12 the payment of tuition. In addition, an individual who is not
13 eligible to be served in a program under this section due to the
14 program limitations specified in subsection (6), (7), or (8) may
15 continue to receive adult education services in that program upon
16 the payment of tuition. The local or intermediate district
17 conducting the program shall determine the tuition amount.

18 (11) An individual who is an inmate in a state correctional
19 facility is not counted as a participant under this section.

20 (12) A funding recipient shall not commingle money received
21 under this section or from another source for adult education
22 purposes with any other funds and shall establish a separate ledger
23 account for funds received under this section. This subsection does
24 not prohibit a district from using general funds of the district to
25 support an adult education or community education program.

26 (13) A funding recipient receiving funds under this section
27 may establish a sliding scale of tuition rates based upon a
28 participant's family income. A funding recipient may charge a
29 participant tuition to receive adult education services under this



1 section from that sliding scale of tuition rates on a uniform
2 basis. The amount of tuition charged per participant must not
3 exceed the actual operating cost per participant minus any funds
4 received under this section per participant. A funding recipient
5 may not charge a participant tuition under this section if the
6 participant's income is at or below 200% of the federal poverty
7 guidelines published by the United States Department of Health and
8 Human Services.

9 (14) To receive funds under this section, a funding recipient
10 shall furnish to the department, in a form and manner determined by
11 the department, all information needed to administer this program
12 and meet federal reporting requirements; shall allow the department
13 or the department's designee to review all records related to the
14 program for which it receives funds; and shall reimburse the state
15 for all disallowances found in the review, as determined by the
16 department. In addition, a funding recipient shall agree to pay to
17 a career and technical education program under section 61a the
18 amount of funding received under this section in the proportion of
19 career and technical education coursework used to satisfy adult
20 basic education programming, as billed to the funding recipient by
21 programs operating under section 61a.

22 (15) From the amount appropriated in subsection (1), an amount
23 not to exceed \$4,000,000.00 is allocated for ~~2025-2026~~**2026-2027** to
24 approved adult education programs that connect adult education
25 participants with employers as provided under this subsection. The
26 department shall determine regional planning allocations under this
27 subsection to each intermediate district serving as a fiscal agent
28 for adult education programs in each of the prosperity regions or
29 subregions identified by the department in the same proportion as



1 funding calculated and allocated under subsection (4). Funds not
2 fully utilized within a region may be transferred to other regions
3 as appropriate. To be eligible for funding under this subsection, a
4 program must provide a collaboration linking adult education
5 programs within the county, state-approved career and technical
6 education programs, and local employers. To receive funding under
7 this subsection, an eligible program must satisfy all of the
8 following:

9 (a) Connect adult education participants directly with
10 employers by linking adult education, career and technical skills,
11 and workforce development.

12 (b) Require adult education staff to work with Michigan Works!
13 agency to identify a cohort of participants who are most prepared
14 to successfully enter the workforce. Except as otherwise provided
15 under this subdivision, participants identified under this
16 subsection must be dually enrolled in adult education programming
17 and in at least 1 state-approved technical course through a career
18 and technical education program. A program that links participants
19 identified under this subsection with adult education programming
20 and commercial driver license courses does not need to enroll the
21 participants in at least 1 state-approved technical course through
22 a career and technical education program to be considered an
23 eligible program under this subsection.

24 (c) Employ an individual staffed as an adult education
25 navigator who will serve as a caseworker for each participant
26 identified under subdivision (b). The navigator shall work with
27 adult education staff and potential employers to design an
28 educational program best suited to the personal and employment
29 needs of the participant and shall work with human service agencies



1 or other entities to address any barrier in the way of participant
2 access.

3 (16) By not later than December 1 of each year, a program
4 funded under subsection (15) shall provide a report to the senate
5 and house appropriations subcommittees on school aid, to the senate
6 and house fiscal agencies, and to the state budget director
7 identifying the number of participants, graduation rates, and a
8 measure of transition to employment.

9 (17) Except as otherwise provided in this subsection,
10 participants under subsection (15) must be concurrently enrolled
11 and actively working toward obtaining a high school diploma or a
12 high school equivalency certificate. Concurrent enrollment is not
13 required under this subsection for a participant that was enrolled
14 in adult education during the same program year and obtained a high
15 school diploma or a high school equivalency certificate before
16 enrollment in an eligible career and technical skills program under
17 subsection (15). Up to 10% of adult education participants served
18 under subsection (15) may already have a high school diploma or a
19 high school equivalency certificate at the time of enrollment in an
20 eligible career and technical skills program under subsection (15)
21 and receive remediation services. It is intended that the cap
22 described in the immediately preceding sentence is continually
23 lowered on an annual basis until it eventually is 0%.

24 (18) The department shall approve at least 2 high school
25 equivalency tests and determine whether a high school equivalency
26 certificate meets the requisite standards for high school
27 equivalency in this state.

28 (19) As used in this section:

29 (a) "Career and educational advisory council" means an



1 advisory council to the local workforce development boards located
2 in a prosperity region consisting of educational, employer, labor,
3 and parent representatives.

4 (b) "Career pathway" means a combination of rigorous and high-
5 quality education, training, and other services that comply with
6 all of the following:

7 (i) Aligns with the skill needs of industries in the economy of
8 this state or in the regional economy involved.

9 (ii) Prepares an individual to be successful in any of a full
10 range of secondary or postsecondary education options, including
11 apprenticeships registered under the act of August 16, 1937,
12 commonly referred to as the national apprenticeship act, 29 USC 50
13 et seq.

14 (iii) Includes counseling to support an individual in achieving
15 the individual's education and career goals.

16 (iv) Includes, as appropriate, education offered concurrently
17 with and in the same context as workforce preparation activities
18 and training for a specific occupation or occupational cluster.

19 (v) Organizes education, training, and other services to meet
20 the particular needs of an individual in a manner that accelerates
21 the educational and career advancement of the individual to the
22 extent practicable.

23 (vi) Enables an individual to attain a secondary school diploma
24 or its recognized equivalent, and at least 1 recognized
25 postsecondary credential.

26 (vii) Helps an individual enter or advance within a specific
27 occupation or occupational cluster.

28 (c) "Department" means the department of labor and economic
29 opportunity.



(d) "Eligible adult education provider" means a district, intermediate district, a consortium of districts, a consortium of intermediate districts, or a consortium of districts and intermediate districts that is identified as part of the local process described in subsection (5) (c) and approved by the department.

Sec. 147. (1) The allocation for ~~2025-2026~~**2026-2027** for the public school employees' retirement system pursuant to the public school employees retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437, is made using the individual projected benefit entry age normal cost method of valuation and risk assumptions adopted by the public school employees retirement board and the department of technology, management, and budget.

(2) The annual level percentage of payroll contribution rates for the ~~2025-2026~~**2026-2027** fiscal year, as determined by the retirement system, are estimated as follows:

(a) For public school employees who first worked for a public school reporting unit before July 1, 2010 and who are enrolled in the health premium subsidy, the annual level percentage of payroll contribution rate is estimated at ~~44.93%~~**41.02%** with ~~29.91%~~**27.51%** paid directly by the employer.

(b) For public school employees who first worked for a public school reporting unit on or after July 1, 2010 and who are enrolled in the health premium subsidy, the annual level percentage of payroll contribution rate is estimated at ~~40.19%~~**36.28%** with ~~25.17%~~**22.77%** paid directly by the employer.

(c) For public school employees who first worked for a public school reporting unit on or after July 1, 2010 and who participate in the personal healthcare fund, the annual level percentage of



1 payroll contribution rate is estimated at ~~36.36%~~**34.85%** with 21.34%
2 paid directly by the employer.

3 (d) For public school employees who first worked for a public
4 school reporting unit on or after September 4, 2012, who elect
5 defined contribution, and who participate in the personal
6 healthcare fund, the annual level percentage of payroll
7 contribution rate is estimated at ~~30.23%~~**28.72%** with 15.21% paid
8 directly by the employer.

9 (e) For public school employees who first worked for a public
10 school reporting unit before July 1, 2010, who elect defined
11 contribution, and who are enrolled in the health premium subsidy,
12 the annual level percentage of payroll contribution rate is
13 estimated at ~~34.06%~~**30.15%** with ~~19.04%~~**16.64%** paid directly by the
14 employer.

15 (f) For public school employees who first worked for a public
16 school reporting unit before July 1, 2010, who elect defined
17 contribution, and who participate in the personal healthcare fund,
18 the annual level percentage of payroll contribution rate is
19 estimated at ~~30.23%~~**28.72%** with 15.21% paid directly by the
20 employer.

21 (g) For public school employees who first worked for a public
22 school reporting unit before July 1, 2010 and who participate in
23 the personal healthcare fund, the annual level percentage of
24 payroll contribution rate is estimated at ~~41.10%~~**39.59%** with 26.08%
25 paid directly by the employer.

26 (h) For public school employees who first worked for a public
27 school reporting unit after January 31, 2018 and who elect to
28 become members of the MPSERS plan, the annual level percentage of
29 payroll contribution rate is estimated at ~~36.43%~~**34.92%** with 21.41%



1 paid directly by the employer.

2 (3) In addition to the employer payments described in
3 subsection (2), the employer shall pay the applicable contributions
4 to the Tier 2 plan, as determined by the public school employees
5 retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437.

6 (4) The contribution rates in subsection (2) reflect an
7 amortization period of ~~13~~**12** years for ~~2024-2025-2026-2027~~. The
8 public school employees' retirement system board shall notify each
9 district and intermediate district by February 28 of each fiscal
10 year of the estimated contribution rate for the next fiscal year.

11 Sec. 147a. ~~(1) From the state school aid fund money~~
12 ~~appropriated in section 11, there is allocated for 2024-2025 an~~
13 ~~amount not to exceed \$100,000,000.00 for payments to participating~~
14 ~~districts. A participating district that receives money under this~~
15 ~~subsection shall use that money solely for the purpose of~~
16 ~~offsetting a portion of the retirement contributions owed by the~~
17 ~~district for the fiscal year in which it is received. The amount~~
18 ~~allocated to each participating district under this subsection is~~
19 ~~based on each participating district's percentage of the total~~
20 ~~statewide payroll for all participating districts for the~~
21 ~~immediately preceding fiscal year. As used in this subsection,~~
22 ~~"participating district" means a district that is a reporting unit~~
23 ~~of the Michigan public school employees' retirement system under~~
24 ~~the public school employees retirement act of 1979, 1980 PA 300,~~
25 ~~MCL 38.1301 to 38.1437, and that reports employees to the Michigan~~
26 ~~public school employees' retirement system for the applicable~~
27 ~~fiscal year.~~

28 ~~(2) In addition to the allocation under subsection (1), from~~
29 **From** the state school aid fund money appropriated under section 11,



1 there is allocated ~~an amount not to exceed \$414,900,000.00 for~~
 2 ~~2024-2025 and an amount not to exceed \$336,200,000.00~~
 3 **\$379,900,000.00** for 2025-2026 **and an amount not to exceed**
 4 **\$351,100,000.00 for 2026-2027** for payments to participating
 5 districts and intermediate districts and from the general fund
 6 money appropriated under section 11, there is allocated an amount
 7 not to exceed \$100,000.00 for ~~2024-2025 and 2025-2026~~ **and 2026-2027**
 8 for payments to participating district libraries. The amount
 9 allocated to each participating entity under this subsection is
 10 based on each participating entity's reported quarterly payroll for
 11 members that became tier 1 before February 1, 2018 for the current
 12 fiscal year. A participating entity that receives money under this
 13 subsection shall use that money solely for the purpose of
 14 offsetting a portion of the normal cost contribution rate. As used
 15 in this ~~subsection:~~**section:**

16 (a) "District library" means a district library established
 17 under the district library establishment act, 1989 PA 24, MCL
 18 397.171 to 397.196.

19 (b) "Participating entity" means a district, intermediate
 20 district, or district library that is a reporting unit of the
 21 Michigan public school employees' retirement system under the
 22 public school employees retirement act of 1979, 1980 PA 300, MCL
 23 38.1301 to 38.1437, and that reports employees to the Michigan
 24 public school employees' retirement system for the applicable
 25 fiscal year.

26 ~~(3) In addition to the allocations under subsections (1) and~~
 27 ~~(2), from the state school aid fund money appropriated in section~~
 28 ~~11, there is allocated for 2024-2025 only an amount not to exceed~~
 29 ~~\$11,939,000.00 for payments to participating intermediate districts~~



~~1 and participating district libraries. A participating intermediate
2 district or participating district library shall use that money
3 solely for the purpose of offsetting a portion of the retirement
4 contributions owed by the participating intermediate district or
5 participating district library for the fiscal year in which it is
6 received. The amount allocated to each participating intermediate
7 district or participating district library under this subsection is
8 calculated as follows:~~

~~9 (a) For each participating intermediate district,
10 \$11,912,000.00 multiplied by each participating intermediate
11 district's percentage of the total statewide payroll for all
12 participating intermediate districts for the immediately preceding
13 fiscal year.~~

~~14 (b) For each participating district library, \$27,000.00
15 multiplied by each participating district library's percentage of
16 the total statewide payroll for all participating district
17 libraries for the immediately preceding fiscal year.~~

~~18 (c) As used in this subsection:~~

~~19 (i) "Participating district library" means a district library
20 that is a reporting unit of the Michigan public school employees'
21 retirement system under the public school employees retirement act
22 of 1979, 1980 PA 300, MCL 38.1301 to 38.1437, and that reports
23 employees to the Michigan public school employees' retirement
24 system for the applicable fiscal year.~~

~~25 (ii) "Participating intermediate district" means an
26 intermediate district that is a reporting unit of the Michigan
27 public school employees' retirement system under the public school
28 employees retirement act of 1979, 1980 PA 300, MCL 38.1301 to
29 38.1437, and that reports employees to the Michigan public school~~



~~employees' retirement system for the applicable fiscal year.~~

~~(4) In addition to the allocations under subsections (1), (2), and (3), from the state school aid fund money appropriated in section 11, there is allocated for 2024-2025 an amount not to exceed \$598,000,000.00 for payments to participating entities. The amount allocated to each participating entity under this subsection is based on each participating entity's percentage of the total statewide payroll for all participating entities for the immediately preceding fiscal year. The amount allocated in this subsection represents an amount to effectively reduce each participating entity's unfunded actuarial accrued liability from 20.96% to an estimated 15.21% of covered payroll. It is the intent of the legislature that the allocation under this subsection be used to support student mental health, school safety, the educator workforce, and academic interventions.~~

~~(a) As used in this subsection:~~

~~(i) "District library" means a district library established under the district library establishment act, 1989 PA 24, MCL 397.171 to 397.196.~~

~~(ii) "Participating entity" means a district, intermediate district, district library, or community college that is a reporting unit of the Michigan public school employees' retirement system under the public school employees retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437, and that reports employees to the Michigan public school employees' retirement system for the applicable fiscal year.~~

Sec. 147b. (1) The MPSEERS retirement obligation reform reserve fund is created as a separate account within the state school aid fund.



(2) The state treasurer may receive money or other assets from any source for deposit into the MPERS retirement obligation reform reserve fund. The state treasurer shall direct the investment of the MPERS retirement obligation reform reserve fund. The state treasurer shall credit to the MPERS retirement obligation reform reserve fund interest and earnings from the MPERS retirement obligation reform reserve fund.

(3) Money available in the MPERS retirement obligation reform reserve fund must not be expended without a specific appropriation.

(4) Money in the MPERS retirement obligation reform reserve fund at the close of the fiscal year ~~remains in the MPERS retirement obligation reform reserve fund and does not lapse~~ **lapses** to the state school aid fund. ~~or to the general fund.~~ The department of treasury is the administrator of the MPERS retirement obligation reform reserve fund for auditing purposes.

~~(5) For 2022-2023, \$825,000,000.00 from the state school aid fund is deposited into the MPERS retirement obligation reform reserve fund. It is the intent of the legislature that \$425,000,000.00 of the funds deposited under this subsection for 2022-2023 are used to offset costs associated with accelerating the reduction of the payroll growth assumption for reporting units that are not university reporting units until that rate is zero by October 1, 2026.~~

Sec. 147c. (1) From the state school aid fund money appropriated in section 11, there is allocated for 2025-2026 an amount not to exceed ~~\$1,536,500,000.00~~ **\$1,536,500,000.00 and there is allocated for 2026-2027 an amount not to exceed \$1,454,400,000.00** for payments to districts and intermediate districts that are participating entities of the Michigan public



1 school employees' retirement system. In addition, from the general
2 fund money appropriated in section 11, there is allocated for 2025-
3 2026 **and 2026-2027** an amount not to exceed \$300,000.00 for payments
4 to district libraries that are participating entities of the
5 Michigan public school employees' retirement system. All of the
6 following apply to funding under this subsection:

7 (a) ~~Except as otherwise provided in this subdivision, for~~
8 ~~2025-2026, the~~ **The** amounts allocated under this subsection are
9 estimated to provide an average MPSEERS rate cap per pupil amount
10 for districts of \$1,100.00. ~~, which represents an average increase~~
11 ~~of \$362.00 per pupil compared to the immediately preceding state~~
12 ~~fiscal year.~~

13 (b) Payments made under this subsection are equal to the
14 difference between the unfunded actuarial accrued liability
15 contribution rate as calculated under section 41 of the public
16 school employees retirement act of 1979, 1980 PA 300, MCL 38.1341,
17 as calculated without taking into account the maximum employer rate
18 of ~~20.96%~~ **15.21%** included in section 41 of the public school
19 employees retirement act of 1979, 1980 PA 300, MCL 38.1341, and the
20 maximum employer rate of ~~20.96%~~ **15.21%** included in section 41 of
21 the public school employees retirement act of 1979, 1980 PA 300,
22 MCL 38.1341.

23 (c) The amount allocated to each participating entity under
24 this subsection is based on each participating entity's proportion
25 of the total covered payroll for the immediately preceding fiscal
26 year for the same type of participating entities. A participating
27 entity that receives funds under this subsection shall use the
28 funds solely for the purpose of retirement contributions as
29 specified in subdivision (d).



1 (d) Each participating entity receiving funds under this
2 subsection shall forward an amount equal to the amount allocated
3 under subdivision (c) to the retirement system in a form, manner,
4 and time frame determined by the retirement system.

5 (e) Funds allocated under this subsection should be considered
6 when comparing a district's growth in total state aid funding from
7 1 fiscal year to the next.

8 (f) By not later than December 20 of each fiscal year for
9 which funding is allocated under this subsection, the department
10 shall publish and post on its website an estimated MPERS rate cap
11 per pupil for each district.

12 (2) As used in this section:

13 (a) "District library" means a district library established
14 under the district library establishment act, 1989 PA 24, MCL
15 397.171 to 397.196.

16 (b) "MPERS rate cap per pupil" means an amount equal to the
17 quotient of the district's payment under this section divided by
18 the district's pupils in membership.

19 (c) "Participating entity" means, except as otherwise provided
20 in this subdivision, a district, intermediate district, or district
21 library that is a reporting unit of the Michigan public school
22 employees' retirement system under the public school employees
23 retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437, and
24 that reports employees to the Michigan public school employees'
25 retirement system for the applicable fiscal year.

26 (d) "Retirement system" means the Michigan public school
27 employees' retirement system under the public school employees
28 retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437.

29 Sec. 147e. (1) From the state school aid fund money



1 appropriated in section 11, ~~there is allocated for 2024-2025 an~~
 2 ~~amount not to exceed \$71,600,000.00, and there is allocated for~~
 3 2025-2026 an amount not to exceed ~~\$118,400,000.00~~ **\$71,000,000.00**
 4 **and there is allocated for 2026-2027 an amount not to exceed**
 5 **\$88,800,000.00** for payments to participating entities.

6 (2) The payment to each participating entity under this
 7 section is the sum of the amounts under this subsection as follows:

8 (a) An amount equal to the contributions made by a
 9 participating entity for the additional contribution made to a
 10 qualified participant's Tier 2 account in an amount equal to the
 11 contribution made by the qualified participant not to exceed 3% of
 12 the qualified participant's compensation as provided for under
 13 section 131(6) of the public school employees retirement act of
 14 1979, 1980 PA 300, MCL 38.1431.

15 (b) Beginning October 1, 2017, an amount equal to the
 16 contributions made by a participating entity for a qualified
 17 participant who is only a Tier 2 qualified participant under
 18 section 81d of the public school employees retirement act of 1979,
 19 1980 PA 300, MCL 38.1381d, not to exceed 4%, and, beginning
 20 February 1, 2018, not to exceed 1%, of the qualified participant's
 21 compensation.

22 (c) An amount equal to the increase in employer normal cost
 23 contributions under section 41b(2) of the public school employees
 24 retirement act of 1979, 1980 PA 300, MCL 38.1341b, for a member
 25 that was hired after February 1, 2018 and chose to participate in
 26 Tier 1, compared to the employer normal cost contribution for a
 27 member under section 41b(1) of the public school employees
 28 retirement act of 1979, 1980 PA 300, MCL 38.1341b.

29 (3) As used in this section:



(a) "Member" means that term as defined under the public school employees retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437.

(b) "Participating entity" means a district, intermediate district, or community college that is a reporting unit of the Michigan public school employees' retirement system under the public school employees retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437, and that reports employees to the Michigan public school employees' retirement system for the applicable fiscal year.

(c) "Qualified participant" means that term as defined under section 124 of the public school employees retirement act of 1979, 1980 PA 300, MCL 38.1424.

Sec. 152a. (1) As required by the court in the consolidated cases known as *Adair v State of Michigan*, 486 Mich 468 (2010), from the state school aid fund money appropriated in section 11, there is allocated for ~~2025-2026~~ **2026-2027** an amount not to exceed \$41,000,500.00 to be used solely for the purpose of paying necessary costs related to the state-mandated collection, maintenance, and reporting of data to this state. From this allocation, \$3,000,000.00 is allocated for costs associated with collecting data necessary to provide reporting to tribal governments on the status of students affiliated with their particular tribe and data necessary to determine student participation in federal programs funded under 20 USC 7401 to 7546 and participation in federal programs funded under the Johnson-O'Malley ~~Supplemental~~ **supplemental** Indian ~~Education Program~~ ~~Modernization Act,~~ **education program modernization act**, Public Law 115-404.



1 (2) From the allocation in subsection (1), the department
2 shall make payments to districts and intermediate districts in an
3 equal amount per pupil based on the total number of pupils in
4 membership in each district and intermediate district. The
5 department shall not make any adjustment to these payments after
6 the final installment payment under section 17b is made.

7 Sec. 152b. (1) From the general fund money appropriated under
8 section 11, there is allocated an amount not to exceed
9 \$1,000,000.00 for ~~2025-2026~~**2026-2027** to reimburse actual costs
10 incurred by nonpublic schools in complying with a health, safety,
11 or welfare requirement mandated by a law or administrative rule of
12 this state.

13 (2) By January 1 of each applicable fiscal year, the
14 department shall publish a form for reporting actual costs incurred
15 by a nonpublic school in complying with a health, safety, or
16 welfare requirement mandated under state law containing each
17 health, safety, or welfare requirement mandated by a law or
18 administrative rule of this state applicable to a nonpublic school
19 and with a reference to each relevant provision of law or
20 administrative rule for the requirement. The form must be posted on
21 the department's website in electronic form.

22 (3) By June 30 of each applicable fiscal year, a nonpublic
23 school seeking reimbursement for actual costs incurred in complying
24 with a health, safety, or welfare requirement under a law or
25 administrative rule of this state during each applicable school
26 year must submit a completed form described in subsection (2) to
27 the department. This section does not require a nonpublic school to
28 submit a form described in subsection (2). A nonpublic school is
29 not eligible for reimbursement under this section if the nonpublic



1 school does not submit the form described in subsection (2) in a
2 timely manner.

3 (4) By August 15 of each applicable fiscal year, the
4 department shall distribute funds to each nonpublic school that
5 submits a completed form described under subsection (2) in a timely
6 manner. The superintendent shall determine the amount of funds to
7 be paid to each nonpublic school in an amount that does not exceed
8 the nonpublic school's actual costs in complying with a health,
9 safety, or welfare requirement under a law or administrative rule
10 of this state. The superintendent shall calculate a nonpublic
11 school's actual cost in accordance with this section.

12 (5) If the funds allocated under this section are insufficient
13 to fully fund payments as otherwise calculated under this section,
14 the department shall distribute funds under this section on a
15 prorated or other equitable basis as determined by the
16 superintendent.

17 (6) The department may review the records of a nonpublic
18 school submitting a form described in subsection (2) only for the
19 limited purpose of verifying the nonpublic school's compliance with
20 this section. If a nonpublic school does not allow the department
21 to review records under this subsection, the nonpublic school is
22 not eligible for reimbursement under this section.

23 (7) The funds appropriated under this section are for purposes
24 that are incidental to teaching and the provision of educational
25 services to nonpublic school students; that are noninstructional in
26 nature; that do not constitute a primary function or element
27 necessary for a nonpublic school's existence, operation, and
28 survival; that do not involve or result in excessive religious
29 entanglement; and that are intended for the public purpose of



1 ensuring the health, safety, and welfare of the children in
2 nonpublic schools and to reimburse nonpublic schools for costs
3 described in this section.

4 (8) Funds allocated under this section are not intended to aid
5 or maintain any nonpublic school, support the attendance of any
6 student at a nonpublic school, employ any person at a nonpublic
7 school, support the attendance of any student at any location where
8 instruction is offered to a nonpublic school student, or support
9 the employment of any person at any location where instruction is
10 offered to a nonpublic school student.

11 (9) For purposes of this section, "actual cost" means the
12 hourly wage for the employee or employees performing a task or
13 tasks required to comply with a health, safety, or welfare
14 requirement under a law or administrative rule of this state
15 identified by the department under subsection (2) and is to be
16 calculated in accordance with the form published by the department
17 under subsection (2), which must include a detailed itemization of
18 costs. The nonpublic school shall not charge more than the hourly
19 wage of its lowest-paid employee capable of performing a specific
20 task regardless of whether that individual is available and
21 regardless of who actually performs a specific task. Labor costs
22 under this subsection must be estimated and charged in increments
23 of 15 minutes or more, with all partial time increments rounded
24 down. When calculating costs under subsection (4), fee components
25 must be itemized in a manner that expresses both the hourly wage
26 and the number of hours charged. The nonpublic school may not
27 charge any applicable labor charge amount to cover or partially
28 cover the cost of health or fringe benefits. A nonpublic school
29 shall not charge any overtime wages in the calculation of labor



costs.

(10) Training fees, inspection fees, and criminal background check fees are considered actual costs in complying with a health, safety, or welfare requirement under a law or administrative rule of this state.

~~(11) The funds allocated under this section for 2025-2026 are a work project appropriation, and any unexpended funds for 2025-2026 are carried forward into 2026-2027. The purpose of the work project is to continue to reimburse nonpublic schools for actual costs incurred in complying with a health, safety, or welfare requirement mandated by a law or administrative rule of this state. The estimated completion date of the work project is September 30, 2027.~~

~~(12)~~ The department shall reimburse nonpublic schools for actual costs incurred in complying with health, safety, or welfare requirements under a law or administrative rule of this state from 2017-2018 through 2022-2023 using work project funds or, if those funds are insufficient to fund reimbursements under this subsection, from the allocation under subsection (1).

Sec. 152c. (1) From the state school aid fund money appropriated in section 11, there is allocated for 2026-2027 only an amount not to exceed \$2,500,000.00 to Marquette-Alger Regional Educational Agency to develop statewide supports for the federal tribal consultation requirements under the every student succeeds act, Public Law 114-95.

(2) Marquette-Alger Regional Educational Agency shall use the funds to support a collaboration that includes, but is not limited to:

(a) Elected tribal leadership from federally recognized tribes



1 in Michigan.

2 (b) The Confederation of Michigan Tribal Education
3 Departments.

4 (c) School, district, and intermediate district leadership,
5 including elected board members.

6 (d) Directors of programs impacted by the federal tribal
7 consultation requirements.

8 (e) The department's indigenous education initiative.

9 (3) The collaboration described in subsection (2) shall do
10 both of the following:

11 (a) Create, disseminate, and evaluate professional learning to
12 support the implementation of the federal tribal consultation
13 requirements.

14 (b) By not later than January 1, 2028, and January 1 of each
15 subsequent fiscal year, prepare a summary report that includes
16 measurable outcomes to evaluate the progress made in the
17 development of effective government-to-government relations. The
18 report described in this subdivision must be submitted to the house
19 and senate appropriations subcommittees on school aid, the house
20 and senate fiscal agencies, and the state budget director.

21 (4) All of the following apply to professional learning
22 described in subsection (3) (a):

23 (a) The professional learning must include at least the
24 following:

25 (i) Identification of native students, including:

26 (A) Federal identification guidelines from the federal office
27 of management and budget under statistical policy directive number
28 15 for American Indian and Alaska Native students.

29 (B) Tribal affiliation data collection guidelines under MCL



1 388.1694a.

2 (C) Program participation data collection guidelines under MCL
3 388.1694a for federal programs funded under 20 USC 7401 to 7546 and
4 the Johnson-O'Malley supplemental Indian education program
5 modernization act, Public Law 115-404.

6 (ii) Guidelines and rules related to data sharing from
7 districts to federally recognized tribes as governed by the federal
8 education rights and privacy act, 20 USC 1232, 34 CFR Part 99; the
9 federal protection of pupil rights amendment, 20 USC 1232g, 34 CFR
10 Part 98; and section 1136 of the revised school code, MCL 380.1136.

11 (iii) The federal tribal consultation requirements under the
12 every student succeeds act, Public Law 114-95.

13 (iv) Key elements of effective tribal consultation.

14 (b) The initial professional learning must be made available
15 to all administrators, staff, and board members in each district
16 and intermediate district by September 30, 2027, with additional
17 resources released at least annually during the course of the work
18 project.

19 (5) Notwithstanding section 17b, the department shall make
20 payments under this section on a schedule determined by the
21 department.

22 Sec. 163. (1) Except as otherwise provided in the revised
23 school code **or rules promulgated by the department**, the board of a
24 district or intermediate district shall not permit any of the
25 following:

26 (a) An individual who is not appropriately placed under a
27 valid certificate, valid substitute permit, authorization, or
28 approval issued under rules promulgated by the department to teach
29 in an elementary or secondary school.



1 (b) An individual who does not satisfy the requirements of
2 section 1233 of the revised school code, MCL 380.1233, and rules
3 promulgated by the department to provide school counselor services
4 to pupils in an elementary or secondary school.

5 (c) An individual who does not satisfy the requirements of
6 section 1246 of the revised school code, MCL 380.1246, and rules
7 promulgated by the department to be employed as a superintendent,
8 principal, ~~or~~ assistant principal, or as an individual whose
9 primary responsibility is to administer instructional programs in
10 an elementary or secondary school or in a district or intermediate
11 district, unless the individual is working under a valid substitute
12 permit issued under rules promulgated by the department.

13 ~~(2) Except as otherwise provided under subsection (4) or (5),~~
14 ~~a district or intermediate district employing an individual in~~
15 ~~violation of this section must have deducted an amount equal to 50%~~
16 ~~of the amount paid to the individual for the period of employment~~
17 ~~that is in violation of this section. Except as otherwise provided~~
18 ~~under subsection (4) or (5), if a district or intermediate district~~
19 ~~is notified by the department that it is employing an individual in~~
20 ~~violation of this section and it continues to employ the individual~~
21 ~~in violation of this section 10 business days after receiving the~~
22 ~~notification, both of the following apply:~~

23 ~~(a) The district or intermediate district must have deducted~~
24 ~~an amount equal to 50% of the amount paid to the individual for the~~
25 ~~period of employment that is in violation of this section that~~
26 ~~occurs before the expiration of the 10-day period described in this~~
27 ~~subsection.~~

28 ~~(b) The district or intermediate district must have deducted~~
29 ~~an amount equal to 100% of the amount paid to the individual for~~



~~the period of employment that is in violation of this section that occurs after the 10-day period described in this subsection.~~

(2) If the department or the department's designee determines that a district or intermediate district has employed or assigned an individual in violation of this section, the department or the department's designee shall provide written notice of noncompliance to the district or intermediate district. The written notice must identify the individual, the affected assignment, the nature of the noncompliance, and the date on which the notice is issued. The written notice must also state that the district or intermediate district has 15 school days after receiving the notice to correct the noncompliance before a state aid adjustment is imposed under this section.

(3) ~~For purposes of~~ Except as otherwise provided under subsection ~~(2), (5)~~, if a district or intermediate district ~~on behalf of an individual or an individual successfully completes the credential application process through the department, including the submission of an appropriate application, required fees, and all required supporting documentation, the individual's employment with the district or intermediate district after this completion is not considered a period of employment that is in violation of this section.~~ does not correct an instance of noncompliance within 15 school days after receiving the written notice under subsection (2), the department shall make a state aid adjustment as follows:

(a) If the district or intermediate district does not correct the noncompliance within 15 school days after receiving written notice under subsection (2), the department shall make a state aid adjustment of \$50,000.00 on the sixteenth school day after the district or intermediate district receives the notice.



(b) Beginning on the seventeenth school day after the district or intermediate district receives the notice, the department shall make an additional state aid adjustment of \$1,000.00 for each school day the individual continues to be employed or assigned in violation of this section.

(c) The total state aid adjustment under this subsection must not exceed \$100,000.00 per individual per assignment per fiscal year.

(d) No state aid adjustment shall be made for any period of noncompliance that occurs before the district or intermediate district receives written notice under subsection (2).

(e) No state aid adjustment shall be made if the district or intermediate district corrects the noncompliance within 15 school days after receiving written notice under subsection (2).

(4) A determination of noncompliance under subsection (2) is final unless the district or intermediate district requests review by the superintendent of public instruction within 30 calendar days after receiving the written notice under subsection (2). A request for review does not stay the 15-school-day correction period or the accrual of a state aid adjustment under subsection (3), unless the superintendent of public instruction determines that a stay is warranted.

(5) ~~(4) A deduction state aid adjustment under subsection (2) for employment in violation of this section (3) may be less than the amount required under that subsection reduced or waived, in whole or in part,~~ if the superintendent of public instruction finds that the district or intermediate district was hindered in its ability to obtain a substitute credential to enable the district or intermediate district to employ the individual in compliance **comply**



1 with this section due to unusual and extenuating circumstances
 2 resulting from conditions not within the control of school
 3 authorities. ~~, including, but not~~ **Unusual and extenuating**
 4 **circumstances under this subsection may include, but are not**
 5 limited to, a natural disaster, death or serious illness of the
 6 individual or another employee, an emergency school closure, a
 7 **documented technical issue with the systems used to obtain the**
 8 **required certification, permit, authorization, or approval,** fraud
 9 or other intentional wrongdoing of the individual or another
 10 employee, or an emergency health condition as defined by city,
 11 county, or state health authorities. **In determining whether to**
 12 **reduce or waive a state aid adjustment, the superintendent of**
 13 **public instruction may consider whether the district or**
 14 **intermediate district had adequate systems and procedures in place**
 15 **to prevent noncompliance and whether the district or intermediate**
 16 **district took timely and reasonable action to correct the**
 17 **noncompliance after discovering or being notified of the violation.**

18 ~~(6) (5) There must be no deduction under subsection (2) for~~
 19 ~~employment of an individual if there is a membership adjustment~~
 20 ~~under section 15 based on the same employment.~~ **A state aid**
 21 **adjustment under this section for an educator misplacement is in**
 22 **lieu of any membership adjustment under section 6 or section 15**
 23 **based on the same individual, district or intermediate district,**
 24 **assignment, and period of noncompliance.**

25 ~~(7) (6)~~ If a school official is notified by the department **or**
 26 **the department's designee** that the school official is employing **or**
 27 **assigning** an individual in violation of this section and knowingly
 28 continues to employ **or assign** that individual ~~, in violation of~~
 29 **this section,** the school official is guilty of a misdemeanor



1 punishable by a fine of \$1,500.00 for each incident. This penalty
2 is in addition to ~~all other financial penalties otherwise specified~~
3 ~~in this article.~~ **any state aid adjustment imposed under this**
4 **section.**

5 (8) As used in this section:

6 (a) "Assignment" means a specific class, course, subject area,
7 instructional setting, administrative position, school counselor
8 position, or other position for which an individual is responsible.

9 (b) "Educator misplacement" means the employment or assignment
10 of an individual in violation of subsection (1).

11 (c) "School day" means a day on which pupils are scheduled to
12 receive instruction in the affected building, program, or
13 assignment.

14 (d) "Written notice" means notice issued by the department or
15 its designee to the district or intermediate district identifying a
16 violation of this section.

17 Sec. 164k. (1) If the department receives a report that a
18 district or intermediate district is violating any of the following
19 requirements, and the department confirms the violation, the
20 department shall withhold 5% of the payment the district is
21 eligible to receive under section 22b, or 5% of the payment the
22 intermediate district is eligible to receive under section 81, as
23 applicable, for as long as the district or intermediate district is
24 out of compliance:

25 (a) A district or intermediate district shall ensure that all
26 food made available to a student in the breakfast or lunch program
27 complies with all federal rules and regulations related to school
28 meals, **including provisions restricting access to soda and candy as**
29 **described in federal Smart Snacks Standards.**



1 (b) To the extent practicable under federal regulations, a
2 district or intermediate district shall require each student
3 household to complete the child nutrition and education benefits
4 application, as provided by the department, for free and reduced-
5 price school meals regardless of whether the district or
6 intermediate district opts to provide universal breakfast or lunch.

7 (c) For pupil membership count days after the fall 2025 count,
8 a district or intermediate district shall not provide a financial
9 incentive to students for attending pupil membership count day.

10 ~~(d) A district or intermediate district shall ensure that~~
11 ~~student survey questions and results are made available to the~~
12 ~~public, posted on the district's or intermediate district's~~
13 ~~website, and that parents and legal guardians are notified of the~~
14 ~~survey. As used in this subsection, "survey" includes any survey~~
15 ~~from the district or intermediate district or from the local,~~
16 ~~state, or federal government.~~

17 ~~(e) Beginning with the fiscal year ending September 30, 2026,~~
18 ~~if a district is not using a curriculum from the department's~~
19 ~~evidence-based curriculum list required under section 1280f of the~~
20 ~~revised school code, MCL 380.1280f, the district must provide a~~
21 ~~notification to all parents or legal guardians of students in~~
22 ~~grades K to 5 receiving instruction with that curriculum that~~
23 ~~includes all of the following:~~

24 ~~(i) A statement informing parents or legal guardians that the~~
25 ~~curriculum used by the district is not evidence-based or not~~
26 ~~aligned to state standards, which could negatively impact student~~
27 ~~academic outcomes.~~

28 ~~(ii) A statement explaining why the district is not using a~~
29 ~~curriculum that is evidence-based or aligned to state standards.~~



~~(iii) A plan, including a projected timeline, for when a new curriculum will be adopted that is evidence-based and aligned to state standards.~~

(d) Beginning with the 2026-2027 school year, the board of a district or intermediate district shall ensure that each school operated by the board implements the presidential fitness test for all students enrolled in physical education classes, consistent with guidance developed by the department under subsection (2) and except as otherwise stated in a student's individual education plan, in accordance with the suggestions and strategies promulgated under federal Executive Order No. 14327, 90 Fed. Reg. 37993 (July 31, 2025).

(2) The department, in consultation with the Governor's Council on Physical Fitness, Health, and Sports, shall develop guidance for the implementation of the presidential fitness test under subsection (1)(d). The guidance must be consistent with applicable state and federal law. The guidance must include, but is not limited to, both of the following:

(a) That any student with an individualized education plan (IEP) is not required to participate in the presidential fitness test, unless that student's IEP otherwise requires the presidential fitness test.

(b) A requirement that the presidential fitness test may only be administered in physical education classes, if such classes are offered by the school.

Sec. 164/. (1) Not later than 30 days after the enactment of ~~the~~ **any** amendatory act ~~that added to this section,~~ **article**, the ~~legislature~~ **house and senate** shall provide to the responsible entity and the state budget director a list of legislatively



1 directed spending items, ~~which may be referred to in this section~~
 2 ~~as grants or direct appropriation grants, funded under the~~
 3 ~~amendatory act that added this section consistent with house or~~
 4 ~~senate rules and this section.~~ **as defined in sections 364 and 364a**
 5 **of the management and budget act, MCL 18.1364 and 18.1364a, that**
 6 **are funded by the amendatory act.** The list must include all
 7 information and documents pertaining to the funded items as
 8 publicly disclosed ~~in accordance with house or senate rules and~~
 9 ~~this section.~~ **under sections 364 and 364a of the management and**
 10 **budget act, MCL 18.1364 and 18.1364a.**

11 ~~(2) Notwithstanding any other conditions or requirements for~~
 12 ~~direct appropriation grants, the responsible entity shall perform,~~
 13 ~~at a minimum, at least all of the following activities to~~
 14 ~~administer the grants described in subsection (1):~~

15 ~~(a) Establish a process to review, complete, and execute a~~
 16 ~~grant agreement with a grant recipient. The responsible entity~~
 17 ~~shall not execute a grant agreement unless all necessary~~
 18 ~~documentation has been submitted and reviewed.~~

19 ~~(b) Verify to the extent possible that a grant recipient is a~~
 20 ~~not-for-profit entity and will use funds as publicly disclosed and~~
 21 ~~for a public purpose that serves the economic prosperity, health,~~
 22 ~~safety, or general welfare of the residents of this state.~~

23 ~~(c) Review and verify all necessary information to ensure the~~
 24 ~~grant recipient is reasonably able to execute the grant agreement,~~
 25 ~~perform its fiduciary duty, and comply with all applicable state~~
 26 ~~and federal statutes. The responsible entity may deduct the cost of~~
 27 ~~background checks and any other efforts performed as part of this~~
 28 ~~verification from the amount of the designated grant award.~~

29 ~~(d) Disburse the grant money per the grant disbursement~~



~~1 schedule in the executed grant agreement on a reimbursement basis~~
~~2 after the grantee has provided sufficient documentation, as~~
~~3 determined by the responsible entity, to verify that expenditures~~
~~4 were made in accordance with the project purpose.~~

~~5 (c) If the state budget director determines that information~~
~~6 provided by the grantee does not meet the disclosure requirements,~~
~~7 that the grant will be used to pay a tax lien, delinquent tax, or~~
~~8 other obligation owed to this state, or that the grant will create~~
~~9 a conflict of interest, the responsible entity shall not release~~
~~10 the grant money to the grantee. Money that is not released under~~
~~11 this subdivision lapses at the end of the fiscal year. There is not~~
~~12 a conflict of interest if the sponsoring legislator certifies that~~
~~13 the sponsoring legislator's immediate family members, legislative~~
~~14 staff members that have worked for the sponsoring legislator within~~
~~15 the past 2 years, and the sponsoring legislator do not have a~~
~~16 direct or indirect pecuniary interest in the legislatively directed~~
~~17 spending item.~~

~~18 (3) An executed grant agreement under this section between the~~
~~19 responsible entity and a grant recipient must include at least all~~
~~20 of the following:~~

~~21 (a) All necessary identifying information for the grant~~
~~22 recipient, including any tax and financial information necessary~~
~~23 for the responsible entity to administer grant money under this~~
~~24 section.~~

~~25 (b) A description of the project for which the grant money~~
~~26 will be expended, including tentative timelines and the estimated~~
~~27 budget. Project budget must include how all grant money will be~~
~~28 used and must indicate if any grant money will be provided to a~~
~~29 third party or subrecipient. The responsible entity shall not~~



~~reimburse expenditures that are outside of the project purpose, as stated in the executed grant agreement, from appropriations under the amendatory act that added this section. The grantee shall return to the state treasury any interest in excess of \$1,000.00 earned on the grant money while unexpended and in possession of the grantee.~~

~~(c) Unless otherwise specified in the responsible entity's policy, a requirement that funds appropriated for the grants described in subsection (1) may be used only for expenditures that occur on or after the effective date of the amendatory act that added this section.~~

~~(d) A requirement for reporting by the grant recipient to the responsible entity and the legislative sponsor that provides the status of the project and an accounting of all money expended by the grant recipient, as determined by the responsible entity.~~

~~(e) A clawback provision that allows the department of treasury to recoup or otherwise collect any grant money that is declined, unspent, or otherwise misused.~~

~~(f) The documents publicly disclosed under subsection (1).~~

~~(4) If appropriate to improve the administration or oversight of a grant described in subsection (1), the responsible entity may adopt a memorandum of understanding with another state department to perform the required duties under this section.~~

~~(5) A grant recipient shall respond to all reasonable information requests from the responsible entity related to grant expenditures and retain grant records for not less than 7 years, and the grant may be subject to monitoring, site visits, and audit as determined by the responsible entity. The grant agreement required under this section must include signed assurance by the~~



~~chief executive officer or other executive officer of the grant recipient authorized to bind the grant recipient that the requirements of this subsection will be met.~~

~~(6) The grant recipient shall expend all grant money awarded and complete all projects not later than September 30, 2030. If, at that time, any unexpended money remains, the grant recipient shall return that money to the state treasury. If a grant recipient does not provide information sufficient to execute a grant agreement not later than June 1, 2026, the responsible entity shall return money associated with the grant to the state treasury.~~

~~(7) Any grant money that is awarded to a responsible entity is appropriated in that responsible entity for the purpose of the intended grant.~~

~~(8) Except as otherwise provided in subsection (9), beginning March 15 of the current fiscal year, the responsible entity shall post a report in a publicly accessible location on its website. The report must list the grant recipient, project purpose, and location of the project for each grant described in subsection (1), the status of money allocated and disbursed under the grant agreement, and the legislative sponsor, if applicable. The responsible entity shall update the report and post the updated report in a publicly accessible location on its website not later than June 15 of the current fiscal year and again not later than September 15 of the current fiscal year. The responsible entity shall include in the report the most comprehensive information the responsible entity has available at the time of posting for grants awarded.~~

~~(9) If the state budget office determines that it is more efficient for the state budget office to compile all affected responsible entities' information and post a report of the compiled~~



~~information rather than the report required under subsection (8) being posted by individual responsible entities, the state budget office may compile that information across all affected responsible entities and other state departments and post the compiled report and any updates on the same time schedule as identified in subsection (8).~~

~~(10) If the responsible entity reasonably determines that the money allocated for an executed grant agreement under this section was misused or that use of the money was misrepresented by the grant recipient, the responsible entity shall not award any additional funds under the executed grant agreement and shall refer the grant for review following internal audit protocols, which may include referral for criminal investigation.~~

~~(11) As used in this section, "responsible entity" means the department, the department of lifelong education, advancement, and potential, a district, an intermediate district, or other person that administers a grant under this article.~~

(2) In accordance with section 364 of the management and budget act, 1984 PA 431, MCL 18.1364, the department or agency administering the grant shall post a report in a publicly accessible location on its website beginning March 15 of the current fiscal year. The department or agency shall update the report and shall post an updated report not later than June 15 of the current fiscal year and again not later than September 15 of the current fiscal year. The department shall include in the report the most comprehensive information the department has available at the time of posting for grants awarded.

Sec. 164m. (1) Except as otherwise provided in section 22b(3)(g), a district that receives funds under section 22b(4) must



1 do all of the following:

2 (a) Use funds received for purposes including, but not limited
3 to, student achievement and success, literacy, mathematics, and
4 providing direct English language development instruction.

5 (b) Administer to English language learners the English
6 language proficiency assessment known as the "WIDA ACCESS for
7 English language learners" or the "WIDA Alternate ACCESS".

8 (c) Agree to meet or exceed the minimum number of minutes per
9 week, as determined by the department under subsection (2), that
10 the district provides direct English language development
11 instruction.

12 (d) Implement a multi-tiered system of supports that is an
13 evidence-based framework that uses data-driven problem solving to
14 integrate academic and behavioral instruction and that uses
15 intervention delivered to all pupils in varying intensities based
16 on pupil needs. The multi-tiered system of supports must be
17 implemented in grades K to 12 or, if the district does not operate
18 all of grades K to 12, for all of the grades the district operates.
19 The multi-tiered system of supports described in this subdivision
20 must provide at least all of the following essential components:

21 (i) Team-based leadership.

22 (ii) A tiered delivery system.

23 (iii) Selection and implementation of instruction,
24 interventions, and supports.

25 (iv) A comprehensive screening and assessment system.

26 (v) Continuous data-based decision making.

27 (e) Support pupil needs for pupils counted toward the
28 district's weighted pupil membership, including, but not limited
29 to, items identified in a district's Michigan Integrated Continuous



1 Improvement Process (MICIP) plan. An amount not to exceed 2% of the
2 amount received under section 22b(4) may be used to support
3 administrative costs related to complying with this section.
4 Administrative costs include, but are not limited to, central
5 office salaries and benefits, business and fiscal services, and
6 school administrative staff and expenses, and do not include costs
7 associated with direct instructional staff working with pupils
8 counted toward the weighted pupil membership.

9 (f) Provide information to the department, in a form and
10 manner determined by the department, necessary for the department
11 to monitor programs and services described in this section for
12 compliance with the requirements of this section and to ensure the
13 multi-tiered system of supports and English language learner
14 programs are implemented with fidelity.

15 (g) Allow access for the department or the department's
16 designee to audit all records related to the program for which the
17 district receives those funds. The district shall reimburse this
18 state for all disallowances found in any audit.

19 (h) Communicate the following information to parents and legal
20 guardians at least annually, as applicable for grades offered by
21 the district:

22 (i) Literacy-related results for the district, including
23 multiyear trend data, from the grade 3 Michigan student test of
24 educational progress (M-STEP), the grade 7 Michigan student test of
25 educational progress (M-STEP), and the SAT for pupils who are
26 economically disadvantaged or English language learners. The
27 district shall ensure that information described in this
28 subparagraph is reported in a manner that safeguards pupil privacy.

29 (ii) Information detailing the amount of funding received under



1 section 22b(4), how the district distributed that funding, and what
2 evidence-based interventions were implemented with that funding.
3 The information reported under this subparagraph must include a
4 method, including contact information, for parents or legal
5 guardians to provide feedback on the use of the funding as well as
6 to seek more information about services and interventions available
7 for their children.

8 (2) The department shall establish English language learner
9 program models that establish a minimum number of minutes per week
10 that districts must provide direct English language development
11 instruction for pupils according to the pupil's proficiency levels.
12 The program models described in this subsection must comply with
13 federal requirements related to English language learner program
14 services.

15 (3) The department shall monitor districts for compliance with
16 this section and may require districts to provide any information
17 to the department, in a form and manner determined by the
18 department, necessary to fulfill this requirement.

19 (4) As used in this section, "English language learner" and
20 "weighted pupil membership" mean those terms as defined in section
21 6.

22 Sec. 164n. By not later than 6 months after the state budget
23 office issues work project letters, and again on or before April
24 15, the department and the department of lifelong education,
25 advancement, and potential shall submit an annual report to the
26 senate and house appropriations subcommittees on school aid, the
27 senate and house fiscal agencies, and the senate and house policy
28 offices that summarizes all work project accounts. The report
29 described in this section must include all of the following:



(a) A list of all work project accounts.

(b) The status of all work project accounts, including amounts expended, amounts encumbered, and available balances for each account.

(c) The amount of funds that lapsed from any previously designated work project accounts, the name and description of the work project account, and the funds that received the lapsed amounts.

Sec. 164o. Districts and intermediate districts are encouraged to evaluate and pursue efficiency and cost-containment measures that maximize state funding. Districts and intermediate districts shall identify practices that increase efficiencies, including, but not limited to, establishing joint ventures, consolidating services, utilizing program collaborations, maximizing educational benefits through optimal class sizes and frequency of course offerings, eliminating low-enrollment and high-cost instructional programs, using self-insurance, practicing energy conservation, and utilizing group purchasing.

Sec. 201. (1) Subject to the conditions set forth in this article, the amounts listed in this section are appropriated for community colleges for the fiscal year ending September 30, ~~2026,~~ **2027**, from the funds indicated in this section. The following is a summary of the appropriations in this section and section 201f:

(a) The gross appropriation is ~~\$493,032,100.00.~~ **\$496,663,500.00.** After deducting total interdepartmental grants and intradepartmental transfers in the amount of \$0.00, the adjusted gross appropriation is ~~\$493,032,100.00.~~ **\$496,663,500.00.**

(b) The sources of the adjusted gross appropriation described in subdivision (a) are as follows:



(i) Total federal revenues, \$0.00.

(ii) Total local revenues, \$0.00.

(iii) Total private revenues, \$0.00.

(iv) Total other state restricted revenues, ~~\$493,032,100.00.~~
\$496,663,500.00.

(v) State general fund/general purpose money, \$0.00.

(2) Subject to subsection (3), the amount appropriated for community college operations is ~~\$363,570,600.00,~~ **\$363,594,500.00,** allocated as follows:

(a) The appropriation for Alpena Community College is ~~\$6,416,800.00, \$6,403,300.00 for operations, \$0.00 for performance funding, and \$13,500.00 for costs incurred under the North American Indian tuition waiver.~~ **\$6,431,400.00, \$6,403,300.00 for operations, \$0.00 for performance funding, and \$28,100.00 for costs incurred under the North American Indian tuition waiver.**

(b) The appropriation for Bay de Noc Community College is ~~\$6,390,000.00, \$6,298,000.00 for operations, \$0.00 for performance funding, and \$92,000.00 for costs incurred under the North American Indian tuition waiver.~~ **\$6,410,300.00, \$6,298,000.00 for operations, \$0.00 for performance funding, and \$112,300.00 for costs incurred under the North American Indian tuition waiver.**

(c) The appropriation for Delta College is ~~\$16,934,200.00, \$16,882,400.00 for operations, \$0.00 for performance funding, and \$51,800.00 for costs incurred under the North American Indian tuition waiver.~~ **\$16,928,400.00, \$16,882,400.00 for operations, \$0.00 for performance funding, and \$46,000.00 for costs incurred under the North American Indian tuition waiver.**

(d) The appropriation for Glen Oaks Community College is ~~\$2,987,000.00, \$2,984,100.00 for operations, \$0.00 for performance~~



1 ~~funding, and \$2,900.00 for costs incurred under the North American~~
 2 ~~Indian tuition waiver.~~ **\$2,984,500.00, \$2,984,100.00 for operations,**
 3 **\$0.00 for performance funding, and \$400.00 for costs incurred under**
 4 **the North American Indian tuition waiver.**

5 (e) The appropriation for Gogebic Community College is
 6 ~~\$5,439,100.00, \$5,399,000.00 for operations, \$0.00 for performance~~
 7 ~~funding, and \$40,100.00 for costs incurred under the North American~~
 8 ~~Indian tuition waiver.~~ **\$5,417,900.00, \$5,399,000.00 for operations,**
 9 **\$0.00 for performance funding, and \$18,900.00 for costs incurred**
 10 **under the North American Indian tuition waiver.**

11 (f) The appropriation for Grand Rapids Community College is
 12 ~~\$21,337,300.00, \$21,184,200.00 for operations, \$0.00 for~~
 13 ~~performance funding, and \$153,100.00 for costs incurred under the~~
 14 ~~North American Indian tuition waiver.~~ **\$21,387,200.00, \$21,184,200.00**
 15 **for operations, \$0.00 for performance funding, and \$203,000.00 for**
 16 **costs incurred under the North American Indian tuition waiver.**

17 (g) The appropriation for Henry Ford College is
 18 ~~\$25,305,200.00, \$25,300,700.00 for operations, \$0.00 for~~
 19 ~~performance funding, and \$4,500.00 for costs incurred under the~~
 20 ~~North American Indian tuition waiver.~~ **\$25,308,100.00, \$25,300,700.00**
 21 **for operations, \$0.00 for performance funding, and \$7,400.00 for**
 22 **costs incurred under the North American Indian tuition waiver.**

23 (h) The appropriation for Jackson College is ~~\$14,059,700.00,~~
 24 ~~\$14,032,600.00 for operations, \$0.00 for performance funding, and~~
 25 ~~\$27,100.00 for costs incurred under the North American Indian~~
 26 ~~tuition waiver.~~ **\$14,054,800.00, \$14,032,600.00 for operations, \$0.00**
 27 **for performance funding, and \$22,200.00 for costs incurred under**
 28 **the North American Indian tuition waiver.**

29 (i) The appropriation for Kalamazoo Valley Community College



1 is ~~\$14,751,300.00, \$14,704,400.00 for operations, \$0.00 for~~
 2 ~~performance funding, and \$46,900.00 for costs incurred under the~~
 3 ~~North American Indian tuition waiver.~~ **\$14,744,600.00, \$14,704,400.00**
 4 **for operations, \$0.00 for performance funding, and \$40,200.00 for**
 5 **costs incurred under the North American Indian tuition waiver.**

6 (j) The appropriation for Kellogg Community College is
 7 ~~\$11,453,400.00, \$11,426,700.00 for operations, \$0.00 for~~
 8 ~~performance funding, and \$26,700.00 for costs incurred under the~~
 9 ~~North American Indian tuition waiver.~~ **\$11,470,000.00, \$11,426,700.00**
 10 **for operations, \$0.00 for performance funding, and \$43,300.00 for**
 11 **costs incurred under the North American Indian tuition waiver.**

12 (k) The appropriation for Kirtland Community College is
 13 ~~\$3,881,400.00, \$3,835,100.00 for operations, \$0.00 for performance~~
 14 ~~funding, and \$46,300.00 for costs incurred under the North American~~
 15 ~~Indian tuition waiver.~~ **\$3,881,400.00, \$3,835,100.00 for operations,**
 16 **\$0.00 for performance funding, and \$46,300.00 for costs incurred**
 17 **under the North American Indian tuition waiver.**

18 (l) The appropriation for Lake Michigan College is
 19 ~~\$6,427,600.00, \$6,408,200.00 for operations, \$0.00 for performance~~
 20 ~~funding, and \$19,400.00 for costs incurred under the North American~~
 21 ~~Indian tuition waiver.~~ **\$6,417,300.00, \$6,408,200.00 for operations,**
 22 **\$0.00 for performance funding, and \$9,100.00 for costs incurred**
 23 **under the North American Indian tuition waiver.**

24 (m) The appropriation for Lansing Community College is
 25 ~~\$36,216,500.00, \$36,134,400.00 for operations, \$0.00 for~~
 26 ~~performance funding, and \$82,100.00 for costs incurred under the~~
 27 ~~North American Indian tuition waiver.~~ **\$36,206,200.00, \$36,134,400.00**
 28 **for operations, \$0.00 for performance funding, and \$71,800.00 for**
 29 **costs incurred under the North American Indian tuition waiver.**



(n) The appropriation for Macomb Community College is ~~\$38,251,500.00, \$38,160,600.00 for operations, \$0.00 for performance funding, and \$90,900.00 for costs incurred under the North American Indian tuition waiver.~~ **\$38,187,600.00, \$38,160,600.00 for operations, \$0.00 for performance funding, and \$27,000.00 for costs incurred under the North American Indian tuition waiver.**

(o) The appropriation for Mid Michigan Community College is ~~\$5,919,500.00, \$5,837,000.00 for operations, \$0.00 for performance funding, and \$82,500.00 for costs incurred under the North American Indian tuition waiver.~~ **\$5,921,400.00, \$5,837,000.00 for operations, \$0.00 for performance funding, and \$84,400.00 for costs incurred under the North American Indian tuition waiver.**

(p) The appropriation for Monroe County Community College is ~~\$5,368,900.00, \$5,368,500.00 for operations, \$0.00 for performance funding, and \$400.00 for costs incurred under the North American Indian tuition waiver.~~ **\$5,371,200.00, \$5,368,500.00 for operations, \$0.00 for performance funding, and \$2,700.00 for costs incurred under the North American Indian tuition waiver.**

(q) The appropriation for Montcalm Community College is ~~\$4,035,000.00, \$4,033,300.00 for operations, \$0.00 for performance funding, and \$1,700.00 for costs incurred under the North American Indian tuition waiver.~~ **\$4,042,800.00, \$4,033,300.00 for operations, \$0.00 for performance funding, and \$9,500.00 for costs incurred under the North American Indian tuition waiver.**

(r) The appropriation for C.S. Mott Community College is ~~\$18,028,100.00, \$18,017,800.00 for operations, \$0.00 for performance funding, and \$10,300.00 for costs incurred under the North American Indian tuition waiver.~~ **\$18,032,100.00, \$18,017,800.00 for operations, \$0.00 for performance funding, and \$14,300.00 for**



1 **costs incurred under the North American Indian tuition waiver.**

2 (s) The appropriation for Muskegon Community College is
 3 ~~\$10,403,400.00, \$10,359,900.00 for operations, \$0.00 for~~
 4 ~~performance funding, and \$43,500.00 for costs incurred under the~~
 5 ~~North American Indian tuition waiver.~~**\$10,412,100.00, \$10,359,900.00**
 6 **for operations, \$0.00 for performance funding, and \$52,200.00 for**
 7 **costs incurred under the North American Indian tuition waiver.**

8 (t) The appropriation for North Central Michigan College is
 9 ~~\$4,110,100.00, \$3,947,700.00 for operations, \$0.00 for performance~~
 10 ~~funding, and \$162,400.00 for costs incurred under the North~~
 11 ~~American Indian tuition waiver.~~**\$4,110,600.00, \$3,947,700.00 for**
 12 **operations, \$0.00 for performance funding, and \$162,900.00 for**
 13 **costs incurred under the North American Indian tuition waiver.**

14 (u) The appropriation for Northwestern Michigan College is
 15 ~~\$10,874,500.00, \$10,619,800.00 for operations, \$0.00 for~~
 16 ~~performance funding, and \$254,700.00 for costs incurred under the~~
 17 ~~North American Indian tuition waiver.~~**\$10,885,800.00, \$10,619,800.00**
 18 **for operations, \$0.00 for performance funding, and \$266,000.00 for**
 19 **costs incurred under the North American Indian tuition waiver.**

20 (v) The appropriation for Oakland Community College is
 21 ~~\$25,168,400.00, \$25,130,000.00 for operations, \$0.00 for~~
 22 ~~performance funding, and \$38,400.00 for costs incurred under the~~
 23 ~~North American Indian tuition waiver.~~**\$25,166,900.00, \$25,130,000.00**
 24 **for operations, \$0.00 for performance funding, and \$36,900.00 for**
 25 **costs incurred under the North American Indian tuition waiver.**

26 (w) The appropriation for Schoolcraft College is
 27 ~~\$14,997,300.00, \$14,972,000.00 for operations, \$0.00 for~~
 28 ~~performance funding, and \$25,300.00 for costs incurred under the~~
 29 ~~North American Indian tuition waiver.~~**14,989,100.00, \$14,972,000.00**



1 **for operations, \$0.00 for performance funding, and \$17,100.00 for**
 2 **costs incurred under the North American Indian tuition waiver.**

3 (x) The appropriation for Southwestern Michigan College is
 4 ~~\$7,805,700.00, \$7,786,600.00 for operations, \$0.00 for performance~~
 5 ~~funding, and \$19,100.00 for costs incurred under the North American~~
 6 ~~Indian tuition waiver.~~**\$7,803,100.00, \$7,786,600.00 for operations,**
 7 **\$0.00 for performance funding, and \$16,500.00 for costs incurred**
 8 **under the North American Indian tuition waiver.**

9 (y) The appropriation for St. Clair County Community College
 10 is ~~\$8,355,300.00, \$8,342,000.00 for operations, \$0.00 for~~
 11 ~~performance funding, and \$13,300.00 for costs incurred under the~~
 12 ~~North American Indian tuition waiver.~~**\$8,351,300.00, \$8,342,000.00**
 13 **for operations, \$0.00 for performance funding, and \$9,300.00 for**
 14 **costs incurred under the North American Indian tuition waiver.**

15 (z) The appropriation for Washtenaw Community College is
 16 ~~\$16,276,300.00, \$16,257,300.00 for operations, \$0.00 for~~
 17 ~~performance funding, and \$19,000.00 for costs incurred under the~~
 18 ~~North American Indian tuition waiver.~~**\$16,289,700.00, \$16,257,300.00**
 19 **for operations, \$0.00 for performance funding, and \$32,400.00 for**
 20 **costs incurred under the North American Indian tuition waiver.**

21 (aa) The appropriation for Wayne County Community College is
 22 ~~\$19,462,800.00, \$19,460,300.00 for operations, \$0.00 for~~
 23 ~~performance funding, and \$2,500.00 for costs incurred under the~~
 24 ~~North American Indian tuition waiver.~~**\$19,464,000.00, \$19,460,300.00**
 25 **for operations, \$0.00 for performance funding, and \$3,700.00 for**
 26 **costs incurred under the North American Indian tuition waiver.**

27 (bb) The appropriation for West Shore Community College is
 28 ~~\$2,914,300.00, \$2,896,700.00 for operations, \$0.00 for performance~~
 29 ~~funding, and \$17,600.00 for costs incurred under the North American~~



~~Indian tuition waiver.~~ **\$2,924,700.00, \$2,896,700.00 for operations,**
\$0.00 for performance funding, and \$28,000.00 for costs incurred
under the North American Indian tuition waiver.

(3) The amount appropriated in subsection (2) for community college operations is ~~\$363,570,600.00~~ **\$363,594,500.00** and is appropriated from the state school aid fund.

(4) From the appropriations described in subsection (1), both of the following apply:

(a) Subject to section 207a, the amount appropriated for fiscal year ~~2025-2026~~ **2026-2027** to offset certain fiscal year ~~2025-2026~~ **2026-2027** retirement contributions is \$7,189,000.00, appropriated from the state school aid fund.

(b) For fiscal year ~~2025-2026~~ **2026-2027**, there is allocated an amount not to exceed ~~\$19,600,000.00~~ **\$20,750,000.00** for payments to participating community colleges, appropriated from the state school aid fund. A community college that receives money under this subdivision shall use that money solely for the purpose of offsetting the normal cost contribution rate.

(5) From the appropriations described in subsection (1), subject to section 207b, the amount appropriated for payments to community colleges that are participating entities of the retirement system is ~~\$89,500,000.00~~ **\$84,800,000.00** appropriated from the state school aid fund.

(6) From the appropriations described in subsection (1), subject to section 207c, the amount appropriated for renaissance zone tax reimbursements is \$2,200,000.00, appropriated from the state school aid fund. Each community college receiving funds in this subsection shall accrue these payments to its institutional fiscal year ending June 30, ~~2026~~ **2027**.



(7) For fiscal year 2026-2027 only, from the appropriations described in subsection (1), a grant must be made available to a community college for the continuation of the Michigan Maritime Manufacturing Initiative that is \$3,500,000.00, appropriated from the state school aid fund. The department of labor and economic opportunity shall administer the funds under this subsection for up to \$3,500,000.00 for the Michigan Maritime Manufacturing Initiative, which is a partnership between the state and federal government aimed at building a workforce ready to lead the future of defense manufacturing through the teaching of critical skills for maritime construction, particularly in maritime welding and maritime machining. Funds allocated under this grant must be used to provide instruction and certification in maritime welding, maritime machining, and maritime construction. Grant applicants must be a community college with a program that can be used to support the purpose of the project by providing instruction and certifications in maritime welding, maritime machining, and maritime construction.

Sec. 201f. For fiscal year ~~2025-2026~~**2026-2027** only, from the appropriations described in section 201(1), ~~\$10,972,500.00~~
\$14,630,000.00 is appropriated from the state school aid fund for a 1-time performance funding payment. Funds appropriated under this section, subject to conditions described in sections 217b and 230, must be distributed as follows:

- (a) Alpena Community College, ~~\$271,100.00~~**\$233,300.00**.
- (b) Bay de Noc Community College, ~~\$178,200.00~~**\$234,700.00**.
- (c) Delta College, ~~\$493,300.00~~**\$644,400.00**.
- (d) Glen Oaks Community College, ~~\$91,200.00~~**\$132,700.00**.
- (e) Gogebic Community College, ~~\$139,500.00~~**\$212,000.00**.



1 (f) Grand Rapids Community College, ~~\$685,500.00~~ **\$902,800.00.**
 2 (g) Henry Ford College, ~~\$750,900.00~~ **\$990,300.00.**
 3 (h) Jackson College, ~~\$364,800.00~~ **\$513,000.00.**
 4 (i) Kalamazoo Valley Community College,
 5 ~~\$433,700.00~~ **\$615,100.00.**
 6 (j) Kellogg Community College, ~~\$324,400.00~~ **\$433,800.00.**
 7 (k) Kirtland Community College, ~~\$146,500.00~~ **\$212,400.00.**
 8 (l) Lake Michigan College, ~~\$192,200.00~~ **\$284,000.00.**
 9 (m) Lansing Community College, ~~\$924,700.00~~ **\$1,189,000.00.**
 10 (n) Macomb Community College, ~~\$1,090,600.00~~ **\$1,450,400.00.**
 11 (o) Mid Michigan Community College, ~~\$193,900.00~~ **\$254,500.00.**
 12 (p) Monroe County Community College, ~~\$206,600.00~~ **\$230,100.00.**
 13 (q) Montcalm Community College, ~~\$122,300.00~~ **\$162,700.00.**
 14 (r) C.S. Mott Community College, ~~\$491,700.00~~ **\$658,400.00.**
 15 (s) Muskegon Community College, ~~\$298,600.00~~ **\$394,200.00.**
 16 (t) North Central Michigan College, ~~\$144,300.00~~ **\$217,800.00.**
 17 (u) Northwestern Michigan College, ~~\$289,400.00~~ **\$387,800.00.**
 18 (v) Oakland Community College, ~~\$816,500.00~~ **\$1,146,800.00.**
 19 (w) Schoolcraft College, ~~\$503,200.00~~ **\$684,300.00.**
 20 (x) Southwestern Michigan College, ~~\$210,400.00~~ **\$276,800.00.**
 21 (y) St. Clair County Community College,
 22 ~~\$258,200.00~~ **\$360,200.00.**
 23 (z) Washtenaw Community College, ~~\$664,900.00~~ **\$881,100.00.**
 24 (aa) Wayne County Community College, ~~\$600,900.00~~ **\$792,600.00.**
 25 (bb) West Shore Community College, ~~\$85,000.00~~ **\$134,800.00.**

26 **Sec. 201h. In addition to funds appropriated under section**
 27 **201(4) (b) , as amended by 2025 PA 15, for fiscal year 2025-2026**
 28 **only, \$2,400,000.00 is appropriated from the state school aid fund**
 29 **for payments to participating community colleges. A community**



1 college that receives money under this section shall use that money
 2 solely for the purpose of offsetting the normal cost contribution
 3 rate.

4 Sec. 201i. (1) ~~Not later than~~ **Within** 30 days after ~~of~~ the
 5 enactment of ~~the an~~ amendatory act ~~that added this section, to this~~
 6 **article**, the legislature ~~house and senate~~ shall provide to the
 7 ~~responsible entity and the state budget director~~ **office** a **jointly**
 8 **agreed upon** list of legislatively directed spending items ~~, which~~
 9 ~~may be referred to in this section as grants or direct~~
 10 ~~appropriation grants, funded under the amendatory act that added~~
 11 ~~this section consistent with house or senate rules and this~~
 12 ~~section. funded by the amendatory act.~~ The list must include all
 13 information and documents pertaining to the funded items as
 14 publicly disclosed in accordance with ~~house or senate rules and~~
 15 ~~this section. sections 364 and 364a of the management and budget~~
 16 **act, 1984 PA 431, MCL 18.1364 and 18.1364a. As used in this**
 17 **subsection, "legislatively directed spending item" means that term**
 18 **as defined in section 364 of the management and budget act, 1984 PA**
 19 **431, MCL 18.1364.**

20 ~~(2) Notwithstanding any other conditions or requirements for~~
 21 ~~direct appropriation grants, the responsible entity shall perform,~~
 22 ~~at a minimum, at least all of the following activities to~~
 23 ~~administer the grants described in subsection (1):~~

24 ~~(a) Establish a process to review, complete, and execute a~~
 25 ~~grant agreement with a grant recipient. The responsible entity~~
 26 ~~shall not execute a grant agreement unless all necessary~~
 27 ~~documentation has been submitted and reviewed.~~

28 ~~(b) Verify to the extent possible that a grant recipient is a~~
 29 ~~not for profit entity and will use funds as publicly disclosed and~~



1 ~~for a public purpose that serves the economic prosperity, health,~~
2 ~~safety, or general welfare of the residents of this state.~~

3 ~~(c) Review and verify all necessary information to ensure the~~
4 ~~grant recipient is reasonably able to execute the grant agreement,~~
5 ~~perform its fiduciary duty, and comply with all applicable state~~
6 ~~and federal statutes. The responsible entity may deduct the cost of~~
7 ~~background checks and any other efforts performed as part of this~~
8 ~~verification from the amount of the designated grant award.~~

9 ~~(d) Disburse the grant money per the grant disbursement~~
10 ~~schedule in the executed grant agreement on a reimbursement basis~~
11 ~~after the grantee has provided sufficient documentation, as~~
12 ~~determined by the responsible entity, to verify that expenditures~~
13 ~~were made in accordance with the project purpose.~~

14 ~~(e) If the state budget director determines that information~~
15 ~~provided by the grantee does not meet the disclosure requirements,~~
16 ~~that the grant will be used to pay a tax lien, delinquent tax, or~~
17 ~~other obligation owed to this state, or that the grant will create~~
18 ~~a conflict of interest, the responsible entity shall not release~~
19 ~~the grant money to the grantee. Money that is not released under~~
20 ~~this subdivision lapses at the end of the fiscal year. There is not~~
21 ~~a conflict of interest if the sponsoring legislator certifies that~~
22 ~~the sponsoring legislator's immediate family members, legislative~~
23 ~~staff members that have worked for the sponsoring legislator within~~
24 ~~the past 2 years, and the sponsoring legislator do not have a~~
25 ~~direct or indirect pecuniary interest in the legislatively directed~~
26 ~~spending item.~~

27 ~~(3) An executed grant agreement under this section between the~~
28 ~~responsible entity and a grant recipient must include at least all~~
29 ~~of the following:~~



1 ~~(a) All necessary identifying information for the grant~~
2 ~~recipient, including any tax and financial information necessary~~
3 ~~for the responsible entity to administer grant money under this~~
4 ~~section.~~

5 ~~(b) A description of the project for which the grant money~~
6 ~~will be expended, including tentative timelines and the estimated~~
7 ~~budget. Project budget must include how all grant money will be~~
8 ~~used and must indicate if any grant money will be provided to a~~
9 ~~third party or subrecipient. The responsible entity shall not~~
10 ~~reimburse expenditures that are outside of the project purpose, as~~
11 ~~stated in the executed grant agreement, from appropriations under~~
12 ~~the amendatory act that added this section. The grantee shall~~
13 ~~return to the state treasury any interest in excess of \$1,000.00~~
14 ~~earned on the grant money while unexpended and in possession of the~~
15 ~~grantee.~~

16 ~~(c) Unless otherwise specified in the responsible entity's~~
17 ~~policy, a requirement that funds appropriated for the grants~~
18 ~~described in subsection (1) may be used only for expenditures that~~
19 ~~occur on or after the effective date of the amendatory act that~~
20 ~~added this section.~~

21 ~~(d) A requirement for reporting by the grant recipient to the~~
22 ~~responsible entity and the legislative sponsor that provides the~~
23 ~~status of the project and an accounting of all money expended by~~
24 ~~the grant recipient, as determined by the responsible entity.~~

25 ~~(e) A clawback provision that allows the department of~~
26 ~~treasury to recoup or otherwise collect any grant money that is~~
27 ~~declined, unspent, or otherwise misused.~~

28 ~~(f) The documents publicly disclosed under subsection (1).~~

29 ~~(4) If appropriate to improve the administration or oversight~~



~~of a grant described in subsection (1), the responsible entity may adopt a memorandum of understanding with another state department to perform the required duties under this section.~~

~~(5) A grant recipient shall respond to all reasonable information requests from the responsible entity related to grant expenditures and retain grant records for not less than 7 years, and the grant may be subject to monitoring, site visits, and audit as determined by the responsible entity. The grant agreement required under this section must include signed assurance by the chief executive officer or other executive officer of the grant recipient authorized to bind the grant recipient that the requirements of this subsection will be met.~~

~~(6) The grant recipient shall expend all grant money awarded and complete all projects not later than September 30, 2030. If at that time any unexpended money remains, the grant recipient shall return that money to the state treasury. If a grant recipient does not provide information sufficient to execute a grant agreement not later than June 1, 2026, the responsible entity shall return money associated with the grant to the state treasury.~~

~~(7) Any grant money that is awarded to a responsible entity is appropriated in that responsible entity for the purpose of the intended grant.~~

(2) (8) Except as otherwise provided in subsection (9), beginning March 15 of the current fiscal year, the responsible entity
In accordance with section 364(4) of the management and budget act, 1984 PA 431, MCL 18.1364, the department or agency administering the grant described in subsection (1) shall post a report in a publicly accessible location on its website beginning March 15 of the current fiscal year. The report must list the grant



~~recipient, project purpose, and location of the project for each~~
~~grant described in subsection (1), the status of money allocated~~
~~and disbursed under the grant agreement, and the legislative~~
~~sponsor, if applicable. The responsible entity~~ **The department or**
~~agency~~ shall update the report and **shall** post ~~the~~ **an** updated report
~~in a publicly accessible location on its website not later than~~
~~June 15 of the current fiscal year and again not later than~~
~~September 15 of the current fiscal year. The responsible entity~~
~~department or agency~~ shall include in the report the most
~~comprehensive information the responsible entity~~ **department or**
~~agency~~ has available at the time of posting for grants awarded.

~~(9) If the state budget office determines that it is more~~
~~efficient for the state budget office to compile all affected~~
~~responsible entities' information and post a report of the compiled~~
~~information rather than the report required under subsection (8)~~
~~being posted by individual responsible entities, the state budget~~
~~office may compile that information across all affected responsible~~
~~entities and other state departments and post the compiled report~~
~~and any updates on the same time schedule as identified in~~
~~subsection (8).~~

~~(10) If the responsible entity reasonably determines that the~~
~~money allocated for an executed grant agreement under this section~~
~~was misused or that use of the money was misrepresented by the~~
~~grant recipient, the responsible entity shall not award any~~
~~additional funds under the executed grant agreement and shall refer~~
~~the grant for review following internal audit protocols, which may~~
~~include referral for criminal investigation.~~

~~(11) As used in this section, "responsible entity" means the~~
~~department of lifelong education, advancement, and potential, a~~



~~community college, or other person that administers a grant under this article.~~

Sec. 202a. As used in this article:

(a) "Center" means the center for educational performance and information created in section 94a.

(b) "College level equivalent credit examination" means an examination that is administered by an independent testing service and that is used by colleges and universities generally to award postsecondary credit for achievement of a particular score, and includes, but is not limited to, advanced placement examinations, the DANTES Subject Standardized Test (DSST), and college-level examination program (CLEP) examinations.

(c) "Participating college" means a community college that is a reporting unit of the retirement system and that reports employees to the retirement system for the state fiscal year.

(d) "Retirement system" means the Michigan public school employees' retirement system under the public school employees retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437.

(e) "Standard report recipients" means the senate and house appropriations committees, the senate and house appropriations subcommittees on community colleges, the senate and house fiscal agencies, the senate and house policy offices, and the state budget office.

Sec. 203. **(1)** Unless otherwise specified, a community college that receives appropriations in section 201 and the center shall use the internet to fulfill the reporting requirements of this article. This requirement includes transmission of reports via electronic mail to the recipients identified for each reporting requirement and placement of ~~reports~~ **each required report in a**



1 **single archivable location** on an internet site, **not later than the**
 2 **due date required for each report.**

3 (2) In addition to placing all required reports in the current
 4 fiscal year on the community college's website, a community college
 5 shall maintain on its website all reports placed on the website
 6 from previous 7 fiscal years, posted by fiscal year in the same
 7 single archivable location. This requirement does not apply to the
 8 center.

9 Sec. 205. To the extent possible, the principal executive
 10 officer of each community college that receives appropriations in
 11 section 201 shall take all reasonable steps to ensure that
 12 geographically disadvantaged business enterprises compete for and
 13 perform contracts to provide services or supplies, or both. Each
 14 principal executive officer shall strongly encourage businesses
 15 with which the community college contracts to subcontract with
 16 certified geographically disadvantaged business enterprises for
 17 services or supplies, or both. As used in this section,
 18 "geographically disadvantaged business enterprises" means that term
 19 as defined in Executive Directive No. ~~2023-1~~2019-8.

20 Sec. 206. (1) Except for the funds appropriated in ~~section~~
 21 **sections** 201(4)(b) **and 201(7)**, the funds appropriated in ~~section~~
 22 **sections** 201 **and 201f** are appropriated for community colleges with
 23 fiscal years ending June 30, ~~2026~~2027 and must be paid out of the
 24 state treasury and distributed by the state treasurer to the
 25 respective community colleges in 11 monthly installments on the
 26 sixteenth of each month, or the next succeeding business day,
 27 beginning with October 16, ~~2025~~2026. Each community college shall
 28 accrue its July and August ~~2026~~2027 payments to its institutional
 29 fiscal year ending June 30, ~~2026~~2027.



(2) The funds appropriated in section 201(4) (b) are appropriated for community colleges with fiscal years ending June 30, ~~2026-2027~~ and must be distributed to the respective community colleges in quarterly installments on the sixteenth of each November, February, May, and August. Each community college shall accrue its August ~~2026-2027~~ payments to its institutional fiscal year ending June 30, ~~2026-2027~~.

Sec. 207c. All of the following apply to the allocation of the appropriations described in section 201(6) to community colleges described in section 12(3) of the Michigan renaissance zone act, 1996 PA 376, MCL 125.2692:

(a) The amount allocated to each community college under section 201(6) for fiscal year ~~2025-2026-2026-2027~~ must be based on that community college's proportion of total revenue lost by community colleges as a result of the exemption of property taxes levied in ~~2025-2026~~ under the Michigan renaissance zone act, 1996 PA 376, MCL 125.2681 to 125.2696.

(b) The appropriations described in section 201(6) must be made to each eligible community college within 60 days after the department of treasury certifies to the state budget director that it has received all necessary information to properly determine the amounts payable to each eligible community college under section 12 of the Michigan renaissance zone act, 1996 PA 376, MCL 125.2692.

Sec. 210b. By March 1 of each year, the Michigan Community College Association and the Michigan Association of State Universities shall submit a report to the ~~senate and house appropriations subcommittees on community colleges, the senate and house fiscal agencies,~~ **standard report recipients** and the department of lifelong education, advancement, and potential ~~, and~~



1 ~~the state budget director~~ on the activities and programs focused on
2 improving transfer student outcomes since March 1 of the previous
3 year, including all of the following:

4 (a) The direct transferability of mathematics gateway courses
5 between and among community colleges and universities.

6 (b) The implementation of MiTransfer pathways.

7 (c) The progress on increasing participation in MiTransfer
8 pathways among community colleges and public universities.

9 (d) The implementation of the Michigan Transfer Network at
10 mitransfer.org.

11 (e) A progress report on the implementation of the Michigan
12 transfer agreement.

13 Sec. 212. Community college districts are encouraged to
14 evaluate and pursue efficiency and cost-containment measures that
15 maximize state funding. Community colleges shall identify practices
16 that increase efficiencies, including, but not limited to,
17 establishing joint ventures, consolidating services, utilizing
18 program collaborations, maximizing educational benefits through
19 optimal class sizes and frequency of course offerings, **increasing**
20 **web-based instruction**, eliminating low-enrollment and high-cost
21 instructional programs, using self-insurance, practicing energy
22 conservation, and utilizing group purchasing. Community colleges
23 shall also review proposed capital outlay projects to increase
24 coordination and utilization of new facilities, renovation
25 projects, and technology improvements.

26 **Sec. 213. Not later than 6 months after the state budget**
27 **office issues work project letters, and again on or by April 15,**
28 **the state budget office shall submit an annual report that**
29 **summarizes all work project accounts to the standard report**



1 recipients. The report must include all of the following:

2 (a) A list of all work project accounts.

3 (b) The status of all work project accounts, including amounts
4 expended, amounts encumbered, and available balances for each
5 account.

6 (c) The amount of funds that lapsed from any previously
7 designated work project accounts, the name and description of the
8 work project account, and the funds that received the lapsed
9 amounts.

10 Sec. 217a. (1) Each community college that receives an
11 appropriation in ~~section~~**sections** 201 **and 201f** shall submit all of
12 the following information in the form and manner specified by the
13 center:

14 (a) The Michigan community colleges verified data inventory
15 data for the preceding academic year to the center by the first
16 business day of November of each year as specified in section 217.

17 (b) Tuition and mandatory fees information as specified in
18 section 217b.

19 (c) The longitudinal data set to the center as specified in
20 section 219.

21 (d) The number and type of associate degrees, baccalaureate
22 degrees, and other certificates awarded as specified in section
23 219.

24 (e) The annual independent audit as specified in section 222.

25 **(f) The certifications described in subsections (4) through**
26 **(7).**

27 (2) If the state budget director determines that a community
28 college failed to submit any of the information described in
29 subsection (1) in the form and manner specified by the center, the



1 state ~~treasurer~~**budget director** may withhold the monthly state
 2 operations installments described in ~~section~~**sections 201 and 201f**
 3 from that community college until those data are submitted. If a
 4 community college does not submit any of the information described
 5 in subsection (1) by the end of the fiscal year, the community
 6 college forfeits any withheld amount. The state budget director
 7 shall notify the ~~chairs of the house and senate appropriations~~
 8 ~~subcommittees on community colleges~~**standard report recipients** at
 9 least 10 days before withholding funds from any community college.

10 (3) It is intended that accountability reporting for community
 11 colleges will be streamlined through the center. The state budget
 12 director and the center shall work to combine the reporting
 13 requirements outlined in this subsection with the existing Michigan
 14 community colleges verified data inventory collection cycle. All of
 15 the following must be reported to the ~~house and senate fiscal~~
 16 ~~agencies and the state budget director~~**standard report recipients**:

17 (a) Each community college's certification of its compliance
 18 with the requirements described in subsections (4) and (5).

19 (b) The reporting and certification requirements of
 20 subsections (6) and (7) and section 217b.

21 (4) No later than the ~~last~~**first** business day of November of
 22 each year, each community college that receives an appropriation in
 23 section 201 shall make all of the information described in
 24 subdivisions (a) to ~~(g)~~**(h)** available through a link on its website
 25 homepage, subject to subdivision ~~(h)~~**(i)**, as follows, **and shall**
 26 **archive the previous versions from the prior 7 fiscal years:**

27 (a) The annual operating budget and subsequent budget
 28 revisions.

29 (b) A link to the most recent "Michigan Community College Data



1 Inventory Report".

2 (c) General fund revenue and expenditure projections for the
3 current fiscal year and the next fiscal year.

4 (d) A listing of all debt service obligations, detailed by
5 project, anticipated payment of each project, and total outstanding
6 debt for the current fiscal year.

7 (e) Links to all of the following for the community college:

8 (i) The current collective bargaining agreement for each
9 bargaining unit.

10 (ii) Each health care benefits plan, including, but not limited
11 to, medical, dental, vision, disability, long-term care, or any
12 other type of benefits that would constitute health care services,
13 offered to any bargaining unit or employee of the community
14 college.

15 (iii) Audits and financial reports for the most recent fiscal
16 year for which they are available.

17 (iv) A copy of the board of trustees resolution regarding
18 compliance with best practices for the local strategic value
19 component described in section 230(2).

20 (f) A map that includes the boundaries of the community
21 college district.

22 (g) A prominent link to the financial aid website created
23 under section 260.

24 **(h) A list of severance payments and the amounts of those**
25 **severance payments made to former employees of the community**
26 **college.**

27 **(i) ~~(h)~~** For statewide consistency and public visibility,
28 community colleges shall use the icon badge provided by the
29 department of technology, management, and budget consistent with



1 the icon badge developed by the department of education for K-12
2 school districts. It must appear on the front of each community
3 college's homepage. The size of the icon may be reduced to 150 x
4 150 pixels.

5 (5) No later than the ~~last~~**first** business day of November of
6 each year, each community college that receives an appropriation in
7 section 201 shall develop, maintain, and update a "campus safety
8 information and resources" link, prominently displayed on the
9 homepage of its website, that links to a section of the community
10 college's website containing, at a minimum, all of the following
11 information:

12 (a) Emergency contact numbers for police, fire, health, and
13 other services.

14 (b) Hours, locations, telephone numbers, and email contacts
15 for campus public safety offices and title IX offices.

16 (c) A list of safety and security services provided by the
17 community college, including transportation, escort services,
18 building surveillance, anonymous tip lines, and other available
19 security services.

20 (d) The community college's policies applicable to minors on
21 community college property.

22 (e) A directory of resources available at the community
23 college or in the surrounding community for students or employees
24 who are survivors of sexual assault or sexual abuse.

25 (f) An electronic copy of "A Resource Handbook for Campus
26 Sexual Assault Survivors, Friends and Family", published in 2018.

27 (g) Campus security policies and crime statistics pursuant to
28 the student right-to-know and campus security act, Public Law 101-
29 542, 104 Stat 2381. Information must include all material prepared



1 pursuant to the public information reporting requirements under the
2 crime awareness and campus security act of 1990, title II of the
3 student right-to-know and campus security act, Public Law 101-542,
4 104 Stat 2381.

5 (6) No later than the ~~last~~**first** business day of November of
6 each year, each community college that receives an appropriation in
7 section 201 shall report to the ~~house and senate appropriations~~
8 ~~subcommittees on community colleges, the house and senate fiscal~~
9 ~~agencies, and the state budget director~~**standard report recipients**
10 its annual title IX report, also known as the student sexual
11 misconduct report, issued by the title IX coordinator, as required
12 under the federal campus SaVE act of 2013, Public Law 113-4,
13 section 304, 127 Stat 54, 89-92 (2013).

14 (7) No later than the ~~last~~**first** business day of November of
15 each year, each community college that receives an appropriation in
16 section 201 shall certify that the community college complies with
17 federal regulations under title IX, as required by the United
18 States Department of Education, including, but not limited to, the
19 following:

20 (a) Use of medical experts that do not have an actual or
21 apparent conflict of interest.

22 (b) Issuance of title IX reports to complainants and
23 respondents that are not divergent.

24 (c) Notification of resources to each individual who reports
25 having experienced sexual assault by a member of the community
26 college.

27 Sec. 217b. (1) Each community college that receives an
28 appropriation in section 201 shall report to the center by the last
29 business day of August of each year the tuition and mandatory fees



1 paid by a full-time in-district student and a full-time out-of-
 2 district student as established by the community college governing
 3 board for the current academic year. This report should also
 4 include the annual cost of tuition and fees based on a full-time
 5 course load of 30 credits. This report must also specify the amount
 6 that tuition and fees have increased for the community college from
 7 the prior academic year. Each community college shall also report
 8 any revisions to the reported current academic year tuition and
 9 mandatory fees adopted by the community college governing board to
 10 the center within 15 days of being adopted. The center shall
 11 provide this information and any revisions to the ~~house and senate~~
 12 ~~fiscal agencies and the state budget director.~~ **standard report**
 13 **recipients.**

14 (2) Each community college that receives an appropriation in
 15 section 201 shall certify to the state budget director by the ~~first~~
 16 **last** business day of ~~November~~ **August** of each year that its board
 17 will not adopt an increase in tuition and fee rates for in-district
 18 students for the academic year that is greater than the tuition
 19 restraint described in this subsection. ~~For the academic year 2025-~~
 20 ~~2026, the tuition restraint level is equal to the greater of 4.5%~~
 21 ~~or \$227.00.~~ For the academic year 2026-2027, the tuition restraint
 22 level is equal to the greater of 4.0% or \$199.00. **For the academic**
 23 **year 2027-2028, the tuition restraint level is equal to the greater**
 24 **of 4.0% or \$199.00.** It is intended that in the next fiscal year,
 25 the tuition restraint rate will be adjusted only for the subsequent
 26 academic year. As used in this subsection:

27 (a) "Fee" means any board-authorized fee that will be paid by
 28 more than 1/2 of all in-district students at least once during
 29 their enrollment at a community college. A community college



1 increasing a fee that applies to a specific subset of students or
 2 courses shall provide sufficient information to prove that the
 3 increase applied to that subset will not cause the increase in the
 4 average amount of board-authorized total tuition and fees paid by
 5 in-district students in the academic year to exceed the limit
 6 established in this section.

7 (b) "Tuition and fee rate" means the average of full-time
 8 rates paid by a majority of students in each class, based on an
 9 unweighted average of the rates authorized by the community college
 10 board and actually charged to students, deducting any uniformly
 11 rebated or refunded amounts, for the 2 semesters with the highest
 12 levels of full-time equated in-district enrollment during the
 13 academic year.

14 (3) Community colleges that exceed the tuition and fee rate
 15 cap described in subsection (2) are not eligible to receive
 16 payments under section 201f for 1-time performance funding payments
 17 for fiscal year ~~2025-2026.~~ **2026-2027.** The state budget director
 18 shall implement uniform reporting requirements to ensure that a
 19 community college receiving a payment under section 201f for 1-time
 20 performance funding has satisfied the tuition restraint
 21 requirements of this section. The state budget director has the
 22 sole authority to determine if a community college has met the
 23 requirements of this section. Information reported by a community
 24 college to the state budget director under this subsection must
 25 also be reported to the ~~house and senate appropriations~~
 26 ~~subcommittees on community colleges and the house and senate fiscal~~
 27 ~~agencies.~~ **standard report recipients.**

28 (4) Notwithstanding any other provision of this act, the
 29 legislature may at any time adjust appropriations for a community



1 college that adopts an increase in tuition and fee rates for in-
 2 district students that exceeds the rate cap established in
 3 subsection (2).

4 Sec. 217c. (1) Not later than December 1 of each year, each
 5 community college or federally recognized tribal college that, in
 6 the current or previous academic year, serves or has served as an
 7 authorizing body shall submit a report to the house and senate
 8 appropriations subcommittees on higher education, the house and
 9 senate fiscal agencies, the state budget director, and the
 10 department of education containing, at a minimum, all of the
 11 following information, as applicable:

12 (a) A list of all of the schools currently authorized. ~~and~~
 13 ~~the following information for each school:~~

14 ~~(i) The year in which the school was authorized.~~

15 ~~(ii) The location of each school.~~

16 ~~(iii) The owner of the property at which each school is located~~
 17 ~~and the physical buildings utilized by the school, as applicable.~~

18 (b) A list identifying any schools that were closed or lost
 19 their authorization in the current or previous academic year.

20 ~~(c) A description of any new contracts for the operation of a~~
 21 ~~public school academy that will operate as the successor to a~~
 22 ~~public school academy that is currently being operated under a~~
 23 ~~contract issued by another authorizing body that is currently~~
 24 ~~performing in the bottom 5% of schools.~~

25 (c) ~~(d)~~ The academic performance of each school currently
 26 authorized, including whether a school is identified by the
 27 department of education as a partnership school. If a school is
 28 identified as a partnership school under this subdivision, the
 29 authorizing body shall include a description of corrective actions



1 in the school's partnership agreement, the duration of the
2 partnership agreement, and an assessment of progress toward
3 improvement.

4 ~~(e) The total enrollment of each school at the time of~~
5 ~~submission, the grades served, and student turnover rate compared~~
6 ~~to the previous academic year, as applicable.~~

7 ~~(f) Aggregated student enrollment data for students with an~~
8 ~~individualized education program as well as the total amount of~~
9 ~~special education cost reimbursements received by each school~~
10 ~~during the school's most recently completed fiscal year.~~

11 **(d)** ~~(g)~~ The total number of fees, reimbursements,
12 contributions, or charges permitted under section 502(6) of the
13 revised school code, 1976 PA 451, MCL 380.502, that are assigned to
14 each school currently authorized in a single academic year.

15 ~~(h) The names of the members of the board of directors of each~~
16 ~~school currently authorized, the date that each member of each~~
17 ~~board was appointed, and a description of the methodology used by~~
18 ~~the authorizing body to select members for the boards of directors~~
19 ~~for each school currently authorized by the authorizing body.~~

20 ~~(i) The name of the applicant who applied and received~~
21 ~~approval to organize each currently authorized school.~~

22 ~~(j) The list of contracts and length of their terms, with~~
23 ~~education service providers associated with each school currently~~
24 ~~authorized pursuant to section 502 of the revised school code, 1976~~
25 ~~PA 451, MCL 380.502, as applicable. The contracts described in this~~
26 ~~subdivision include, but are not limited to, those described in~~
27 ~~section 502(2) (d) of the revised school code, 1 1976 PA 451, MCL~~
28 ~~380.502.~~

29 ~~(k) Activities undertaken by each authorizing body to ensure~~



1 ~~that the board of directors of each school complies with the open~~
2 ~~meetings act, 1976 PA 267, MCL 15.261 to 15.275, the freedom of~~
3 ~~information act, 1976 PA 442, MCL 15.231 to 15.246, and laws~~
4 ~~prohibiting conflicts of interest.~~

5 ~~(l) A description of the activities undertaken by the~~
6 ~~authorizing body to meet the functions of an authorizing body under~~
7 ~~section 502 of the revised school code, 1976 PA 451, MCL 380.502,~~
8 ~~as applicable.~~

9 **(e)** ~~(m)~~ A financial report of the authorizing body's use of
10 fees, reimbursements, contributions, or charges collected or
11 retained under section 502(6) of the revised school code, 1976 PA
12 451, MCL 380.502. This report must include all of the following, at
13 a minimum:

14 (i) The total amount of fees collected or retained under
15 section 502(6) of the revised school code, 1976 PA 451, MCL
16 380.502, by the authorizing body for the authorizing body's most
17 recent fiscal year.

18 (ii) The amount of funds reported under subparagraph (i) that
19 were spent on compensation for faculty and staff employed primarily
20 to meet the functions of an authorizing body. For the purpose of
21 this subparagraph, an employee is presumed to be primarily employed
22 to meet the functions of an authorizing body if that employee
23 spends more than 50% of the employee's time on those activities.

24 (iii) The number of positions, organized by job title,
25 associated with expenditures reported under subparagraph (ii).

26 (iv) The amount of funds reported under subparagraph (i) that
27 were spent on contractual services to meet the functions of an
28 authorizing body.

29 (v) The amount of funds reported under subparagraph (i) that



1 were spent on other overhead costs to meet the functions of an
2 authorizing body.

3 (vi) The amount of funds reported under subparagraph (i) that
4 were transferred to another operating unit within the community
5 college or federally recognized tribal college.

6 (vii) The amount of funds reported under subparagraph (i) that
7 were spent on activities other than functioning as an authorizing
8 body, including a list of those activities and the amount
9 associated with each activity.

10 (f) ~~(n)~~—An executive summary section that provides relevant
11 summary data for reporting requirements under subdivisions (a) to
12 ~~(m)~~—(e) .

13 (2) A report submitted under this section must be in a format
14 that meets accessibility standards for viewing on the internet
15 under the Americans with disabilities act of 1990, Public Law 101-
16 336.

17 (3) A report submitted under this section must be published
18 and updated through a link on the homepage of the institution's
19 website.

20 (4) In addition to the reporting requirements under this
21 section, each authorizing body that receives an appropriation under
22 section 201 shall adopt a facilities policy ensuring that any
23 structures or other property vacated by a public school academy
24 that ceases operation not contribute to blight in the surrounding
25 neighborhood or community in which the school had previously
26 operated.

27 (5) As used in this section, "authorizing body" means that
28 term as defined in section 501 of the revised school code, 1976 PA
29 451, MCL 380.501.



1 Sec. 222. Each community college shall have an annual audit of
 2 all income and expenditures performed by an independent auditor and
 3 shall furnish the independent auditor's management letter and an
 4 annual audited accounting of all general and current funds income
 5 and expenditures including audits of college foundations to the
 6 center before November 15 of each year. The center shall provide
 7 this information ~~to members of the senate and house appropriations~~
 8 ~~subcommittees on community colleges, the senate and house fiscal~~
 9 ~~agencies,~~ **the standard report recipients**, the auditor general, the
 10 department of labor and economic opportunity, **and** the department of
 11 lifelong education, advancement, and potential. ~~, and the state~~
 12 ~~budget director.~~ If a community college fails to furnish the audit
 13 materials, the monthly state operations installments must be
 14 withheld from that college until the information is submitted. All
 15 reporting must conform to the requirements set forth in the "2001
 16 Manual for Uniform Financial Reporting, Michigan Public Community
 17 Colleges". A community college shall make the information the
 18 community college is required to provide under this section
 19 available to the public on its website.

20 Sec. 223. (1) By January 15 of each year, the department of
 21 lifelong education, advancement, and potential shall submit to the
 22 ~~state budget director, the house and senate appropriations~~
 23 ~~subcommittees on community colleges, and the house and senate~~
 24 ~~fiscal agencies~~ **standard report recipients** a report on North
 25 American Indian tuition waivers for the preceding academic year
 26 that includes, but is not limited to, all of the following
 27 information:

28 (a) The number of waiver applications received and the number
 29 of waiver applications approved.



(b) For each community college submitting information under subsection (2), all of the following:

(i) The number of ~~North~~ **Native** American Indian students enrolled each term for the previous academic year.

(ii) The number of North American Indian **tuition** waivers granted each term, including continuing education students. ~~and the monetary value of the waivers for the previous academic year.~~

~~(iii) The number of North American Indian students who receive a granted waiver for the previous academic year.~~

~~(iv) The number of students attending under a North American Indian tuition waiver who withdrew from the college each term during the previous academic year. For purposes of this subparagraph, a withdrawal occurs when a student who has been awarded the waiver withdraws from the institution at any point during the term, regardless of enrollment in subsequent terms.~~

(iii) The monetary value of the waivers granted each term for the previous academic year.

~~(iv) (v) The number of students attending under a North American Indian tuition waiver who successfully transfer to a 4-year public or private university, or complete a degree or certificate program, separated by degree or certificate level. and the graduation rate for students attending under a North American Indian tuition waiver who complete a degree or certificate within 150% of the normal time to complete, separated by the level of the degree or certificate.~~

(2) By January 1 of each year, a community college that receives an appropriation in section 201 or a tribal institution that receives funding for the North American Indian tuition waiver shall provide to the department of lifelong education, advancement,



1 and potential any information necessary for preparing the report
 2 described in subsection (1), using guidelines and procedures
 3 developed by the department of lifelong education, advancement, and
 4 potential.

5 (3) The department of lifelong education, advancement, and
 6 potential may consolidate the report required under this section
 7 with the report required under section 268, but a consolidated
 8 report must separately identify data for universities and data for
 9 community colleges.

10 Sec. 229a. Included in the fiscal year ~~2025-2026~~**2026-2027**
 11 appropriations for the department of technology, management, and
 12 budget are appropriations totaling ~~\$38,032,600.00~~**\$40,398,900.00** to
 13 provide funding for the state share of costs for previously
 14 constructed capital projects for community colleges. Those
 15 appropriations for state building authority rent represent
 16 additional state general fund support for community colleges, and
 17 the following is an estimate of the amount of that support to each
 18 community college:

- 19 (a) Alpena Community College, \$855,000.00.
- 20 (b) Bay de Noc Community College, \$515,000.00.
- 21 (c) Delta College, ~~\$2,881,100.00~~**\$2,881,000.00**.
- 22 (d) Glen Oaks Community College, \$380,000.00.
- 23 (e) Gogebic Community College, \$56,000.00.
- 24 (f) Grand Rapids Community College,
 25 ~~\$2,346,000.00~~**\$2,430,000.00**.
- 26 (g) Henry Ford College, \$1,505,000.00.
- 27 (h) Jackson College, \$2,044,000.00.
- 28 (i) Kalamazoo Valley Community College,
 29 ~~\$1,942,000.00~~**\$3,404,500.00**.



1 (j) Kellogg Community College, \$679,000.00.
 2 (k) Kirtland Community College, \$225,000.00.
 3 (l) Lake Michigan College, \$966,000.00.
 4 (m) Lansing Community College, \$757,000.00.
 5 (n) Macomb Community College, \$4,682,200.00.
 6 (o) Mid Michigan Community College, \$1,615,000.00.
 7 (p) Monroe County Community College,
 8 ~~\$1,540,000.00.~~ **\$2,359,900.00.**

9 (q) Montcalm Community College, \$446,000.00.
 10 (r) C.S. Mott Community College, \$3,103,000.00.
 11 (s) Muskegon Community College, \$982,000.00.
 12 (t) North Central Michigan College, \$646,000.00.
 13 (u) Northwestern Michigan College, \$1,787,000.00.
 14 (v) Oakland Community College, \$0.00.
 15 (w) Schoolcraft College, \$2,232,000.00.
 16 (x) Southwestern Michigan College, \$822,500.00.
 17 (y) St. Clair County Community College, \$718,000.00.
 18 (z) Washtenaw Community College, \$1,676,000.00.
 19 (aa) Wayne County Community College, \$1,895,800.00.
 20 (bb) West Shore Community College, \$736,000.00.

21 Sec. 230. (1) Subject to subsection (4), money included in the
 22 appropriations for community college operations under section 201
 23 for performance funding and allocated under section 201f for 1-time
 24 performance funding payments is distributed based on the following
 25 formula:

26 (a) Allocated proportionate to fiscal year ~~2024-2025~~ **2025-2026**
 27 base appropriations, 30%.

28 (b) Based on a weighted student contact hour formula as
 29 provided for in the 2016 recommendations of the performance



1 indicators task force, 30%.

2 (c) Based on the performance improvement as provided for in
3 the 2016 recommendations of the performance indicators task force
4 and based on data provided by the center, 10%.

5 (d) Based on the performance completion number as provided for
6 in the 2016 recommendations of the performance indicators task
7 force, 10%.

8 (e) Based on the performance completion rate as provided for
9 in the 2016 recommendations of the performance indicators task
10 force and based on data provided by the center, 10%.

11 (f) Based on administrative costs, 5%.

12 (g) Based on the local strategic value component, as developed
13 in cooperation with the Michigan Community College Association and
14 described in subsection (2), 5%.

15 (2) Money included in the appropriations for community college
16 operations under section 201(2) **and 201f** for local strategic value
17 is allocated only to each community college that certifies to the
18 state budget director, through a board of trustees resolution on or
19 before October 15, ~~2025~~, **2026**, that the college has met 4 out of 5
20 best practices listed in each category described in subsection (3).
21 The resolution must provide specifics as to how the community
22 college meets each best practice measure within each category. One-
23 third of funding available under the strategic value component is
24 allocated to each category described in subsection (3). Amounts
25 distributed under local strategic value must be on a proportionate
26 basis to each college's fiscal year ~~2024-2025~~ **2025-2026** operations
27 funding. Payments to community colleges that qualify for local
28 strategic value funding must be distributed with the November
29 installment payment described in section 206.



(3) For purposes of subsection (2), the following categories of best practices reflect functional activities of community colleges that have strategic value to the local communities and regional economies:

(a) For Category A, economic development and business or industry partnerships, the following:

(i) The community college has active partnerships with local employers including hospitals and health care providers.

(ii) The community college provides customized on-site training for area companies, employees, or both.

(iii) The community college supports entrepreneurship through a small business assistance center or other training or consulting activities targeted toward small businesses.

(iv) The community college supports technological advancement through industry partnerships, incubation activities, or operation of a Michigan technical education center or other advanced technology center.

(v) The community college has active partnerships with local or regional workforce and economic development agencies.

(b) For Category B, educational partnerships, the following:

(i) The community college has active partnerships with regional high schools, intermediate school districts, and career-tech centers to provide instruction through dual enrollment, concurrent enrollment, direct credit, middle college, or academy programs.

(ii) The community college hosts, sponsors, or participates in enrichment programs for area K-12 students, such as college days, summer or after-school programming, or Science Olympiad.

(iii) The community college provides, supports, or participates in programming to promote successful transitions to college for



1 traditional age students, including grant programs such as talent
2 search, upward bound, or other activities to promote college
3 readiness in area high schools and community centers.

4 (iv) The community college provides, supports, or participates
5 in programming to promote successful transitions to college for new
6 or reentering adult students, such as adult basic education, a high
7 school equivalency test preparation program and testing, or
8 recruiting, advising, or orientation activities specific to adults.
9 As used in this subparagraph, "high school equivalency test
10 preparation program" means that term as defined in section 4.

11 (v) The community college has active partnerships with
12 regional 4-year colleges and universities to promote successful
13 transfer, such as articulation, 2+2, or reverse transfer agreements
14 or operation of a university center.

15 (c) For Category C, community services, the following:

16 (i) The community college provides continuing education
17 programming for leisure, wellness, personal enrichment, or
18 professional development.

19 (ii) The community college operates or sponsors opportunities
20 for community members to engage in activities that promote leisure,
21 wellness, cultural or personal enrichment such as community sports
22 teams, theater or musical ensembles, or artist guilds.

23 (iii) The community college operates public facilities to
24 promote cultural, educational, or personal enrichment for community
25 members, such as libraries, computer labs, performing arts centers,
26 museums, art galleries, or television or radio stations.

27 (iv) The community college operates public facilities to
28 promote leisure or wellness activities for community members,
29 including gymnasiums, athletic fields, tennis courts, fitness



centers, hiking or biking trails, or natural areas.

(v) The community college promotes, sponsors, or hosts community service activities for students, staff, or community members.

(4) Payments for performance funding under section 201 and for 1-time performance funding payments under section 201f must be made to a community college only if that community college actively participates in the Michigan Transfer Network sponsored by the Michigan Association of Collegiate Registrars and Admissions Officers and submits timely updates, including updated course equivalencies at least every 6 months, to the Michigan Transfer Network. The state budget director shall determine if a community college has not satisfied this requirement. The state budget director may withhold payments for performance funding under section 201 and 1-time performance funding under section 201f until a community college is in compliance with this subsection.

Sec. 236. (1) Subject to the conditions set forth in this article, the amounts listed in this section are appropriated for higher education for the fiscal year ending September 30, ~~2026,~~ **2027**, from the funds indicated in this section. The following is a summary of the appropriations in this section and sections 236d ~~7~~ ~~236e,~~ and ~~236j:~~ **236l:**

(a) The gross appropriation is ~~\$2,336,912,000.00.~~ **\$2,609,832,800.00.** After deducting total interdepartmental grants and intradepartmental transfers in the amount of \$0.00, the adjusted gross appropriation is ~~\$2,336,912,000.00.~~ **\$2,609,832,800.00.**

(b) The sources of the adjusted gross appropriation described in subdivision (a) are as follows:



(i) Total federal revenues, \$3,200,000.00.

(ii) Total local revenues, \$0.00.

(iii) Total private revenues, \$0.00.

(iv) Total other state restricted revenues, ~~\$850,768,300.00.~~
\$1,481,678,600.00.

(v) State general fund/general purpose money,
~~\$1,482,943,700.00.~~ **\$1,124,954,200.00.**

~~(c) The totals and subtotals reflected in subdivisions (a) and
 (b) do not include amounts appropriated under subsection (7) (d) or
 (8) (b) to avoid duplicating totals of amounts appropriated in this
 section and section 236j.~~

(2) Amounts appropriated for public universities are as
 follows:

(a) The appropriation for Central Michigan University is
~~\$99,466,100.00, \$95,226,900.00~~ **\$99,759,800.00, \$97,785,700.00** for
 operations, \$0.00 for operations increase, ~~\$2,558,800.00~~ for MPSERS
 support payment, and ~~\$1,680,400.00~~ **\$1,974,100.00** for costs incurred
 under the North American Indian tuition waiver.

(b) The appropriation for Eastern Michigan University is
~~\$86,649,200.00, \$83,979,800.00~~ **\$86,660,200.00, \$86,236,300.00** for
 operations, \$0.00 for operations increase, ~~\$2,256,500.00~~ for MPSERS
 support payment, and ~~\$412,900.00~~ **\$423,900.00** for costs incurred
 under the North American Indian tuition waiver.

(c) The appropriation for Ferris State University is
~~\$62,221,900.00, \$59,816,300.00~~ **\$62,195,100.00, \$61,423,600.00** for
 operations, \$0.00 for operations increase, ~~\$1,607,300.00~~ for MPSERS
 support payment, and ~~\$798,300.00~~ **\$771,500.00** for costs incurred
 under the North American Indian tuition waiver.

(d) The appropriation for Grand Valley State University is



1 ~~\$98,772,000.00, \$98,788,400.00~~, \$97,552,900.00 for operations,
 2 \$0.00 for operations increase, ~~\$0.00 for MPSERS support payment,~~
 3 and ~~\$1,219,100.00 \$1,235,500.00~~ for costs incurred under the North
 4 American Indian tuition waiver.

5 (e) The appropriation for Lake Superior State University is
 6 ~~\$16,301,400.00, \$14,465,600.00 \$16,419,200.00, \$14,854,300.00~~ for
 7 operations, \$0.00 for operations increase, ~~\$388,700.00 for MPSERS~~
 8 ~~support payment,~~ and ~~\$1,447,100.00 \$1,564,900.00~~ for costs incurred
 9 under the North American Indian tuition waiver.

10 (f) The appropriation for Michigan State University is
 11 ~~\$396,845,300.00, \$396,750,000.00~~, \$321,516,900.00 for operations,
 12 \$0.00 for operations increase, ~~\$0.00 for MPSERS support payment,~~
 13 ~~\$2,508,800.00 \$2,413,500.00~~ for costs incurred under the North
 14 American Indian tuition waiver, \$39,096,200.00 for MSU
 15 AgBioResearch, and \$33,723,400.00 for MSU Extension.

16 (g) The appropriation for Michigan Technological University is
 17 ~~\$56,659,000.00, \$54,463,700.00 \$56,727,800.00, \$55,927,100.00~~ for
 18 operations, \$0.00 for operations increase, ~~\$1,463,400.00 for MPSERS~~
 19 ~~support payment,~~ and ~~\$731,900.00 \$800,700.00~~ for costs incurred
 20 under the North American Indian tuition waiver.

21 (h) The appropriation for Northern Michigan University is
 22 ~~\$55,688,200.00, \$52,850,300.00 \$55,925,000.00, \$54,270,400.00~~ for
 23 operations, \$0.00 for operations increase, ~~\$1,420,100.00 for MPSERS~~
 24 ~~support payment,~~ and ~~\$1,417,800.00 \$1,654,600.00~~ for costs incurred
 25 under the North American Indian tuition waiver.

26 (i) The appropriation for Oakland University is
 27 ~~\$73,361,600.00, \$73,414,700.00~~, \$73,036,400.00 for operations,
 28 \$0.00 for operations increase, ~~\$0.00 for MPSERS support payment,~~
 29 and ~~\$325,200.00 \$378,300.00~~ for costs incurred under the North



1 American Indian tuition waiver.

2 (j) The appropriation for Saginaw Valley State University is
 3 ~~\$34,379,000.00, \$34,436,800.00~~, \$34,196,000.00 for operations,
 4 \$0.00 for operations increase, ~~\$0.00 for MPSERS support payment,~~
 5 and ~~\$183,000.00 \$240,800.00~~ for costs incurred under the North
 6 American Indian tuition waiver.

7 (k) The appropriation for University of Michigan - Ann Arbor
 8 is ~~\$362,507,900.00, \$362,353,400.00~~, \$360,607,300.00 for
 9 operations, \$0.00 for operations increase, ~~\$0.00 for MPSERS support~~
 10 ~~payment,~~ and ~~\$1,900,600.00 \$1,746,100.00~~ for costs incurred under
 11 the North American Indian tuition waiver.

12 (l) The appropriation for University of Michigan - Dearborn is
 13 ~~\$31,708,000.00, \$31,762,500.00~~, \$31,513,700.00 for operations,
 14 \$0.00 for operations increase, ~~\$0.00 for MPSERS support payment,~~
 15 and ~~\$194,300.00 \$248,800.00~~ for costs incurred under the North
 16 American Indian tuition waiver.

17 (m) The appropriation for University of Michigan - Flint is
 18 ~~\$26,884,600.00, \$26,941,300.00~~, \$26,403,700.00 for operations,
 19 \$0.00 for operations increase, ~~\$0.00 for MPSERS support payment,~~
 20 and ~~\$480,900.00 \$537,600.00~~ for costs incurred under the North
 21 American Indian tuition waiver.

22 (n) The appropriation for Wayne State University is
 23 ~~\$227,787,300.00, \$227,908,900.00~~, \$227,310,200.00 for operations,
 24 \$0.00 for operations increase, ~~\$0.00 for MPSERS support payment,~~
 25 and ~~\$477,100.00 \$598,700.00~~ for costs incurred under the North
 26 American Indian tuition waiver.

27 (o) The appropriation for Western Michigan University is
 28 ~~\$125,246,700.00, \$121,231,800.00 \$125,265,800.00, \$124,489,300.00~~
 29 for operations, \$0.00 for operations increase, ~~\$3,257,500.00 for~~



1 ~~MPSERS support payment, and \$757,400.00~~ **\$776,500.00** for costs
 2 incurred under the North American Indian tuition waiver.

3 (3) The amount appropriated in subsection (2) for public
 4 universities is ~~\$1,754,478,200.00,~~ **\$1,755,308,900.00**, appropriated
 5 from the following:

6 (a) State school aid fund, ~~\$643,168,300.00~~ **\$743,088,300.00**.

7 (b) State general fund/general purpose money,
 8 ~~\$1,111,309,900.00~~ **\$1,012,220,600.00**.

9 (4) The amount appropriated for Michigan public school
 10 employees' retirement system reimbursement is \$0.00.

11 (5) The amount appropriated for state and regional programs is
 12 \$322,100.00, appropriated from general fund/general purpose money
 13 and allocated as follows:

14 (a) Higher education database modernization and conversion,
 15 \$200,000.00.

16 (b) Midwestern Higher Education Compact, \$122,100.00.

17 (6) The amount appropriated for the Martin Luther King, Jr. -
 18 ~~Cesar Chavez~~ **Dolores Huerta - Morris Hood Jr.** - Rosa Parks program
 19 is \$2,691,500.00, appropriated from general fund/general purpose
 20 money and allocated as follows:

21 (a) Select student support services, \$1,956,100.00.

22 (b) Michigan college/university partnership program,
 23 \$586,800.00.

24 (c) Morris Hood, Jr. educator development program,
 25 \$148,600.00.

26 (7) Subject to subsection (8), the amount appropriated for
 27 grants and financial aid is ~~\$469,500,000.00,~~ **\$770,000,000.00**,
 28 allocated as follows:

29 (a) Tuition incentive program, ~~\$122,300,000.00~~.



1 **\$165,800,000.00.**

2 (b) Children of veterans and officer's survivor tuition grant
3 programs, \$2,000,000.00.

4 (c) Project GEAR-UP, \$3,200,000.00.

5 (d) Michigan achievement scholarships, ~~\$300,000,000.00.~~

6 **\$532,000,000.00.** From this amount, up to \$10,000,000.00 may be used
7 to award skills scholarships under section 248a.

8 (e) Michigan reconnect, ~~\$42,000,000.00.~~ **\$67,000,000.00.**

9 (8) The money appropriated in subsection (7) for grants and
10 financial aid is appropriated from the following:

11 (a) Federal revenues under the United States Department of
12 Education, Office of Elementary and Secondary Education, GEAR-UP
13 program, \$3,200,000.00.

14 (b) Postsecondary scholarship fund, ~~\$300,000,000.00.~~

15 **\$232,000,000.00.**

16 **(c) State school aid fund, \$425,080,000.00.**

17 **(d) ~~(e)~~ State general fund/general purpose money,**
18 **~~\$166,300,000.00.~~ \$109,720,000.00.**

19 **(e) ~~(d)~~ At the close of the fiscal year, state general**
20 **~~fund/general purpose~~ money appropriated in subsection (7) for**
21 **grants and scholarships that is unspent must be deposited into the**
22 **postsecondary scholarship fund created in section 236j.**

23 (9) For fiscal year ~~2025-2026~~ **2026-2027** only, in addition to
24 the allocation under subsection (4), from the appropriations
25 described in subsection (1), there is allocated an amount not to
26 exceed ~~\$7,600,000.00~~ **\$1,750,000.00** for payments to participating
27 public universities, appropriated from the state school aid fund. A
28 public university that receives money under this subsection shall
29 use that money solely for the purpose of offsetting the normal cost



1 contribution rate. As used in this subsection, "participating
 2 public universities" means public universities that are a reporting
 3 unit of the Michigan public school employees' retirement system
 4 under the public school employees retirement act of 1979, 1980 PA
 5 300, MCL 38.1301 to 38.1437, and that pay contributions to the
 6 Michigan public school employees' retirement system for the state
 7 fiscal year.

8 **(10) Subject to section 236/, from the appropriation described**
 9 **in subsection (1), \$10,000,000.00 is appropriated from the state**
 10 **school aid fund for a payment to a public university that**
 11 **participates in the MiDocs consortium to support graduate medical**
 12 **education programming.**

13 Sec. 236c. In addition to the funds appropriated for fiscal
 14 year ~~2025-2026-2026-2027~~ in section 236, appropriations to the
 15 department of technology, management, and budget in the act
 16 providing general appropriations for fiscal year ~~2025-2026-2026-~~
 17 **2027** for state building authority rent, totaling an estimated
 18 ~~\$142,153,900.00, \$153,218,900.00,~~ provide funding for the state
 19 share of costs for previously constructed capital projects for
 20 state universities. These appropriations for state building
 21 authority rent represent additional state general fund support
 22 provided to public universities, and the following is an estimate
 23 of the amount of that support to each public university:

- 24 (a) Central Michigan University, \$12,914,000.00.
- 25 (b) Eastern Michigan University, ~~\$6,022,000.00.~~ **\$8,272,000.00.**
- 26 (c) Ferris State University, \$9,546,000.00.
- 27 (d) Grand Valley State University, ~~\$8,614,000.00.~~
- 28 **\$10,864,000.00.**
- 29 (e) Lake Superior State University, \$2,229,000.00.



- (f) Michigan State University, \$16,598,000.00.
- (g) Michigan Technological University, \$5,521,000.00.
- (h) Northern Michigan University, \$9,735,900.00.
- (i) Oakland University, ~~\$11,245,000.00.~~ **\$13,310,000.00.**
- (j) Saginaw Valley State University, \$7,820,000.00.
- (k) University of Michigan - Ann Arbor, \$14,068,000.00.
- (l) University of Michigan - Dearborn, \$10,725,000.00.
- (m) University of Michigan - Flint, ~~\$6,057,000.00.~~

\$8,307,000.00.

- (n) Wayne State University, ~~\$10,072,000.00.~~ **\$12,322,000.00.**
- (o) Western Michigan University, \$10,987,000.00.

Sec. 236d. (1) In addition to the funds appropriated under section 232(2) for university operations, for fiscal year ~~2025-2026~~ **2026-2027** only, there is appropriated an amount not to exceed ~~\$50,114,100.00~~ **\$69,760,300.00** from the ~~state general fund/general purpose money~~ **school aid fund** for 1-time operations increase payments. These funds are intended to be used for the same purposes as the funds appropriated under section 236(2) for university operations.

(2) From the amount appropriated under subsection (1), **subject to sections 241a, 241b, 241c, and 244**, each university is allocated the following:

- (a) Central Michigan University, ~~\$2,885,000.00.~~ **\$3,920,600.00.**
 - (b) Eastern Michigan University, ~~\$2,544,200.00.~~ **\$3,457,500.00.**
 - (c) Ferris State University, ~~\$1,812,200.00.~~ **\$2,462,700.00.**
 - (d) Grand Valley State University, ~~\$2,955,400.00.~~
- \$3,911,200.00.**
- (e) Lake Superior State University, ~~\$438,300.00.~~ **\$595,600.00.**
 - (f) Michigan State University, ~~\$9,740,500.00.~~ **\$12,890,700.00.**



(g) Michigan Technological University,
~~\$1,650,000.00.~~ **\$2,242,300.00.**

(h) Northern Michigan University, ~~\$1,601,100.00.~~ **\$2,175,900.00.**

(i) Oakland University, ~~\$2,212,700.00.~~ **\$2,928,300.00.**

(j) Saginaw Valley State University,
~~\$1,036,000.00.~~ **\$1,371,000.00.**

(k) University of Michigan - Ann Arbor,
~~\$10,924,800.00.~~ **\$14,458,000.00.**

(l) University of Michigan - Dearborn,
~~\$954,700.00.~~ **\$1,263,500.00.**

(m) University of Michigan - Flint, ~~\$799,900.00.~~ **\$1,058,600.00.**

(n) Wayne State University, ~~\$6,886,500.00.~~ **\$9,113,600.00.**

(o) Western Michigan University, ~~\$3,672,800.00.~~ **\$4,991,200.00.**

(3) In addition to the funds appropriated in section 236(2) for MSU AgBioResearch, for fiscal year ~~2025-2026~~ **2026-2027** only, there is appropriated an amount not to exceed ~~\$1,184,400.00~~ **\$1,567,500.00** from the state ~~general fund/general purpose money~~ **school aid fund** for MSU AgBioResearch.

(4) In addition to the funds appropriated in section 236(2) for MSU Extension, for fiscal year ~~2025-2026~~ **2026-2027** only, there is appropriated an amount not to exceed ~~\$1,021,700.00~~ **\$1,352,100.00** from the state ~~general fund/general purpose money~~ **school aid fund** for MSU Extension.

Sec. 236j. (1) The postsecondary scholarship fund is created in the department of treasury for the purpose of providing scholarship awards to eligible students who attend eligible postsecondary educational institutions in this state, as provided in subsection (5).

(2) The state treasurer may receive money or other assets from



1 any source for deposit into the postsecondary scholarship fund. The
2 state treasurer shall direct the investment of the postsecondary
3 scholarship fund. The state treasurer shall credit to the
4 postsecondary scholarship fund interest and earnings from
5 postsecondary scholarship fund investments.

6 (3) Money in the postsecondary scholarship fund at the close
7 of the fiscal year must remain in the postsecondary scholarship
8 fund and not lapse to the general fund.

9 (4) The department of treasury is the administrator of the
10 postsecondary scholarship fund for auditing purposes.

11 (5) Money must be expended from the postsecondary scholarship
12 fund ~~only for the purpose of providing Michigan achievement~~
13 ~~scholarship awards to eligible students who attend eligible~~
14 ~~postsecondary educational institutions in this state and for other~~
15 ~~purposes described in this section. From the funds appropriated in~~
16 ~~section 236(7) for the Michigan achievement scholarship, the~~
17 ~~department of lifelong education, advancement, and potential may~~
18 ~~use up to \$10,000,000.00 annually for the purposes of outreach~~
19 ~~programs to raise awareness of the Michigan achievement scholarship~~
20 ~~and other state scholarship programs allocated in section 236(7).~~
21 ~~The department of lifelong education, advancement, and potential~~
22 ~~shall ensure that state scholarships are well publicized and that~~
23 ~~high school students are provided information on the availability~~
24 ~~of financial aid. The department of lifelong education,~~
25 ~~advancement, and potential may receive and expend funds received~~
26 ~~from outside sources for scholarships, marketing, or other purposes~~
27 ~~related to Michigan state scholarships. The department of lifelong~~
28 ~~education, advancement, and potential shall provide the necessary~~
29 ~~funding and staff to fully operate the programs.~~**supporting state**



1 **grants and financial aid allocated in section 236(7) .**

2 ~~(6) For the fiscal year ending September 30, 2026,~~
 3 ~~\$300,000,000.00 of ongoing funding is deposited into the~~
 4 ~~postsecondary scholarship fund from the following:~~

5 ~~(a) State school aid fund, \$200,000,000.00.~~

6 ~~(b) State general fund/general purpose money, \$100,000,000.00.~~

7 **(6) (7)**—It is the intent of the legislature that the
 8 postsecondary scholarship fund serves as ~~the primary~~ **a** funding
 9 source of the Michigan achievement scholarship. To ensure the
 10 Michigan achievement scholarship provides ongoing supports for
 11 students, it is the intent of the legislature to ~~increase annual~~
 12 ~~deposits into the postsecondary scholarship fund until the fully~~
 13 ~~implemented costs of the Michigan achievement scholarship are~~
 14 ~~deposited annually into the postsecondary scholarship fund.~~**provide**
 15 **annual ongoing increases for the Michigan achievement scholarship**
 16 **allocated in section 236(7) and to use funds from the postsecondary**
 17 **scholarship fund to support the scale up to the fully implemented**
 18 **costs of the Michigan achievement scholarship.**

19 **(7) (8)**—In addition to the appropriations in section 236, if
 20 the amount of ~~general fund money~~ **state money** allocated in section
 21 236(7) (a), (b), (d), or (e) is not sufficient to fully fund 1 or
 22 more of those awards, there is appropriated from the postsecondary
 23 scholarship fund the amount necessary to fully fund those awards.
 24 The state budget director **must determine if money is appropriated**
 25 **from the postsecondary scholarship fund under this subsection and**
 26 shall provide written notification to the ~~house and senate~~
 27 ~~appropriations subcommittee on higher education and the house and~~
 28 ~~senate fiscal agencies~~ **standard report recipients** prior to any
 29 additional appropriation described in this subsection.



1 ~~(8) (9) In addition to the deposit to the postsecondary~~
 2 ~~scholarship fund described in subsection (6), for~~ **For** the fiscal
 3 year ending September 30, ~~2025-2027~~ only, an amount not to exceed
 4 ~~\$80,000,000.00~~ **\$100,000,000.00** from the unspent and unreserved
 5 ~~state school aid fund balances appropriated under section 11, as~~
 6 ~~recorded as part of the state book-closing process for the 2024-~~
 7 ~~2025 fiscal year,~~ **school aid stabilization fund** is deposited into
 8 the postsecondary scholarship fund. **It is intended that this**
 9 **deposit is funded first from unspent and unreserved state school**
 10 **aid fund balances appropriated under section 11, as recorded as**
 11 **part of the state book-closing process for the 2025-2026 fiscal**
 12 **year, and, if necessary, from available fund balances of other**
 13 **funds created under article I and deposited into the school aid**
 14 **stabilization fund.**

15 **Sec. 236k. From the amount described under section 248(7) for**
 16 **marketing of the Michigan achievement scholarship and other state**
 17 **scholarship programs, \$1,000,000.00 must be allocated for the FAFSA**
 18 **completion ticket to tuition incentive. The department of lifelong**
 19 **education, advancement, and potential shall use funds described**
 20 **under this section to run a promotional activity to promote**
 21 **completing the Free Application for Federal Student Aid (FAFSA) for**
 22 **the first time consistent with the promotional-activity exception**
 23 **provided for in section 372(2) of the Michigan penal code, 1931 PA**
 24 **328, MCL 750.372. The promotional activity must offer prize funds**
 25 **that are available to a number, chosen by the department, of**
 26 **Michigan residents who are selected at random in a manner that**
 27 **ensures geographic diversity across this state, including at least**
 28 **1 recipient from the Upper Peninsula, who satisfactorily**
 29 **demonstrate to the department that they have completed the FAFSA**



1 for the first time.

2 Sec. 236/. (1) Funds appropriated in section 236(10) must be
3 paid to support graduate medical education programming.

4 (2) Payments under this section must be made in 1 lump sum to
5 a partnering public university identified by the department of
6 health and human services.

7 (3) A public university that receives a payment under this
8 section must contribute the entire amount received to the
9 department of health and human services, in a form and manner
10 determined by the department of health and human services, by no
11 later than 30 days after the payment is received.

12 (4) The department of health and human services must use funds
13 received to support graduate medical education programs in this
14 state.

15 Sec. 236s. (1) ~~Not later than~~ **Within** 30 days after ~~of~~ the
16 enactment of ~~the~~ **an** amendatory act ~~that added this section, to this~~
17 **article**, the ~~legislature~~ **house and senate** shall provide to the
18 ~~responsible entity and the state budget director~~ **office** a **jointly**
19 **agreed upon** list of legislatively directed spending items ~~, which~~
20 ~~may be referred to in this section as grants or direct~~
21 ~~appropriation grants, funded under the amendatory act that added~~
22 ~~this section consistent with house or senate rules and this~~
23 ~~section.~~ **funded by the amendatory act.** The list must include all
24 information and documents pertaining to the funded items as
25 publicly disclosed in accordance with ~~house or senate rules and~~
26 ~~this section.~~ **section 364 and 364a of the management and budget**
27 **act, 1984 PA 431, MCL 18.1364 and 18.1634a. As used in this**
28 **subsection, "legislatively directed spending item" means that term**
29 **as defined in section 364 of the management and budget act, 1984 PA**



1 **431, MCL 18.1364.**

2 ~~(2) Notwithstanding any other conditions or requirements for~~
3 ~~direct appropriation grants, the responsible entity shall perform,~~
4 ~~at a minimum, at least all of the following activities to~~
5 ~~administer the grants described in subsection (1):~~

6 ~~(a) Establish a process to review, complete, and execute a~~
7 ~~grant agreement with a grant recipient. The responsible entity~~
8 ~~shall not execute a grant agreement unless all necessary~~
9 ~~documentation has been submitted and reviewed.~~

10 ~~(b) Verify to the extent possible that a grant recipient is a~~
11 ~~not-for-profit entity and will use funds as publicly disclosed and~~
12 ~~for a public purpose that serves the economic prosperity, health,~~
13 ~~safety, or general welfare of the residents of this state.~~

14 ~~(c) Review and verify all necessary information to ensure the~~
15 ~~grant recipient is reasonably able to execute the grant agreement,~~
16 ~~perform its fiduciary duty, and comply with all applicable state~~
17 ~~and federal statutes. The responsible entity may deduct the cost of~~
18 ~~background checks and any other efforts performed as part of this~~
19 ~~verification from the amount of the designated grant award.~~

20 ~~(d) Disburse the grant money per the grant disbursement~~
21 ~~schedule in the executed grant agreement on a reimbursement basis~~
22 ~~after the grantee has provided sufficient documentation, as~~
23 ~~determined by the responsible entity, to verify that expenditures~~
24 ~~were made in accordance with the project purpose.~~

25 ~~(e) If the state budget director determines that information~~
26 ~~provided by the grantee does not meet the disclosure requirements,~~
27 ~~that the grant will be used to pay a tax lien, delinquent tax, or~~
28 ~~other obligation owed to this state, or that the grant will create~~
29 ~~a conflict of interest, the responsible entity shall not release~~



1 ~~the grant money to the grantee. Money that is not released under~~
2 ~~this subdivision lapses at the end of the fiscal year. There is not~~
3 ~~a conflict of interest if the sponsoring legislator certifies that~~
4 ~~the sponsoring legislator's immediate family members, legislative~~
5 ~~staff members that have worked for the sponsoring legislator within~~
6 ~~the past 2 years, and the sponsoring legislator do not have a~~
7 ~~direct or indirect pecuniary interest in the legislatively directed~~
8 ~~spending item.~~

9 ~~(3) An executed grant agreement under this section between the~~
10 ~~responsible entity and a grant recipient must include at least all~~
11 ~~of the following:~~

12 ~~(a) All necessary identifying information for the grant~~
13 ~~recipient, including any tax and financial information necessary~~
14 ~~for the responsible entity to administer grant money under this~~
15 ~~section.~~

16 ~~(b) A description of the project for which the grant money~~
17 ~~will be expended, including tentative timelines and the estimated~~
18 ~~budget. Project budget must include how all grant money will be~~
19 ~~used and must indicate if any grant money will be provided to a~~
20 ~~third party or subrecipient. The responsible entity shall not~~
21 ~~reimburse expenditures that are outside of the project purpose, as~~
22 ~~stated in the executed grant agreement, from appropriations under~~
23 ~~the amendatory act that added this section. The grantee shall~~
24 ~~return to the state treasury any interest in excess of \$1,000.00~~
25 ~~earned on the grant money while unexpended and in possession of the~~
26 ~~grantee.~~

27 ~~(c) Unless otherwise specified in the responsible entity's~~
28 ~~policy, a requirement that funds appropriated for the grants~~
29 ~~described in subsection (1) may be used only for expenditures that~~



1 ~~occur on or after the effective date of the amendatory act that~~
2 ~~added this section.~~

3 ~~(d) A requirement for reporting by the grant recipient to the~~
4 ~~responsible entity and the legislative sponsor that provides the~~
5 ~~status of the project and an accounting of all money expended by~~
6 ~~the grant recipient, as determined by the responsible entity.~~

7 ~~(e) A clawback provision that allows the department of~~
8 ~~treasury to recoup or otherwise collect any grant money that is~~
9 ~~declined, unspent, or otherwise misused.~~

10 ~~(f) The documents publicly disclosed under subsection (1).~~

11 ~~(4) If appropriate to improve the administration or oversight~~
12 ~~of a grant described in subsection (1), the responsible entity may~~
13 ~~adopt a memorandum of understanding with another state department~~
14 ~~to perform the required duties under this section.~~

15 ~~(5) A grant recipient shall respond to all reasonable~~
16 ~~information requests from the responsible entity related to grant~~
17 ~~expenditures and retain grant records for not less than 7 years,~~
18 ~~and the grant may be subject to monitoring, site visits, and audit~~
19 ~~as determined by the responsible entity. The grant agreement~~
20 ~~required under this section must include signed assurance by the~~
21 ~~chief executive officer or other executive officer of the grant~~
22 ~~recipient authorized to bind the grant recipient that the~~
23 ~~requirements of this subsection will be met.~~

24 ~~(6) The grant recipient shall expend all grant money awarded~~
25 ~~and complete all projects not later than September 30, 2030. If at~~
26 ~~that time any unexpended money remains, the grant recipient shall~~
27 ~~return that money to the state treasury. If a grant recipient does~~
28 ~~not provide information sufficient to execute a grant agreement not~~
29 ~~later than June 1, 2026, the responsible entity shall return money~~



1 ~~associated with the grant to the state treasury.~~

2 ~~(7) Any grant money that is awarded to a responsible entity is~~
 3 ~~appropriated in that responsible entity for the purpose of the~~
 4 ~~intended grant.~~

5 ~~(2) (8) Except as otherwise provided in subsection (9),~~
 6 ~~beginning March 15 of the current fiscal year, the responsible~~
 7 ~~entity~~ **In accordance with section 364(4) of the management and**
 8 **budget act, 1984 PA 431, MCL 18.364(4), the department or agency**
 9 **administering the grant** shall post a report in a publicly
 10 accessible location on its website **beginning March 15 of the**
 11 **current fiscal year.** ~~The report must list the grant recipient,~~
 12 ~~project purpose, and location of the project for each grant~~
 13 ~~described in subsection (1), the status of money allocated and~~
 14 ~~disbursed under the grant agreement, and the legislative sponsor,~~
 15 ~~if applicable. The responsible entity~~ **The department or agency**
 16 shall update the report and post ~~the~~ **an** updated report ~~in a~~
 17 ~~publicly accessible location on its website~~ not later than June 15
 18 of the current fiscal year and again not later than September 15 of
 19 the current fiscal year. ~~The responsible entity~~ **department or**
 20 **agency** shall include in the report the most comprehensive
 21 information the ~~responsible entity~~ **department or agency** has
 22 available at the time of posting for grants awarded.

23 ~~(9) If the state budget office determines that it is more~~
 24 ~~efficient for the state budget office to compile all affected~~
 25 ~~responsible entities' information and post a report of the compiled~~
 26 ~~information rather than the report required under subsection (8)~~
 27 ~~being posted by individual responsible entities, the state budget~~
 28 ~~office may compile that information across all affected responsible~~
 29 ~~entities and other state departments and post the compiled report~~



~~and any updates on the same time schedule as identified in subsection (8).~~

~~(10) If the responsible entity reasonably determines that the money allocated for an executed grant agreement under this section was misused or that use of the money was misrepresented by the grant recipient, the responsible entity shall not award any additional funds under the executed grant agreement and shall refer the grant for review following internal audit protocols, which may include referral for criminal investigation.~~

~~(11) As used in this section, "responsible entity" means the department of lifelong education, advancement, and potential, a public university, or other person that administers a grant under this article.~~

Sec. 237b. As used in this article:

(a) "Center" means the center for educational performance and information created in section 94a.

(b) "College level equivalent credit examination" means an examination that is administered by an independent testing service and that is used by colleges and universities generally to award postsecondary credit for achievement of a particular score, and includes, but is not limited to, advanced placement examinations, the DANTES Subject Standardized Test (DSST), and college-level examination program (CLEP) examinations.

(c) "Standard report recipients" means the senate and house appropriations committees, the senate and house appropriations subcommittees on higher education, the senate and house fiscal agencies, the senate and house policy offices, and the state budget office.

Sec. 237c. Not later than 6 months after the state budget



1 office issues work project letters, and again on or by April 15,
2 the state budget office shall submit an annual report that
3 summarizes all work project accounts to the standard report
4 recipients. The report must include all of the following:

5 (a) A list of all work project accounts.

6 (b) The status of all work project accounts, including amounts
7 expended, amounts encumbered, and available balances for each
8 account.

9 (c) The amount of funds that lapsed from any previously
10 designated work project accounts, the name and description of the
11 work project account, and the funds that received the lapsed
12 amounts.

13 Sec. 238. (1) Unless otherwise specified, a public university
14 receiving appropriations in section 236 shall use the internet to
15 fulfill the reporting requirements of this article. This
16 requirement includes transmission of reports via electronic mail to
17 the recipients identified for each reporting requirement and
18 placement of ~~reports~~**each required report in a single archivable**
19 **location** on an internet site **not later than the due date required**
20 **for each report.**

21 (2) In addition to placing all reports required in the current
22 fiscal year on the public university's website, the public
23 university shall maintain on its website all reports placed on the
24 website from the previous 7 fiscal years, posted by fiscal year in
25 the same single archivable location.

26 Sec. 239a. Public universities are encouraged to evaluate and
27 pursue efficiency and cost-containment measures that maximize state
28 funding. Public universities shall identify practices that increase
29 efficiencies, including, but not limited to, establishing joint



ventures, consolidating services, utilizing program collaborations, maximizing educational benefits through optimal class sizes and frequency of course offerings, eliminating low-enrollment and high-cost instructional programs, using self-insurance, practicing energy conservation, and utilizing group purchasing. Public universities shall also review proposed capital outlay projects to increase coordination and utilization of new facilities, renovation projects, and technology improvements.

Sec. 241. ~~Subject~~ **Excluding section 236k, and subject** to sections **236l**, 241a, 241b, 241c, 241e, ~~241h~~, and 244, the funds appropriated in sections 236 and 236d to public universities must be paid out of the state treasury and distributed by the state treasurer to the respective institutions in 11 equal monthly installments on the sixteenth of each month, or the next succeeding business day, beginning with October 16, ~~2025~~ **2026**. Except for Wayne State University, each institution shall accrue its July and August ~~2026~~ **2027** payments to its institutional fiscal year ending June 30, ~~2026~~ **2027**.

Sec. 241a. (1) All public universities shall submit higher education institutional data inventory (HEIDI) data and associated financial aid program information requested by and in a manner prescribed by the state budget director. For public universities with fiscal years ending June 30, these data must be submitted to the state budget director by October 15 of each fiscal year. Public universities with a fiscal year ending September 30 shall submit preliminary HEIDI data by November 15 and final data by December 15.

(2) It is intended that accountability reporting for public universities will be streamlined through HEIDI. The state budget



1 director and the center will work to combine the reporting
 2 requirements outlined in this subsection with the existing HEIDI
 3 collection cycle. All of the following must be reported to the
 4 house and senate fiscal agencies and the state budget director:

5 (a) Each public university's certification of its compliance
 6 with the requirements described in subsections (4), ~~and (5)~~, and
 7 **(6)**.

8 (b) The reporting requirements described in sections 241b and
 9 241c.

10 (3) If a public university fails to submit HEIDI data and
 11 associated ~~financial aid program information~~ **reporting in sections**
 12 **241a, 241b, 241c, and 244** in accordance with the required reporting
 13 schedule, the state ~~treasurer~~ **budget director** may withhold the
 14 monthly operations installments under ~~section~~ **sections 236 and 236d**
 15 to the public university until those ~~data~~ **reports** are submitted. If
 16 a public university does not comply with all of the requirements
 17 described in ~~subsections (4) and (5)~~ **sections 241a, 241b, 241c, and**
 18 **244** by the end of the fiscal year, the public university forfeits
 19 the amount withheld. The state budget director shall notify the
 20 ~~chairs of the house and senate appropriations subcommittees on~~
 21 ~~higher education~~ **standard report recipients** at least 10 days before
 22 withholding funds from any public university.

23 (4) No later than **the first business day of** November ~~1~~ **of** each
 24 year, a public university shall maintain a public transparency
 25 website available through a link on its website homepage. The
 26 website must include all of the following concerning the public
 27 university **and shall archive the previous versions from the prior 7**
 28 **fiscal years:**

29 (a) The annual operating budget and subsequent budget



1 revisions.

2 (b) A summary of current expenditures for the most recent
3 fiscal year for which they are available, expressed as pie charts
4 in the following 2 categories:

5 (i) A chart of personnel expenditures, broken into the
6 following subcategories:

7 (A) Earnings and wages.

8 (B) Employee benefit costs, including, but not limited to,
9 medical, dental, vision, life, disability, and long-term care
10 benefits.

11 (C) Retirement benefit costs.

12 (D) All other personnel costs.

13 (ii) A chart of all current expenditures the public university
14 reported as part of its higher education institutional data
15 inventory data under subsection (1), broken into the same
16 subcategories in which it reported those data.

17 (c) Links to all of the following for the public university:

18 (i) The current collective bargaining agreement for each
19 bargaining unit.

20 (ii) Each health care benefits plan, including, but not limited
21 to, medical, dental, vision, disability, long-term care, or any
22 other type of benefits that would constitute health care services,
23 offered to any bargaining unit or employee of the public
24 university.

25 (iii) Audits and financial reports for the most recent fiscal
26 year for which they are available.

27 (d) General fund revenue and expenditure projections for the
28 current fiscal year and the next fiscal year.

29 (e) A listing of all debt service obligations, detailed by



1 project, anticipated fiscal year payment for each project, and
2 total outstanding debt for the current fiscal year.

3 (f) The institution's policy regarding the transferability of
4 core college courses between community colleges and the public
5 university.

6 (g) A listing of all community colleges that have entered into
7 reverse transfer agreements with the public university.

8 (h) A dashboard or report card demonstrating the public
9 university's performance in several "best practice" measures. The
10 dashboard or report card must include at least all of the following
11 for the 3 most recent academic years for which the data are
12 available:

13 (i) Enrollment.

14 (ii) Student retention rate.

15 (iii) Six-year graduation rates.

16 (iv) Number of Pell grant recipients and graduating Pell grant
17 recipients.

18 (v) Geographic origination of students, categorized as in-
19 state, out-of-state, and international.

20 (vi) Faculty to student ratios and total public university
21 employee to student ratios.

22 (vii) Teaching load by faculty classification.

23 (viii) Graduation outcome rates, including employment and
24 continuing education.

25 (i) An icon badge that provides statewide consistency and
26 public visibility. For this purpose, public universities shall use
27 the icon badge provided by the department of technology,
28 management, and budget consistent with the icon badge developed by
29 the department of education for K-12 school districts. It must



1 appear on the front of each public university's homepage. The size
2 of the icon may be reduced to 150 x 150 pixels. The font size and
3 style for this reporting must be consistent with other documents on
4 each public university's website.

5 (j) A collection and report of the number and percentage of
6 all enrolled students who complete the Free Application for Federal
7 Student Aid, broken out by undergraduate and graduate/professional
8 classifications, reported to the center and posted on its website
9 under the budget transparency icon badge.

10 (k) The name of the current president, the names of the city
11 and state where the president currently resides, and the
12 president's annual salary.

13 **(l) A list of severance payments and the amounts of those**
14 **payments made to former employees of the university.**

15 (5) No later than **the first business day of** November ~~1~~**of** each
16 year, a public university shall develop, maintain, and update a
17 "campus safety information and resources" link, prominently
18 displayed on the homepage of its website, to a section of its
19 website containing, at a minimum, all of the following information:

20 (a) Emergency contact numbers for police, fire, health, and
21 other services.

22 (b) Hours, locations, telephone numbers, and email contacts
23 for campus public safety offices and title IX offices.

24 (c) A list of safety and security services provided by the
25 public university, including transportation, escort services,
26 building surveillance, anonymous tip lines, and other available
27 security services.

28 (d) The public university's policies applicable to minors on
29 university property.



1 (e) A directory of resources available at the public
2 university or surrounding community for students or employees who
3 are survivors of sexual assault or sexual abuse.

4 (f) An electronic copy of "A Resource Handbook for Campus
5 Sexual Assault Survivors, Friends and Family", published in 2018.

6 (g) Campus security policies and crime statistics pursuant to
7 the student right-to-know and campus security act, Public Law 101-
8 542, 104 Stat 2381. Information must include all material prepared
9 pursuant to the public information reporting requirements under the
10 crime awareness and campus security act of 1990, title II of the
11 student right-to-know and campus security act, Public Law 101-542,
12 104 Stat 2381.

13 **(6) Each public university shall certify to the state budget**
14 **director by the first business day of November of each year that it**
15 **complies with all of the following requirements:**

16 (a) The public university participates in reverse transfer
17 agreements described in section 286 with at least 3 community
18 colleges in this state.

19 (b) The public university does not and will not apply any of
20 the following criteria when determining whether credits earned
21 outside the public university by a student count toward a degree or
22 certificate program offered by the public university:

23 (i) Whether the credits were earned in a dual enrollment
24 program that counted the credits toward high school graduation
25 requirements.

26 (ii) Whether the credits were earned in a course that was
27 delivered in a high school classroom, community college classroom
28 or campus, or another location.

29 (iii) Whether the credits were earned in a course that was



1 delivered online, in person, or hybrid.

2 (iv) Whether other students enrolled in the course in which the
3 credits were earned were enrolled in high school or counted the
4 course toward high school graduation requirements.

5 (c) The public university actively participates in and submits
6 timely updates to the Michigan Transfer Network created as part of
7 the Michigan Association of Collegiate Registrars and Admissions
8 Officers transfer agreement.

9 Sec. 241b. (1) No later than **the first business day of**
10 November ~~1~~**of** each year, each public university that receives an
11 appropriation in section 236 shall report its annual security
12 report, also known as the Clery Act Report, as required under 20
13 USC 1092(f). Each public university shall include a title IX
14 summary report that includes all of the following information:

15 (a) The amounts and descriptions of all fees incurred in title
16 IX-related civil and criminal litigation.

17 (b) The number of title IX complaints.

18 (c) The average length of time for investigation and
19 resolution of title IX complaints.

20 (d) The aggregate number of title IX cases, investigations,
21 and complaints for each of the categories described in
22 subparagraphs (i) to (v), subject to subparagraph (vi), as follows:

23 (i) Cases investigated for less than 15 days.

24 (ii) Cases investigated for at least 15 days and less than 30
25 days.

26 (iii) Cases investigated for at least 30 days and less than 60
27 days.

28 (iv) Cases investigated for at least 60 days and less than 90
29 days.



1 (v) Cases investigated for 90 days or more.

2 (vi) If, for any category of cases under subparagraphs (i) to
3 (v), there is an aggregate of fewer than 5 cases investigated, the
4 public university shall not report the aggregate number of cases
5 and instead shall report that fewer than 5 cases were investigated.

6 (e) The number of title IX appeals and the resolutions of
7 those appeals.

8 (f) The number of title IX-related complaints filed by the
9 public university with law enforcement agencies.

10 (2) No later than **the first business day of** November ~~1~~**of** each
11 year, each public university that receives an appropriation in
12 section 236 shall certify all of the following:

13 (a) The public university complies with federal regulations
14 under title IX, as required by the United States Department of
15 Education, including, but not limited to, the following:

16 (i) Use of medical experts that do not have an actual or
17 apparent conflict of interest.

18 (ii) Issuance of title IX reports to complainants and
19 respondents that are not divergent.

20 (iii) Notification of resources to each individual who reports
21 having experienced sexual assault by a public university member.

22 (iv) Consistent annual training for title IX staff and law
23 enforcement.

24 (b) The public university provides both of the following:

25 (i) An in-person sexual misconduct prevention presentation or
26 course for all freshman and incoming transfer students, which must
27 include contact information for the title IX office of the public
28 university. For a student who does not have any in-person credit
29 hours on campus, the university may provide the presentation or



1 course electronically.

2 (ii) An online or electronic sexual misconduct prevention
3 presentation or course for all students not considered freshmen or
4 incoming transfer students.

5 (c) The public university had a third party review its title
6 IX compliance office and related policies and procedures by the end
7 of the 2018-2019 academic year. A copy of the third-party review
8 must be transmitted to the ~~state budget director, the house and~~
9 ~~senate appropriations subcommittees on higher education, and the~~
10 ~~house and senate fiscal agencies.~~ **standard report recipients.** Each
11 public university shall have a third-party review once every 4
12 years and a copy of the third-party review must be transmitted to
13 the ~~state budget director, the house and senate appropriations~~
14 ~~subcommittees on higher education, and the house and senate fiscal~~
15 ~~agencies.~~ **standard report recipients.**

16 (d) The public university requires that the governing board
17 and the president or chancellor of the public university receive
18 quarterly reports from their title IX coordinator or title IX
19 office. The report must contain aggregated data of the number of
20 sexual misconduct reports that the office received for the academic
21 year, the types of reports received, including reports received
22 against employees, and a summary of the general outcomes of the
23 reports and investigations. A member of the governing board may
24 request to review a title IX investigation report involving a
25 complaint against an employee, and the public university shall
26 provide the report in a manner it considers appropriate. The public
27 university shall protect the complainant's anonymity, and the
28 report must not contain specific identifying information.

29 (e) If allegations against an employee are made in more than 1



1 title IX complaint that resulted in the public university finding
 2 that no misconduct occurred, the public university requires that
 3 the title IX officer promptly notify the president or chancellor
 4 and a member of the public university's governing board in writing
 5 and take all appropriate steps to ensure that the matter is being
 6 investigated thoroughly, including hiring an outside investigator
 7 for future cases involving that employee. A third-party title IX
 8 investigation under this subdivision does not prohibit the public
 9 university from simultaneously conducting its own title IX
 10 investigation through its own title IX coordinator.

11 (f) The public university's president or chancellor and a
 12 member of its governing board has reviewed all title IX reports
 13 involving the alleged sexual misconduct of an employee of the
 14 public university.

15 (3) As used in this section, "sexual misconduct" includes, but
 16 is not limited to, intimate partner violence, nonconsensual sexual
 17 conduct, sexual assault, sexual exploitation, sexual harassment,
 18 and stalking.

19 Sec. 241c. (1) No later than the ~~first~~**last** business day of
 20 ~~November~~**August** of each year, each public university that receives
 21 an appropriation in section 236 shall submit the amount of tuition
 22 and fees actually charged to a full-time resident undergraduate
 23 student for academic year ~~2025-2026~~**2026-2027** as part of the public
 24 university's higher education institutional data inventory (HEIDI)
 25 data. A public university shall report any revisions for any
 26 semester of the reported academic year to HEIDI within 15 days of
 27 being adopted.

28 (2) Payments under section 236d must be made only to a public
 29 university that certifies to the state budget director by the ~~first~~



1 **last** business day of ~~November~~**August of** each year that its board
 2 did not adopt an increase in tuition and fee rates for resident
 3 undergraduate students after September 1, ~~2024-2025~~ for the ~~2024-~~
 4 ~~2025-2026~~**2025-2026** academic year and that its board will not adopt an
 5 increase in tuition and fee rates for resident undergraduate
 6 students for the ~~2025-2026~~**2026-2027** academic year that is greater
 7 than ~~4.5%-4.0%~~ or ~~\$735.00,~~**\$651.00**, whichever is greater. For the
 8 academic year ~~2026-2027,~~**2027-2028**, the tuition and fee restraint
 9 rate for resident undergraduate students is an increase of not
 10 greater than 4.0% or \$651.00, whichever is greater. It is the
 11 intent of the legislature that in the next fiscal year, the tuition
 12 and fee restraint rate will be adjusted only for the subsequent
 13 academic year. As used in this subsection:

14 (a) "Fee" means any board-authorized fee that will be paid by
 15 more than 1/2 of all resident undergraduate students at least once
 16 during their enrollment at a public university, as described in the
 17 higher education institutional data inventory (HEIDI) user manual.
 18 A public university increasing a fee that applies to a specific
 19 subset of students or courses shall provide sufficient information
 20 to prove that the increase applied to that subset will not cause
 21 the increase in the average amount of board-authorized total
 22 tuition and fees paid by resident undergraduate students in the
 23 academic year to exceed the limit established in this subsection.

24 (b) "Tuition and fee rate" means the average of full-time
 25 rates paid by a majority of students in each undergraduate class,
 26 based on an unweighted average of the rates authorized by the
 27 public university board and actually charged to students, deducting
 28 any uniformly rebated or refunded amounts, for the 2 semesters with
 29 the highest levels of full-time equated resident undergraduate



1 enrollment during the academic year, as described in the higher
2 education institutional data inventory (HEIDI) user manual.

3 ~~(3) Each public university shall certify to the state budget~~
4 ~~director by the first business day of November each year that it~~
5 ~~complies with all of the following requirements:~~

6 ~~(a) The public university participates in reverse transfer~~
7 ~~agreements described in section 286 with at least 3 community~~
8 ~~colleges in this state.~~

9 ~~(b) The public university does not and will not apply any of~~
10 ~~the following criteria when determining whether credits earned~~
11 ~~outside the public university by a student count toward a degree or~~
12 ~~certificate program offered by the public university:~~

13 ~~(i) Whether the credits were earned in a dual enrollment~~
14 ~~program that counted the credits toward high school graduation~~
15 ~~requirements.~~

16 ~~(ii) Whether the credits were earned in a course that was~~
17 ~~delivered in a high school classroom, community college classroom~~
18 ~~or campus, or another location.~~

19 ~~(iii) Whether the credits were earned in a course that was~~
20 ~~delivered online, in person, or hybrid.~~

21 ~~(iv) Whether other students enrolled in the course in which the~~
22 ~~credits were earned were enrolled in high school or counted the~~
23 ~~course toward high school graduation requirements.~~

24 ~~(c) The public university actively participates in and submits~~
25 ~~timely updates to the Michigan Transfer Network created as part of~~
26 ~~the Michigan Association of Collegiate Registrars and Admissions~~
27 ~~Officers transfer agreement.~~

28 **(3)** ~~(4)~~ The state budget director shall implement uniform
29 reporting requirements to ensure that a public university receiving



1 a payment under section 236d has satisfied the tuition restraint
 2 requirements of this section. The state budget director has the
 3 sole authority to determine if a public university has met the
 4 requirements of this section. Information reported by a public
 5 university to the state budget director under this subsection must
 6 also be reported to the ~~house and senate appropriations~~
 7 ~~subcommittees on higher education and the house and senate fiscal~~
 8 ~~agencies.~~ **standard report recipients.**

9 Sec. 247. (1) The funds appropriated in section 236 for
 10 Michigan reconnect must be distributed and administered by the
 11 department of lifelong education, advancement, and potential
 12 pursuant to the Michigan reconnect grant act, 2020 PA 84, MCL
 13 390.1701 to 390.1709, the Michigan reconnect grant recipient act,
 14 2020 PA 68, MCL 390.1711 to 390.1723, and the department's
 15 administrative procedures for Michigan reconnect.

16 (2) For fiscal year ~~2025-2026~~ **2026-2027** only, the department
 17 of lifelong education, advancement, and potential may use the funds
 18 appropriated in section 236 for Michigan reconnect to support
 19 students who are receiving awards under the temporary "ARP -
 20 Michigan reconnect expansion to 21" program described in 2023 PA
 21 119.

22 **Sec. 247a. (1) The appropriation in section 236(7)(e) may be**
 23 **used to support last-dollar financial assistance to eligible**
 24 **individuals who are at least 21 years of age and seeking associate**
 25 **degrees, industry-recognized certificates, or credentials. Funds**
 26 **expended under this section must be used to award grants to**
 27 **eligible institutions consistent with the Michigan reconnect grant**
 28 **act, 2020 PA 84, MCL 390.1701 to 390.1709, to eligible students as**
 29 **defined in this section, and to administer the program outlined in**



1 this section.

2 (2) Except as provided under subsection (3), the department
3 must develop and implement a program similar to requirements
4 outlined in the Michigan reconnect grant recipient act, 2020 PA 68,
5 MCL 390.1711 to 390.1723.

6 (3) To receive an initial grant under this section, an
7 eligible individual must meet both of the following requirements:

8 (a) Be at least 21 years of age and not more than 24 years of
9 age.

10 (b) Complete the application in a timely manner and in a form
11 and manner determined by the department.

12 (4) The department must develop program guidelines and
13 eligibility criteria for the program and must post the information
14 on its publicly accessible website.

15 (5) The department may award funds under this section for
16 eligible individuals only until the money appropriated to Michigan
17 reconnect in section 236(7)(e) has been fully committed.

18 Sec. 248. (1) The funds appropriated in section 236 for
19 Michigan achievement scholarships must be distributed as provided
20 in this section and section 248a, pursuant to the administrative
21 procedures for Michigan achievement scholarships of the department.

22 (2) As used in this section:

23 (a) "Cost of attendance" means expenses for a student's
24 tuition, mandatory fees, and contact hours for the student's actual
25 program of study; books, supplies, and equipment required for
26 courses of instruction; housing and food costs; transportation
27 expenses; federal student loan fees; miscellaneous expenses,
28 including a reasonable amount for the documented cost of a personal
29 computer, allowance for child care, or allowance for other



1 dependent care; costs related to a disability; costs of obtaining a
2 license, certification, or first professional credential; and
3 reasonable costs for study abroad programs.

4 (b) "Department" means the department of lifelong education,
5 advancement, and potential.

6 (c) "Eligible institution" means a public university that
7 receives an appropriation in section 236, a community college that
8 receives an appropriation in section 201, a federally recognized
9 tribal college in this state, or an independent nonprofit college
10 or university in this state as described in section 1 of 1966 PA
11 313, MCL 390.991.

12 (d) "Gift aid" includes federal Pell grants under 20 USC
13 1070a, tuition incentive program benefits under section 256, state
14 tuition grants under section 252, awards received for minimum
15 payments awarded in subsection (4), higher education expenses paid
16 under the Michigan promise zone authority act, 2008 PA 549, MCL
17 390.1661 to 390.1679, and all other federal, state, local, or
18 institutional aid in the form of grants, scholarships, or discounts
19 applied **only** toward tuition and mandatory fees. Gift aid does not
20 include student loans, work-study awards, qualified withdrawals
21 made from education savings accounts to pay higher education
22 expenses pursuant to the Michigan education savings program act,
23 2000 PA 161, MCL 390.1471 to 390.1486, or higher education expenses
24 paid under the Michigan education trust program pursuant to the
25 Michigan education trust act, 1986 PA 316, MCL 390.1421 to
26 390.1442.

27 (e) "High school equivalency certificate" means that term as
28 defined in section 4.

29 (f) "Last-dollar payment amount" means 1 of the following:



1 (i) For a student attending a community college or federally
2 recognized tribal college, an amount equal to the student's
3 tuition, mandatory fees, and contact hours for the student's actual
4 program of study, minus all gift aid received by the student.

5 (ii) For a student attending a public university or an
6 independent nonprofit college or university, or for a student
7 enrolled in a baccalaureate degree program described in section 121
8 of the community college act of 1966, 1966 PA 331, MCL 389.121, an
9 amount equal to the student's individual cost of attendance, minus
10 all gift aid received by the student.

11 (g) "Minimum payment" means a payment for any eligible cost
12 within the student's individual cost of attendance. The minimum
13 payment must be awarded as a separate payment not included in the
14 student's need-based financial aid. The minimum payment must not be
15 reduced.

16 (h) "SAI eligible student" means a student who has completed
17 the Free Application for Federal Student Aid and meets at least 1
18 of the following:

19 ~~(i) For awards made during academic year 2023-2024, has an~~
20 ~~expected family contribution of \$25,000.00 or less. An individual~~
21 ~~is considered to have met the requirements of subsection (4) if the~~
22 ~~individual received~~ **Received** the Michigan achievement scholarship
23 in academic year 2023-2024, was determined to have an expected
24 family contribution of \$25,000.00 or less in academic year 2023-
25 2024, and has completed the Free Application for Federal Student
26 Aid for the subsequent award cycles.

27 (ii) For awards made during academic year 2024-2025 or a
28 subsequent academic year, has completed the Free Application for
29 Federal Student Aid and has a student aid index number of ~~1 of the~~



1 following, as applicable:

2 ~~(A) For a student indicating on the student's Free Application~~
3 ~~for Federal Student Aid that the student is the only member of the~~
4 ~~student's household or the student's parents' household attending a~~
5 ~~postsecondary institution during that academic year, \$30,000.00 or~~
6 ~~less.~~

7 ~~(B) For a student indicating on the student's Free Application~~
8 ~~for Federal Student Aid that the student is not the only member of~~
9 ~~the student's household or the student's parents' household~~
10 ~~attending a postsecondary institution during that academic year,~~
11 ~~the greater of the number described in sub-subparagraph (A) or~~
12 ~~guidance determined by the department. For the purposes of this~~
13 ~~sub-subparagraph, the department, in collaboration with the state~~
14 ~~budget office and the house and senate fiscal agencies, may~~
15 ~~calculate a student aid index number or may issue administrative~~
16 ~~guidance for the student aid index eligibility of students with~~
17 ~~more than 1 member of the student's household or the student's~~
18 ~~parents' household attending a postsecondary institution during~~
19 ~~that academic year. It is intended that the utilization of a~~
20 ~~student aid index instead of expected family contribution does not~~
21 ~~adversely impact the eligibility of students with multiple members~~
22 ~~of the student's household or student's parents' household~~
23 ~~attending postsecondary institutions. It is further intended that~~
24 ~~the legislature and executive branch work collaboratively to use~~
25 ~~Michigan achievement scholarship uptake and other relevant data to~~
26 ~~establish a more permanent measure of financial need for the~~
27 ~~Michigan achievement scholarship for subsequent academic~~
28 **years.30,000 or less. If the federal government replaces the**
29 **student aid index number with a new metric, the department shall**



1 collaborate with the state budget office and the house and senate
2 fiscal agencies to adopt a new eligibility metric equivalent to a
3 student aid number of 30,000 or less.

4 (3) ~~An~~ **Subject to subsection (5),** an individual must meet all
5 of the following criteria each year to be eligible for a Michigan
6 achievement scholarship awarded under this section:

7 (a) Maintain residency in this state, as determined for
8 purposes of the Free Application for Federal Student Aid.

9 (b) Have graduated ~~from high school in this state~~ with a **high**
10 **school** diploma or certificate of completion or achieved a high
11 school equivalency certificate in 2023 or after.

12 (c) Be **enrolled in an eligible institution as** a full-time
13 undergraduate student, ~~at an eligible institution,~~ as defined by
14 that eligible institution, ~~and be a first-time enrollee for the~~
15 **semester the award is received.**

16 (d) **Have enrolled for the first time** in an eligible
17 institution during the 2023-2024 academic year, or a subsequent
18 academic year, within 15 months after high school graduation or
19 attainment of a high school equivalency certificate or have
20 received a Michigan achievement scholarship **or Michigan achievement**
21 **skills scholarship** in a previous academic year. For the purposes of
22 this subdivision, participation in a dual enrollment, early
23 college, or other similar program while attending high school does
24 not disqualify a student from being considered a first-time
25 enrollee.

26 (e) ~~(d)~~ Maintain satisfactory academic progress, as defined by
27 the eligible institution in which the student is enrolled.

28 (f) ~~(e)~~ Not be in default on a federal student loan.

29 (g) ~~(f)~~ Apply for all available gift aid for each academic



1 year in which the individual applies for a Michigan achievement
2 scholarship.

3 **(h)** ~~(g)~~—For a student who is enrolled at an eligible
4 institution that is a public university or an independent nonprofit
5 college or university, or who is enrolled in a baccalaureate degree
6 program described in section 121 of the community college act of
7 1966, 1966 PA 331, MCL 389.121, at an eligible institution, be an
8 SAI eligible student.

9 (4) The amount awarded to an eligible student at an eligible
10 institution must equal 1 of the following, as applicable:

11 (a) The amount awarded to an eligible student who is enrolled
12 at an eligible institution that is a community college or federally
13 recognized tribal college where the student is eligible for that
14 institution's in-district tuition rate must be equal to the sum of
15 the last-dollar payment amount. The amount awarded to an eligible
16 student who is eligible for a federal Pell grant under 20 USC 1070a
17 must include an additional amount of \$1,000.00.

18 (b) The amount awarded to an eligible student who is enrolled
19 at an eligible institution that is a community college or federally
20 recognized tribal college where the student is not eligible for
21 that institution's in-district tuition rate must be the lesser of
22 the last-dollar payment amount, or the in-district tuition **and**
23 **mandatory fees** rate. The amount awarded to an eligible student who
24 is eligible for a federal Pell grant under 20 USC 1070a must
25 include an additional amount of \$1,000.00.

26 (c) The amount awarded to an eligible student who is enrolled
27 at an eligible institution that is a public university **or**
28 **independent nonprofit university**, or is enrolled in a baccalaureate
29 degree program described in section 121 of the community college



act of 1966, 1966 PA 331, MCL 389.121, at an eligible institution must equal the sum of following:

(i) A minimum payment of \$2,500.00.

(ii) The lesser of \$3,000.00 or the student's last-dollar payment amount.

~~(d) The amount awarded to an eligible student at an eligible institution that is an independent nonprofit college or university must equal the sum of the following:~~

~~(i) A minimum payment of \$2,500.00.~~

~~(ii) The lesser of \$3,000.00 or the student's last-dollar payment amount.~~

(d) ~~(e)~~ Money awarded under this subsection for a Michigan achievement scholarship must be paid to the eligible institution for credit to the student's account.

(5) ~~Subject to section 248a(3)(f)(i), an~~ **An** eligible student may receive a Michigan achievement scholarship award under this section or section 248a for a maximum of 5 **consecutive** academic years, **starting when the eligible student enrolls at an eligible institution for the first time as described in subsection (3)(d), less any period of eligibility used for a Michigan achievement skills scholarship, and** not more than 3 of which may be for attending eligible institutions that are community colleges or federally recognized tribal colleges unless the student is enrolled in a baccalaureate degree program described in section 121 of the community college act of 1966, 1966 PA 331, MCL 389.121. A student may not receive an award under this section and section 248a(3)(f)(i) during the same academic ~~year-term~~.

(6) The department shall work closely with participating institutions to provide the highest level of participation and



1 ensure that all requirements of the program are met.

2 (7) From the funds appropriated in section 236(7) for the
 3 Michigan achievement ~~scholarships,~~ **scholarship**, the department may
 4 ~~not use more than~~ **up to \$10,000,000.00 annually** for the purposes of
 5 outreach programs to raise awareness of the Michigan achievement
 6 scholarship ~~described in this section and section 248a and~~ **other**
 7 **state grants and financial aid allocated in section 236(7). The**
 8 **department** shall ensure that ~~Michigan achievement scholarships~~
 9 **state grants and financial aid** are well publicized and that high
 10 school students are provided information on the ~~program.~~
 11 **availability of financial aid.** The department may receive and
 12 expend funds received from outside sources for scholarships,
 13 marketing, or other purposes related to the Michigan ~~achievement~~
 14 ~~scholarship.~~ **state grants and financial aid.** The department shall
 15 provide the necessary funding and staff to fully operate the
 16 program.

17 (8) The department shall convene a workgroup to ~~consider and~~
 18 advise the department on ~~implementing policies for administering~~
 19 **the administration of** the Michigan achievement scholarship. The
 20 workgroup shall include participation from the Michigan Association
 21 of State Universities and its institutional members, the Michigan
 22 College Access Network, the Michigan Community College Association
 23 and its institutional members, the Michigan Independent Colleges
 24 and Universities and its institutional members, and any other
 25 interested stakeholders and offices as determined by the
 26 department. ~~The workgroup shall make recommendations on packaging~~
 27 ~~order, packaging structure, definitions of terms not otherwise~~
 28 ~~defined in statute, and other administrative regulatory~~
 29 ~~requirements as necessary to implement the Michigan achievement~~



1 ~~scholarship.~~

2 (9) The following reporting obligations apply to the Michigan
3 achievement scholarship program:

4 (a) By February 15 of each year, the department shall provide
5 a written report, organized by eligible institution, to the ~~house~~
6 ~~and senate appropriations subcommittees on higher education, the~~
7 ~~house and senate fiscal agencies, and the state budget director~~
8 **standard report recipients** that includes the following information
9 for the previous academic year:

10 (i) The number of students who qualified for a Michigan
11 achievement scholarship.

12 (ii) The number of students who received a Michigan achievement
13 scholarship.

14 (iii) The average number of credits earned by students who
15 received a Michigan achievement scholarship.

16 (iv) The number of Michigan achievement scholarships that were
17 canceled due to failure to maintain satisfactory academic progress
18 as described in subsection ~~(3)(d)~~. **(3)(e)**.

19 (v) The number of Michigan achievement scholarships that were
20 canceled due to a student ceasing attendance at an eligible
21 institution. The number must not include any known transfers to
22 another eligible institution.

23 (vi) The number of Michigan achievement scholarships that were
24 canceled due to a student's failure to maintain full-time status.

25 (vii) The average Michigan achievement scholarship award per
26 student. ~~, delineated~~

27 **(viii) As applicable, a delineation of each measure described in**
28 **subparagraphs (i) to (vii)** by sector, including community colleges,
29 tribal colleges, public universities, **and** independent colleges and



1 universities. ~~7 and training institutions. As used in this~~
 2 ~~subparagraph, "training institutions" means training institutions~~
 3 ~~accepted to participate in the Michigan achievement scholarship~~
 4 ~~program under section 248a.~~

5 (b) By September 30 of each year, starting with the fiscal
 6 year ending September 30, 2027 and in partnership with the center,
 7 create and maintain a publicly available online dashboard that
 8 includes all of the following student success information for the
 9 previous academic year:

10 (i) The number of students who received a Michigan achievement
 11 scholarship and completed a degree or credential by an eligible
 12 institution.

13 (ii) Type of credentials, including a breakdown of bachelor's
 14 and associate degrees, earned by students who received a Michigan
 15 achievement scholarship by an eligible institution.

16 (iii) The percentage of students who received a Michigan
 17 achievement scholarship and were eligible for federal Pell grants
 18 under 20 USC 1070a.

19 (iv) The average completion rate for students who received a
 20 Michigan achievement scholarship by an eligible institution as
 21 defined by the department.

22 (v) The average persistence rate and credits earned for
 23 students who received a Michigan achievement scholarship by an
 24 eligible institution as defined by the department.

25 (vi) As applicable, a delineation of each measure described in
 26 subparagraphs (i) to (v) by sector, including community colleges,
 27 tribal colleges, public universities, and independent colleges and
 28 universities.

29 (c) ~~(b)~~ Each eligible institution whose students receive



1 awards under this section shall cooperate with the department in a
2 timely manner to facilitate the creation of the report under
3 subdivision (a) **and (b)**.

4 (10) By April 1 of each year, each eligible institution shall
5 submit a report to the department, the state budget office, and the
6 house and senate fiscal agencies providing information as to the
7 average amount of institutional grant aid awarded to full-time
8 first-time undergraduate students for the immediately preceding 2
9 institution fiscal years. If the average amount of institutional
10 grant aid awarded to full-time first-time undergraduate students in
11 **the immediately preceding** fiscal year ~~2024-2025~~ is less than the
12 average amount of institutional grant aid awarded to full-time
13 first-time undergraduate students in **the year preceding the**
14 **immediately preceding institutional** fiscal year ~~2023-2024, 2024-~~
15 **2025**, the institution shall include in the report a description of
16 any changes to the institutional financial aid during the 2
17 immediately preceding fiscal years. An institution's report of the
18 average amount of institutional grant aid awarded to full-time
19 first-time undergraduate students pursuant to this subsection must
20 be consistent with data most recently reported to the Integrated
21 Postsecondary Education Data System.

22 (11) For each fiscal year, an eligible institution shall
23 maintain and report its compliance with the following tuition
24 restraint requirements, as applicable:

25 (a) For an eligible institution that is a community college **or**
26 **a federally recognized tribal college in this state**, the tuition
27 restraint described in section 217b.

28 (b) For an eligible institution that is a public university or
29 independent nonprofit college or university, the tuition restraint



1 described in section 241c. **The report of an eligible institution**
 2 **that is an independent nonprofit college or university must include**
 3 **the actual tuition and mandatory fee rates adopted by the**
 4 **institution's governing body for each academic year described in**
 5 **section 241c.**

6 (12) The state budget director shall implement reporting
 7 requirements to ensure that an eligible institution has satisfied
 8 the tuition restraint requirements of this section. The state
 9 budget director has the sole authority to determine if an eligible
 10 institution has met the requirements of this section.

11 (13) If an eligible institution exceeds the applicable
 12 tuition restraint level for 2 consecutive years, the state budget
 13 director may consider the institution ineligible for funding under
 14 this section in the subsequent academic year.

15 (14) If an institution is considered ineligible for funding
 16 under this section, the state budget director shall reevaluate the
 17 status of the ineligible institution ~~after 1 academic~~
 18 ~~year.~~**annually.**

19 (15) It is the intent of the legislature that an eligible
 20 institution will not make reductive changes to ~~scholarship or~~
 21 ~~financial aid programs~~**institutional grant aid** offered by that
 22 eligible institution that have the goal or net effect of shifting
 23 the cost burden of those programs to the program described in this
 24 section.

25 Sec. 248a. (1) The funds appropriated in section 236 for **the**
 26 Michigan achievement **skills** scholarships must be distributed as
 27 provided in this section and section 248, pursuant to the
 28 administrative procedures for Michigan achievement **skills**
 29 scholarship ~~private training program~~ of the department.



(2) As used in this section:

(a) "Department" means the department of lifelong education, advancement, and potential.

(b) "High school equivalency certificate" means that term as defined in section 4.

(c) "Qualified occupational training program" means that term as defined in section 13 of the Michigan reconnect grant recipient act, 2020 PA 68, MCL 390.1713, or a program that provides not less than 150 clock hours of instructional time over a period of not less than 8 weeks in career-oriented skilled trades instruction in maritime trades, at an independent nonprofit institution incorporated in this state that is nationally accredited and approved for federal financial aid.

(3) The department shall do all of the following:

(a) Develop and implement a process by which those seeking to participate in the Michigan achievement **skills** scholarship ~~private training program~~ as training institutions offering qualified occupational training programs must apply to the department.

(b) Approve as a qualified occupational training program a program for which an application is submitted under subdivision (a) that meets all of the criteria to qualify as a qualified occupational training program, and post these criteria to the department's website.

(c) Ensure that an applicant under subdivision (a) is first included on this state's eligible training provider list before each of the applicant's programs receives separate approval from the department as being a qualified occupational training program.

(d) Require that training institutions accepted to participate in the Michigan achievement **skills** scholarship ~~private training~~



1 ~~program~~ comply with data requests from the department as a
 2 condition of continued participation. For purposes of this
 3 subdivision, the department shall require institutions operating
 4 apprenticeship programs subject to this section to provide data
 5 that tracks relevant work experience required to verify a student's
 6 status as an apprentice.

7 (e) Maintain on its website a list of all qualified
 8 occupational training program options available to potential skills
 9 scholarship recipients.

10 (f) Award skills scholarships, subject to all of the
 11 following:

12 (i) A skills scholarship is a grant not to exceed \$2,000.00 per
 13 year to contribute to tuition costs for a qualified occupational
 14 training program at a training institution, both of which are
 15 approved under this section, for a training program participant who
 16 meets the requirements of subparagraph (ii). A skills scholarship
 17 must not exceed the full amount of the tuition charged for the
 18 training program. A program participant may receive a skills
 19 scholarship under this section for a maximum of 2 academic years.

20 (ii) To receive the skills scholarship described in
 21 subparagraph (i), a qualified occupational training program
 22 participant must meet all of the following:

23 (A) Be a resident of this state for at least the immediately
 24 preceding year.

25 (B) Have graduated ~~from a high school in this state~~ with a
 26 **high school** diploma or certificate of completion or achieved a high
 27 school equivalency certificate in 2023 or after.

28 (C) **Have enrolled for the first time in a qualified**
 29 **occupational training program during the 2023-2024 academic year,**



1 or a subsequent academic year, within 15 months after high school
 2 graduation or attainment of a high school equivalency certificate
 3 or have received a Michigan achievement scholarship or Michigan
 4 achievement skills scholarship in a previous academic year. For the
 5 purposes of this subdivision, participation in a dual enrollment,
 6 early college, or other similar program while attending high school
 7 does not disqualify a student from being considered a first-time
 8 enrollee.

9 (D) ~~(C)~~ Not have previously earned an associate or
 10 baccalaureate degree.

11 (E) ~~(D)~~ Not have previously earned a degree, certificate, or
 12 other credential using a skills scholarship awarded under this
 13 section.

14 (F) ~~(E)~~ Timely complete a Michigan achievement ~~scholarship~~
 15 ~~private training program~~ skills scholarship application in a form
 16 and manner determined by the department.

17 (iii) The department may award skills scholarships under this
 18 section only until money appropriated to the Michigan achievement
 19 **skills** scholarship ~~private training program~~ has been fully
 20 committed.

21 (g) Inform each recipient of a skills scholarship that the
 22 recipient will remain eligible for the Michigan achievement
 23 scholarship under section 248 for a maximum of 5 years, less any
 24 years of eligibility used for a skills scholarship awarded under
 25 this section, to pursue an associate degree, baccalaureate degree,
 26 or occupational certificate upon completion of a certification
 27 course of study in a qualified occupational training program.

28 (h) By February 15 of each year, provide a written report,
 29 organized by qualified occupational training programs, to the



1 standard report recipients that includes the following information
2 for the previous academic year:

3 (i) The number of program participants who qualified for a
4 Michigan achievement skills scholarship.

5 (ii) The number of program participants who received a Michigan
6 achievement skills scholarship.

7 (iii) The average Michigan achievement skills scholarship award,
8 per program participant, delineated by qualified occupational
9 training program.

10 (4) Except as otherwise provided in subsection (5), the
11 department shall promulgate rules to implement ~~subsection (3) (a),~~
12 ~~(b), and (d) only,~~ **this section** pursuant to the administrative
13 procedures act of 1969, 1969 PA 306, MCL 24.201 to 24.328. ~~7~~
14 ~~subject to all of the following:~~

15 ~~(a) Under subsection (3) (a), the department is limited to~~
16 ~~developing the form for the application described in subsection~~
17 ~~(3) (a) and prescribing the time and manner of its completion.~~

18 ~~(b) Under subsection (3) (b), the department is limited to~~
19 ~~applying the eligibility criteria described in subsection (3) (b)~~
20 ~~and shall not apply any other eligibility criteria.~~

21 ~~(c) Under subsection (3) (d), the department is limited to~~
22 ~~requiring compliance with data requests as described in subsection~~
23 ~~(3) (d).~~

24 ~~(5) To facilitate implementation of the Michigan achievement~~
25 ~~scholarship private training program prior to final rules being~~
26 ~~adopted, the department may develop and administer the program in~~
27 ~~accordance with its proposed rules or other policy or directive of~~
28 ~~the department established pursuant to this section.~~

29 (5) ~~(6)~~—It is the intent of the legislature that a training



1 institution will not make changes to scholarship or financial aid
2 programs offered by that training institution that have the goal or
3 net effect of shifting the cost burden of those programs to the
4 program described in this section. **A training institution shall not**
5 **do either of the following as a result of an individual's receipt**
6 **of a scholarship under this act:**

7 (a) **Adjust tuition rates or tuition discounts.**

8 (b) **Change its tuition costs.**

9 Sec. 249. (1) The funds appropriated in section 236 for the
10 children of veterans and officer's survivor tuition grant programs
11 shall be supported with revenue from the restricted account created
12 in section 5 of the children of veterans tuition grant act, 2005 PA
13 248, MCL 390.1345. As provided in section 5 of the children of
14 veterans tuition grant act, 2005 PA 248, MCL 390.1345, unexpended
15 funds remaining in the restricted account at the end of the fiscal
16 year shall not lapse to the general fund.

17 (2) The ~~general fund/general purpose~~ funds appropriated in
18 section 236 for the children of veterans and officer's survivor
19 tuition grant programs shall be deposited into the restricted
20 account described in subsection (1), as required in section 5 of
21 the children of veterans tuition grant act, 2005 PA 248, MCL
22 390.1345.

23 (3) Funds deposited into the restricted account under
24 subsection (2) for the children of veterans and officer's survivor
25 tuition grant programs are appropriated and available for
26 allocation as required in the children of veterans tuition grant
27 act, 2005 PA 248, MCL 390.1341 to 390.1346.

28 Sec. 256. (1) The funds appropriated in section 236 for the
29 tuition incentive program must be distributed as provided in this



1 section and pursuant to the administrative procedures for the
2 tuition incentive program of the department of lifelong education,
3 advancement, and potential.

4 (2) As used in this section:

5 (a) "Phase I" means the first part of the tuition incentive
6 program defined as the academic period of 80 semester or 120 term
7 credits, or less, leading to an associate degree or certificate.
8 Students must be enrolled in a certificate or associate degree
9 program and taking classes within the program of study for a
10 certificate or associate degree. Tuition will not be covered for
11 courses outside of a certificate or associate degree program.

12 (b) "Phase II" means the second part of the tuition incentive
13 program that provides assistance in the third and fourth year of 4-
14 year degree programs.

15 (c) "Department" means the department of lifelong education,
16 advancement, and potential.

17 (d) "High school equivalency certificate" means that term as
18 defined in section 4.

19 (3) An individual must meet the following basic criteria and
20 financial thresholds to be eligible for tuition incentive program
21 benefits:

22 (a) To be eligible for phase I, an individual must meet all of
23 the following criteria:

24 (i) Be less than 20 years of age at the time the individual
25 graduates from high school with a diploma or certificate of
26 completion or achieves a high school equivalency certificate or,
27 for students attending a 5-year middle college approved by the
28 Michigan department of education, be less than 21 years of age when
29 the individual graduates from high school, **or be considered a**



1 **special education pupil at the time the individual graduated from**
2 **high school as described in section 6(4) (l) (i) .**

3 (ii) Be a United States citizen and maintain residency in this
4 state, as determined for purposes of the Free Application for
5 Federal Student Aid.

6 (iii) Be at least a half-time student, earning less than 80
7 semester or 120 term credits at a participating educational
8 institution within 4 years of high school graduation or achievement
9 of a high school equivalency certificate. All program eligibility
10 expires 10 years after initial enrollment at a participating
11 educational institution.

12 (iv) Meet the satisfactory academic progress policy of the
13 educational institution attended by the individual.

14 (b) To be eligible for phase II, an individual must meet
15 either of the following criteria in addition to the criteria in
16 subdivision (a):

17 (i) Complete at least 56 transferable semester or 84
18 transferable term credits.

19 (ii) Obtain an associate degree or certificate at a
20 participating institution.

21 (c) To be eligible for phase I or phase II, an individual must
22 be financially eligible as determined by the department. An
23 individual is financially eligible for the tuition incentive
24 program if the individual was eligible for Medicaid from this state
25 for 24 months within any 36 months prior to completion of high
26 school or achievement of a high school equivalency certificate. The
27 department shall accept certification of Medicaid eligibility only
28 from the department of health and human services for the purposes
29 of verifying if a person is Medicaid eligible for 24 months within



1 any 36 months prior to completion of high school or achievement of
2 a high school equivalency certificate. Certification of eligibility
3 may begin in the sixth grade.

4 (4) For phase I, the department shall provide payment on
5 behalf of a person eligible under subsection (3). The department
6 shall only accept standard per-credit hour tuition billings and
7 shall reject billings that are excessive or outside the guidelines
8 for the type of educational institution.

9 (5) For phase I, all of the following apply:

10 (a) Payments for associate degree or certificate programs must
11 not be made for more than 80 semester or 120 term credits for any
12 individual student at any participating institution. The department
13 shall not do either of the following:

14 (i) Adopt or apply any total semester-credit or term-credit
15 maximum that is less than the 80 semester-credit or 120 term-credit
16 maximum provided in this subdivision.

17 (ii) Adopt or apply any per-semester or per-term credit maximum
18 for a student whose semester-credit or term-credit load will not
19 result in exceeding the total 80 semester-credit or 120 term-credit
20 maximum provided in this subdivision.

21 (b) For persons enrolled at a Michigan community college, the
22 department shall pay the current in-district tuition and mandatory
23 fees. For persons residing in an area that is not included in any
24 community college district, the out-of-district tuition rate may be
25 authorized.

26 (c) For persons enrolled at a Michigan public university, the
27 department shall pay lower division resident tuition and mandatory
28 fees for the current year.

29 (d) For persons enrolled at a Michigan independent, nonprofit



1 degree-granting college or university or a Michigan federal
2 tribally controlled community college, the department shall pay
3 mandatory fees for the current year and a per-credit payment that
4 does not exceed the average community college in-district per-
5 credit tuition rate as reported by the last business day of August
6 for the immediately preceding academic year.

7 (6) A person participating in phase II may be eligible for
8 additional funds not to exceed \$500.00 per semester or \$400.00 per
9 term up to a maximum of \$2,000.00 subject to the following
10 conditions:

11 (a) Credits are earned in a 4-year program at a Michigan
12 degree-granting 4-year college or university.

13 (b) The tuition reimbursement is for coursework completed
14 within 30 months of completion of the phase I requirements.

15 (7) The department shall work closely with participating
16 institutions to provide the highest level of participation and
17 ensure that all requirements of the program are met.

18 (8) The department shall notify students in an age-appropriate
19 manner of their financial eligibility for the program any time
20 after the student begins sixth grade.

21 (9) Except as otherwise provided in sections 13(c) and 17 of
22 the Michigan reconnect grant recipient act, 2020 PA 68, MCL
23 390.1713 and 390.1717, each institution shall ensure that all known
24 available restricted grants for tuition and fees are used before
25 billing the tuition incentive program for any portion of a
26 student's tuition and fees.

27 (10) The department shall ensure that the tuition incentive
28 program is well publicized and that eligible Medicaid clients are
29 provided information on the program. The department shall provide



1 the necessary funding and staff to fully operate the program.

2 (11) The department shall collaborate with the center to use
3 the P-20 longitudinal data system to report the following
4 information for each qualified postsecondary institution:

5 (a) The number of phase I students in the most recently
6 completed academic year who in any academic year received a tuition
7 incentive program award and who successfully completed a degree or
8 certificate program. Cohort graduation rates for phase I students
9 must be calculated using the established success rate methodology
10 developed by the center in collaboration with the postsecondary
11 institutions.

12 (b) The number of students in the most recently completed
13 academic year who in any academic year received a Pell grant at the
14 reporting institution and who successfully completed a degree or
15 certificate program. Cohort graduation rates for students who
16 received Pell grants must be calculated using the established
17 success rate methodology developed by the center in collaboration
18 with the postsecondary institutions.

19 (12) If a qualified postsecondary institution does not report
20 the data necessary to complete the reporting in subsection (11) to
21 the P-20 longitudinal data system by October 15 for the prior
22 academic year, the department shall not award phase I tuition
23 incentive program funding to otherwise eligible students enrolled
24 in that institution until the data are submitted.

25 **(13) By May 14, 2027, the department must compile a report,**
26 **and submit that report to the standard report recipients, that**
27 **includes data and trends regarding students who are eligible for**
28 **phase I or phase II awards under this section and who are also**
29 **eligible for the Michigan reconnect program as outlined in section**



1 247, or the Michigan achievement scholarship as outlined in section
2 248, or both. Using state scholarship data from preceding fiscal
3 years, the report shall recommend changes to the tuition incentive
4 program that would improve coordination among state financial aid
5 programs, reduce ongoing costs and state financial aid scholarship
6 duplication, increase student access to postsecondary education,
7 improve on-time completion of postsecondary credentials and
8 degrees, and advance the statewide postsecondary attainment goal
9 described in sections 226e and 275j of this act. The department
10 must coordinate with stakeholders from public and private
11 institutions of higher education in this state and other relevant
12 stakeholders.

13 Sec. 263. (1) Included in the appropriation in section 236 for
14 fiscal year ~~2025-2026~~**2026-2027** for MSU AgBioResearch is
15 \$2,982,900.00 and included in the appropriation in section 236 for
16 MSU Extension is \$2,645,200.00 for Project GREEN. Project GREEN
17 is intended to address critical regulatory, food safety, economic,
18 and environmental problems faced by this state's plant-based
19 agriculture, forestry, and processing industries. "GREEN" is an
20 acronym for Generating Research and Extension to Meet Environmental
21 and Economic Needs.

22 (2) The department of agriculture and rural development and
23 Michigan State University, in consultation with agricultural
24 commodity groups and other interested parties, shall develop
25 Project GREEN and its program priorities.

26 Sec. 263b. Included in the appropriation in section 236 for
27 fiscal year ~~2025-2026~~**2026-2027** for MSU AgBioResearch and MSU
28 Extension is funding for the Agricultural Climate Resiliency
29 Program. The Agricultural Climate Resiliency Program is intended to



1 address environmental sustainability of Michigan agriculture and
 2 promote the protection and efficient use of Michigan's water
 3 resources.

4 Sec. 264. Included in the appropriation in section 236 for
 5 fiscal year ~~2025-2026~~**2026-2027** for Michigan State University is
 6 \$80,000.00 for the Michigan Future Farmers of America Association.
 7 This \$80,000.00 allocation must not supplant any existing support
 8 that Michigan State University provides to the Michigan Future
 9 Farmers of America Association.

10 Sec. 268. (1) For the fiscal year ending September 30, ~~2026,~~
 11 **2027**, it is the intent of the legislature that funds be allocated
 12 for unfunded North American Indian tuition waiver costs incurred by
 13 public universities under 1976 PA 174, MCL 390.1251 to 390.1253,
 14 from the ~~general~~**state school aid** fund.

15 (2) By January 15 of each year, the department of lifelong
 16 education, advancement, and potential shall annually submit to the
 17 ~~state budget director, the house and senate appropriations~~
 18 ~~subcommittees on higher education, and the house and senate fiscal~~
 19 ~~agencies~~**standard report recipients** a report on North American
 20 Indian tuition waivers for the preceding academic year that
 21 includes, but is not limited to, all of the following information:

22 (a) The number of waiver applications received and the number
 23 of waiver applications approved.

24 (b) For each public university submitting information under
 25 subsection (3), all of the following:

26 (i) The number of graduate and undergraduate ~~North American~~
 27 ~~Indian~~**Native American** students enrolled each term for the previous
 28 academic year.

29 (ii) The number of North American Indian **tuition** waivers



1 granted each term, including to continuing education students, ~~and~~
 2 ~~the monetary value of the waivers for the previous academic year.~~

3 ~~(iii) The number of North American Indian students who receive a~~
 4 ~~granted waiver for the previous academic year.~~ **The monetary value of**
 5 **the waivers granted each term for the previous academic year.**

6 ~~(iv) The number of graduate and undergraduate students~~
 7 ~~attending under a North American Indian tuition waiver who withdrew~~
 8 ~~from the public university each term during the previous academic~~
 9 ~~year. For purposes of this subparagraph, a withdrawal occurs when a~~
 10 ~~student who has been awarded the waiver withdraws from the~~
 11 ~~institution at any point during the term, regardless of enrollment~~
 12 ~~in subsequent terms.~~

13 ~~(iv) (v)~~ **The number of graduate and undergraduate students**
 14 **attending under a North American Indian tuition waiver who**
 15 **successfully transfer to a 4-year public or private university, or**
 16 **complete a degree or certificate program, separated by degree or**
 17 **certificate level. , and the graduation rate for graduate and**
 18 **undergraduate students attending under a North American Indian**
 19 **tuition waiver who complete a degree or certificate within 150% of**
 20 **the normal time to complete, separated by the level of the degree**
 21 **or certificate.**

22 (3) By January 1 of each year, a public university that
 23 receives an appropriation in section 236, or a tribal college
 24 receiving pass-through funds under section 269, 270, or 270c, shall
 25 provide to the department of lifelong education, advancement, and
 26 potential any information necessary for preparing the report
 27 detailed in subsection (2), using guidelines and procedures
 28 developed by the department of lifelong education, advancement, and
 29 potential.



(4) The department of lifelong education, advancement, and potential may consolidate the report required under this section with the report required under section 223, but a consolidated report must separately identify data for public universities and data for community colleges.

Sec. 269. For fiscal year ~~2025-2026~~, **2026-2027**, from the amount appropriated in section 236 to Central Michigan University for costs incurred under the North American Indian tuition waiver, ~~\$80,800.00~~ **\$96,700.00** must be paid to Saginaw Chippewa Tribal College for the costs of waiving tuition for North American Indians under 1976 PA 174, MCL 390.1251 to 390.1253. It is the intent of the legislature that Saginaw Chippewa Tribal College provide the department of lifelong education, advancement, and potential the necessary information for the college to be included in the report required under section 268.

Sec. 270. For fiscal year ~~2025-2026~~, **2026-2027**, from the amount appropriated in section 236 to Lake Superior State University for costs incurred under the North American Indian tuition waiver, ~~\$498,800.00~~ **\$465,000.00** must be paid to Bay Mills Community College for the costs of waiving tuition for North American Indians under 1976 PA 174, MCL 390.1251 to 390.1253. It is the intent of the legislature that Bay Mills Community College provide the department of lifelong education, advancement, and potential the necessary information for the college to be included in the report required under section 268.

Sec. 270c. For fiscal year ~~2025-2026~~, **2026-2027**, from the amount appropriated in section 236 to Northern Michigan University for costs incurred under the North American Indian tuition waiver, ~~\$105,700.00~~ **\$112,200.00** is to be paid to Keweenaw Bay Ojibwa



Community College for the costs of waiving tuition for North American Indians under 1976 PA 174, MCL 390.1251 to 390.1253. It is the intent of the legislature that Keweenaw Bay Ojibwa Community College provide the department of lifelong education, advancement, and potential the necessary information for the community college to be included in the report required under section 268.

Sec. 275k. (1) Not later than December 1 of each year, each university that receives an appropriation in section 236 that, in the current or previous academic year, serves or has served as an authorizing body shall submit a report to the house and senate appropriations subcommittees on higher education, the house and senate fiscal agencies, the state budget director, and the department of education containing, at a minimum, all of the following information, as applicable:

(a) A list of all of the schools currently authorized. ~~and the following information for each school:~~

~~(i) The year in which the school was authorized.~~

~~(ii) The location of each school.~~

~~(iii) The owner of the property at which each school is located and the physical buildings utilized by the school, as applicable.~~

(b) A list identifying any schools that were closed or lost their authorization in the current or previous academic year.

~~(c) A description of any new contracts for the operation of a public school academy that will operate as the successor to a public school academy that is currently being operated under a contract issued by another authorizing body that is currently performing in the bottom 5% of schools.~~

(c) ~~(d)~~ The academic performance of each school currently authorized, including whether a school is identified by the



1 department of education as a partnership school. If a school is
2 identified as a partnership school under this subdivision, the
3 authorizing body shall include a description of corrective actions
4 in the school's partnership agreement, the duration of the
5 partnership agreement, and an assessment of progress toward
6 improvement.

7 ~~(e) The total enrollment of each school at the time of~~
8 ~~submission, the grades served, and student turnover rate compared~~
9 ~~to the previous academic year, as applicable.~~

10 ~~(f) Aggregated student enrollment data for students with an~~
11 ~~individualized education program as well as the total amount of~~
12 ~~special education cost reimbursements received by each school~~
13 ~~during the school's most recently completed fiscal year.~~

14 **(d)** ~~(g)~~ The total number of fees, reimbursements,
15 contributions, or charges permitted under section 502(6) of the
16 revised school code, 1976 PA 451, MCL 380.502, that are assigned to
17 each school currently authorized in a single academic year.

18 ~~(h) The names of the members of the board of directors of each~~
19 ~~school currently authorized and the date that each member of each~~
20 ~~board was appointed, and a description of the methodology used by~~
21 ~~the authorizing body to select members for the boards of directors~~
22 ~~for each school currently authorized by the authorizing body.~~

23 ~~(i) The name of the applicant who applied and received~~
24 ~~approval to organize each currently authorized school.~~

25 ~~(j) The list of contracts and length of their terms, with~~
26 ~~education service providers associated with each school currently~~
27 ~~authorized pursuant to section 502 of the revised school code, 1976~~
28 ~~PA 451, MCL 380.502, as applicable. The contracts described in this~~
29 ~~subdivision include, but are not limited to, those described in~~



~~section 502(2)(d) of the revised school code, 1976 PA 451, MCL 380.502.~~

~~(k) Activities undertaken by each university to ensure that the board of directors of each school complies with the open meetings act, 1976 PA 267, MCL 15.261 to 15.275, the freedom of information act, 1976 PA 442, MCL 15.231 to 15.246, and laws prohibiting conflicts of interest.~~

~~(l) A description of the activities undertaken by the university to meet the functions of an authorizing body under section 502 of the revised school code, 1976 PA 451, MCL 380.502, as applicable.~~

(e) ~~(m)~~ A financial report of the authorizing body's use of fees, reimbursements, contributions, or charges collected or retained under section 502(6) of the revised school code, 1976 PA 451, MCL 380.502. This report must include all of the following, at a minimum:

(i) The total amount of fees collected or retained under section 502(6) of the revised school code, 1976 PA 451, MCL 380.502, by the authorizing body for the authorizing body's most recent fiscal year.

(ii) The amount of funds reported under subparagraph (i) that were spent on compensation for faculty and staff employed primarily to meet the functions of an authorizing body. For the purpose of this subparagraph, an employee is presumed to be primarily employed to meet the functions of an authorizing body if that employee spends more than 50% of the employee's time on those activities.

(iii) The number of positions, organized by job title, associated with expenditures reported under subparagraph (ii).

(iv) The amount of funds reported under subparagraph (i) that



1 were spent on contractual services to meet the functions of an
2 authorizing body.

3 (v) The amount of funds reported under subparagraph (i) that
4 were spent on other overhead costs to meet the functions of an
5 authorizing body.

6 (vi) The amount of funds reported under subparagraph (i) that
7 were transferred to another operating unit within the university.

8 (vii) The amount of funds reported under subparagraph (i) that
9 were spent on activities other than functioning as an authorizing
10 body, including a list of those activities and the amount
11 associated with each activity.

12 (f) ~~(n)~~—An executive summary section that provides relevant
13 summary data for reporting requirements under subdivisions (a) to
14 ~~(m)~~. (e) .

15 (2) A report submitted under this section must be in a format
16 that meets accessibility standards for viewing on the internet
17 under the Americans with disabilities act of 1990, Public Law 101-
18 336.

19 (3) A report submitted under this section must be published
20 and updated through a link on the homepage of the public
21 university's website.

22 (4) In addition to the reporting requirements under this
23 section, each authorizing body that receives an appropriation under
24 section 236 shall adopt a facilities policy ensuring that any
25 structures or other property vacated by a public school academy
26 that ceases operation not contribute to blight in the surrounding
27 neighborhood or community in which the school had previously
28 operated.

29 (5) As used in this section, "authorizing body" means that



term as defined in section 501 of the revised school code, 1976 PA 451, MCL 380.501.

Sec. 276. (1) Included in the appropriation for fiscal year ~~2025-2026~~**2026-2027** for each public university in section 236 is funding for the Martin Luther King, Jr. - ~~Cesar Chavez~~**Dolores Huerta - Morris Hood Jr.** - Rosa Parks future faculty fellowship program that is intended to increase the pool of academically or economically disadvantaged candidates pursuing faculty or administration careers in postsecondary education in this state. Preference may not be given to applicants on the basis of race, color, ethnicity, gender, or national origin. Institutions should encourage applications from applicants who would otherwise not adequately be represented in the graduate student, faculty, or administration populations. Each public university shall apply the percentage change applicable to every public university in the calculation of appropriations in section 236 to the amount of funds allocated to the future faculty fellowship program.

(2) Each public university shall administer the program in a manner prescribed by the department of labor and economic opportunity. The department of labor and economic opportunity shall use a good-faith effort standard to evaluate whether a fellowship is in default. All of the following apply to the program:

(a) By June 15 of each year, public universities shall report any anticipated unexpended or unencumbered program funds to the department of labor and economic opportunity. Encumbered funds are those funds that were committed by a fellowship agreement that is signed during the current fiscal year or administrative expenses that have been approved by the department of labor and economic opportunity.



(b) Before September 1 of each year, unexpended or unencumbered funds may be transferred, under the direction of the department of labor and economic opportunity, to a future faculty fellowship program at another public university to be awarded to an eligible candidate at that public university.

(c) Program allocations not expended or encumbered by September 30, ~~2027~~**2028** must be returned to the department of labor and economic opportunity so that those funds may lapse to the state general fund.

(d) Not more than 5% of each public university's allocation for the program may be used for administration of the program.

(e) In addition to the appropriation for fiscal year ~~2025-~~~~2026,~~**2026-2027**, any revenue received during prior fiscal years by the department of labor and economic opportunity from defaulted fellowship agreements is appropriated for the purposes originally intended.

Sec. 277. (1) Included in the appropriation for fiscal year ~~2025-2026~~**2026-2027** for each public university in section 236 is funding for the Martin Luther King, Jr. - ~~Cesar Chavez~~**Dolores Huerta - Morris Hood Jr.** - Rosa Parks college day program that is intended to introduce academically or economically disadvantaged schoolchildren to the potential of a college education in this state. Preference may not be given to participants on the basis of race, color, ethnicity, gender, or national origin. Public universities should encourage participation from those who would otherwise not adequately be represented in the student population.

(2) Individual program plans of each public university must include a budget of equal contributions from this program, the participating public university, the participating school district,



1 and the participating independent degree-granting college. College
2 day funds must not be expended to cover indirect costs. Not more
3 than 20% of the university match may be attributable to indirect
4 costs. Each public university shall apply the percentage change
5 applicable to every public university in the calculation of
6 appropriations in section 236 to the amount of funds allocated to
7 the college day program.

8 (3) Each public university shall administer the program
9 described in this section in a manner prescribed by the department
10 of labor and economic opportunity.

11 Sec. 278. (1) Included in the appropriation for fiscal year
12 ~~2025-2026~~**2026-2027** for each public university in section 236 is
13 funding for the Martin Luther King, Jr. - ~~Cesar Chavez~~**Dolores**
14 **Huerta - Morris Hood Jr.** - Rosa Parks select student support
15 services program for developing academically or economically
16 disadvantaged student retention programs for 4-year public and
17 independent educational institutions in this state. Preference may
18 not be given to participants on the basis of race, color,
19 ethnicity, gender, or national origin. Institutions should
20 encourage participation from those who would otherwise not
21 adequately be represented in the student population.

22 (2) An award made under this program to any 1 institution must
23 not be greater than \$150,000.00, must have an award period of no
24 more than 2 years, and must be matched on a 70% state, 30% college
25 or university basis.

26 (3) The department of labor and economic opportunity shall
27 administer the program described in this section.

28 Sec. 279. (1) Included in the appropriation for fiscal year
29 ~~2025-2026~~**2026-2027** for each public university in section 236 is



1 funding for the Martin Luther King, Jr. - ~~Cesar Chavez~~ **Dolores**
 2 **Huerta - Morris Hood Jr.** - Rosa Parks college/university
 3 partnership program between 4-year public and independent colleges
 4 and universities and public community colleges, which is intended
 5 to increase the number of academically or economically
 6 disadvantaged students who transfer from community colleges into
 7 baccalaureate programs in this state. Preference may not be given
 8 to participants on the basis of race, color, ethnicity, gender, or
 9 national origin. Institutions should encourage participation from
 10 those who would otherwise not adequately be represented in the
 11 transfer student population.

12 (2) The grants must be made under the program described in
 13 this section to Michigan public and independent colleges and
 14 universities. An award to any 1 institution must not be greater
 15 than \$150,000.00, must have an award period of no more than 2
 16 years, and must be matched on a 70% state, 30% college or
 17 university basis.

18 (3) The department of labor and economic opportunity shall
 19 administer the program described in this section.

20 Sec. 280. (1) Included in the appropriation for fiscal year
 21 ~~2025-2026~~ **2026-2027** for each public university in section 236 is
 22 funding for the Martin Luther King, Jr. - ~~Cesar Chavez~~ **Dolores**
 23 **Huerta - Morris Hood Jr.** - Rosa Parks visiting professors program,
 24 which is intended to increase the number of instructors in the
 25 classroom to provide role models for academically or economically
 26 disadvantaged students. Preference may not be given to participants
 27 on the basis of race, color, ethnicity, gender, or national origin.
 28 Public universities should encourage participation from those who
 29 would otherwise not adequately be represented in the student



1 population.

2 (2) The department of labor and economic opportunity shall
3 administer the program described in this section.

4 (3) The amount allocated to each public university is
5 \$11,184.00 and is subject to an award period of no more than 2
6 years. Each public university receiving funds for fiscal year ~~2025-~~
7 ~~2026-2026-2027~~ under this section shall report to the department of
8 labor and economic opportunity by April 15, ~~2026-2027~~ the amount of
9 its unobligated and unexpended funds as of March 31, ~~2026-2027~~ and
10 a plan to expend the remaining funds by the end of the fiscal year.
11 The amount of funding reported as not being expended may be
12 transferred, under the direction of the department, to another
13 public university for use under this section.

14 Sec. 281. (1) Included in the appropriation for fiscal year
15 ~~2025-2026-2026-2027~~ for each public university in section 236 is
16 funding under the Martin Luther King, Jr. - ~~Cesar Chavez-Dolores~~
17 **Huerta - Morris Hood Jr.** - Rosa Parks initiative for the Morris
18 Hood, Jr. educator development program, which is intended to
19 increase the number of academically or economically disadvantaged
20 students who enroll in and complete K-12 teacher education programs
21 at the baccalaureate level and teach in this state. Preference may
22 not be given to participants on the basis of race, color,
23 ethnicity, gender, or national origin. Institutions should
24 encourage participation from those who would otherwise not
25 adequately be represented in the teacher education student
26 population.

27 (2) The program described in this section must be administered
28 by each state-approved teacher education institution in a manner
29 prescribed by the department of labor and economic opportunity.



(3) Approved teacher education institutions may and are encouraged to use select student support services funding in coordination with the Morris Hood, Jr. funding to achieve the goals of the program described in this section.

Sec. 282. (1) Each institution receiving funds for fiscal year ~~2025-2026~~**2026-2027** under section 278, 279, or 281 shall provide to the department of labor and economic opportunity by April 15, ~~2026~~**2027** the unobligated and unexpended funds as of March 31, ~~2026-2027~~ and a plan to expend the remaining funds by the end of the fiscal year. Notwithstanding the award limitations in sections 278 and 279, the amount of funding reported as not being expended will be reallocated to the institutions that intend to expend all funding received under section 278, 279, or 281.

(2) Funds received for the purpose of administering programs under sections 278, 279, and 281 must not be used for direct financial aid or indirect financial aid. However, a public university may provide academic incentives to motivate participating students as approved by the department. As used in this subsection:

(a) "Direct financial aid" includes, but is not limited to, scholarships, payment of tuition, stipends, and work-studies.

(b) "Indirect financial aid" includes, but is not limited to, transportation, textbook allowances, child care support, and assistance with medical premiums or expenses.

ARTICLE IV

Sec. 295. The state budget director shall take steps to ensure that all state fiscal recovery funds allocated to this state under the American rescue plan act of 2021, Public Law 117-2, are expended by December 31, 2026, as required by law. Any state



1 fiscal recovery funds that would otherwise lapse after September
2 30, 2026 are automatically reappropriated for the same purpose as
3 originally authorized and available for expenditure through
4 December 31, 2026 and any subsequent financial closeout period.

5 Sec. 295a. (1) The state budget director shall take steps to
6 ensure that all state fiscal recovery funds allocated to this state
7 under the American rescue plan act of 2021, Public Law 117-2, are
8 expended by December 31, 2026, as required by law. The state budget
9 director may reallocate appropriated funds for the purpose of fully
10 utilizing state fiscal recovery funds that are in jeopardy of not
11 meeting the expenditure deadline for reasons that may include, but
12 are not limited to, completed projects coming in under budget or
13 funds unable to be fully used by subrecipients. The state budget
14 director shall reallocate any of the funds reallocated under this
15 subsection to the programs or purposes specified in this section.
16 Any funds reallocated are unappropriated and immediately
17 reappropriated for the following purposes:

18 (a) To reclassify general fund/general purpose appropriations
19 for payroll and covered benefits for eligible public health and
20 safety employees at the department of corrections.

21 (b) To reclassify general fund/general purpose appropriations
22 for payroll and covered benefits for eligible public health and
23 safety employees at the department of state police.

24 (2) All applicable guidance, implementation, and reporting
25 provisions of Public Law 117-2 must be followed for state fiscal
26 recovery funds reallocated and reappropriated under subsection (1).

27 (3) The state budget director shall notify the senate and
28 house appropriations committees not later than 10 business days
29 after making any reallocations under subsection (1). The



1 notification must include the authorized program under which funds
2 were originally appropriated, the amount of the reallocation, the
3 program, or programs, or purpose, and the department to which the
4 funds are being reallocated under subsection (1), and the amount
5 reallocated to each program or purpose.

6 Enacting section 1. (1) In accordance with section 30 of
7 article IX of the state constitution of 1963, total state spending
8 on school aid under article I of the state school aid act of 1979,
9 1979 PA 94, MCL 388.1601 to 388.1772, as amended by 2025 PA 15 and
10 this amendatory act, from state sources for fiscal year 2025-2026
11 is estimated at \$18,693,813,800.00 and state appropriations for
12 school aid to be paid to local units of government for fiscal year
13 2025-2026 are estimated at \$17,245,994,700.00. In accordance with
14 section 30 of article IX of the state constitution of 1963, total
15 state spending on school aid under article I of the state school
16 aid act of 1979, 1979 PA 94, MCL 388.1601 to 388.1772, as amended
17 by this amendatory act, from state sources for fiscal year 2026-
18 2027 is estimated at \$19,390,174,600.00 and state appropriations
19 for school aid to be paid to local units of government for fiscal
20 year 2026-2027 are estimated at \$17,908,356,700.00.

21 (2) In accordance with section 30 of article IX of the state
22 constitution of 1963, total state spending from state sources for
23 community colleges for fiscal year 2026-2027 under article II of
24 the state school aid act of 1979, 1979 PA 94, MCL 388.1801 to
25 388.1830, as amended by this amendatory act, is estimated at
26 \$496,663,500.00 and the amount of that state spending from state
27 sources to be paid to local units of government for fiscal year
28 2026-2027 is estimated at \$496,663,500.00.

29 (3) In accordance with section 30 of article IX of the state



1 constitution of 1963, total state spending from state sources for
2 higher education for fiscal year 2026-2027 under article III of the
3 state school aid act of 1979, 1979 PA 94, MCL 388.1836 to 388.1891,
4 as amended by this amendatory act, is estimated at
5 \$2,606,632,800.00 and the amount of that state spending from state
6 sources to be paid to local units of government for fiscal year
7 2026-2027 is estimated at \$0.00.

8 Enacting section 2. Sections 11y, 11aa, 11bb, 23g, 25g, 27k,
9 35e, 41, 41b, 55, 61d, 97k, 99, 99aa, 99ee, 99mm, 107a, 147g, and
10 164j of the state school aid act of 1979, 1979 PA 94, MCL
11 388.1611y, 388.1611aa, 388.1611bb, 388.1623g, 388.1625g, 388.1627k,
12 388.1635e, 388.1641, 388.1641b, 388.1655, 388.1661d, 388.1697k,
13 388.1699, 388.1699aa, 388.1699ee, 388.1699mm, 388.1707a, 388.1747g,
14 and 388.1764j, are repealed.

15 Enacting section 3. (1) Sections 11, 22a, 22b, 26a, 26d, 27b,
16 31c, 51a, 51c, 51e, 56, 62, 104, 147a, 147c, 147e, and 201h of the
17 state school aid act of 1979, 1979 PA 94, MCL 388.1611, 388.1622a,
18 388.1622b, 388.1626a, 388.1626d, 388.1627b, 388.1631c, 388.1651a,
19 388.1651c, 388.1651e, 388.1656, 388.1662, 388.1704, 388.1747a,
20 388.1747c, 388.1747e, and 388.1801h, as amended by this amendatory
21 act, if granted immediate effect pursuant to section 27 of article
22 IV of the state constitution of 1963, take effect on enactment of
23 this amendatory act.

24 (2) Except as otherwise provided for those sections listed in
25 subsection (1), the remaining sections of this amendatory act take
26 effect October 1, 2026.

